

Century Plyboard (CENTURYPLY)

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BSE Ltd.

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Scrip Name - Centuryply

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ranscript of the conference call for Audited Financial Results for the Quarter and Year ended 30th June , 2022

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n terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Thursday, 21st July , 2022 for Unaudited Financial Results for the Quarter ended 30th June , 2022.

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Yours faithfully,

For Century Plyboards (India) Ltd.

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"Century Plyboards (India) Limited Q1 FY2023
Earnings Conference Call "

July 21 , 2022

ANALYST : MR. AASIM BHARDE - DAM CAPITAL ADVISORS
LIMITED

MANAGEMENT : MR. SANJAY AGARWAL - MANAGING DIRECTOR -
CENTURY PLYBOARD 'S INDIA LIMITED

MR. KESHAV BHAJANKA - EXECUTIVE DIRECTOR -
CENTURY PLYBOARD 'S INDIA LIMITED

MR. ARUN JULASARIA - CFO - CENTURY PLYBOARD 'S
INDIA LIMITED

MR. NEHAL SHAH – CSO AND HEAD OF INVESTOR
RELATIONS - CENTURY PLYBOARD 'S INDIA LIMITED

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Page 2 of 22 Moderator : Ladies and gentlemen, Good day, and welcome to Century Plyboard's (India) Limited 's Q1 FY20 23 Earnings Conference Call hosted by DAM Capital Advisors Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*"then "0" on your touchtone telephone. Please note, that this conference is being recorded. I now hand the conference over to Mr . Aasim Bharde from DAM Capital Advisors Limited . Thank you, and over to you!

Aasim Bharde : Thank you Mallika. Good evening and on behalf of DAM Capital Advisors , I welcome you all to Century Plyboards Q1 FY2023 Conference Call. We have the senior management on

line with us here. At the onset, I would like to congratulate the team on an excellent Q1 performance and wish continued success ahead, and now I will hand over the flow to Mr. Arun Julasaria – CFO of the company. Over to you, Sir!

Arun Julasaria : Thank you. Good afternoon ladies and gentlemen and welcome to Q1 conference call of Century Ply. First of all I would like to speak the customary disclaimer that this call is just to discuss company's historical numbers and forward-looking statements and in no way it should be construed invitation to invest in the shares of the company.

The results for the Q1 have already been put on company's website, stock exchange website along with detailed analysis and also mailed to you separately. I will not spend more time in repeating those numbers, but I would like to tell you that usually Q4 of every year is target and best quarter and the cascading effect of that is spill over to Q1 also. But in our case this time Q1 is also equally best quarter compared to Q4 of last year.

Turnover is almost same negligibly down by only 1.5%, but you if you compare it Y-o-Y it is almost double higher by 96.4%. This Q1 was challenging quarter because raw material prices were on higher side, but we could manage our profitability by higher volume. All our segments have done well. As usual MDF has all its past records in case of plywood EBITDA margins are down by almost 4.5% reasons for which will be explained by MD in due course.

With these words not taking much time, I will open the house for question and answers.

Sanjay Agarwal : I would like to make a little bit of a talk to everybody

before the question answers are open.

Thank you everyone for taking your valuable time out for attending the Q1 FY2023

Century Ply board's investor conference call. I am Sanjay Agarwal - Managing Director of Century Plyboard's India Limited. I have alongside me Mr. Keshav Bhajanka - Executive Century Plyboards (India) Limited

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Page 3 of 22 Director, Mr. Arun Julasaria - CFO and Mr. Nehal Shah – CSO and Head of Investor Relations. I presume that everyone of you would have gone through our numbers in detail.

Let me brief you some of the key highlights : After delivering record sales in Q2, Q3 and Q4 last year, it gives me immense pleasure, to share, that we have achieved sales of Rs. 878.35 Crores in the first quarter, usually which is the leanest quarter of a financial year, which is just a tad lower than the Q4 FY2022 sales. Our Plywood and particleboard segments revenue records 100% year-on-year growth while laminate s and MDF segments revenue grew 86% and 71 % year-on-year respectively for the quarter.

Despite the sustained input cost pressure in core segment of plywood and laminate we have been able to mitigate a large part of our gross margin pressure by taking corresponding price increases and also through operating leverage. Our overall gross margins were down nearly by 140 BPS quarter -on-quarter to 34.1% in Q1 FY 2023.

Driven by resin price hikes and our superior product mix, our laminate s, MDF and particleboard segments reported gross margin improvement in Q1; however, our core plywood segment for gross margin contraction of 3.70 BPS quarter -on-quarter. Despite the overall gross margin pressure and our aggressive branding spends the overall EBITDA margin for the quarter, stood firm at 17.2 % down nearly 140 BPS quarter -on-quarter. While our plywood division reported 10.4% EBITDA margin in Q1 driven by aggressive brand spends, lag effect of pass on of recent price hikes and operating leverages we still maintain 13 % to 15% EBITDA margin guidance for FY 2023. This is likely to be driven by front loading of advertisement and promotion spends in Q1.

Full absorption of price hikes taken in Q1 and expected operating leverage. While MDF and particleboard segments reported record high margin of 35% and 36% respectively the laminate EBITDA margin s adjusted for BCG expenses stood at impressive 16.4%. It may be noted that input cost inflation has softened a bit in last quarter; however, craft paper and phenol prices have seen a further surge on a month- on-month basis.

Timber prices continue to remain elevated, but the surge has settled down. Price increases taken in Q1, plywood 2%, premium plywood 3%, Sainik PF also 3% and 7% in Sainik MR, laminate 4% to 3% in 1 mm and 0.8 mm respectively, MDF and particleboard about 9%, 5% in April and 4% from 14th of June.

Our MDF Brown field expansion at Hoshiarpur is as per schedule and is expected to come on stream by October 2022. Our South MDF capex has received all requisite approvals and the machinery has been ordered. We expect the facility to come on stream by second half of Century Plyboards (India) Limited

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Page 4 of 22 FY2024. Our Greenfield laminate manufacturing unit in Andhra would come up in two phases; the first phase is expected to become operational in Q2 FY 2024. Our working capital stands comfortable at 58 days in Q1 FY2023 an improvement of about 5 days compared to last financial year. We remain a net cash positive company with net cash position of 184 Crores as on June 30, 2022. Our Q1 FY 2023 ROC E stood at the healthy

29.36%.

With this I welcome you again all to this conference call and we open the conference to question and answers. Thank you.

Moderator : Thank you. Ladies and gentlemen, we will now begin the question and answer session. We have the first question from the line of Rahul Agarwal

wal from InCred Capital. Please go ahead.

Rahul Agarwal : Good afternoon. Congratulations on a very good set of results. Two questions and one clarification ; firstly on the ply gross margins they still look depressed at 28 % and you have already taken price hikes in 1Q. Would that be sufficient for us to go back on a normalized level ?

Sanjay Agarwal : You see the price hikes have been, two reasons one is the timber price hike , so that actually we have already factored in our price increase and because we took it little later , which there is always a lag, so we increase the prices by 2% to 3%, but again in that quarter maybe even less than 1% on the whole. So the whole effect will actually come in this quarter. So that is the first thing. Second price hike is because of you can say phenol. So phenol, yes, we expect phenol to again come down very soon because everything, all such products in the world are coming down, the prices are coming down so that we have not taken. So we expect that due to leverage of our production quantity and the price coming down we will be able to take it forward and attend our original EBITDA of 13% to 14 %.

Rahul Agarwal : Correct Sir, you also mentioned some up fronting of A&P spends for plywood. Could you please quantify that, how much was that ?

Sanjay Agarwal : That actually we had announced in the last quarter also that this year we are going very aggressive as far as advertisement and promotion is concerned. So we have taken a very heavy budget and most of it, a large part of it has been spent on IPL that is why the first quarter actually be as the biggest brunt as far as plywood advertisement and promotion is concerned . So that itself that one single item is actually costing 1.5 % extra over and above the normal spend actually. So we expect that all these things will normalize in times to come.

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Page 5 of 22 Rahul Agarwal : Second question was on MDF and particleboard . Now obviously with record operating margins of 35% plus and we all know that it will not sustain here going forward it should come down, but what is going in their favor of these products today right now like how long do you think this is sustainable ?

Sanjay Agarwal : See we have always maintained that our margin for MDF and particleboard will be around 25%, but yes because of certain factor the markets are good, imports are not at all there , new production capacities are not coming up so fast. So all those factors actually the markets are good, so we are reaping a harvest actually at the moment and we expect this to continue for at least a year and we really do not know what will happen after a year and the second thing we have done is actually the product mix also what we are doing about 70% of the particleboard was being sold like a pre-lam and best of it as a pre-lam. Now we have decided to increase this pre-lam to over 85% to 90 %. So that is also making a little bit of a difference. Even in MDF we will see that the pre-lam comes to 2% points. So that also affects the margin positively.

Rahul Agarwal : Lastly one clarification on the container freight business. I thought the slump sale was earlier in November 2021 when it was announced it was about 52 Crores. The press release yesterday talks about 33 Crores ; my sense is this slump sale is done to Century Infra which is a 100% subsidiary. So the pricing is really does not matter, but just wanted to understand why is the difference here?

Sanjay Agarwal : You see we have to consult there may be an impact of income tax. So keeping that in view we have consulted with all the Income Tax Consultants and Chartered Accountants and our auditors and this is what is the best thing to do. Otherwise we will come into net of some income tax when it is going from one pocket to another pocket only of the same person.

Rahul Agarwal : Got it Sir, I will come back in the queue. Thank you so much and wish you very best.

Moderator : Thank you. We have the next question from the line of Praveen Sahay from Edelweiss Wealth. Please go ahead.

Praveen Sahay : My question is related to the utilization across the segment, especially the plywood and the MDF, so where we are in the utilization can you give some numbers ?

Keshav Bhajanka : Capacity utilization in Q1 across product categories as under. Plywood is 82 % versus 84 % Q-o-Q, laminate 89 % versus 97 % Q-o-Q, MDF is 98 % versus 97% Q-o-Q and particleboard is 120 % versus 115% Q-o-Q.

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Page 6 of 22 Praveen Sahay : And the next question is as Sir has said about the realization in the MDF, pre-lam MDF. So what is exactly the difference between the pre-lam MDF and the MDF realizations ?

Sanjay Agarwal : What is the difference in realization is not there in my hand right now actually, but the profitability is better .

Praveen Sahay : How much is that ?

Sanjay Agarwal : Plain MDF realization is Rs.31000 per cubic meter and the pre-lam MDF is 44000 but in MDF the pre-lam sales is only up to 20%, in particleboard it is very high, most of the particleboard is sold as pre-lam actually.

Praveen Sahay : The last question related to the raw material as you had said that the timber price is still continuing on the higher side. So do you expect the price increase in this quarter as well second quarter ?

Sanjay Agarwal : See the price increase in the timber we have already passed on, the total has been passed on. The effect has not come in till now because there is always a lag in making up the mine and passing it on to the market there is always a lag and after that the timber prices are stable now which I spoke also in my speech so I do not think that immediately there will be an increase in timber prices, but historically whenever there is a price increase in timber we have very successfully and easily because the whole timber industry, whole plywood industry is affected. So it is passed on sooner or later but maybe there is some lag it will be passed on if there is any another increase it will be passed on.

Praveen Sahay : Thank you Sir. Thank you for taking my questions all the best .

Moderator : Thank you. We have the next question from the line of Girish Choudhary from Spark Capital Advisors. Please go ahead.

Girish Choudhary : Sir, thanks for taking my questions. Firstly you did shared the reason for the higher A&P spend, but that would be helpful if you can share the exact quantum of A&P spend this quarter versus last quarter.

Sanjay Agarwal : I cannot hear clearly actually your voice.

Girish Choudhary : I was just wanted to know the exact quantum of the A&P spend this quarter versus last quarter ?

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Page 7 of 22 Keshav Bhajanka : This is the data that we would not like to disclose that quantum however as the MD has already stated there was a front loading of A&P spend that took place in Q1 compared to the rest of the year .

Girish Choudhary : Certainly any thoughts on setting up of increasing particleboard capacity ?

Sanjay Agarwal : Particleboard capacity you see we are yet to take a final decision on, because we took a decision that we will be going in for a multi-daylight horse race and then there again our mind is still confused that whether we could go for a continuous line. So it is still the debate is on, technically and commercially both angle it is the debate is on. I hope we will be able to decide within next one, one and a half months. But the decision of expansion is sure, the area is decided , but of course the decision is a decision as long as it is not made, it is not made and these decisions are actually very long-term you see putting up a plant that will

I be

affecting this company for next 50 years. So there is no problem in taking another two months or three months in taking such decisions .

Girish Choudhary : Thank you Sir.

Moderator : Thank you. We have the next question from the line of Mr. Achal from JM Financial. Please go ahead.

Achal : Thank you for the opportunity . Congratulations for the great numbers. What I wanted to check was in terms of the mix is there any change in the mix Q-o-Q in the plywood business in terms of the premium and Sainik and Sainik MR?

Sanjay Agarwal : You see what happened April was normal, June was normal, May I think whole country, all the products were little affected even plywood was affected in every way, but the numbers came back in the month of June and again even in July it seems to be normal. So yes it was effective in May a little bit but yes we are back on track.

Achal : But specifically in case of plywood is growth in the non-premium higher than the premium segment in terms of the volume growth?

Sanjay Agarwal : You see generally you have seen that the premium segment growth is lower the non-premium segment growth is quite high and that is actually our decision and clarity of the market that the value of the market is where we will be able to grow the top angle is already filled in by two, three people and none of us are going to relent our market share to anybody else. So the growth there is certainly lower and the non-premium segment is growing faster and better .

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Page 8 of 22 Achal : Is it possible to share in terms of the mix how was it for the first quarter?

Sanjay Agarwal : The numbers right now is little difficult I think you can connect with Nehal later on maybe.

Achal : Sure. My second question was with respect to timber price can you help us in terms of what is the extent of increase on a Y -o-Y basis for the plywood segment?

Sanjay Agarwal : The core prices went up by about 5% and which is about 50% or 52 % of our plywood cost. So about the price increase was actually the cost in increase was about 2% to 2.25% and that is what exactly will be more than that only we have passed on.

Achal : The core timber prices of 5% Y -o-Y for first quarter F Y2023?

Sanjay Agarwal : That is on Q -o-Q.

Achal : But what about Y -o-Y how much would that be up?

Keshav Bhajanka : Y-o-Y we will get back you shortly definitely higher that you can connect with Nehal or me that we will give the data.

Achal : Just a question on the MDF industry obviously at this point in time things look great, but if you could help us in terms of what is, because we sense that the container freight rates have come down, imports are going up. So can you help us in terms of what is the landed price for imports?

Sanjay Agarwal : See the inward freight for MDF particleboard has gone down to \$22 to \$23 about three years back after that right now it is not less than \$100 still. So there is no chance of any imports a little bit here and there people may still try and do but there is no chance of any import at the moment especially particle board is absolutely zero and for MDF still there is no chance and especially for the North India so it is absolutely impossible because once you import and then you now carry forward to the north it is an impossible task and impossible thought actually and we believe that in times to come we are becoming very efficient, we are becoming larger in our quantities, whether I expect India to export MDF in two years time by making some profit not because that we have to just consume our capacities but by making some profit we will be able to export MDF in two years' time.

Achal : Just another question with respect to that capacity can you help us understand is there any capacity addition even in the smaller unorganized player segment as well ?

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Page 9 of 22 Sanjay Agarwal : You see that is always one on another but I do not have the data at this moment. You see there is always I think one small manufacturer comes in every one year or one and a half year one small manufacturer comes up to maybe 200 cubic meter a day, some large plants like our plant in South and our 400 cubic meter capacity in North then XME is also I think expanding the capacities, but none of these capacities are due and next year. So we expect the market to grow by 20% every year in MDF. So yes whenever a new capacity comes there will be a little bit of hike in the market, but it is not going to be a big deal because 20% growth in a particular segment is a huge growth at least, if the present total sale is 5000 cubic meter you are already grown in a year by 1000 cubic meter per day. In next two years time I think market will be ready to absorb all the expansions which are coming.

Achal : Understood that is very helpful I will come back in the queue. Thank you.

Moderator : Thank you. We have the next question from the line of Shrenik Bachhawat from LIC Mutual Fund. Please go ahead.

Shrenik Bachhawat : Sir thanks a lot for taking my questions. My first question is regarding the demand scenario where are we seeing the strong demand from mainly it is the metros or tier two and below cities?

Sanjay Agarwal : Actually what happened is we really do not know this what happens any company which of our size has really done quite well within the metros. So our expansion and our growth mostly comes from tier 2, tier 3, but it is really the tier two, tier three growing more than the metro that is, I do not think I will be able to answer that question, but yes as far as our company is concerned we are growing much more in the tier two, tier three at the moment and that is where we are putting in our expansions or new areas, new towns, new people being hired out there, new dealers being appointed out there, all those growth inputs are happening in tier 2 actually.

Shrenik Bachhawat : My second question could you throw some light on how is the unorganized ply sector performing as of now and the strong volume that you have delivered is it the result of market share gain from the unorganized players or the industry is growing at this pace ?

Sanjay Agarwal : Again you know I have always told that we do not have any reliable study or reliable data, but if you see, if we have achieved the 1400 Crores plywood and if you say that we are still a 20000 Crores market then actually it is a 7% so certainly our market share has grown and this market share mostly is growing in the non- premium segment or you can say the middle segment of sending. The premium segment is growing from whatever and then we were selling I think we have grown in last two, three years we have grown about 50% in that

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Page 10 of 22 segment also, but the bigger gains even in terms of the new dealer appointments everything is happening more in the non- premium segment.

Shrenik Bachhawat : Sir then the ply and laminate segment we delivered very strong volume growth of around 10%, 2% on three year CAGR basis. So can we take that as an assumption for the next three years for the ply and laminate segments that we can grow at 10% CAGR for the next three years.

Sanjay Agarwal : Laminate we are putting up a plant in South. We have two expansions coming up one after another, two phases, and as far as plywood is concerned actually we believe that we can grow faster, we can grow more, but maybe some mistakes on our part is keeping us where we are actually that is how we feel but yes it is not an organized industry, it is not like cement or it is not like tiles where you get people who really know the businesses here we are actually learning and growing and deciding new innovative ideas

as of selling and marketing and succeeding. So I believe that yes we have good possibility.

Shrenik Bachhawat : Thank you so much.

Moderator : Thank you. We have the next question from the line of Sneha Talreja from Edelweiss.

Please go ahead.

Sneha Talreja: Thanks a lot for opportunity, congratulations Sir on great set of numbers. Sir while you have mentioned that the industry scenarios of course not known and how much imports will be there and how many capacities will be added in the MDF segment over the next two years. Just want to understand your vision what is your target this particular time when you are coming up with such a big capacity in MDF division both Brownfield as well as Greenfield any target utilization that yourself for first year, second year or third year of operation or over the period of two to three years that you would like to mention?

Keshav Bhajanka : If you look at the past we have been the fastest to utilize our capacities within the MDF for the particleboard space and I think that trend is likely to continue in the near future. Once our capacities come in, our target is that within the first three years we will reach 100 % capacity utilization so I think the breakup of that the staggering of that could differ slightly based on when the plant comes online but it is just within the first three years we should be able to reach 100% capacity utilization.

Sneha Talreja: That is similar to what you did in the past and that is why you are maintaining a 25 % plus market guidance at this point of time ?

Keshav Bhajanka : Yes.

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Page 11 of 22 Sneha Talreja: Also I just wanted to understand the amount of price hikes that we have specifically taken only in Q1 FY2023 with regards to all the segments in case someone can help ?

Sanjay Agarwal : Price rise actually I spoke about the price rise lately I can repeat it in Q1 we have taken plywood 2% in premium, 3% in Sainik TF and 7% in Sainik MR. Laminate we took 4% in 1 mm, 3% in 0.8 mm, MDF bill particleboard 9% two different one is in 5% percent another is 4%.

Sneha Talreja: Understood, thanks a lot and all the very best.

Moderator : Thank you. We have the next question from the line of Jignesh Kamani from GMO. Please go ahead.

Jignesh Kamani : Sir in plywood we took around 3%, 3.5% price hike in the fourth quarter I think out of 8% the pricing we take out of in the entire year and on top you said that we have taken 2.5%, 3% in the first quarter maybe 1% may be full impact of that. So almost 4% price hike in last six months despite that our gross margin in Q-o-Q has deteriorated by close to around a 190 base point so product mix has deteriorated a lot in favor of economic segment or anything other which can try impact the gross margin ?

Sanjay Agarwal : I explained I think a little earlier that 1.5% is actually because of dispatch.

Jignesh Kamani : No, but I am saying in fourth quarter we have taken a 3%, 3.5% price hike.

Sanjay Agarwal : I will request Nehal to explain this.

Nehal Shah : Gross margins yes you are right that has come down but that is because of couple of reasons one is the lag effect of price increase and second is as MD said in the month of May because of the slowness in the market the mix was high towards the non-premium segment and which is what has driven gross margins down, but as we said June has come back to normalcy and so we expect the gross margin also to recover subsequently.

Jignesh Kamani : You do not expect that production should continue to remain more toward the economic segment and hence which will impact the gross margin structurally ?

Nehal Shah : Sorry can you repeat.

Jignesh Kamani : You do not expect that production will continue to remain more in favor of the economic segment as the growth is more coming from that and which can structurally impact the gross margin

in ?

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Page 12 of 22 Sanjay Agarwal : You see the premium segment is not growing as fast as the non-premium segment and that has been the thing I think we have been telling from the very beginning this is the belly of the market where actually about 40 % of the market lies actually. So I do not think, yes, overall if you can say that it will come down but then you see what we have told always that we will be trading between 13% and 15% total EBITDA margin that should be a big thing .

Jignesh Kamani : What I am saying is the downside bridge to this margin band is more and more share of plywood growth is coming from the economic segment ?

Sanjay Agarwal : With that you have to understand that by the better utilization of our machinery , our costs everything you see 50% or 55 % or 60 % is the cost of raw material the rest of it is actually overheads the more we sell actually we will have more leverage as far as our profits are concerned and if you can grow more in premium you do not need an accountant to tell us that yes we will get better profits but when to grow in that segment is not that much possible. Yes, the more important is that we do not go down in that segment. So for that we have taken all our incentives, increments there are losses applied if you do not sell the premium segment automatically the supply of non- premium segment gets stopped to that branch . So automatically these people have to take care of it they have no choice .

Jignesh Kamani : Second in particleboard in fact in MDF share you mentioned that at least for one year margin may remain elevated and then once a new capacity comes margin might taper up to 25 kind of band how is the demand supply scenario in particleboard because I think no new capacity is coming as per our knowledge in the particleboard so to what level the margin can remain at elevated level ?

Sanjay Agarwal : No you see particleboard small plants of the 100 , 150 cubic meter keeps on coming mostly in you can say either in North India or in Gujarat some of them are based upon the sugarcane also , bagasse . We are very seriously contemplating putting up either a quantity roll manufacturing unit for maybe about 800 cubic meters a day or maybe an other plan for 400 cubic meters a day but we have not taken a decision till now. Definitely , yes, the demand is good that is why in Q1 we have been able to increase the prices in that 9% which is actually a formidable unthinkable kind of price rise with in the quarter actually. I do not see that, even going ahead I tell you to import particleboard because it is a cheaper product, the spread costs are much higher in percentage and I do not think the freight cost will go down to those \$ 20,\$ 25 in next two, three years also . So I do not think particleboard will be imported anymore in India.

Jignesh Kamani : So then margin will remain elevated 35% plus for the entire year but maybe slightly more ?

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Page 13 of 22 Sanjay Agarwal : I cannot say that I will still maintain that we will do everything to manage the 25 % everything else is actually we are reaping from harvest and the things are right, and we have done some small, small things. I told you, we are increasing the pre-lam sales in the market and we are also looking at selling most of it near our plant. So we are discouraging the sales away from our plant. So that is also increasing a little bit of profits all those things are going on continuously.

Jignesh Kamani : Thanks a lot.

Moderator : Thank you. We have the next question from the line of Alisha Mahawla from Envision Capital. Please go ahead .

Alisha Mahawla: Sir good evening . Thank you taking my question. My question is with respect to particleboard and the capacity. So you mentioned that you are already at about 120 % capacity utilization

tion you also believe that the margins will continue to stay at elevated level there is no large capacity coming. The only I think other organized player will probably be getting capacity two to three years down the line, but yet we are not adding capacity in this segment can you please elaborate on the same and it was part of the plan we chalked out when we said that we want to double our revenues in about five years ?

Keshav Bhajanka: We have just mentioned that we are definitely going to go for an extension. It is just coming to a decision as to what unit we want to set up whether continuous press or a multiplied press and if you see the investments are not there for a year or two years it is like our assets for the next 20, 30 years. So I think another couple of months we will definitely see a decision coming in the particleboard segment as well .

Alisha Mahawla: This will be a Green field or the Brownfield or that is also yet to be decided.

Keshav Bhajanka: We will update you as and when we come to a final decision.

Alisha Mahawla: And there was also some capacity expansion for the plywood that was being planned?

Keshav Bhajanka: Yes, that was more to do with the debottlenecking exercise. As we said on the last call our capacity now stands at 3 lakh CBM and this year with the kind of debottlenecking exercise we are going through this capacity would increase to 330000. So straight away we will add another 10% to the existing capacity plus we are utilizing almost our utilization levels are at 85% so we have enough capacity for next two years to service the market.

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Page 14 of 22 Alisha Mahawla: Just one last clarification again based on the capacity utilization it seems like any volume growth in this year will largely only be in the ply or the laminate space because the other two segments currently seem to be almost completely utilized ?

Sanjay Agarwal : No MDF we are putting up that plant of 350 cubic meter s which will be online from September end or October of this year. So I think we will be able to utilize the capacity for last four months at least of this year. So that will certainly give us some extra in MDF.

Alisha Mahawla: Okay thank you.

Moderator : Thank you. We have the next question from the line of Nikhil Agrawal from VT Capital . Please go ahead.

Nikhil Agrawal : Good evening Sir and thank you for the opportunity. Sir, just a couple of questions like are we facing any kind of timber availability issues for plywood and MDF ?

Sanjay Agarwal : There is no timber availability issue at all. Yes, in last quarter some o f the prices of t imber in North India not in South India North India increased a little bit, which we have passed on to our customers . Right now the prices are stable even in North India or South India both they are stable.

Nikhil Agrawal : Like has timber prices for plywood increased or is it for MDF as well ?

Sanjay Agarwal : It has increased for both because actually these are related in one area in Northern z one the prices have increased. So it has increased for MDF as well as plywood. In Southern In dia for our particleboard and plywood product it has not increased.

Nikhil Agrawal : But we have not taken any price hikes in the M DF segment any reason for that because the timber prices have increased that we have not taken any price hikes in MDF ?

Sanjay Agarwal : See the reason being may be that these are for MDF actually this is not a very good season that is number one reason . So the season for MDF it starts even two months later so before that to actually get into the market and try to fight it out is n ot so good and I think we have compensated that increase by other ways of by increasing pre-lam, by increasing our capacity utilization by lowering our cost other costs and that is reflec ting in our profit margins also. So we felt that

it is not require d to incr ease the prices of MDF. You see the costlier you make that has been MDF has been taking away market share from lower segment plywood, the lower segment plywood becomes cheaper than MDF then again the MDF will be replaced by plywood.

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Page 15 of 22 Nikhil Agrawal : Just one clarification Sir have your plywood c apex been delayed or anything the plywood plant which is coming up in Punjab?

Sanjay Agarwal : You see in India today everybody in the world is talking about China Plus One t heory but India is still un able to tak e the full advantage. The biggest issue in India is to get land.

There are many, many multinationals I think want to come to India and they want to put up plants, manufacturing capabilities, and we are also even being we are in Hoshiarpur we already have a plan for our another plant we are trying very hard to get a land, twice already we have great advances and we have got that money back before we could not take the deal through. The same things you have seen in our Andhra MDF plant also the delay was only becau se of land once we have got the land you see we are moving very fast the machinery orders have been finalized, the contractors have been finalized all those things are moving quite fast that is what is happening because land in India is a huge thing it is not in our control you see one single piece of land you have to buy from 40, 50, 60 different owners it is a huge.

Nikhil Agrawal : So have we procured the land as of now or it is still in the process ?

Sanjay Agarwal : No, it is still in the process an d that is why what we have done is actually not to suffer we have increased our capabilities a little bit in all our plants we have de bottleneck the things and that i s how we have increased our capacity in our existing plant by 10%.

Nikhil Agrawal : Thank you so much Sir. That is it from me.

Moderator : Thank you. We have the next question from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi : Sir, good evening. My question pertains to first on the laminate where is the capacit y expansion coming up for you?

Keshav Bhajanka: We have a capacity expansion that is coming up in South India. It is going to be fourth test expansion in two phases, phase one will be two hot furnaces and phase two will be two hot furnaces.

Rajesh Ku mar Ra vi: And location where in South is it finalized ?

Keshav Bhajanka: It is going to be alongside our MDF unit in the same compound which is in the Gopavaram District, Gopavaram region of Kadapa District in Andhra Pradesh.

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Page 16 of 22 Rajesh Kumar Ravi : So among the bigger capacities you would be maybe the only one with big capacities in South is that understanding right ?

Keshav Bhajanka: No. There are other players who have capacities in the south but yes we are coming up with a big capacity in the south.

Rajesh Kumar Ravi : Yes, from a bigger capacity perspective and on the particleboard could you let us know what capacities are coming up in India in next one, two years by other players in the market ?

Keshav Bhajanka: See there are a lot of small capacities that are coming from unorganized players. It is very difficult to quantify it because those decisions are very sporadic and we are planning to buy a secondhand plants etc., but there are two players who are coming to come up with continuous presses one being Merino Industries and second being Greenlam Industries so these two are planning to come with continuous presses over the course of the next year to two years.

Rajesh Kumar Ravi : What would be this Marino what is the capacity they are adding ?

Keshav Bhajanka: I am not sure.

Rajesh Kumar Ravi : In the laminate business again the margin this quarter and with the price hike that we have taken

do you expect margins to remain strong as we have seen in Q1?

Keshav Bhajanka: Yes I think laminates margins are going to be looking similar to or perhaps slightly higher than what they were in Q1 .

Rajesh Kumar Ravi : Great Sir, I will come back in queue. Thank you.

Moderator : Thank you. We have the next question from the line of Rishab Bothra from Anand Rathi.

Please go ahead.

Rishab Bothra : Good afternoon Sir and congratulations on good set of numbers. Basically two questions, one on the raw material side and the other on finished goods side. In raw material whom do we compete in terms of acquiring raw material and how is the process like is it bidding, is it international price driven?

Keshav Bhajanka: Which products are you talking is it MDF or is it plywood ?

Rishab Bothra : I mean the log site.

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Page 17 of 22 Keshav Bhajanka: Yes, but for MDF if you are talking of MDF then we are fighting with paper manufacturers actually. So people like ITC or Bhadrachalam and all those people who manufacture papers so because the raw material is same.

Rishab Bothra : They source is from with same belt, same region?

Keshav Bhajanka: Because there are paper industries in North and there are paper industries in South so the people in South procure from the South plantations and north procure from the north plantations and if you are talking of plywood then we are competing only with other plywood manufacturers only . It requires bigger girth, bigger diameter of the timber which happens in maybe about six years or six to seven years and it becomes costlier so no other industry can be say that price that plywood care.

Rishab Bothra : How the pricing derived international pricing or auction pricing how is it?

Sanjay Agarwal : International pricing actually we have practically no competition because no logs are coming from anywhere in India now neither India is exporting anywhere except some decorative species , so that decorative species are not produced in India except some teak so there is no competition, so there is no knowledge also you see, no needs and no knowledge.

Rishab Bothra : In terms of the procurement in veneer is slightly premium product so are these specialized personnel required to visit those forest or how is it?

Sanjay Agarwal : Veneers are our buyers people who understand this subject very well. So they keep on traveling to Europe or America or South of America and we know who are the suppliers for which species. So we keep regularly in touch and we make maybe two or three digits in a year to procure. So go personally the buyer goes there he personally passes consignment he notes around all the details and then it is imported.

Rishab Bothra : On the finished goods side can you elaborate on the end user, who are buying our products let us say architect contractor or is it a home buyers or is it institutional buyers ?

Sanjay Agarwal : Which online product are you talking again different products are bought by different people I was totally in say plywood is bought by the consumer mostly by consumer and some for big projects like Indian Parliament is being done so that plywood will be bought by a big contractor because if you are talking of MDF, MDF is bought by mostly original equipment OEMs we call them OEMs like Godrej or Featherlike and there are thousands of them in the country now. So they are the people who buy particleboard and MDF.

Rishab Bothra : So our online retail furniture's of that also your customers, Urban Ladder or Ikea ?

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Page 18 of 22 Sanjay Agarwal : They are big customers of ours.

Rishab Bothra : If from next quarter onward if you could highlight what proportion of your sales is value

added and how much is it institutional buyers in different segment I mean you can club it under one row

item this would be helpful ?

Keshav Bhajanka: It is actually a business secret so that data we would not want to disclose.

Rishab Bothra : Okay thank you. I will come back in queue.

Moderator : Thank you. We have the next question from the line of Aasim Bharde . Please go ahead .

Aasim Bharde : Just one question from my side. Given the Q1 performance would you want to update your volume expectations for FY 2023 across segments compared to what you had said in Q4 ?

Sanjay Agarwal : I think we maintain the same. I think Nehal can repeat it.

Nehal Shah : Yes so we would reiterate our guidance which would be on the call last time. So our Endeavor is to grow by 20% plus for the company as a whole, for plywood we expect 15% volume growth and 20% value growth, for laminate would be 15 % volume and value, for MDF would be 20% plus volume and value, and for particleboard would be 10% volume and 20% value. Having said that yes we have grown by 94% in the first quarter. So technically that means we will grow by almost 7% but our endeavor would still need to grow in double digits for the rest of the three quarters .

Aasim Bharde : I think the nine month volume expectation would be flattish across segments if you just maintain your Q4 volume growth that is what the question.

Nehal Shah : Exactly so that is what I said because we have grown so well in first quarter our endeavor is to grow by double digits going forward over the next nine months .

Aasim Bharde : Sure thanks a lot.

Moderator : Thank you. We have the next question from the line of Priyam Khimawat from ASK Investment Managers. Please go ahead .

Priyam Khimawat : Congratulations team for an excellent set of results. Two questions from my end. Firstly on MDF you alluded that despite the fall in container freight prices imports are still not feasible and things look good for the next one year. But just hypothetically if we were to say that imports start coming in will it impact the margins to the extent it did in last cycle or
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Page 19 of 22 because of our various initiatives like increasing share of pre-lam etc., the impact would not be that much because when I look at some volume data we sold around 20000 CBM of pre-lam on an annual basis in FY20 19 and 2020, but now in just one quarter we have sold around 10000 CBM so just wanted to understand this from your end?

Sanjay Agarwal : You see, there is no chance of any import why I say because the cost of import the only logistic cost is \$ 100 which is very, very high with Rs.8000 is only per CBM this is only the import cost but if you say that yes if it is imported it will start impacting them and their prices these are the two things. If it is important that means it is feasible that means it is coming at a price which is lower than our prices. So the moment that happens yes our prices will have to go down a little bit to address.

Priyam Khimawat : So even higher end MDF has impacted in a similar manner if imports start coming in ?

Sanjay Agarwal : Very frankly no because the imports are of only plain MDF and pre-lam MDF is only because the requirements are very specific somebody wants 100 pieces somebody wants 50 pieces of a particular color but what happens there are people who are only laminators so they can fill in theirs so once the plain MDF starts coming in it is going to impact everything but I do not see at all any possibility in near future at least this one year time rather more as far as logistic costs are concerned the shipping across the world the way it has changed I do not think it will settle down in less than next two to three years because the number of seats required to fill in the requirement is huge and those seats to really be made and put into service is a long term task it is not a small one year or two year task.

Priyam Khimawat : Sir and for the Bro

wnfield of 400 CBM in north we had earlier highlighted that margins might be slightly lower because we will have to procure timber at higher levels due to some shortages any update on the same.

Sanjay Agarwal : You see again no we expect the moment we go for a higher volume there may be because any business should expect this but the way the markets are maybe we should not maybe we will not have to compromise with our prices, but you do not know how the market reacts at that time even if it reacts maybe 1% or 2% here and there they are already whatever we want to achieve is 25 % then you are already at 35 % so I do not think there is a need to worry.

Priyam Khimawat : No Sir my question was not in terms of selling price it was more in terms of cost in terms of what is procure or timber.

Sanjay Agarwal : Yes, but the moment you see the more the chances are actually because of the 300 CBM there is a huge timber market so that will not increase the prices of timber too much it can
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Page 20 of 22 impact the prices in the market of our finished product temporarily I believe that, that is always usually a temporary thing when a new capacity comes in the other players are also little doubtful they want to secure their dealers and their share in the market. So everybody reacts a little bit by 1%, 0.5%, 2% here and there but it settles down in three months to six months time it settles down and it is okay .

Priyam Khimawat : Thanks a lot.

Moderator : Thank you. We have the next question from the line of Kushagra from Old Bridge Capital. Please go ahead.

Kushagra : Thanks for the opportunity . Just one question. So basically with related to your imports if you remove the container freight cost which has increased a lot how competitive would be the prices of domestic players versus let us say import prices and a related question is you also made a remark that the Indian players are becoming more and more efficient I just wanted to pick your thoughts on where is the better efficiency coming from because some of the largest players out there are basically 2x, 3x size in terms of MDF capacity is right there. So is not the economies of scale better for outside players versus... ?

Sanjay Agarwal : Yes that is not a wrong thing at all but then you see yesterday's manufacturer like a Green who was manufacturing maybe 500, 600 cubic meters in North , today here there are 1000 cubic meter plant and he might be expanding to another so we will get 2000 cubic meter producer from 600 cubic meter is not it, then because of this market conditions now his cost

of interest, his cost of operations everything is now going to go down or has already gone down. So all these things are going to help us and the prices, the prices are not going to be the prices like earlier prices. The prices are higher in the market. So at that time maybe the Imports were at \$220 to \$230 today and it is not available at even \$300 FOB that is why I believe that the both the sides you see will be becoming more efficient because our size is increasing we are understanding the business much, much, much, much better and I believe that the prices in the international market will not be go down to that level. So both sides we are going to have an advantage.

Kushagra : Got it and if we adjust for the container freight cost what would be the difference between the prices.

Sanjay Agarwal : I think container freight cost right now I do not have the numbers but at that time say three years back it used to be just \$ 25 per cubic meter and I think Keshav has some ideas . Keshav can you please.

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Page 21 of 22 Keshav Bhajanka : I think if you remove the container freight then the cost of production for us would be very similar to international players. So we are definitely very competitive .

itive .

Kushagra : Okay thanks and all the best.

Moderator : Thank you. Ladies and gentlemen due to time constraints we will take one last question from the line of Hrishikesh Bhagat from Kodak mutual Fund . Please go ahead .

Hrishikesh Bhagat : Congratulations on great performance. Few questions, firstly on the laminate capacity expansion what will be the timeline of this expansion that you have highlighted ?

Sanjay Agarwal : In laminate there are two expansions are taking place the one press that we are adding in Calcutta which would commence within the course of the next two quarters. So that is going to be a capacity expansion of close to 14% to 15% . Regarding the South capacity we are expecting for that to commence production by Q2 of next financial year phase one.

Hrishikesh Bhagat : Second question is has there been any price correction undertaken post the recent commodity cost correction in any of the product categories.

Sanjay Agarwal : What do you mean by correction means lowering of the prices?

Hrishikesh Bhagat : Yes.

Sanjay Agarwal : We have increased prices in most of our items except MDF. MDF we have not increased it is stable and all other products we have taken, in plywood we have taken 2%, 3% and 7% for different products, in laminate also we have taken 3% to 4% in particleboard we have taken 9% there is no lowering down till now all these things will keep happening in some time in future we will have to reduce the prices at sometime.

Hrishikesh Bhagat : The other last question on the margin side I think I do not want the exact margin but what I wanted to understand is that on the current margin current quarter margins if I have to look at it from the point of view of non-recurring expenditure when I say non recurring from the point of view probably one or two years point of view it will be largely the ad spends which are above normal and is there a payment to consultancy also BCG engagement that we used to do in this current quarter numbers.

Sanjay Agarwal : You see right now BCG we are doing most payment is from the decorative portion the laminate side is happening most of the payments. We may engage BCGs in future for other things also, but the next that will be again when they come. So when they come at that time

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Page 22 of 22 maybe there is some impact on the bottom line, but then we have seen and we are very, very convinced with their results. So that is a long-term gain only.

Hrishikesh Bhagat : It is not a question about whether you are gaining any benefit or not I understand you have gained the benefit but just wanted to understand from the point of view of normalized margins sure thank you.

Sanjay Agarwal : so Hrishi just to end this conversation you can safely assume a 11 Crores to 12 Crores which was spent on behalf of additional brand spend and BCG which adds up almost 1.5% to the total revenue which we posted in Q1 .

Hrishikesh Bhagat : And this is I am talking more from one or two years perspective as and when if BCG engagement ends and probably this A&P spend normalize so you have these delivers internally from margin point of view and this increase and maybe the environment sustains.

Sanjay Agarwal : Right.

Hrishikesh Bhagat : Thanks.

Moderator : Thank you. Ladies and gentlemen, that was the last question and we will now close the question queue. I would like to hand the flow back to the management for closing comments. Please go ahead.

Sanjay Agarwal : Thank you ladies and gentlemen for your questions and attending our Q1 call. We assured you that the management will be trying its best to do better and better in times to come.

Thank you. See you during our next call after three months.

Moderator : Thank you members of the management . Ladies and gentlemen on behalf of DAM Capital Advisors Limited , that concludes this confer

ence. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

Date: 14th November, 2022

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Unaudited Financial Results for the Quarter and half year ended 30th September, 2022

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Friday, 11th November, 2022 for Unaudited Financial Results for the quarter and half year ended 30th September, 2022.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary

Page 1 of 19

“Century Plyboards Limited
Q2 FY 23 Earnings Conference Call ”

November 11, 2022

MANAGEMENT : MR. KESHAV BHAJANKA - EXECUTIVE DIRECTOR
OF CENTURY PLYBOARD
MS. NIKITA BANSAL - EXECUTIVE DIRECTOR
MR. ARUN JULASARIA – CFO
MR. NEHAL SHAH - CSO.

MODERATOR : MR. AASIM BHARDE - DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY' 23 Earnings Conference Call of Century Ply hosted by DAM Capital Advisors Limited . Before the call, I would like to give a disclaimer that this call is just to discuss the company's historical numbers and future perspectives and in no way this should be constitute as an invitation to invest in the shares of the company. As a reminder, all

participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aasim Bharde from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Aasim Bharde: Thanks, Vivian, and good evening, everyone. On behalf of DAM Capital Advisors, I welcome you all to Century Plyboards Q2 FY'23 earnings call. We have the senior management from the company with us on the line. I will now hand over the floor to Mr. Keshav Bhajanka, Executive Director. Thank you, and over to you, Keshav.

Keshav Bhajanka: Thank you, everyone, for taking your valuable time out for attending the Q2 FY'23 Century Plyboards Investor Conference Call. I am Keshav Bhajanka, Executive Director of Century Plyboard. I have alongside me, Ms. Nikita Bansal, Executive Director; Mr. Arun Julasaria, CFO; and Mr. Nehal Shah, CSO. I presume that every one of you would have gone through our numbers in detail. Let me still brief you on the key highlights of Q2.

At the onset, it gives me immense pleasure to share that we have done very strong cash flow generation of INR223 crore for the first half of the fiscal, despite huge inflationary pressure that the industry has seen in the recent past. After delivering record sales in Q2, Q3 and Q4 of last year, we have achieved another record sales of over INR900 crore revenue in the second quarter. Our plywood and laminate segment revenue recorded 9% and 8% growth Y-o-Y, while MDF and particle board segment revenue grew 23% and 24% Y-o-Y for the quarter. With the sustained input cost pressure in most of the wood panel segment, our overall gross margins were impacted by 90 basis points on a sequential basis to 33.15%.

The company, however, was able to improve its overall adjusted EBITDA margin marginally by 20 basis points to 17.3% on a sequential basis. While our plywood and laminate EBITDA margin improved, we saw a considerable drop in EBITDA margin on a sequential basis in our MDF and particle board segment. This has been driven by steadily rising timber and select chemical prices and operating leverage. The reported margins in these segments were, however, are still higher than our guided EBITDA margins of 25% from both the success. It may be noted that the input cost inflation has softened a bit post Q2, while core revenue prices have come off slightly over the past few days, chemical prices, particularly phenol, Century Plyboards Limited
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Page 3 of 19 melamine have softened a bit in Q2 and are likely to further soften in the next couple of months.

For MDF, in particular, the timber prices, however, continue to remain slightly elevated. We have taken no price increases in any of our segments over the course of this quarter. Our India brownfield expansion at Hoshiarpur is as per schedule and is expected to come on stream by November 2022. Our South MDF CapEx has received all requisite of approvals and the machinery has been ordered. We expect the facility to come on stream in H2 FY'24.

Our greenfield laminate manufacturing unit in AP will come up in 2 phases. The first phase is expected to become operational in Q2 FY'24. Our greenfield particle board project in Chennai, the Board has approved investing in a large particle board project with a capacity of 1,200 cubic meters with an investment outlay of INR550

crore . We expect the plan to commission in Q4 FY'25. Our working capital stands reduced by 3 more days to 55 days in Q2. We remain a net cash positive company with net cash position of INR176 crore as of 30th of September.

Our Q2 ROCE stood at 22.22%, but adjusted for one-offs, the impairment loss in Myanmar and the entry tax reversal, the ROCE for the quarter stand at 29% plus. We have taken an impairment on our investments in Myanmar subsidiary to the extent of INR47 crore in Q2. This would reduce losses to the extent of INR5 crore to INR 6 crore per annum on the consolidated books year-on-year as it has become nearly impossible to conduct business in Myanmar due to the change in regime.

We have written back our earlier provided entry tax was INR14.25 crore relating to prior year after favorable verdict . Despite the challenging business environment, we continue to maintain our FY' 23 revenue growth guidance of 20% plus for the company. The segment-wise growth rising is plywood 15% volume and 20% value growth, laminate 15% volume and value growth, MDF 20% volume and value growth, particle board 10% volume and 20% value growth. We also maintained our margin guidance for our business segments, plywood 13% to 15%, laminate 14% to 16%; and MDF and particle board 25%. Thank you.

Moderator: The first question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Keshav , 3 questions. Firstly, companies getting into a very high CapEx mode. It's obviously positive as you see sustained demand and opportunities there, but the execution risks are increasing in terms of land acquisition delay cost , overrun , labor requirement , deployment, stuff like that. Any thoughts in terms of how do you basically manage this risk going into next 3 years because we're going to be into high CapEx mode for almost 2 years from now. That's my first question.

Keshav Bhajanka: So you are absolutely right. We are going to a high CapEx mode. And you see we are taking a number of initiatives, for instance, the particle board plant that you have just heard. We already have Century Plyboard

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Page 4 of 19 acquired the land. We've got the land from SIPCOT in Tamil Nadu . And that is a big release because, as you know, acquisitional land becomes a substantial challenge. As for delays and cost overruns, you're completely , there is a cost overrun environment today because of the high steel prices and high prices so on and so forth. But I think we are able to provision for that to whatever extent possible, the ROCs on the unit even considering the higher CapEx costs are still fairly healthy . And one way that we are managing to this is by creating a very strong execution fee. I think this has helped us in the past and even today, it is helping us in set up the most economical and viable unit possible .

Rahul Agarwal: So in terms of manpower deployment, both at senior leadership plus middle management because you have so many plants coming up, how's that really going on right now?

Keshav Bhajanka: That is actually our first and top most priority, and we have expanded the team substantially over the course of the past few months. This was the first thought that came into our mind as to who is going to execute. But thankfully, we've been able to onboard senior management and very, very good resources. I would say. This has given us a lot of confidence that we'll be able to deliver on our CapX projects on time.

Rahul Agarwal: Got that. Secondly, you mentioned, MDF particle board margin is

25% plus. That is for the current year. But if you could just share what is really happening from an industry perspective, going into next 12 months? And what do you think about margins going into '24 and fiscal '25, like sustainable, I know the range is 2025, but if you could give any indication please?

Keshav Bhajanka: You see, the reason we say 25%, even though the previous quarter may have been 30% plus something that quarter, because there will be ups and downs. Right now there is pressure because import prices have come down due to shipping rates reducing. But despite that, we are being able to maintain decent margins. Going forward, again, there is going to be a scenario in the industry, say 12 or 18 months down the line, where there's going to be an overcapacity and at that point in time, margins might get squeezed temporarily. But going forward long term, I think sustainable margins for us would be 25% or there about, because I believe that with our brand, with our supply chain excellence, we'll be able to generate substantially higher margins compared to the rest of the industry. And I think 20% is somewhat of a requirement if you want to set up a very high CapEx plant in either of these two products.

Rahul Agarwal: So 25% is applicable both to MDF and particle board going into like long term, right, sustainable?

Keshav Bhajanka: Yes, there could be phases where margins are slightly lower and there will be phases where margins are definitely higher, but long term sustainable margins or are looking at 25%.

Rahul Agarwal: I understand that. And lastly if I may, just on the overall EBITDA margins, obviously there are a lot of moving parts now, given your new capacities largely coming up in fiscal '24, and lot of that are also Century Plyboards Limited
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Page 5 of 19 value added. Next 3 years, I would imagine purely because assuming that MDF particle would also normalize between this 25% band, the company should make about 15 to 16% at a company level. Is that fair to assume? I know there is no perfect answer to this, but just as a range next 3 years is that okay?

Keshav Bhajank

a: Very good question was making me think. But see, we have all these cases that our objective is that we will attempt for 13% to 15% in the ply, 14 to 16% in laminates, and will attempt for 25% in both MDF and particle board. That is continuing our endeavor. That is what we are targeting. If we achieve all of these, then definitely we should have 16%, 17% margin for the company.

Moderator: The next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Kindly proceed.

Venkatesh Balasubramaniam: One simple bookkeeping question. The Myanmar subsidiary write-off of INR47 crore that is very clear in the standalone numbers, right? It's put out an exceptional or an extraordinary item. Now where is the adjustment in the consolidated numbers for this onetime write-off? Actually, first of all, is the write-off for INR47 crore in the consolidated numbers, or it is INR29.8 crore if you could clarify? And where is this actually being booked in the consolidated numbers?

Arun Julasaria: No, in case of consolidation of accounts, we have two aid line by line items. In case of consolidation, our investment value is adjusted with the loss shown in that subsidiary. So it'll not appear as write-off or impairment account in consolidation because loss has already been factored in line by line consolidation.
Venkatesh Balasubramaniam: So line by line consolidation, so you're basically, this is all items.

Arun Julasaria: Because the networth of that company is now reduced to INR12 crore only. So INR47 crore plus INR12 crore, INR59 crore was the total capital invested. So in line by line consolidation, I have taken care of that INR47 crore loss.

Venkatesh Balasubramaniam: So there is INR47 crore of loss across various line items, right, from raw material costs, employee costs, other expenses?

Arun Julasaria: Yes. That is line by line consolidation. So there they'll not appear as impairment loss.

Venkatesh Balasubramaniam: Understood. Now is it possible for you to repeat your FY'23 guidance in terms of value, volume and margins for each of those segments?
And also request you to repeat it a little slowly so that we can take it down.

Keshav Bhajanka: The guidance is 15% volume and 20% value growth for plywood. 15% volume and value growth for laminates, 20% volume and value growth for MDF, 10% volume and 20% value growth for particle board.

Venkatesh Balasubramaniam: What about margins?

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Page 6 of 19 Keshav Bhajanka: For margin guidance for plywood, we will attempt for EBITDA margin 13% to 15%, for laminate between 14% and 16%. And MDF and particle board 25% plus.

Venkatesh Balasubramaniam: Okay. Now I guess for the first time I heard a 20% number for MDF, I guess till the last number, last quarter, what was being communicated was you will definitely do 25% or more longer term. That is a sustainable margin. But I don't know in the previous participants question it said that, short term it could go to 20% to 25%. Have you communicated anything like that?

Keshav Bhajanka: No, I don't think we have communicated anything like that. I was talking about 20% volume and value growth in terms of margins, guidance still is 25%. So you believe even if there is over capacity in let's say FY'24, you can still do 25%?

Arun Julasaria: In the short term, there could be an impact, but we did not anticipate doing 35% in Q1 either. So long term guidance is 25%.

Venkatesh Balasubramaniam: Okay. See this is the reason I'm again belaboring on this point is, this is a question which keeps coming up when we discuss Century Plyboards with the buy side is where do you get this confidence that it'll not go below 25% because imports

have already reached the ports and in port cities, MDF prices for imports are around 8% to 10% below the prices of that of the domestic market. So why 25%? What is so sacrosanct about 25%? Why can't it go to 20% or 18% if there is an oversupply is something which we are and we don't know really know how to answer it. So if you could throw some light on it, it would be very helpful?

Keshav Bhajanka: Definitely. So you see today our capacity right now is based in the north. Our capacity in the south is going to come onboard only end of next year. In the north the freight cost gives us a major advantage because from the south to the north transporting from a port location to say Delhi is not a very cheap affair, and in the case of MDF, you know, that is not a very high cost per kg. The transportation and trade cost there is a large growth. So that is one.

Secondly, the capacity that we are commissioning right now in the north is being commissioned, taking into account a lot of synergies that we will get from our existing unit. A lot of synergy use in sales and marketing, and we will benefit from operating levels. And you've seen in the past when operating leverages come into place margins have tended to rise. So this is for the north. As far as south is concerned, we are setting up our capacity in the hub of timber. We are setting up in a market where the timber price today is INR3.15 as compared to INR5.5 to INR6 in the north. This going to be a substantial benefit that we have and with this we believe that we'll be

able to do good EBITDA margins in the south itself.

Moderator: The next question is from the line of Achal Lohade from JM Financial. Kindly proceed.

Achal Lohade: My first question was, if you could just clarify on this MDF margin Q - o-Q they are down at most 10 percentage points. I see the realizations are fairly same. If you can give a clarity as to what is
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Page 7 of 19 driven this margin impact in terms of each of the items in terms of raw material or chemicals cetera?

Keshav Bhajanka: So that two factors are come into play for MDF. First, gross margins are down because of raw cost pressure; and secondly, we have had operating deleverage in this quarter because it'll break down in the plant. It was a scheduled maintenance that took longer than expected and it was a breakdown, but in the current quarter, we're expecting both the benefit of operating leverage as well as a slight easing out of raw material prices, and I think that our EBITDA margin should improve from this quarter onwards.

Achal Lohade: But if I see your 25% margin guidance, actually it appears that it'll be less than that in the second half. How do we explain that then?

Keshav Bhajanka: So we have given 25% guidance even prior to the beginning of the year. So we did 35% in Q1 with 25% guidance. 25% is the long term margin guidance. The reason what we comment on short term is because there are lot of fluctuations that can take place as you have already observed.

Arun Julasaria: And Achal, even if you look at the current Q2 margins in MDF, if you adjust for ForEx loss, which is around INR2.45 crore, which is relating to CapEx for bias credit with respect to MDF, your margins adjusted for it, comes to around 26.7%. So that is one. And secondly, on the operating leverage site, our capacity utilization was 80% for Q2 compared to 89% in the first quarter. So these two things will help us at least maintain our 25% plus margins. That is what we are seeing.

Achal Lohade: Understood. Can you help us understand, how are the current prices of MDF in south and what is the import parity price? And also in terms of import quantum, if you can give some clarity

as to how the imports have been in terms of quantity in last 2,3 months?

Keshav Bhajanka: So imports have increased. The reason behind that is lower cost of rate. Exact numbers, Nehal can get back to you. I don't have the exact numbers on me right now, but definitely there has been increased in imports due to lower shipping in freight costs. This has affected South India to a certain extent, but as of now, it does not put meaningful pressure on the domestic market.

Achal Lohade: Understood. And in terms of the particle board, can you help us understand, what is the market size? How much is organized, how much is imports? What is import parity there? I know you have given a bottom line in terms of the margin expectation, but if you can give some color on the industry dynamics as well?

Keshav Bhajanka: Definitely. You see in particle board, the total capacity would be 1.5 billion cubic meters plus. Most of the market is unorganized. There are virtually no organized and perhaps an associated decor. Most of the lines that are operating today are multi delight lines. So even our line is a multi-delight line. Now, there are a number of disadvantages that a multi-delight have. For instance, firstly, we have higher blue consumption. We have a higher density than what we could operate at multi-delight, and we have higher standing loss. So taking all of
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Page 8 of 19 these into account, there are numerous advantages will bring to the table. Hence, the vision to go for a 1,200 cubic meter continuous press line, particle board is a far lower price product compared to even MDF. So freight becomes a major issue.

South India is the largest hub because South India has the largest OEMs in the country and these OEMs have accepted particle board. If you look at the acceptance of MDF is higher in the north, whereas the acceptance of particle board is higher in South India. So as such, we believe that the market is going to do very well long term. We have over 2.5 years that we will set up a new capacity and I think by the time that the capacity operates, considering all the advantages that we'll be having, it is going to be a highly look to product for.

Achal Lohade: If I recall earlier you were talking about flexi capacity in terms of MDF and particle board. So this particle board capacity there is no such flexibility. Is that understanding, right?

Keshav Bhajanka: Yes, absolutely correct. This is a pure particle board capacity. One point that I forgot to mention, sorry, was that now in this capacity, because today we are limited by virtue being a multi-delight, we can only manufacture either 9x6 or 8x6 sizes. And that too, we can only manufacture 9 mm and above. Once we have a contiguous press, we will have a much wider range. So that is going to be another major advantage going forward.

Achal Lohade: Understood. And in terms of the cost, the A&P spent in this quarter and the BCG cost, if any?

Keshav Bhajanka: Yes, we have BCG costs. So BCG has started working, they were working on laminate as well, and they started working on particle board. In particle board they have already identified substantial savings. This could lead to 2%, 2.5% bump in EBITDA going forward.

A&P spend has come down because in quarter 1 we had the IPL, and that is a substantial part of our overall marketing budget. So that kind was front loaded.

Achal Lohade: Would you be able to quantify how much is the A&P in the second quarter?

Nikita Bansal: It's 2% lower than what it was in Q1.

Arun Julasaria: So if you look at the overall company, it's 1% lower as far as company as a whole is concerned. And for plywood division, it's almost like 2%.

Achal Lohade: As a percentage of revenue you're talking about, right ?

Keshav Bhajanka: Yes.

Achal Lohade: Okay. I understand. Thank you. And one more question I had. In terms of the plywood segment, obviously given the high base the Y-o-Y numbers appear muted, but can you help us understand how is the demand scenario out there for the plywood segment? And can we expect a similar run rate in terms of volumes?

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Page 9 of 19 Nikita Bansal: Yes. So in terms of expectation, we expect a single-digit growth in H2 over lat H2. See the demand that we were seeing during COVID, definitely the growth run rate is not the same as that this year, but we've been able to sustain numbers and we are growing. We had a high base, like you said. So because of that Q2 number growth is seeming little low, but overall, I think we are quite happy with our performance and we expect to grow over in H2 as well, and Q3 definitely being effective quarter will be lesser growth and Q4 will be

where we'll have a higher growth.

Achal Lohade: So when you're talking about growth that you mean from a Y-o-Y perspective, because you will have festivals even in the base quarter, right?

Nikita Bansal: Yes. Y-o-Y perspective, we will definitely have single-digit growth, as I mentioned in H2.

Achal Lohade: Right. And can you also give some sense about how the premium segment is doing? How non-premium is doing in terms of the growth and the outlook?

Keshav Bhajanka: We don't specifically give numbers.

Nikita Bansal: Like Keshav mentioned, they don't give specific numbers between Sainik and our Century brand. But just to give a idea, overall free Sainik operates in a much more larger base because majority of the market today in plywood lies at that INR80 to INR100 that is where Sainik operates because Sainik is supposed to convert local into branded. So definitely the growth rate of Sainik is going to be higher because it started from a very low base. We started the product only 3 to 4 years back. So hence the growth rate will always be higher in Sainik for the next few years. And having said that, we do have growth even in our premium segment, and that is purely because of the innovation that we are doing and the brand awareness and the brand campaigns that we are doing is really helping us grow in our premium segment as well.

Moderator: The next question is from the line of Sneha Talreja from Edelweiss. Kindly proceed.

Sneha Talreja: And just a couple of questions from my end. Firstly, relating to demand actually, what led to this kind of a slow moment in demand, in your sense? And extending to that question, is that the reason we are not able to take any increase in MDF, although the raw material prices are on an increasing trend? Or is it the fear of import due to which the entire industry is unable to take any price hike?

Keshav Bhajanka: So you see regarding MDF definitely we have taken substantial price increase over the course of the past year, year and a half. And in MDF there is not just a if you import, but if you increase prices disproportionately, you come closer to the lowest end of plywood where I think the entire equation of ply or MDF will move a little bit towards plywood, even though that plywood is of lower quality. So that was one point.

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Page 10 of 19 Sneha Talreja: Just regarding the in general slowdown and demand that we have right now in raw material and where do you get optimism that that's going to increase,

I mean that's going to get better?

Keshav Bhajanka: So I think that in the last quarter you saw the impact of all the inflation pressure that was created in the system. It was prices of a lot of commodities had skyrocketed and I think this had an impact on the home building space as well. Going forward, I think they're all very bullish, especially pertaining the registration number and the property sales numbers that are coming in, that the market is going to do.

There could be minor hiccup in the short-term, but we remain very optimistic and very bullish, and I'm expecting a good recovery in the H2 as such.

Arun Julasaria: Sneha, just to add on this, a couple of things here. So if you look at the base also, base for entire build material industry going into Q2

and Q3 was very, very significantly high because post COVID the numbers were very, very strong. So that's again, a reason why people are looking this or realizing this as a very, very muted moderate growth. So I think that is one. And second is the inflationary environment, which is also led to the situation. And now if you look at the inflationary environment that's been almost likely to probably move down a bit. So this will again help regain the growth momentum going forward.

Nikita Bansal: One more thing I would like to add. The reason we are so optimistic is because as a brand we are continuously investing in building our brand. I think we have amongst the only brand who continuously throughout the year spends money on branding as well as on improvement in terms of technological improvement. So I think an innovation. So because of that, I think we are extremely positive that we will keep, even if the market is muted, we will grow the way we are expecting to grow. And having said that, I think we are also working continuously on improving our cost structure and improving our market GTMs, et cetera. So I think that is where our optimism comes from.

Sneha Talreja: And that was pretty helpful team. The last question was actually related to your margins. We've seen good amount of improvement in your plywood and laminates margin and laminates despite the BCG expenses coming in. And in fact, both these places you are higher than your guidance. So what has led to this higher margins? Is there any exceptional item here or these are like now sustainable levels. Although I know the long-term guidance is 13% to 15% and 14% and 16%.

Nikita Bansal: Yes, so I'll take on the plywood part. So actually we are within the 13% to 15%. Q1 actually our EBITDA margin was below because the IPL, like Keshav said at the beginning. IPL cost was taken in Q1 and because of that the loading came in Q1 and that loading wasn't there in Q2, number one. Number two, we took a lot of price increases consecutively in Q1. So there was a price increase in April, there was a price increase in May end, there was some part increase even in June. So Q2 was a pure quarter where all the price increases had come into full effect. Because of that, our EBITDA is actually come back to what we expected, which is 14%.
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Keshav Bhajanka: With regards to laminate, I think the current margin, yes, we have worked very hard to ensure our product mix in domestic as well as export improves. And going forward, like I said, we will attempt to do 14% to 16%, but yes, we may be doing slightly better.

Moderator: The next question is from the line of Shubham Agarwal from Axis Capital. Kindly proceed.

Shubham Agarwal: Just on following on the comment of MDF and freight, which you would have already emphasized much on. I just wanted to understand what is the realization for truckload for ply and MDF, how

different is it? And let's say, what is the freight cost if you apply the vehicle from say Hoshiarpur to Amritsar?

Keshav Bhajanka: Amritsar would not be a very major cost. I think the freight cost would be, say maybe a INR1,000, but I don't have data with me. Nehal can give you data later. Plywood in general, our plywood would be at least 2x the cost of our MDF, so I think that is thumb rule that we follow. But again, Nehal can get back to you with exact number.

Shubham Agarwal: Okay. I'll get that separately. Secondly, what is the price difference in imports and domestic realizations right now? The price difference in

imports and domestic MDF?

Keshav Bhajanka: It actually depends on the location because if you look into the north, the landed cost to import, goes up substantially. In the south, I think that MDF is currently being exported at about \$220 per CBM. But on top of that, you need to add the cost of freight. You need to add the cost. It varies from location to location.

Shubham Agarwal: Imports, price of imports and domestic in south, how different?

Keshav Bhajanka: In \$220 is FOB. After that you have to do a lot of loading, et cetera. I think the difference between domestic and imported prices, ballpark, because south is not really our focus area, but it would be of 10%, 15%

Moderator: The next question is from the line of Hitesh Agarwal from India Inside Value Fund. Kindly proceed.

Hitesh Agarwal: In particle Board, I wanted to ask, what will be the asset turnover for our CapEx of INR550 crore for the new plant?

Keshav Bhajanka: The turnover for the new capacity will be in excess of INR600 crore,

Hitesh Agarwal: Excess of INR600 crore. And what will be the kind of time gap between the commencement of the plant and its full utilization?

Keshav Bhajanka: I think you take about 2.5 to 3 years to utilize the plant.

Hitesh Agarwal: Okay. One question, like in the particle board segment, could you tell me of the industry as such, what will be the percentage of imports as such, and how is the price difference between the import and the like domestic prices?

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Page 12 of 19 Keshav Bhajanka: Again, it's a very fluid scenario right now, today imports FOB would be at about \$120. I think will be at about \$150 and domestic prices that is then we need to take into account all the other costs. But I would say again, that we would be at least 10% to 15% higher. The domestic prices would be 10% to 15% higher than imports, but domestic OEMs got a lot more flexibility from us because they can procure material virtually overnight. Whereas if you look at these imported competition, the lead time is substantially higher. Also for a unit, it does not have a prelam facility for them to rely on import becomes next to impossible because you cannot really select a design for once in a one. It is a very difficult proposition. Here domestic manufacturers give them that flexibility.

Hitesh Agarwal: Okay. Coming to the MDF segment as such, could you give a color on the rise in the timber and the chemical prices sequentially?

Nehal Shah: Yes. Hi, Hitesh, Nehal here. So if you look at the raw material price movement in MDF segment, timber per se has gone up by almost say 10%, 12% since the start of the year. So that is one which has impacted the gross margins. And secondly, chemical, again, has gone up substantially. So one of the chemicals what we use has gone up almost by 20%, 25% So that has what has led to almost 650 bps, 700 bps gross margin deterioration.

Hitesh Agarwal: Okay. And should we consider kind of softening of the chemical passes going forward as such?

Nehal Shah: So timber prices are still elevate

d, but as far as chemical prices are concerned, which had actually seen a very drastic move, they have started coming off a bit. So that is what will help us give a cushion to our margins.

Moderator: The next question is from the line of Parth Bhavsar from Investec India. Kindly proceed.

Parth Bhavsar: Sir I have this question, so you guys are setting up a laminate plant in West Bengal and then there's an upcoming plant in south. So what is a brownfield optionality at both these places, like over and above the capacity that you're setting up, is there any option to increase your capacity beyond this?

Keshav Bhajanka: Further increases in Calcutta would be difficult because we are now space constraint. And in the existing premises, I don't think we'll be able to set up any more units. In Andhra, in Phase 1 we are coming up with two hot presses, and in Phase 2 we'll be coming up with a further 2. And we have created enough provision to come up with 4 units in Phase 3. But that as of now is something that we have not thought too much about. Right now it is about Phase 1 and Phase 2, but definitely we can set up to 8 lines if we are comfortable.

Parth Bhavsar: Okay. So in Phase 1 and Phase 2, you'll be adding 4?

Keshav Bhajanka: Yes.

Parth Bhavsar: Okay. And sir one other thing that, what is the rationale to go after particle board and not plywood, could just elaborate a little bit on that.

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Keshav Bhajanka: We always go onto plywood. We are definitely looking to grow in plywood and we have taken up a lot of investment in balancing equipment across plywood, first to increase our capacity. So it is not that particle board is coming at the expense of plywood.

Nikita Bansal: And I'll add to that so that, that we had announced that we will set up a unit in Hoshiarpur for plywood. So we're in a search for land right now, so we have some land options. So I think hopefully soon, we'll be able to close something.

Moderator: The next question is from the line of Nikhil Agrawal from VT Capital. Kindly proceed.

Nikhil Agrawal: Sir, I wanted to know like what is the per tonne timber consumption for 1 CVM production of particle board?

Keshav Bhajanka: It would be close to 1,100 kgs.

Nikhil Agrawal: And sir coming to your MDF segment time, missed to what you said about to the earlier participant's call. The rise in timber, what was the rise sequence, rise in timber cost and chemical prices?

Keshav Bhajanka: Timber cost has gone up by 10% to 12% over the course of the current year for MDF in particular in the north of India. And chemical prices had increased by in excess of 25%, but now they are showing finally correction.

Nikhil Agrawal: This is in 2022 or in this fiscal?

Keshav Bhajanka: In this fiscal.

Nikhil Agrawal: Okay. And sir, about your greenfield expansion for MDF, you said that, it recommends production from H2 FY'24?

Keshav Bhajanka: Yes.

Nikhil Agrawal: Okay. So that means there has been a delay of 2 quarters?

Keshav Bhajanka: No, for H2 FY'24, there is a 0 delay in the project.

Moderator: The next question is from the line of Udit from ES Securities. Kindly proceed.

Udit: So this is 2 parts. One is that when we mentioned about 15% overall growth for '23. So just basically what we have done in H1 and the balance in H2, what would be expected. So are we looking at a decline year-on-year for H2?

Keshav Bhajanka: No, we are definitely not looking at any decline. But having said that, we are not getting overly excited by good performance in H1.

Udit: Understood. And sir, just fundamentally on the product side, like you mentioned that in south the OEMs have accepted the particle board.

So do you see any threat to MDF, like we are coming up with CapEx in both is understandable and in south, we are coming up with MDF Century Plyboards Limited
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Page 14 of 19 as well. So what explains that part like particle board can take market share of MDF structurally just wanting to know on the category?

Keshav Bhajanka: You see, I think we have to look at it from a little more holistic point of view. If you look at particle Board, the usability in OEMs is excellent. It's a highly valuable product and for H1, it is a product that is durable because it is not as heavy usage as domestic furniture would be. For domestic furniture MDF usage is still very strong. In the south, the acceptance of particle board has been there for quite some time now, whereas in the north particle board has really not been accepted as a very strong or very good product because MDF penetrated much earlier.

So I think both are going to grow substantially. As we have mentioned earlier, the particle board capacity in India would be about 1.5 million cubic meter, whereas the particle board capacity in China is 50 million cubic meter. So we're still 1/30 of their size. There's a lot of room for growth and in MBF as well, our capacity will be 2 million, whereas China's, I think would be around 55 million or 60 million. So again, there is substantial room for growth in both. I don't think growth in category will come at the cost of the other, but definitely both are going to be high growth categories going forward.

Udit: Got it, sir. And just lastly following up on particle boards, what kind of industry growth are you expecting? And like you mentioned, it is a highly fragmented and organized industry. Will we be able to get any pricing power or you'll be just stay the industry dynamics on this one.

Keshav Bhajanka: I think more than pricing power, we will be able to give a range of products that only few limited number of players will be able to offer. So the unorganized players would actually not be able to compete considering certain products they cannot manufacture. So for instance, less than 9 mm could not be manufactured in any multi-delight. Today, even we cannot manufacture less than 9 mm. But going forward only 3 or I think 4 players who will have continuous stress lines will be able to offer these products. So that gives us a substantial advantage in the market. And once these products come into play, once they accepted, then we'll have pricing power because the threat of competition is going to be far lower.

Moderator: The next question is from the line of Pranav from Equirus Securities. Kindly proceed.

Pranav Mehta: Sir, I wanted to understand, if you can throw some light on how the MDF prices are moving globally? That was my first question. And the second question was, how long do you think the timber availability issue is going to be a major problem for the industry? Because just for my understanding, at least for next 2 years, things are going to impact on the timber availability issue in India?

Keshav Bhajanka: So I'll answer the second part first. Definitely there is a crunch of timber and that is something that we are all facing, but the result of this is a much higher timber price, which has led to tremendous amount of plantation. Now, if you drive from Chandigarh from Hoshiarpur or from Amritsar to Hoshiarpur, you'll see the quantum of agro policy that is taking place. So you are right. For a couple of
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ght be under pressure, but after that the qua ntum of timber that will be available in Punjab, Punjab itself will be a net plus. And I'm sure that this is happening in practically all other parts also because with this higher timber price for farmers, this becomes a very lucrative proposition, especia lly considering that they don't need to give as much time to eucalyptus as we need to give to a wheat or to rice. And the cycle with these higher prices really moves in their favor, particularly for land that are not very addable, land that are not very fe rtile. This becomes a very viable option.

Secondly, internationally, yes, prices have softened for MDF, but what has also happened as rupee has depreciated from INR72, INR73 levels to INR80 levels. So that is a 10% increase in cost, right? So overall, this s oftening has been cushioned by this impact of the rupee depreciating.

Pranav Mehta: Okay, sir. And sir, how are the laminate exports for us are shaping up? Because industry seems to be doing quite well on the export front. So are we aggressively tar geting exports as a growth opportunity for us, because we have also a lot of room to catch up in the domestic market? Or we are going to focus on domestic quality?

Keshav Bhajanka: No, we are going to be focusing on both. You see in exports, higher sizes are required till now laminates, we only operate at 8x4 sizes. For exports, we have requirement for 10x4 sizes and 14x4 or 12x6 sizes. In Andhra, we are coming up with 1 14x6 and 1 10x4, post it, a lot of international markets a lot of export markets will be open to us, but till now have not been. So definitely we are exports, you are absolutely right, there's a lot of headroom there and we are focusing on the same.

Moderator: The next question is from the line of Ashish Kumar from Infinity Alternatives. Kindly proceed.

Ashish Kumar: And congratulations for a good steady set of numbers. So a couple of questions. One, a near -term kind of question and the second is a longer term. On the near term, from the way we stand in terms of the EBITDA margins and t he revenues, do you see any sequential pressure point over the next 2, 3, 4 quarters? Or should we assume this to be a base number with the new revenues being added from new capacity expansion. Is that a fair way to look at it?

Nehal Shah: So basically if you look at the raw material cost, as I said earlier, some of the raw material prices are definitely on their way down, at least over the next couple of months, which you can see at the moment. So to that extent, the pressure would be easing out, particula rly with respect to those chemicals. Even as far as plywood is concerned, core medium prices have dropped a bit possibly around 2.5% to 35. So finally there's a respite to that because those were the prices which were consistently increasing gradually over th e last 4 to 6 quarters. So to that extent, yes, we should get benefited to that extent. And as far as growth is concerned, obviously with the new capacities coming up on stream, we should be able to take advantage of those coming on time.

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Page 16 of 19 Ashish Kumar: And second one was from a slightly longer term. We've announced massive CapEx in businesses which are a 25% EBITDA margin, let's say, based on longer-term guidance. So from a company perspective, today, if you look at it, particle board plus MDF is roughly around 21%, 22% of revenues. But let's say, 3 years out, would it be fair to assume that, that proportion could be more like 40%. And if I assume, let's say, 15% for your plywood plus laminate business and 25% for this business, would that mean that from a company perspective, we could be starting to hit margins, which are closer to the 20% mark rather than the 15% mark?

Keshav Bhajanka: I think you've hit the nail on the head. Definitely, that is the reason why we're investing so substantially in these areas. Having said that, because of the fact that MBF and particle board are part of our industry, we have the opportunity to reinvest our tax flows in high ROCE businesses. So this is a very, very, I would say, good time and a good opportunity for us. Going forward, yes, we are looking at a higher percentage of the mix coming from MDF and particle board despite a good growth in plywood and laminate. So this should push the margins like we have. One more point that you need to understand is, the working capital requirements in both particle board and MBF are substantially lower. So again, this is our quest for higher ROCs.

Ashish Kumar: Sure. Only one thing, Keshav, that if you're guiding for a 25% EBITDA margin and that's your revenue to CapEx of 1.3x, then one could be looking at, let's say, mid-20s kind of an ROC as compared to, let's say, significantly higher for ply business. Is that a fair way to look at it?

Keshav Bhajanka: At this point in time, what we are seeing is that the asset turnover ratio has actually been far better than the numbers that you have just suggested. So I think what we are targeting is 20% plus ROC. That has been the objective from day 1, and both these businesses should be able to give us that. But yes, I am hopeful that the numbers should be slightly better than that.

Ashish Kumar: Sure. Okay, given the fact that you're closer to currently the 30% mark, that's a huge wind down.

Keshav Bhajanka: Today say, we are very lucky that we have been able to deliver on sustained basis. But going forward, you see, you need avenues for growth and these two products represent avenues for growth. So I think that long term margins will be good. Long term, they will generate good ROC, maybe not as high as plywood or laminate. You could be correct.

Moderator: The next question is from the line of Shrenik Bachhawat from LIC. Kindly proceed.

Shrenik Bachhawat: Sir, my first question is I wanted to understand that we are doing planning of INR550 crore CapEx for particle board and also Greenlam and Merino are planning a similar CapEx. So as all the 3 players are increasing the capacities in particle board, how is the pricing scenario for us? Like are the organized players selling at a premium versus unorganized or at the same pricing?
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Keshav Bhajanka: See, Century command the premium over the unorganized players and going forward like I mentioned, in a comment, there are a lot of advantages that you'll get. So definitely product quality will improve, which should get you further pricing premium. But beyond the same, you'll also get the benefit of substantially lower operating costs. So

going forward, I think, the organized players will have a substantial benefit over the unorganized sector, particularly in the particle board space.

Shrenik Bachhawat: Okay. And particle board how much of the sales is B2B and B2C?

Keshav Bhajanka: For particle board, the majority sale is B2B.

Shrenik Bachhawat: Okay. And sir, I understand that readymade policy that sold on Internet. Normally, we say that rationale for MDF is the growth in the readymade furniture market, but most of the online funds that is being sold is made of particle board, I was just going through the online websites. So what is your take? Like, what is the proportion of MDF versus particle board for the online furniture that is sold?

Keshav Bhajanka: This is very difficult to club online furniture into 1 category because the

there are so many options. But see for instance, IKEA uses more than 80% of particle board and a very small and significant part of MDF. But in India for residential furniture, MDF is the preferred third generation wood panel product. Whereas for office furniture, particle board is currently the preferred product. On price particle board would be 1/3 the price of plywood, whereas MDF would be half the price. So particle board has a distinct advantage, hence when you look at lower price furniture, you will more often than not see particle board. But for residential furniture, most of the readymade residential furniture is showing a trend of being leaning towards MBF rather than particle board.

Shrenik Bachhawat: Got it. And just last question, wanted to understand that as we highlighted that the second half of this year we will see single-digit growth in plywood. So what gives us the confidence for FY'24 to deliver 15% volume growth and 20% revenue growth?

Keshav Bhajanka: I think, we have done a lot of things, as Nikita has mentioned, we have implemented our salesforce automation tool, which I think is a first in the industry to do. We have changed the entire GPM. We have invested substantially in branding. So I think all of these initiatives put together have put us in a very good space. Now, slowly we will see the benefit of these initiatives coming because it does not happen overnight, hence, we are confident that going forward, we will be able to deliver good sustain numbers.

Shrenik Bachhawat: So 15% volume growth in plywood you're telling on a sustainable you can deliver?

Nikita Bansal: That is what we would want to achieve, yes.

Shrenik Bachhawat: The industry is far lower than that, right? And Century is already a brand in India and well-known and everything. So can we deliver so much as for industry growth rate?

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Keshav Bhajanka: Just one thing. What we also must factor in is that there is a change from the unorganized to the organized that is really taking place and that is really aiding our goals. You must realize in plywood, only 30% of the market rate is organized. Now if this changes, say even by 1% or 2%, that gives a substantial boost to every single organized player. And we as market leaders only intend to cash in on the same.

Nikita Bansal: So just to add to that, we are currently 5% to 6% of the entire plywood industry. So the reason why we have launched Sainik in the amount of money we are spending behind Sainik is because we seen the opportunity lies in converting this unbranded to branded. So even if the industry is growing at a certain pace, we want to grow more than the industry because we want to capture more market share. So

hence that is where the 15% comes from.

Moderator: The next question is from the line of Rajesh Kumar from HDFC Securities. Kindly proceed.

Rajesh Kumar: My question is, first, on this particle board project. Is it the existing location or a greenfield one nearby?

Keshav Bhajanka: It is a greenfield location nearby.

Rajesh Kumar: Okay. And this CapEx, which we are incurring, does it have an optionality of increasing the capacity 2 to 3 years hence?

Keshav Bhajanka: For the finish capacity is 2 years.

Rajesh Kumar: Sorry, I missed it. The existing capacity, which you are putting up 3.6 lakh, can it be increased further? Or is the land and other?

Keshav Bhajanka: Yes, land is there, but the current line and the current shared, et cetera, everything that is being designed is being designed for the 3.6 lakh. Going forward, of course, in the same location, we can set up another unit.

Rajesh Kumar: Okay. And sir, you don't have a laminate facility nearby. So will that have an impact on your prelam sales from this plant?

Keshav Bhajanka: No, we didn't have a laminate facility in Chennai earlier either, right? So prelam the paper inventory management is not as difficult as laminate because it is for sell there. So that is not a challenge anywhere, whether it is Hoshiarpur, whether it is Chennai, whether it is any other location. With the particle board facility, we will be coming up.

Rajesh Kumar: Okay. And second in the MDF, you mentioned that the import and domestic price difference is 15%. So historically, maybe please, what has been the sustainable pricing difference between imports and domestic prices?

Keshav Bhajanka: I don't have numbers with me at this point. I'll get back to you on the same.

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Page 19 of 19 Rajesh Kumar : Okay. Just wanting to assess that, when you are looking at from 30% to 25%, what more pressure can on a sustainable basis it lead to, because the domestic capacity is more. So the purpose of me asking this question was to assess that when you're factoring in the margins to pull off to 25%, if the margins have to sustain, let's say, 10%, 15% level, so can it lead to higher compression on a sustainable basis, say 20%. So this is what I wanted to assess. We'll talk on this later.

Moderator: Ladies and gentlemen that was the last question. I now hand the conference over to the management for closing comments.

Keshav Bhajanka: So thank you so much to all of you for taking out your valuable time to attend this call. The one point I'd like to make is, as always, your management is going to try to their level best to deliver as good a performance as we can. And hopefully with all your support, we'll be able to achieve it. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

Date: 13th February, 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Unaudited Financial Results for the Quarter and nine months ended 31st December, 2022

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Wednesday, 8th February, 2023 for Unaudited Financial Results for the quarter and nine months ended 31st December, 2022.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
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"Century Plyboards India Limited
Q3 FY '23 Earnings Conference Call"
February 08, 2023

MANAGEMENT : MR. SAJJAN BHAJANKA – CHAIRMAN – CENTURY
PLYBOARDS INDIA LIMITED
MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CENTURY PLYBOARDS INDIA
LIMITED
MR. KESHAV BHAJANKA – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS INDIA LIMITED
MR. NEHAL SHAH – HEAD OF INVESTOR RELATIONS AND
CSO – CENTURY PLYBOARDS INDIA LIMITED

MODERATOR : MR. NAVIN AGRAWAL – HEAD INSTITUTIONAL EQUITIES –
SKP SECURITIES LIMITED

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Moderator : Good day, ladies and gentlemen. Welcome to the Century Plyboards India Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.
Navin Agarwal: Good afternoon, ladies and gentlemen. It's my pleasure to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sajjan Bhajanka, Chairman; along with his

colleagues, Mr. Sanjay Agarwal, Managing Director and CEO; Mr. Keshav Bhajanka, Executive Director; and Mr. Nehal Shah, CSO and Head Investor Relations.

A reminder, during the course of the discussion, there may be certain forward-looking statements, and these must be viewed in conjunction with the risk that the company faces. We'll have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session. Thank you, and over to you, Sanjayji.

Sanjay Agarwal: Thank you, everyone, for taking your valuable time out for attending the Q3 FY '23 Century Plyboard's Investor Conference Call. I am Sanjay Agarwal, I'm the CEO of Century Plyboards India Limited. I have alongside with me Mr. Keshav Bhajanka, Executive Director; Mr. Nehal Shah, Head of Investor Relations and CSO; and our respected Chairman, Mr. Sajjan Bhajanka. I presume that every one of you would have gone through our numbers in detail. Let me speak briefly on the key highlights of Q3. Despite the slower than anticipated pickup in demand of the festive season and sustained inflationary environment, CPIL managed to achieve INR 877 crores revenue in Q3 FY '23, which is just 2.6% lower quarter -on-quarter. On a year -on-year basis, revenue grew by 3.3%.

Our plywood and laminate segment revenue recorded 10% and 5% year -on-year growth, while MDF and particle board segment revenue, they grew 7% and 8% year -on-year from the quarter. With the sustained input cost pressure in timber prices, in particular, CPIL's overall growth margins were adversely impacted by 310 bps on a year -on-year basis and 90 bps on a sequential basis to 32%.

The company's EBITDA margins, adjustment for impairment loss of Myanmar subsidiary 2 were lower by 330 to 210 bps to 15.2% on a year -on-year quarter -on-quarter basis, respectively. While plywood and laminate EBITDA margins contracted by 188 bps and 310 bps quarter -on-quarter. We saw EBITDA margin contraction of 280 bps and 810 bps on sequential basis in our MDF and particle board segment. Timber prices continue to remain at elevated levels and is expected to trend higher over the next quarter. Chemical prices, particularly phenol, melamine and UF resin have softened a bit in last 3, 4, months and are likely to further soften over the next 2, 3 months. Century Plyboards India Limited
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Price increase is second in Q3 FY '23. Plywood 4% on Sainik MR in South India in November '22. Post Q3, we have taken a 2% price increase across all products, except Sainik MR in January '23. Laminate mix -- particle board prices have been cut 4.5% in pre -lam particle board in November, 10% in plain particle board in December. And in Jan, a price cut of 10% in plain and 5% to 10% on pre -lam particle board has been taken.

Our MDF brownfield expansion at Hoshiarpur has manufactured its first board and is likely to commence production in March '23. Our South MDF capex is running as per schedule and is expected to come on stream in second half of

FY '24. Our greenfield laminate manufacturing unit in Andhra would come up in 2 phases. The first phase is expected to become operational in Q2 FY '24. As far as our greenfield plywood project in Hoshiarpur is concerned, we have finalized the capex of INR 100 crores, which would have a manufacturing capacity of 60,000 CBM of plywood per annum in the first phase. The land has been now acquired and project is likely to come on the stream by Q3 FY '24.

Greenfield particle board project in Chennai, in the last week Board meet, we had approved investing in a large particle board project with a capacity of 1,200 CBM with an investment outlay of INR 550 crores. Currently interactions are on with the machine vendors, and the decisions are likely to be finalized very soon.

Our working capital stands reduced by 3 more days to 52 days in Q3 FY '23 on a sequential basis.

We remain a net cash positive company with net cash position of INR 208 crores as on September 12, 2022. Our Q3 ROCE stands at 23.12%. Considering the Board decision, the disposal of its investment in its Myanmar subsidiary in a further -- an impairment on our investment in Myanmar subsidiary to the extent of INR 2.37 crores in Q3, in addition to INR 47 crores impairment taken in Q2. And with this, the Myanmar chapter is closed.

Now I will request and open the call for question and answers. I will also request that all these discussions and this call could not be construed as invitation for any investments. Thank you.

Moderator: The first question is from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal: And congrats on a reasonable performance given volatile demand trends, sir. Sir, 2 questions. Firstly, on the overall growth. We're seeing patchy demand across different building material products in last quarter. You have shared your views earlier on long -term sustainability of each of your revenue segment growth going forward, and I'm aware of that. But just given current trends, I need some help on fiscal '24. If you could share your views on each segment, what is the revenue growth we should assume since some capacities will also start over the next 6 to 9 months for laminates and MDF. Could you help me with some kind of internal understanding on this, sir? This is the first question.

Sanjay Agarwal: So I will just answer the question, I think this is better, then go on to the second one. So in plywood, we have always been telling 13% to 15%, but I think now because of the raw material prices, we are trying to revise it to 12% to 14%.

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Rahul Agarwal: Sir, I'm talking about the revenue growth. Sir, I was referring to revenue growth, sir.

Sanjay Agarwal: Yes, yes. Okay. So revenue growth plywood, volume, I think we are looking at about 15% in next 1 to 2 quarters value-wise about 20%. Lam, we have actually been looking at a much higher one. But now we are looking at about 5%. And value-wise about 15%. MDF has been -- because the expansion has been delayed, so whatever we had projected will be achieved once like expansion comes into full form. But presently, for this quarter, we are looking on the year, we are looking at 5% and 15% in value. Particle board, volume is about flat and the value should go...

Moderator: Sir, there is an echo coming from your line.

Rahul Agarwal: Sir, I'll repeat it, if you can confirm. Plywood volume 15% next 2 quarters, 20% in value, laminates volume 5% and value 3%. MDF volumes 5% and value 15%....

Sanjay Agarwal: Value 15%, 5% and 15%. MDF is 5% and 15%.

Rahul Agarwal: MDF volumes 5% and 15% and particle board volumes flat and value -- I couldn't hear, sir.

Sanjay Agarwal: About 15% to 20%. This one, we are telling you for the year for Q4 FY '23. And after that, actually the situation is so volatile, I don't think we should be actually telling you that what we will be doing for FY '24. So

o I think next quarter we'll be in a better position to tell you more realistic data.

Keshav Bhajanka: The numbers that were given were for FY '23. So for FY '23, the number that we've just spoken, those old 5%. And for FY '24, as you know the new capacity for MDF is coming on board, and new capacity for laminate also coming on board. So right now we are not giving any guidance. We'll work on the same. And depending on the commissioning of the capacities, we'll be able to give you guidance over a space of a month or month and a half.

Rahul Agarwal: Got it, Keshav. And lastly, the second question on MDF. There is a lot of discussion and uncertainty around revenue growth and margins for MDF within our investor fraternity. Just need a help on that as well. Based on your own internal estimates, how much new capacity for MDF is coming up in fiscal '24 and fiscal '25 in India separately, if you could help me with that? And what is the worst-case EBITDA margin we should plot for Century over the next 2 fiscals?

Sanjay Agarwal: Okay. So if you want for capacity, what is coming up, Nehal, do you have the data? No?

Nehal: Yes. So in terms of industry capacity, so I don't have the data at this point in time. But if you look at the current year, the key plants which are coming on stream would be Greenply, which is coming in western part of India. You have actions which is coming up in the north. And we are going to set up in south of India. There are large new capacities, including few unorganized ones which are coming. So these are the key capacities which are likely to come in this fiscal year. So I'll share the data once I have it on hand, so currently it's not with me at this point in time.

Rahul Agarwal: Any worst-case margins, what we can do given this capacity?

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Nehal: So given the capacity, so until the new capacity comes in, we are pretty confident on achieving 20% to 25% margins on the MDF segment. Once the -- let the capacity first come on stream, I think probably we'll review the same and get back to you on that. It's too early to take a call once -- let the capacity come in, and then we'll review and then give a fresh guidance on the margins. I think till the time that the capacity comes in from any large industry players, I think we are still holding on to 20% to 25% margins.

Moderator: The next question is from the line of Hirenkumar Thakorlal Desai an individual investor.

Hirenkumar Thakorlal: Yes. The first one is a bit of a feedback. I had sent an e-mail to your investor relation site, but did not get any response to that. So I think you can improve on that. The question is, what is the impact you think you are having on our margins due to imports now that the shipping rates are pretty?

Sanjay Agarwal: Yes. So you see, it is mostly impacting the margin rates, have been impacted till now for imports will be particle board. Where actually the margin earlier, which we were talking about 25% always, we are now actually reducing it to 20%, around 20% so our margin still.

Hirenkumar Thakorlal: And MDF?

Sanjay Agarwal: And MDF, we have been talking of about 25% plus always. But now again, we are revising it to 20% to 25% because till now there are now changes, much changes in the pricing. But there may be small changes because the imports are going to come in, and we should be ready for it.

Hirenkumar Thakorlal: And just a clarification that is our plywood and laminate also have a significant import component or is

it not much?

Sanjay Agarwal: Plywood does not have much of an imported this thing and whether the chemicals are there, which are actually already the prices are getting lower and lower because of the shipping rates have come down. In plywood, the margins are affected by a little bit only because of the increase in raw material prices in India. So that actually it's a cycle of plantation, so it may now stay at this level for a year. So -- or maybe 2 years or maybe 6 months. But whatever we have done in last quarter, we'll be doing a little better because we will be -- we have already increased the prices and the margin should improve as far as plywood is concerned.

Lam, we have been talking always about 14% to 15%. Now we are saying that about 13% to 15%. There is not much changes. But the import component in laminate, the base sticker, the top decorative paper is imported and the glue, the melamine is again imported. Where the prices...

Hirenkumar Thakorlal: My question was more on the finished product import. Is there any significant import of finished plywood and laminate?

Sanjay Agarwal: No, no, no. There is no laminate or plywood. India has established itself as a supplier of laminate to the world now. Even China has taken a beating and even China is affected, but India is

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superior. But yes, as far as particle board and MDF is concerned, these are -- were imported earlier. This will be imported again.

But we are working on different ways and means to even export at times, even go to the government to take some kind of a safety measure, although the efforts are on. But until unless they happen, yes, the import will impact a little bit. And actually, what we have done is last after COVID because of the imports, we -- before that, whatever process we were making, were okay. But then we all got adjusted to the new very high profits. So as far as particle board is concerned especially that has already actually been mostly corrected. I don't see any further, whatever has been done, I don't see any further price reduction in particle board now.

Hirenkumar Thakorlal: The second question is related to your experience on the -- so what is the typical lag of purchase of this plywood and board and everything in relation to the real estate cycle. So the question really is, let's say, a house is purchased, apartment or a house is purchased. And after -- typically after what period of time do the purchaser comes into picture? The idea behind the question is...

Sanjay Agarwal: I understand your question. Actually you all know, we all know that in India real estate market was passing through a very bad stage. So there was a lot of inventory. And that's why I believe that last whatever good time we had was because of the clearance of that inventory and people are moving into new houses and making them.

Now going forward from here, a lot of new projects have been approved are on, you can see daily newspaper, you can find that, yes, a lot of them will be coming. As far as this gap from the day I buy, it all depends whether I have bought when the land was -- the project was announced at that time or I have bought, I guess finished goods -- flat. So it depends because if a project is going to be established now, maybe it may take about 2, 2.5 years to the erection of the building. And if I buy a readymade flat, then usually after I buy a readymade flat, it is within a year that we try to do because there are not many investors now. Most of them, people now into always are really invest, actually invest. So that's why the moment I buy, I'm excited to get into my new readymade. So it happens fast.

Moderator: The next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Sir, I wanted a clarification. If you look at the ply, the ply has been growing at a fairly steady pace. If you look at for the quarter, it is up 6% Y-o-Y, 11% on 3 year CAGR. While we see in laminate, we're seeing a volume drop Y-o-Y and a very subdued volume growth and MDF is declining. So if you could clarify or give some sense in terms of the demand scenario? Has the demand really taken a beating and that's why everything is looking big. But plywood is doing very well. Can you elaborate a little bit on this because this is happening for last couple of quarters.

Sanjay Agarwal: Yes. You see, if I look at plywood, in plywood you see we are -- if you really see the total market is huge, and we are trying to get into the belly of that market. So that's why I still believe that plywood has a big upside for us in times to come. We have been doing many experiments. You

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all know, we have told them from time to time. I don't want to get into details right now. So all of those experiments are resulting, but not the kind of results we actually expected. But yes, they are resulting and we are seeing an upside into plywood.

As far as MDF is concerned, you see, we have not grown because our capacity did not come into production, it has been delayed, we expected it to come a little earlier. Now it will come in March. Laminate, I will let -- leave laminate to Keshav actually. But as far as MDF is concerned, MDF will grow and MDF is growing. We don't have the capacity, so that's why we cannot grow. It has very good demand. And that's why you see the prices in particle board has gone down, but the prices in MDF has not gone down till now, expecting 2%, 3%, 4% here and there in how some of the retail happened, but not much. Why? At least MDF demand is robust, good. Plywood demand is good. It is only our weakness, I must say that we have not increased the prices to another -- by another 2%. We have only increased 2%. But yes, we will come around that actually.

Keshav, can you tell him about the laminate? Are you there?

Keshav Bhajanka: Yes, I'm here. Yes. So I was saying that in laminate, last quarter was definitely a disappointment. I think that demand on the ground has been relatively weak. So this could be as a result of huge pressure on the unorganized players. But we are working on solutions around the same. I think there could be a further 1 or 2 quarters where we face the challenge. But post that, we have our strategies in place. And from Q2 next year onwards are expecting to see a good turnaround in laminate.

Achal Lohade: Sorry, I couldn't catch you in between. You said that demand is relatively weak and the competition from the unorganized has increased. Have I got it right?

Keshav Bhajanka: Yes, exactly. This is the current scenario on ground and we are working on strategies to combat the same. Nothing changes overnight, but we might see 1 or 2 quarters of muted demand going forward, post which we are very confident, from Q2 onward we shall have changed around. We are launching second segment. So I think from quarter 2 of next year, you will see a much better growth in laminate.

Achal Lohade: So, if I say in case of why like Sanjay already pointed out, it's to do with the mid-segment, which is driving the growth. Does that mean the margins, what you have indicated is more a new normal now -- but really are not part of phenomena for both laminate and plywood?

Keshav Bhajanka: It is part of thickness size, 14x6 size as well. They are coming up in 10x4 size as well. So these are sizes in which you will lose your presence. So as we think of product offering, there must be a tremendous scope for us to increase overall volume. So that segment we are not present in. And as long -- as well as that, we are exploring other avenues which might be in the same size...

Moderator: Mr. Keshav Bhajanka, sir, we are not able to hear you.

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Keshav Bhajanka: There are multiple offerings we are working on. So both on a larger size press that will be commissioning by Q2 of next year that is what I want to add amount of growth for our overall top line. Other than that, the other segments that we are contemplating. But right now haven't chosen, we'll give you details as and when they go forward.

Achal Lohade: And just, a

gain, on the particle board, you have taken a [inaudible 0:26:22] price cut, what is driving this? Is that entirely landed cost of imports, price difference earlier and now in terms of our selling price and the landed cost of imports?

Sanjay Agarwal: You see, as far as particle board is concerned, the major customer in OEMs. There is not much of a play of a brand name, accepting a little bit 2 percentage, I must say, there is a benefit of a brand, but not a big play. Even MDF in India has started getting a benefit of a brand by 7% to 8% by now. For the plywood we know had a very huge benefit. The particle board does not get more than 2%, 3%, 4% of benefit because of the brand. And because of the imports and the user is mostly a very cost conscious person, he is not a customer.

So that is why actually the prices have come down very fast. As far as MDF is concerned, MDF is an OEM, but MDF is being used by many customers and many architects and many contractors also. And there we have a lot of value added, about 50% of our products is actually is actually value-added product. So that's why MDF probably has not been impacted till now so much. But particle board is the easiest thing to get impacted, yes. And it is only because of the import prices.

Achal Lohade: The kind of price restructuring you've seen, does that alter your plans with respect to particle board capacity, that 20% margin? What is the IRR we would expect?

Sanjay Agarwal: Yes. So on the particle board side. So at the current price levels, the IRR or the ROCE is what comes to -- would be around 15% to 20% levels. Having said that, we have not even built in the savings, what we would get from the continuous press. So we would work that out once the operations start. But yes, we would get benefit of at least 5% to 7% on the raw material side as well. So we would still believe that 15% to 20% on a continuous line, we should still be able to generate our ROCE at the current level of pricing.

Achal Lohade: And this is post-tax or these are the pre-tax numbers?

Sanjay Agarwal: These are all pre-tax numbers.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Group.

Dhananjai Bagrodia: I just wanted to ask you, sir, what cost advantages would we have by putting up a new factory for MDF versus any of...

I wanted to ask you, sir, what cost differential or cost benefits we would have versus other players in MDF in when we setup a capacity?

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What cost benefit would we have while setting up a capacity in MDF versus, let's say, other players who are also setting up similar capacities?

Sanjay Agarwal: Why should there be a cost benefit because everybody is buying from that market, selling into that market. So I don't see the only benefit Century Ply has is that most of our funds are internal and whatever loan -- small loan we will be taking probably we will be able to repay it within the very short period. And so that is why there is a very big guarantee to our investor that even we will be a little better than others. That's it. The percentage is much better. The profit will be a little bit certainly better than other profit.

Dhananjai Bagrodia: So there's no cost benefit as such. And even on the sale -- even on the sale price, would we be selling higher versus competitors? Or would that also be similar then?

Sanjay Agarwal: Again, I could not understand. Price-wise, you see, there are 2 kinds of competition as far as MDF is concerned, one is unorganized small manufacturers and most of them are in Gujarat. And there are the large ones. In large ones also, there are people who, I'm not taking the name, who sell about 6% super to us. The smaller ones, sell us about 7% to 8%. Even in North India there are many MDF manufacturers. They sell about 6% to 8% super to us.

As far as particle board is concerned, again,

this Gujarat site sell 3%, 4% super to us, that's all, because in particle board there is not much of a difference. But yes, there is a difference in size -- there we have a big advantage when we are manufacturing, say, 9x6 or 8x6. So in particle board that is the size which sells most, where we have a very big advantage and all the small manufacturers manufacture 8x4. So there is a price gain we have because this larger size yields

better yield to the user. The wastage in their factory is much, much lesser.

Dhananjai Bagrodia: And sir, Plywood also, would our production have any cost advantages as we scale up versus other players?

Sanjay Agarwal: You see, in the existing factories, whatever we have been able to utilize, our capacity is higher, certainly it will have better margins in times to come because we are utilizing more and more capacity with the same kind of expenses. We are trying many, many different new schemes as far

as laminate is concerned, plywood is concerned. And in the market, we are trying to make them organized market. Of course it is shipping is on time. So I believe that, yes, in plywood, there will be a cost advantage, if you utilize our capacity higher than others.

Dhananjai Bagrodia: So I'm just trying to understand, let's say, MDF, as you've seen prices decrease and imports increase.

At what level will it be that where other players will start like either maybe shutting down or make sure the prices don't fall at a certain range and not discount it anymore. Because if

we have a cost advantage, at least then are safeguarded on the downside.

Sanjay Agarwal: You're talking about MDF. Are you talking about MDF?

Dhananjai Bagrodia: Yes.

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Sanjay Agarwal: So in MDF, we, as I told you, we don't have much cost advantages. And smaller guys have the advantage of the personal connect with the dealer and all of that. So they will do a little better or they are able to supply 5%, 6% shipper and their profits and all of that are not there in the public domain. So we really don't know whether they are hiking -- and you see we must understand that

all these small manufacturers in North are using a daylight hot press technology, where they can manufacture only thicker grade MDF.

They cannot manufacture thinner grades. And we give 3, 4 manufacturers who are into quality press, we can manufacture a better quality, and we can also manufacture the thinner grades. So that is where the advantage we have. So anybody who wants to buy all these thicknesses, so we have a better advantage. But if you are talking of a cost advantage, I don't see any cost advantage as far as MDF is concerned.

Keshav Bhajanka: I'd just like to add one point here. You see, when you setup a capacity, to utilize that capacity is a subject altogether, right? It does not -- you just can't setup a plant and hope to run it within a year.

But in the case of Century, we are able to run our plants to capacity not faster than others. So that gives us economies of scale as far as our overheads are concerned. So that does become a cost advantage compared to anybody else in the market.

Moderator: We'll take the next question from the line of Mohit Agrawal from IIFL.

Mohit Agrawal: Sir, my first question is on the plywood business. So if you could give some comments on the industry demand, especially after the recent price hike in late December, early Jan? And within our portfolio, the mix between the premium products like Prime and Architect Ply versus Sainik? In the last few years, how has that mix improved towards Sainik? I remember you have said earlier, it is about 30% about a couple of years back. Is that -- has that Sainik ratio improved?

Sanjay Agarwal: The exact ratio, I do not have right now. And we have not -- never shared, I think. This 30%, I don't know from where it has come. But I must tell you that we are worki

ng that we must grow in

our premium segment also, the percentage may be small. So we do not allow it to go down at all under any circumstances because that is where the pr ofit lies. And the growth will actually come from the Sainik segment, where actually our growth is excellent and whether it was last quarter or December or -- things are looking up a little more than this. I don't think the numbers are -- we

never have dis cussed it, what is the percentage.

Nehal Shah: So just to give you some more color to what MD added. I think as far as value addition is concerned, if you look at Club Prime, which is a key segment, that continues to grow. Obviously the growth rate has been lower. Within Sainik, one important thing one should note is that while

we are considerably growing faster in Sainik, the growth is now coming much, much faster from Sainik 710 than Sainik MR. So despite the fact that we are selling more Sainik, our marg in doesn't get distorted much because even within the Sainik segment, we are moving on to value addition with selling more of 710 of our Sainik MR. And that's how we have been able to protect our margins as well at the same time.

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Mohit Agrawal: And sir, on the -- on your earlier comments about timber availability, if I hear that correctly, you mentioned that timber prices could be elevated for about a year or 2. Is that correct, sir?

Sanjay Agarwal: You see, this is a cycle. I think Sajjan, he is there. I think he is a better person to comment on this subject. Sajjan?

Sajjan Bhajanka: Actually, I could not follow the question fully.

Sanjay Agarwal: Prices of timber have increased and then that may stay for some time because it's a question of a cycle and ultimately it will come down, but not in a very near future. His question is, how much of it is true. that is what he wants to know. I think you have a better perception about the plantation.

Sajjan Bhajanka: Basically the prices are going up of timber, an d it will continue going up some more because the year -- 5 to 7 years back, the plantation activity at its lowest and that time there was [inaudible 0:38:27] and the prices were highly subdued. So farmers shifted to other cash crops. But in the last 3, 4 years, things improved and there is good demand from all the segments for the lower growth and plywood and MDF, so the higher growth what I'm seeing. So the [inaudible 0:38:55] plantation is going on. So say, in next 2, 3 years, there, it would be balanced, there will be like meeting demand and supply.

And I think that will stay for a long, long period because both things are maturing, plantation is maturing and industry is maturing. And now one thing is clearly known to everybody that the Indian spanning i ndustry now will be fully dependent on plantation timbers, MDF, particle board and plywood. So this is really things will mature. And there is, of course, expansion in both the activities, plantation and as well as the plywood manufacturing, both are movin g in a very rapid pace upward.

Mohit Agrawal: So sir, should we work with -- on the margin, should we work with a 12% to 13% margin for the next couple of years? Or do you think that...

Sanjay Agarwal: Yes. Yes. I think what in between due to certain things, the global disruption and other things, so chemical prices and everything increased. But prior to that, we had good inventory of all the chemicals and cores and everything at the earlier rate. So in between, there was a good margin because of low cost of the inventory, and particularly the raw material, whereas the prices for the finished product improved substantially. So the improved prices are maintained. And now what -- so like the timber prices are going up, chemical prices are coming down. So now thi ngs are stabilizing. And this present -- our forecast, I think, only relayed for next 2 years. And now our

growth will come from the volumes, it will mainly come from volume. The margin would remain more or less constant.

Moderator: The next question is fr om the line of Nikhil Agrawal from VT Capital.

Nikhil Agrawal: Sir, I wanted some help on the guidance, I actually didn't get it clearly, for FY '23, revenue and margin guidance? If you could repeat it again, please.

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Sanjay Agarwal: Yes, sure. So what we are now guiding for is, in plywood segment, we maintain our earlier

guided growth of 15% volume and 20% value. In laminate, instead of 15% and -- 15% volume and value, which was guided earlier, we now guide for 5% plus volume and 15% plus value. In MDF, what we were guiding earlier was 20% plus, and that was largely because of our expectation of the Hoshiarpur plant, the brownfield expansion kicking in, which was expected to be earlier. Now with that getting delayed, we expect a 5% plus volume growth for this year and 15% value growth for the year. In particle board, because of import prices hitting the southern region and thus demand getting hit. We're expecting flat volumes for this financial year and 12% to 15% in terms of value growth.

Nikhil Agrawal: And sir, on the margins?

Sanjay Agarwal: The margins in plywood, we are conservatively guiding for 12% to 13%, sorry, 12% to 14% versus 13% to 15% earlier. Laminate, 13% to 15% versus 14% to 16% earlier, MDF and particle board at 20% to 25% versus 25% plus earlier.

Nikhil Agrawal: Sir, any reason for the laminate margin revision? Is it because of unorganized players? Or is it because of chemicals, the raw material prices, anything?

Sanjay Agarwal: No, as far as prices are concerned, I think that the chemical prices will more or less offset for the paper prices, which have been trending higher. However, it's more to do with the operating leverage where the growth has come down to some extent versus what we were growing earlier because of the competitive intensity increasing. I think that's the only case. Otherwise margins are pretty much there and there.

Nikhil Agrawal: And sir, on the MDF imports, like are we seeing any like tapering down of imports in the second half of January? Like did we see imports going down in the second half of January or something?

Sanjay Agarwal: So if you look at the data, which has come in October, was around 18,000 CBM, which was imported, November was 21,000. December, it has got tapered down to 18,000 again. Jan data still not out, probably will be out in next 3, 4 days. So I think intensity still remains the same around 18,000 to 20,000 CBM, which is being imported regularly.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: So sir, first question is related to the MDF. As I can see that from the last 3 quarters, the realization were maintained. However the margin were contracted even in the last Q2 to Q3, gross margin has been also quite maintained. So can you give some colour like why the margin is contracting, but the realization, you are maintaining that?

Sanjay Agarwal: I think basically, I think in all our products you will see because of the rise in prices of timber. So there has been considerable hike in prices and they are affecting the profits or the margins. Going ahead, I think the prices of timber, we do not see immediate or early months or few quarters, we don't see going down, our Chairman has very clearly told. There's no other reason. Otherwise we have been maintaining our quantity a little bit here and there is different and product time and Century Plyboards India Limited

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sale and prices have not really changed till now. It may a little bit in times to come, but not much till now.

Praveen Sahay: And the next question is related to the laminate. There also I can see that the realization is

continuously increasing, while the volume is going down. So you are saying there is a competition from the unorganized is increasing. So competition is coming into like a higher grade or something? How to read these numbers actually?

Sanjay Agarwal: Actually for us one and only which is our highest grade production is the profit driver. In the one on one segment we will get pressure, but the increase in pricing that you're referring to is primarily due to raw material cost increase, this we will pass on to the market. However, a reduction in margins in Q2 are sustained in growth of our one on one segments, which we are working on right now. And hopefully within next quarter we will be able to come with the cost.

Moderator: The next question is from the line of Arun Baid from ICICI Securities.

Arun Baid: This is for Sanjayji. Sir, in MDF, the industry was lobbying for antidumping duty. So, can you just tell us like how is the situation there? What do you expect? And if at all, when?

Sanjay Agarwal: You are with us actually, you are wishing us all the best. We are trying our best actually, but you know how things are. And we were expecting that on furniture actually the PLI will also come, and there were a lot of talks in the [inaudible 0:47:57] and even this time, still the talks are there that furniture will be included in the PLI. Furniture is included in PLI, then there will be a huge push to use of MDF in furniture in the country.

Management: There is one development, Sanjay, there is -- we from the tribunal we got a favourable order because last time antidumping duty was approved. But it was turned down by the financial ministry. So the tribunal has ordered and requested finance ministry to relook into that because finance ministry, neither they rejected, nor they approved. And there will be a specific time period of 3 months to notify the reason of antidumping and [inaudible 0:48:59], due to no action from finance ministry.

So the tribunal order to finance ministry to relook into that and review the situation. And apart from that antidumping request from the industry, almost ongoing for all the things, again, the hearing will take place for a different time period. And this will go on. But we have seen now Government of India very, very reluctant to impose antidumping very regularly.

Arun Baid: And sir, second thing was with regards to your guidance, which you mentioned in case of MDF at 20%, 25% as sustainable. So my question here is, this is at what realization? So your current realization blended was about INR 34,000. So -- which obviously is a mix of your plain and pre-

lam. But when you say 20%, 25%, it's broadly what? Should we look at this realization and into ballpark 20%, 25%? How should we look at that number? Because my view of looking at the industry is that you should look at EBITDA per CBM because your margins may change if a realization do change. So when you think of the industry, how would you look at that?

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Sanjay Agarwal: Coming to your question on the realization front. So we see our realization staying between 32,500 to 34,000 range, considering the value mix what we sell in the market today. So if the realizations tapered, then we believe our margins of 20%, 25% should not be a problem. So it's more to do with the product mix, which, to us, I think that should remain steady. And since we are more on the northern side, we are a north based company at this point in time with a factory only in north. So the more we are like well-versed with what the imports do in the southern region or in the western region to do so.

So I think until the time the new capacities come on to play, I think we are more or less confident of achieving 20% to 25% margins at this point in time.

Moderator: The next question is from the line of Bhavin Rupani from Investec.

Bhavin R

upani: Sir, we understand that India generally imports plain MDF and particle boards. So can you please give us some sense on the current landed cost of both MDF and particle boards versus domestic prices?

Sanjay Agarwal: I think in particle board, now we are practically equal to the landed cost of particle board from imports. So I don't see any downside as far as the particle board is concerned for that. But in MDF, yes, there is a difference. But because we are mainly north and for, say, next one year time, we can say we are in north and to take this and we have to north -- it's a low-value product and it's a costly transportation within India through road.

So the effect of the prices of import is not as high as it is in south. So whatever declarations we are giving now, this is about 20% or 20% to 25% for MDF, I think we will do this for the Q4 now. And maybe by that time, we'll be more clearer.

We are speaking with many people to understand their cost actually, at what price can they actually sell, what is the price they can go down. But I have a silver lining here, actually. I

believe from reports that China is really operating at a very low demand at the moment and the demands have not opened up because of their own internal issues. But it has been told to us that China is going to open up within the next few months. And the particle board or the MDF, whichever is being dumped in India right now at the moment, may not be so high and the prices also may not be so low. But then, again, these are only expectations and huge [inaudible 053:36] manufacturer or people we talk to, it may not be very, very authentic.

Bhavin Rupani: As far as the cost is concerned, ours is one of the lowest cost of production in the whole world.

And actually if you compare to China, Vietnam and Thailand, the -- all the countries, our cost is the lowest. So that way, we don't have a long-term challenge. And another thing is that it is mainly Vietnam and other things due to the China factor, they have a lot of inventory. And basically they are dumping this thing at a lower price. And in particle board, there is a very good case for antidumping. So maybe you can move...

Moderator: The next question is from the line of Achal Lohade from JM Financial.

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Achal Lohade: With respect to the delay in the Hoshiarpur plant, what is the reason for this delay? Is it the availability of the equipments, labour or is just...

Sanjay Agarwal: No, no, it's very simple, very, very simple. The equipment supplier has done all the mischiefs other one day Keshav has seen bought them and shown and Keshav had to threaten them practically that we are now going to newspaper and publicize what they were doing to us. Then only they got back to...

Actually the machines and their technicians, they were supposed to come from China. And the [inaudible 0:55:40] Chinese people in India is still continuing, Government of India not allowing Chinese technicians to come

to India. So they have taken some people from Malaysia send them China, Malaysian passport, so they have come to commission our plant. So this main delay due to that. But the good thing is that trial production already we have taken and the trial production is going on now and they're really picking up. So commercial production would be commenced maybe very soon.

Achal Lohade: No, because why I'm asking is if the leading player like us is facing a challenge in commissioning a brownfield. I'm just curious, the kind of capacity we are imagining the timelines, could there be a substantial change to those timelines?

Sanjay Agarwal: But it is still, even after this delay, it has been commissioned within FMCG, because -- and there is another challenge. It was in the existing plant, without disrupting the ongoing production side-by-side with the existing plant, this -- the whole new plant, in the

same shed, it was erected and now the plant production has already been commissioned. The things we initiated by the end of last January. So within a year we have erected the plant and the trials, everything, in spite of other delays due to the non-availability of 10 people from China for commissioning the plant.

Management: Just one addition here. You see, for Andhra, we are taking our machinery from Germany. We are not taking our machinery from China. So that becomes a safeguard also because as you know, in this existing capacity in Hoshiarpur, the main delay was due to the factor that Chinese engineers couldn't visit India and then we are to get engineers from other countries from supplier. In the case of Andhra, our machinery is from Europe. So here that same challenge will not be taking place.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.

Rajesh Kumar Ravi: My question pertains to the MDF. I just wanted to understand which of the cost elements for Indian players put us at a disadvantage versus imported MDF landing at ports? Sir, in the MDF, what's my understanding is that we have a cost disadvantage versus the imported players. Is this understanding right? We mean the Indian manufacturers.

Sanjay Agarwal: You are saying we have a cost advantage.

Rajesh Kumar Ravi: No, disadvantage, disadvantage. We have a higher cost of production.

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Sanjay Agarwal: Cost of production over the exporters.

Rajesh Kumar Ravi: Over the imports coming in India.

Management: No, just -- Sanjay, I will try to answer. There are the main ingredients in MDF, the first and foremost is the timber, second is critical and third is necessity and fourth there's other overhead, manpower and all other things and then transportation, marketing, these all are there. So -- and comparative disadvantage against the imports like in the Southern India, the entire Southern India is surrounded by ports, there this is more glaring view and advantage otherwise in North India because...

Now like in between chemical prices drastically increased, that is gradually coming down. But the timber prices are increasing. So in that MDF, chemical component is little big and other things are more or less stable in India. And that way labour wise we are the cheapest in the world. And timber-wise, more or less at the moment, we're at par. In South India, timber is cheaper, in North timbers costlier. And the realization in north is better than south. So that compensates. So as the industry, we are like more or less at par with our counterparts all people elsewhere in China and other countries. And China, particularly they don't have surplus material now and timber, the MDF and particle board is not usually coming from China to India. This is coming from this Thailand, Malaysia, Vietnam, Sri Lanka, from these countries.

Rajesh Kumar Ravi: So what I understand is the pricing difference at the port, at the South India was this import versus domestic, the price difference is close to 10% to 20% despite -- and I would assume these suppliers who are exporting to India, they would also be looking at healthy margins, correct me if I'm wrong. So if they're making similar margin as -- domestic player. And if the price is different...

So what I'm saying, sir, South timber prices are lower versus north. So we are competitive. India is competitive on the timber pricing in southern markets. But despite that, the imported prices for MDF in south is at least 10% to 20% differential versus the domestic supplier's price. So -- and even the exporters to India would be making some profitability. So where are the -- why should this pricing difference sustain? What is -- why do -- no, why should our margin be...?

Sanjay Agarwal: No. There is one advantage to us, because particle board goes 100% to OEMs, and there is no brand

value. So they just see the product as a commodity and it is being used. But MDF, most of it nowadays goes to the retail market through the private dealers and new things and here the branding has a role to play because now we are catching at least 8% to 10% better sales in comparison to the imported products. And more or less same is with other [inaudible 1:03:34]

they're also fetching better price. So that advantage would remain with us. So that's an advantage there in MDF.

Moderator: Ladies and gentlemen, due to time limit, we will take last two questions. Request to all the participants to please limit your questions to two. We'll take the next question from the line of Nikhil Agrawal from VT Capital.

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Nikhil Agrawal: Sir, I wanted to know like how is the demand situation in – then till now in Q4 like in Jan, Feb till now?

Sanjay Agarwal: The demand situation of what -- which product?

Nikhil Agrawal: Across all segments.

Sanjay Agarwal: Demand is more or less stable. It is stabilized, is picking up because in last 5 years, our capacity more than doubled, but the entire production of all the people had been pending, like -- and the import is increasing during this year. In spite of increased import, we are happy to serve our whole product. Plywood, yes, in between, there was some challenges. But as far as Century is concerned, our volumes are constantly increasing. But when we see figures of some other people and more particularly unorganized. So there are some pressures. But as far as Century is concerned, we are sure that our volume would continue to improve.

Nikhil Agrawal: And sir, will you be looking at MDF exports; one, exporting MDF once the south plant comes in?

Sanjay Agarwal: Sure. Because that will be needed. From south we are planning more two things domestic market as well as export.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: The only one question I have related to the MDF. And just a clarification. From the Q-o-Q, if I look at the gross margin contracted 100 bps, whereas your EBITDA margin for the MDF contracted around 300 basis points. So what exactly from the gross margin to EBITDA in

between has increased, which lead to a correction in the EBITDA margin?

Nehal Shah: So the EBITDA margin contraction was higher than the gross margin contraction. Now that has to do with the advertisement spend as well, which has gone up almost significantly compared to corresponding quarter of the previous year.

Praveen Sahay: And you will maintain those numbers for a way forward.

Sanjay Agarwal: So generally what we do, the A&P spends are generally higher in the second half of the year. So then the trend generally remain the same. But this time it was higher than what we did corresponding quarter than previous.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr.

Sanjay Agarwal for closing remarks. Thank you, and over to you, sir.

Sanjay Agarwal: Yes. Thank you, everybody, for joining us on the call. We will be back after the full year numbers. Thank you so much.

Management: Thanks, everyone.

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Moderator: Ladies and gentlemen, on behalf of SKP Securities Limited, that concludes this conference.

Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2023

Date: 19th May, 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Audited Financial Results for the Quarter and year ended 31st March, 2023

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Tuesday, 16th May, 2023 for Audited Financial Results for the quarter and year ended 31st March, 2023.

This is for your information and record.

Thanking you,

Yours faithfully,

For Century Plyboards (India) Ltd.

Company Secretary

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"Century Plyboards India Limited Q4 FY '23 Earnings
Conference Call "

May 16, 2023

MANAGEMENT : MR. SAJJAN BHAIJANKA - CHAIRMAN
MR. SANJAY AGARWAL - MD AND CEO
MR. KESHAV BHAIJANKA - EXECUTIVE DIRECTOR
MS. NIKITA BANSAL - EXECUTIVE DIRECTOR
MR. ARUN JULASARIA – CFO
MR. NEHAL SHAH - CSO AND HEAD (INVESTOR
RELATIONS)

MODERATORS : MR. DEEPAK AGARWAL - PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Century Plyboards India Limited
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Moderator : Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Century Plyboards India Limited hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from PhillipCapital (India) Private Limited. Thank you, and over to you, Mr. Agarwal.

Deepak Agarwal: Thanks. Good afternoon everyone. On behalf of PhillipCapital (India) Private Limited, I welcome you all to Century Plywood India Limited Q4 FY '23 Earning Conference Call.

Today we have with us Senior Management represented by Mr. Sajjan Bhajanka - Chairman, Mr. Sanjay Agarwal - MD and CEO, Mr. Keshav Bhajanka - Executive Director, Ms. Nikita Bansal - Executive Director, Mr. Arun Julasaria - Chief Financial Officer, and Mr. Nehal Shah - CSO and Head (Investor Relations).

I will hand over the floor to the management for their opening remarks, post which we open the floor for Q&A. Thanks, and over to you, sir.

Sanjay Agarwal: Thank you, Deepakji. Thank you. And thank you for hosting this call also. Gentlemen, thank you everyone for taking your valuable time out for attending the Q4 FY '23 Century Plyboards Investor Conference Call.

I am Sanjay Agarwal, MD of Century Plyboards India Limited. I have alongside me, Sri Sajjan Bhajanka - Chairman, Mr. Keshav Bhajanka, and Ms. Nikita Bansal - Executive Director, Mr. Arun Julasaria - CFO, and Mr. Nehal Shah - CSO and Head of Investor Relations.

I presume that every one of you would have gone through our numbers in detail. Let me still brief you on the key highlights of Q4.

Despite the challenging demand scenario and sustained inflationary environment, CPIL managed to achieve the highest ever quarterly revenue of 962 crores, EBITDA of Rs. 176 crore, PAT of Rs. 113 crores for Q4 FY '23. Despite the sustained input cost pressure in timber prices in particular, CPIL's overall gross margin were higher by 220 bps on quarter-on-quarter basis to 34.2%. The company's EBITDA margin too were higher by 340 bps quarter-on-quarter to 18.3%.

The strong operational performance in Q4 was largely driven by Plywood division, which registered strong volume uptake in premium segment along with the Sainik segment, of course, thereby driving superior product mix and higher realization quarter-on-quarter.

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Our Plywood and Laminate segment revenue recorded 17.5% and 1.6% quarter-on-quarter growth, while MDF and Particle Board segment revenue grew 3.5% and 3.3% quarter-on-quarter for the quarter. Despite the surging timber prices, plywood EBITDA margin improved 42 bps quarter-on-quarter, largely driven by superior product mix quarter-on-quarter and operating leverage.

Laminate margins excluding BCG costs remained steady at 15.7% in Q4, while MDF margins gained 460 bps in Q4 driven by softening of chemical prices and Forex gains. Particle board margins were down 230 bps Q-on-Q driven by higher timber prices and lower realizations.

Timber prices continue to remain at elevated level, while chemical prices, particularly phenol, melamine, U.S. regime have softened a bit in last three, four months and are likely to further soften in near terms. Price increase taken in Q3 FY '23, Q3 and Q4 FY '23, plywood 2% price increase across all products except Sainik in January '23, laminate nil, MDF particle board nil. Our MDF Brownfield expansion at Hoshia

pur commenced operation in March '23, and we

expect the plant to see substantial ramp up in production over the next few quarters. Our South MDF CAPEX is running as per schedule and is expected to come on stream in second half of FY '24.

While our first phase of Greenfield laminate manufacturing unit in AP is expected to become operational in November '23, the Greenfield plywood project is likely to come on stream by Q4 FY '24. The upcoming Greenfield particle board project in Chennai with a revised capacity of 800 CBM per annum with an investment outlay of 500 crore is expected to come on stream by Q4 FY '25.

Our working capital stands reduced by two more days to 50 days in Q4 FY '23 on a sequential basis. FY '23 working capital days down to 53 days from 63 days in FY '22. We remain a net cash positive company with net cash position of Rs. 145 crore as on 31st March 23. Our Q4 ROC stood firm at 30.33%.

Despite the challenging business environment, the segment wise growth guidance is as follows. Plywood, 13% volume and 15% value growth. Laminate, 25% volume and value growth. MDF, 30% volume and value growth. Particle board, flat volume or maybe some degrowth in revenue. We maintain our near-term margin guidance for our business segment as under plywood 12% to 14%, laminate 12% to 14%, MDF 20% to 25%, particle board 20%.

Thank you, ladies and gentlemen . I now open the floor for question and answer .

Moderator: Thank you very much , sir. We will now begin the question -and-answer session . The first question is from the line of Pranav from Equirus Securities . Please go ahead .

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Pranav: Sir, I just wanted to understand on the plywood side . So, what drove the growth in plywood ?

And are we actually seeing market share gain coming in plywood , let's say , from the unorganized side? And even on the realization front , you have performed well in the segment . So, if you can throw some light on how the premium plywood had performed ? That was my first question .

Nikita Bansal: Thank you, and I will answer this question . So, see, plywood , the growth that has come because of the growth that we have been driving in Sainik as well as in the Century . We said in the past as well that both products will continue to grow , and Sainik, the growth will be faster because there is , it's playing in a larger market because it's the Delhi is about 40 % to 45 % for Sainik which is between Rs. 80 to Rs. 100 plus, whereas Century plays in a smaller market . So, but both will continue to grow .

We have been doing various strategies over the past few years . And in Q4 , definitely , we saw this, all these strategies finally coming to fruition, and we saw a good performance , and we hope to continue with this performance even in this year , but definitely not with the type of growth that we saw between Q3 to Q4 . That was a very big jump , because overall Q3 is a lower quarter for us because of festivity etc., everything. So, Yes, I hope I have answered your question .

And in terms of EBITDA, because you have to realize that our fixed costs remain the same and because we did exponential sale , we were able to give a very good extra for just this quarter , but it is not a sustainable EBITDA because seasonality comes into play . And we continue to maintain that we are going to try and deliver 12 % to 14 % EBITDA. So, as you know, the product mix of premium has improved in Q4 . We hope that this continues even this year.

Pranav: And then my second question was related to laminate . So, what kind of strategic level changes you are making in laminates , let's say , in order to grab incremental market share ? And are you also looking at now going after export opportunity as well ?

Keshav Bhajanka: Definitely. You know, in laminates

, we had a very tough year, and this has enabled us to introspect and look at what are the growth levels that we should be activating . So, we have already , as you correctly mentioned out , looked at a huge export market, which we are not catering to due to a lack of sizes , and we have taken the decision to go for two new sizes, 14 by 6 and 10 by 4. These larger size presses will be commissioned along with our Andhra unit which is going to add to our overall turnover and export substantially .

Alongside that in the domestic market, we are seeing those trend that are selling branded product to Plywood , and the fact that it has catered to the belly of the market . Similarly, in laminates , we are now launching or we have the launch this month launch Sainik laminates, and we are sure this will be a growth lever for us going forward .

Alongside the same , we are also launching our new catalog next month which is going to be industry first and has a number of innovations. So, all of these put together , we are confident of robust growth for the current year.

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Pranav: And sir, my last question was related to MDF . So, what gives you the confidence that you will be able to grow at 30 % on volume and value in FY '24? So, basically , some import challenges are impacting the industry , though the overall consumption continues to remain good . But this 30% kind of volume growth implies that you are expecting some market share gain. So, if you can throw some light on how this volume growth?

Sanjay Agarwal: Yes. You see, you have seen that in last six months , the international prices have come down . And the particle board industry has been badly affected . The particle board prices have gone down . So, you have seen the impact in the results also, but there has not been any change as far as MDF industry is concerned . The prices have gone down , but the MDF industry in India has not buzzed even 1 %.

The only change I believe is actually in times to come . Our product has already come into the market , our expanded capacity . Green Plywood's new capacity has come into production . I think by July or by August I think Action's plant will come into production , and there may be one or so I think some small plant also will come into production . So, all these are going to throw a challenge , but because we had the capacity , and the market is growing by 25 % per annum , so that is where actually because we have the capacity , everybody else does not have the capacity , you know, available to them .

So, that is why I believe that we will be able to grow by 30 % . And you know, I expect that by

the end of this year , the financial year, we will be able to utilize the full expanded capacity , but the average capacity utilization I think will be giving us this growth of around say 30 %.

We are quite confident . Otherwise, you see , we are a person . You see, you have seen that we are really not very too bullish a person . We are quite conservative in our approach usually . About this, I believe that yes , we will be able to , maybe in some quarter here or there , that might happen , but yes , we will .

Moderator: Thank you. The next question is from the line of Rahul Agarwal from InCred Capital . Please go ahead .

Rahul Agarwal: I think the panels was going through a bad phase . Plywood performance actually gives a lot of motivation . Firstly, one clarification on plywood . So, there is no capacity increase done in fourth quarter , right ?

Sanjay Agarwal: You see, we have been continuously improving our processes and few , you know, gap machines in our existing plans , and that's how we still have capacities available in our existing plants . But yes, now a big expansion in Hoshiarpur has been taken . And presently also , we have some capa

city . Even for this year , we are absolutely ready . Whatever growth is coming , we are ready with that capacity within our existing plants .

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Now this is a continuous , you know, plywood is not a very capital -intensive project . So, this is a continuously going on project in our company . This investments probably we at times we do not even plan in a big way and some small machine or some compensating machine is installed in plants and we get that benefit .

Rahul Agarwal: So, what I wanted to understand is the explanation given for plywood performance was more because of the sales mix was more from a demand perspective , was more because you were pretty strategic in terms of balancing out Century and Sainik both put together . So, I am assuming that the capacity what you had at start of January was not higher than what you had in 3Q , right ? And so the entire volume grow whatever we have seen is come from organic , and there is no debottlenecking capacity addition is happen ed in plywood . Is that correct ?

Nikita Bansal: Yes. So, even if you have seen Q3 , we were not at 100% capacity utilization . So, we have a capacity that is already installed which we are utilizing . We also have a very strong STM , which enables us to be able to cater to such spikes in demand . So, because of that we did not have an issue with respect to capacity .

We are definitely taking expansion within our existing plants right now . We are taking expansion , for example , our Chennai plant is going through a massive expansion , which will be probably ready by the end of this year . Hoshiarpur is a completely new setup that we are having . So, Yes, I don't think , you can say capacity remains the same. Utilization has improved .

Rahul Agarwal: And on the price hike , you mentioned 2% from January except Sainik, and I think ...

Nikita Bansal: No, actually that was a mistake . Sainik also went through a price increase . Sainik went through equal price increase as Century.

Rahul Agarwal: I thought last quarter you guys mentioned 4% in January for Sainik MR. That was only in South India . Isn't that correct ?

Nikita Bansal: So, South India, there was , so there are two products in Sainik. One is Sainik 710, which is the waterproof product , and then there is Sainik MR, which we outsource. So, Sainik waterproof is in-house . So, in January we took a price increase in all our product range . In South , especially in the Q3 , we had to take one because of raw material pressure that we face particularly in South , and in South we had not taken a price increase since a very long time because South never came under a price pressure . North had come in a price pressure last year massively . So, we were able to balance out the price there .

Sanjay Agarwal: It was my mistake actually . What's written here is very clear . Plywood 2 % price i ncrease across all products except Sainik MR. That was my mistake that I did not read out the word MR. So, that is how it got you confuse d.

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Rahul Agarwal: No problem , sir. Thank you for that . And lastly on laminates , again a clarification . So, the Andhra first phase is going to be larger sizes more for exports . You mentioned about , you know, how you want to grow the volumes for next year , but just the clarification on the margins . Sir, you mentioned 12 % to 14 % is the band you look for fiscal '24. Is that correct ?

Keshav Bhajanka: Yes. That is correct . You see we are launching a second brand , and initially , it can be ramp up to say 1 lakh sheet plus per month . There will be a lower margin in the Sainik brand. So, for this year, our guidance is slightly lower , but this is short term . I think for next year onwards , we will again be back to the same 14 % t

o 16 % trajectory .

Rahul Agarwal: And lastly on the CAPEX , there is some revision . So, just to get this right , particle board was earlier 1200 CBM . Now it is 800 , but pretty much the CAPEX remains the same at 500 crores .

Is that correct ?

Keshav Bhajanka: Yes. The CAPEX was 550 . You see, in these plants, just by reducing the type slightly on clicking the sides slightly , you will not get too much of a savings effect , but after a lot of discussion , after the current inflation environment , after studying what the market requires , we have fixed the size of 800 meters . We feel that this is going to be the best for us in the long term .

Moderator: Thank you. The next question is from the line of Venkatesh Balasubramanian from Axis Capital . Please go ahead .

Venkatesh B.: Can I request you to repeat your guidance once again ? I seem to have missed a few numbers . That is the first question . The second question is can you give segment wise what was your capacity at the end of FY '23?

Nehal Shah: Yes. So, for the guidance , plywood we are saying 13 % volume growth and 15 % value growth for the year . Laminate, 25% volume as well as value growth . MDF , 30% volume and value growth . Particle board , flat volumes and a little bit of decline in revenue . And in terms of margins , we are guiding for 12 % to 14 % in plywood and laminate division . MDF , 20% to 25 % , and particle about 20 %.

Venkatesh B.: The second thing was on the capacity which you have . If you could just say what is the capacity at the end of FY '23? And what is the capacity increase you're expecting in FY '24 and '25 in each of the segments ?

Nehal Shah: So, FY '23, plywood capacity would be close to around 3 ,30,000 CBM . Laminate is 8.8 million sheets . MDF is 3,13,500 CBM, and particle board is 72 ,000 CBM .

Venkatesh B.: MDF can you repeat , please?

Nehal Shah: MDF is 3,13,500 CBM . 3,13,500 CBM.

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Venkatesh B.: And particle board you mentioned ?

Nehal Shah: 72,000 C BM.

Venkatesh B.: What is the increase which is happening in each of these segments over '24 and '25? That is the last question .

Nehal Shah: So, '24, we will have , as Nikita also said , we are having capacity enhancements in a few of our existing factories . So, that will add up another close to 15 ,000, 20,000 CBM for the year . Then apart from that , we will have the Hoshiarpur capacity , which will come in , which will throw up 60,000 CBM for the year , which will come in by the end of this year . Laminate, the new export presses which will come in which will add another close to 8,55,000 sheets per annum , and MDF , as you know, the Green field capacity in South will add another 3,13,500 CBM in south of India .

Moderator: Thank you. The next question is from the line of Girish Chaudhary from Aventus Spark . Please go ahead .

Girish Chaudhary: Firstly, on the MDF, if you can give some color on the imports currently, and in terms of price discount versus imports if one compared with organized , where are we ? That is the first half of the question. The second half of the question is again on MDF. So, if I look at your guidance, the pricing assumption is essentially flattish for FY '24, but in light of the capacities which we have been talking of on imports, how confident are you of maintaining a flat pricing?

Sanjay Agarwal: So, MDF as far as the import is concerned , yes, about 20 ,000 cubic meter of MDF is getting imported . 20,000 to 30 ,000 cubic meter is getting imported in India right now . But you will see and we are also watching that there has not been any impact as far as the prices are concerned in the country , and there is not much of a pressure . So, that's why we maintain that there will not be a price decline or price cut as far as the immediate market is concerned .

But as a

nd when , you know, the new plants will be coming up , our plant will come up , which may be the end of this year . Action's plant will come up . Green's plant has already come in . So, all these will create some challenges . So, we will have to see how it goes , but I really don't see because this market is growing by 25 % , I really don't see big challenges . But yes, you are right in a way, that yes , there might be some challenges in the market , and we will decide that then when things come . So, we see as far as the MDF pricing is concerned , and I understand very recently the international prices have gone up by 7% again in last about a month's time .

Your second question was ?

Girish Chaudhary: So, essentially on the pricing outlook only, but what we have already seen is that while some of the domestic organized players including you have been able to maintain prices , but that has also come at the cost of volumes , right ? We are seeing a lower volume trajectory for some of you .

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So, but incrementally, like you said, you have a 30 % volume growth guidance. Likewise, some of the other companies also have a strong volume growth guidance. So, beyond a point, just wanted to understand that at what point where pricing decision will have to come in?

Sanjay Agarwal: You see, as far as volume is concerned, I really don't see that till March there was an effect on volume. April usually a month, you know, the whole year people have worked. So, in April somehow there is a psychological thing with all the salespeople. They relax themselves, and they go and enjoy. They do their annual meetings etc. So, all those things happen. So, April may be a little bit of a concern everywhere. You can see in the whole industry I think the same thing will happen, but till March, there was no volume issues.

And in coming time, you see, I don't see because, you know, most of the MDF manufactured in India is totally consumed in India. So, I really don't see much of a problem as far as the volume is concerned. But yes, in a way, you are right. So, much of capacity is coming. Yes, there will be some challenges, and challenges will be there, isn't it?

Girish Chaudhary: Secondly, I also see, just a clarification that your MDF CAPEX for the South plant has seen an increase of around 100 odd crores. So, any reason for the same?

Keshav Bhajanka: Yes, there are a couple of reasons for the same. First, of course, is the overall inflation environment. The cost of a number of commodities, steel, cement etc., have gone up substantially.

Secondly, we have redesigned the unit so as to get a lot of economies of scale when the second line comes up. We have taken some costs in case one which will reduce the cost of the second line as and when it comes up. So, because of this, this cost has been front loaded, but in the long term, it will save us substantially when line two comes up in Andhra.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: So, couple of questions. First is, sir, I just wanted to check on Sainik Laminates. I think, I believe it has been launched in a few markets. So, how should we look at the positioning of this new brand? That's the first question.

Keshav Bhajanka: You know, Sainik Laminates, the thought process behind Sainik Laminates was the tremendous success we have had in Sainik Ply. Through Sainik Ply, we have been able to enter the value of the market so to speak and gain volume traction in the category in which we were never present in plywood earlier. So, Sainik Laminates is not with the same objective, and I think the response has been fantastic, but we are taking it slow, as you correctly mentioned. We have been going market by market. We have not done it in full launch so to

speak.

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The reason behind this is we want to gradually scale up, and we want to ensure that there are no issues with regards to service, with regards to product etc., etc. But I think towards the end of the year, you will see Sainik really scaling up as far as laminates is concerned.

Ritesh Shah: Would it be possible to provide some color from a pricing differential standpoint and basically like historically, we have seen Sainik Ply do actually wonders for the company. So, is the thought process something similar over here as well?

Keshav Bhajanka: We are launching this in a slightly different module to the current module of Century laminates. So, while that is more of a distribution-based module, this will be based more out of a dealer module. And you know, the pricing will be very different because the margin structures are completely different, but I think that you can assume that there will be 10 % to 15 % pricing difference at the minimum.

Ritesh Shah: This is helpful. And my second question is on CAPEX. I think, if you could detail a little more, you indicated like the CAPEX has includes for the AP MDF plant from 600 crores to 700 crores. Is there some breakup which is possible? Or is it, are we looking at the optionality second phase of expansion which is going to be far more? I am just trying to understand it from a CAPEX intensity on a per CBM basis to make sense of the increase in CAPEX?

Keshav Bhajanka: Definitely. So, you know, initially, we had planned for a shed that was somewhat smaller. Then when we went for layout designing, when we went for the reworking, we saw that by increasing the shed area by close to 10 %, 12% we could save on 30 % of overall shed area considering line two. So, because of this, it was redesigned. If you look at it, the dispatch structure for this current shed of line one will take into account line two comfortably as well. So, we are looking at a cost sitting in the long term, but short term, for the same capacity that we have, there has been a cost escalation.

Ritesh Shah: And it has been a little bit of change on the particle board CAPEX as well from 5.5 billion to 5 billion. Any specific thoughts over there? That would be my last question.

Keshav Bhajanka: Yes. In particle board, you see, you need to look at the availability of timber in any particular location. We felt that a larger capacity than this would lead to an issue for us in terms of timber availability and lead to a higher overall cost of production. As such we optimized the capacity

to 800 cubic meters . Of course , with this 800 cubic meters rated capacity , the objective will be to produce in excess of 900 and pass even these 1,000.

Regarding the CAPEX , as I have already mentioned , due to the overall inflationary environment , the CAPEX is higher . If the raw material prices had been lower as they were say a year, year and a half ago , the CAPEX could have been limited to slightly lower . But we will be well within the overall approved budget of 550 crores .

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Moderator: Thank you. We have the next question from the line of Achal Lohade from JM Financial . Please go ahead .

Achal Lohade: My question was on the MDF . You know, given the Brownfield expansion is done 3 ,13,500 capacity now for the full year in addition to the new Greenfield , the 30 % volume growth seems to be conservative . So, you know, does it mean that we are going to operate at 65 %, 70% significantly below what we operated in , let's say , in third quarter or fourth quarter ?

And second question I had with respect to market , if you could give what was the FY '23 industry volume when you talk about a 25 %, 30% growth , if you could talk about industry volume as well, and apart from that , the 30 % volume

growth for MDF segment for FY '24 for us?

Keshav Bhajanka: So, actually with regards to the new capacity , you see , any new capacity , it's not very easy it will do 100 % within the virtue of operation itself . You are correct . We are looking at 65 %, 70% utilization of the expanded capacity of the second line that is coming in . The first line will be continuing at 100 % plus. So, overall we will be consuming close to 50 %, 60% of the expanded capacity plus 100% of the first capacity . And by next year , we should be looking at a far higher overall capacity utilization for both lines put together .

Regarding the overall size of the market , I think , Nehal can take it up.

Nehal Shah: The size of the MDF Market by the time we ended last year should be near the 2.5 million CBM .

Achal Lohade: And what would that be , Nehal, in FY '22?

Nehal Shah: That would have been close to 1.9.9 million CBM or so.

Achal Lohade: And this 2.5 will include the imports or imports are in addition to this ?

Nehal Shah: No, no, that will include imports as well , which was not much because the imports came handy only after September onwards.

Achal Lohade: And the second question I had was with respect to Sainik. Can you share some more sense in terms of, you know, the mix in terms of volume value or the growth what you have seen in FY '23 in Sainik?

Nikita Bansal: So, this is the data we don't like to share . So, Yes, thank you for the question .

Moderator: Thank you. The next question is from the line of Kuber Chauhan from Anand Rathi . Please go ahead .

Kuber Chauhan: Couple of questions though I have , I mean , on sequential basis , we have seen the MDF revenue has been declined , but on margin , and if you look at margins , it has expanded . So, what has led

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to that expansion ? Because if you compare with our competitors , they have degrown , right ? So, what has led to that expansion ?

And second is on the Andhra plant , which will be coming in second half of FY '24, which is this year. So, what would be the utilization for that plant ?

And thirdly , what is your outlook on timber prices right now ? Because the competitors are saying that it will, you know, increase further . So, how we are looking at it ? And how we are going to mitigate it ?

Nehal Shah: So, if you look at the gross margins in MDF segment, they were up by almost 400 bps, and this was largely driven by net savings in raw material cost . So, by net savings and normal cost , what I mean is the chemical costs were down . At the same time , the timber prices were higher , but even despite the fact that timber prices were higher , the savings in the chemical cost was much higher compared to timber . And hence , there was savings and there was improvement in gross margin . Then there was also a 100 bps positive impact because of Forex which led to overall 400 bps expansion in gross margins . And if you look at EBITDA margins , they were up for 60 bps Q-o-Q at 27 % . This was largely driven by spurt in the gross margins .

Sanjay Agarwal: Regarding the timber prices, I will request our Chairman is online. So, if Sajjan could expand a little bit on that?

Sajjan Bhajanka: Yes. As requested by Sanjay, actually in Century Plyboard, from the very beginning , we have supported increase in the timber price, not like other people because we feel that farmers would only grow timber when it is giving them better yield in comparison to the cash crop, and as the demand is increasing, we should support the like growth for tree and the plantation . So, we are

already open in increasing the price of timber . We are giving more price.
We started our Hoshiarpur unit by paying 3,000, Rs. 3 kg for the timber . Now we are paying Rs. 6.50 per kg of timber . So, I think we should continue . And now our other players in the industry have also r

realized that unless we give a competitive price , there won't be sufficient plantation .
So, that is the thing , and it is not only in India . Everywhere is, in Vietnam , in China , everywhere price of timber is increasing. So, I think there would be balance and which realize better price for our products from the market .

Kuber Chauhan: Sir, how do you look at FY '24 regarding these prices? Is it going to...

Sajjan Bhajanka: Now because there was a very average increase in the timber prices for some time in future to come , this will continue at the same levels only. And now there is huge plantation taking place in UP, in Southern India , in many other parts of North India . So, I think for time to come , there demand and supply will be quite balanced .

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Kuber Chauhan: And thirdly , I wanted to understand regarding the Andhra plant which will be coming in second half. So, what would be the utilization in the second half ? And going forward in FY '25, what would be the utilization ?

Keshav Bhajanka: You see when we say second half of the year , we are looking at perhaps late Q3 or mid Q4 . Now in either of these scenarios , we don't really get much time to run and ramp up the capacity there .

So, any meaningful impact from Andhra will only come from FY '25 onwards .

Kuber Chauhan: And the peak utilization in which year we can expect ?

Keshav Bhajanka: The peak utilization should come at 80 % , 85% in FY '26 and higher in FY '27.

Moderator: Thank you. The next question is from the line of Mohit Agarwal from IIFL Securities . Please go ahead .

Mohit Agarwal: So, most of my questions have been answered . Just one follow-up on a previous question on Plywood industry. So, in the light of increased timber prices , could you give some color on how the industry growth has been in FY '23 and in the past couple of quarters especially ? And how has this unorganized segment been dealing with this timber price increase ? So, how have been their utilization level ? So, any color on that if you would give ? The bottom line what I want to understand is that in such situations , does the top players like you have an advantage of gaining accelerated market share ?

Sanjay Agarwal: Good question . You see even the smaller player , there have been few units who have closed down . But the transfer from unorganized to organized in our industry is a slow process because the interest of the dealer is very high in the unorganized segment . We are trying to now we are coming up with TVC's advertisement where we will be actually educating the customer also now. So, yes, but some transfer since we have gone into the belly of the market through our product known as Sainik, we have been able to transfer quite a bit of percentage as on today . You see, when we started say about three, four years back , we used to see that Century Plywood was about 4.5% of the total plywood market . Today we are estimating it to be 8% or 8.5 % of the total plywood market . So, you know, the transfer is , shift is happening . But yes, it's low . It's not to our expectations .

So, what was your second question ?

Mohit Agarwal: I am trying to understand , you know, how is the unorganized segment dealing with this , like have their utilization gone down?

Sanjay Agarwal: Yes. So, you see , I have seen that a few of them , very, very few of the unorganized segment is trying to become an organized segment in their own local districts like in local state or local districts . So, one brand has come up in West Bengal . You will find one brand has come up
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somewhere in Punjab or one brand is coming up in Andhra or Bombay . So, that is what we will find.

So, all, maybe few five or ten units will become local brands . But yes, whatever price increases they took because

of this timber price increases have fallen flat . They have gone back . But this will have a long-term impact . They will not impact them immediately . They will not have a problem immediately , because they have made money earlier. But yes, this will have a long-lasting impact on them .

Sajjan Bhajanka: And there are totally different this thing , price zones , price levels for the MDF and for plywood . So, plywood we need bigger like diameters , and that price is different . That is now covering around Rs. 11, Rs. 12 a kg , and plywood there are vast unorganized sector . But in MDF , I don't

see a big presence of the unorganized sector . So, most of the players are in the organized sector only. So, here is the disparity in the price on the regional basis .

At the moment , the relation in North India is better , and the price of timber in North India is also better . Realization for MDF in South India is lower , but the timber prices are also much lower . So, almost 50 % of the North India . In South India still we get timber for Rs. 3.50 or something per Kg. So, that is the difference because South India , the timber like plantation and agriculture tree was earlier serving to the paper industry . So, the volume is big, much larger and still the industry exists along with the paper industry . The raw material and pricing the same .

Mohit Agarwal: Sorry , sir.

Sajjan Bhajanka: The raw material for paper industry and the pricing of the raw material is more or less same. Only paper they buy debarked timber . So, where is the debarking cost and the loss in volume because your debark is added with the price .

Mohit Agarwal: This is very , very helpful , and just last bit, sir. Are there any estimates on the plywood industry growth for FY '23?

Sanjay Agarwal: This is a very , very gray area actually . So, I always certainly tell that there is no data , authentic data available as far as MDF is concerned , because there are very few units . There is authentic data absolutely available . As far as laminate is concerned , still there is some data . Particle board, yes, there is some data , but plywood is a totally gray area . But we estimate that yes , it's growing at about somewhere between 5% to 10%.

Sajjan Bhajanka: Because our at the moment , the total Plywood volume is around 10 million cubic meters , where as China's is 200 million cubic meter . And in population , we have almost matched China .

And our middle -income segment , upper middle class , lower middle class are expanding very fast. So, when housing is the thrust of the government and the country , so I am very optimistic about a very robust growth , and gradually growth will pick up .

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From now, the growth of plywood , even MDF and particle board, all will grow in tandem . And at least I don't see any reason that presented to China at least we shall not reach half of the present -day China's capacity in next 20 years . So, if we target a 100 million cubic meter in 20 years , then from 10 to 100 , the growth has to be reversed .

Moderator: Thank you. The next question is from the line of Hrishikesh Bhagat from Kotak Mutual Fund . Please go ahead.

Hrishikesh Bhagat: My question is , if we look at it clearly , this year we have seen worst of the timber price inflation , and if I look at the initial part of a statement on the outlook side, clearly you indicated probably timber prices could remain stable in and around this level . So, against this backdrop , how should we see your plywood EBITDA margin guidance , which is at 12 % to 15%, 14%, if I am not wrong , 13% to 15 % slightly lower than what we reported even in Q4 margins ?

Nikita Bansal: So, see, we have always said that we will deliver between 12 % to 14 % , because that's a conservative figure that we want to take . We will keep striving to do better like we did

in Q4 ,

but our guidance will remain 12 % to 14 %.

Hrishikesh Bhagat: And so, is there anything that makes you cautious on this thing in the sense or just wanted some insight on that ?

Nikita Bansal: Sorry . I didn't understand this question.

Hrishikesh Bhagat: Is there anything that makes us cautious that we are guiding at the lower end compared to the exit margins ?

Keshav Bhajanka: Hrishi , if you look at the exit margins, it has been an extremely good quarter with some very good robust volume growth . So, this is something that will not be repeated quarter -on-quarter , but, you know, definitely , raw material prices have been inflated. The hope is that they will not increase much far beyond the same as has been indicated by both the chairman and the MD. But we are taking it with a pinch of salt . So, it's better to err on the side of caution . If it does not happen , then definitely you are correct, the margin should be slightly higher . But as of now , there is no clear visibility . If timber prices remain like this , perhaps we will do better , but our guidance is 12% to 14 %.

Hrishikesh Bhagat: The second question is on the similar aspect . Clearly , there will be likely to be increased plantation that was hinted by the given guidance as per the initial part of the commentary . Now when I look at say 12 to 15 months down the line , a large part of this improvement in plantation should help us in terms of that timber prices should taper down . Now do you feel that considering the ad spend and spending on brand that we had done over the last two years , will you be able to retain part of this savings in the timber cost going forward say 12 to 15 months down the line when timber cost actually corrects ?

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Keshav Bhajanka: Hrishi, you know, when we look at the overall growth in the base volume and the economies of scale that brings, definitely there should be an improvement in the bottom line. But the cycle might be a little bit longer. It might not be 12 to 15 months. It could be slightly longer because the plywood cycle is a little longer than the MD F and particle board cycles.

Hrishikesh Bhagat: Sorry. So, Keshav, I am not asking on the cycle front. I am talking from the point of view of the, if timber prices moderate from here on, will you be able to retain those savings?

Keshav Bhajanka: Yes, but you are facing that on the increased plantation that will come into availability, right?

Plywood will take a little bit longer because the cycle is longer. For MDF and particle board, you are looking at four years. So, plywood, you are looking at six years plus. I am saying that once that correction does take place, we are sure that it will in the long term because tremendous amount of plantation is taking place. I mean, you drive across Punjab. You drive across Andhra, and you will see the sort of increase in plantation activity. So, going forward, once the price is correct, definitely there is a scope for improvement in gross margins and EBITDA margins.

Nikita Bansal: But having said that, I will add one more thing, that we want to keep growing plywood. And if we want to keep growing plywood, we need to keep investing back into the business. So, in order to do that, we need to keep investing into brand building, we need to keep investing into our different influencers that we have. We need to keep investing into our go-to market. So, in order to do that, even if the saving comes down the line through raw materials, we will probably still try to maintain 12% to 14% because we want to invest back and grow our revenue more.

Moderator: Thank you. The next question is from the line of Kushagra from Old Bridge Capital. Please go ahead.

Kushagra: Just two questions, both on the MDF. One is with your South plant coming in, how different would be

your COGS per CBM for the South plant versus North plant? Or if you want to give a total cost per CBM for South plant versus North plant once that plant operates on these normal utilization levels broadly?

Keshav Bhajanka: You see, the difference in timber cost is anywhere between Rs. 2,500 to Rs. 3,000 per ton. Now we roughly calculate that 1.7 tons of timber is used per CBM. So, that translates into anywhere between Rs. 4,250 to Rs. 5,000 change in COGS by virtue of North versus South.

Kushagra: And the second question is more on the market share aspiration in the MDF segment because clearly, you have the balance sheet in your favor and a lot depends on where you want to be in the India's MDF landscape. So, are you sort of working on certain number and I am asking beyond two years because if you have any thought process as to where you want to be in terms of market share, in terms of capacities in the MDF? Because capital employed on this business has clearly surpassed plywood segment, and it's almost going to double from here on in next two years, but after that you still would have a significant balance sheet support and the cash flow

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support as well. So, just getting a little perspective as to how you are thinking about this whole thing.

Keshav Bhajanka: You see, the Chairman has always guided a turnover vanity, profit vanity, but cash is reality. So, we are a proven company, and we don't normally go in to massive risk taking, but yes, our ambition is always to gain market share. We will attempt to be one of the largest players in the industry, if not the largest player. But having said that, we are not going to take undue risk towards that. I hope that answers the question.

Kushagra: Any number you would like to highlight on this?

Keshav Bhajanka: Currently, we would be expanding to close to 1,900 cubic meters per day by the end of this financial year, and in particle board in the next financial year, we will be expanding to a total of 1,000 cubic meters plus. So, we will already be looking at a 3,000 cubic meter. After that we will take some time. We will study how the market goes and then take decisions.

Sanjay Agarwal: Here again, I will request Sajjan, because he has a thinking about the MDF marketing future, how it will evolve as far as, you know, the whole industry is concerned. So, Sajjan?

Sajjan Bhajanka: Yes.

Sanjay Agarwal: I think that will be better to give them a perspective.

Sajjan Bhajanka: Actually, I am always very optimistic, and I am feeling that we are at the right place at the right time because our next few decades belongs to India, and in all the directions we have to progress, we have to grow and grow and grow. All the factors are supporting us. The population, the increase in the expendable income of the masses, and it is a vicious circle. So, the whole thing like we are producing more, we are consuming more, we are giving more employment, we are engaging the salaries, people are saving more. So, this, the whole circle is created.

And then the next thrust would be for the country infrastructure and housing because roti and kapda, there are limitations. In a short span of time, these things cannot change much. It's basically the habit of people and the spending pattern. So, in clothes and in the home cannot

change much . So, whatever the saving this thing , it would be spent on the entertainment , education of their children , and to a great extent on the housings .
So, I am sure in the next 20 years , each and every Indian would have a house of these requirements smaller to bigger , and the people presently in smaller house would move to the bigger house and bigger in the regular or something . So, this will go on and with every change , they will need new furniture and then a whole lot of other

things , white goods , other things , car,
TV, paint .

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So, this will support Indian economy in a big way . And plywood , you know, as soon as the house is constructed , next our role comes . And along with us , all the glass industry , paint industry , all those piping , cement, they all come into existence . So, I see a great future.
And I remember in the year 1993 where these things , this trend started in China , then the material from all over the world was going towards China . From India , we started exporting plywood in a big way to China . I remember at that time , the prices in India for plywood increased by 50 % in less than six months . So, that was so hefty demand , and that cycle continued for a very long time.

But China could augment their plantation , put their own manufacturing capacity , and very soon they started meeting their own demand . And not only that , but they have also become biggest exporter of plantation timber as well as the plantation product , MDF, particle board , plywood . And I think we are also capable of repeating that and cheap labor is in our favor because when I first went to China in 2007 , their wages is Rs. 3, 000 a month . Now our wages is around Rs. 50,000 a month. China 's wages is at Rs. 50,000 a month.

So, there is sea change, and this will continue because it is intentional on the part of Chinese government to make it more equitable to give more income to the people . So, they are intentionally doing it . Almost they are increasing the wages at the rate of 20 % per annum , whereas in India estimated demand and supply and increase less than 10 % in a year . So, this gap would continue widening . So, our production now for the low take items , India will become production hub for the whole world . Like earlier it was China , from Japan it migrated low tech to China , and then the Philippines , the Thailand and Malaysia and other countries , and gradually now the low-tech items would move towards India and neighboring countries , Bangladesh, Sri Lanka, Nepal . So, this will general development . So, I am sure future is ours for next at least two, three decades , we still have very good time .

Moderator: Thank you. Ladies and gentlemen , this would be the last question for today which is from the line of Aasim Bharde from DAM Capital Advisors . Please go ahead .

Aasim Bharde: Just two questions . First, I just wanted to understand the 2% higher value growth in plywood versus volume expectation in FY '24. So, basically the 15 % value , 13% volume is what you said. So, my sense was since Sainik was and will grow faster , so that should explain volume , but value growth should ideally be lower . So, any sense on the gap here? Is it a base thing or is there anything else that I should ...?

Sajjan Bhajanka: You know, like volume and the price are two different . By and large , every year we increase price . One or two revisions are there in price level . So, the growth in the price ...

Nikita Bansal: I think what he was trying to say also is that we end up taking one or two price increases due to the timber cost etc., everything . So, hence , the value growth because of the price increase will
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be higher than the volume growth. So, it has nothing to do with the Sainik and clock time issue . It is more to do with the price increases that we take .

Keshav Bhajanka: So, if you look at the average realization for plywood is up by 5% in FY '23 as compared to FY '22. So, I think that's sort of , you know, compensated for the product mix .

Aasim Bharde: And secondly on the CAPEX front , so FY '24 will be a big year for Century Ply, but on the financing bit , will almost all of it be internal accruals with minimum long -term debt ? Or should there be some , you know, like, of course , in

your presentation , you have mentioned a long -term debt number of 70 odd crores for FY '24, but that is in buyer's credit . So, just want to understand if there is any upside with the consolidated debt number , if any , for Century?

Sajjan Bhajanka: Like for MDF or for even particle board , most of the machines are being imported , and against the imported machines , we are allowed to get batch credit . So, like machine imported , then we can roll over the buyer 's credit to next three years . And during that at our comfort level , we can repay buyer's credit at any time , and usually , what we have seen starting from our Hoshiarpur

plant , so whatever bad credit was there , we liquidated that out of our generation . So, we had not to resort to the term loan for CAPEX like in the past , and same thing we are expecting like the machines for MDF and particle board for Andhra and Chennai would be imported . We shall get buyer 's credit , and this would liquidate in three years out of our own

Keshav B hajanka: So, I think, you know, as the Chairman has correctly put it, we had planned we roll that by the next two years. However , after the addition of the particle board expansion in Chennai , I think we could be looking at a net debt figure of close to 400 crores to 500 crores by the end of FY '25. However , considering our strong cash flow generation , that debt wouldn't be on the books for too long .

Aasim Bharde: 400 crores to 500 crores at the end of FY '25, net debt , right ?

Keshav Bhajanka: Yes. Net debt.

Moderator: Thank you, sir. Ladies and gentlemen , as that was the last question for today , I would now like to hand the conference over to the management for closing remarks . Over to you , sir.

Sajjan Bhajanka: Yes. Thank you, ladies and gentlemen . Thank you for all your wishes and your time . Looking forward to meet you next quarter . Thank you.

Moderator: Thank you very much , sir. On behalf of PhillipCapital (India) Private Limited , that concludes this conference call. Thank you for joining us and you may now disconnect your lines . Thank you.

Call: Aug 2023

Date: 10th August, 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Unaudited Financial Results for the Quarter ended 30th June ,
2023

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Monday, 7th August, 2023 for Unaudited Financial Results for the Quarter ended 30th June, 2023. This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
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"Century Plyboards (India) Limited
Q1 FY2024 Earnings Conference Call "

August 07 , 2023

ANALYST : MR. NAVIN AGRAWAL – HEAD, INSTITUTIONAL
EQUITIES - SKP SECURITIES LIMITED
M

MANAGEMENT : MR. SANJAY AGARWAL - MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER - CENTURY PLYBOARDS
(INDIA) LIMITED

MR. KESHAV BHAJANKA - EXECUTIVE DIRECTOR -
CENTURY PLYBOARDS (INDIA) LIMITED

MS. NIKITA BANSAL - EXECUTIVE DIRECTOR - CENTURY
PLYBOARDS (INDIA) LIMITED

MR. ARUN JULASARIA - CHIEF FINANCIAL OFFICER -
CENTURY PLYBOARDS (INDIA) LIMITED

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Moderator : Good day ladies and gentlemen, welcome to the Century Plyboards (India) Limited 's Q1 FY20 24 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Navin Agrawal – Head, Institutional Equities at SKP Securities Limited . Thank you and over to you Sir!

Navin Agarwal : Good afternoon ladies and gentlemen. It is my pleasure to welcome you to the financial results conference call on behalf of Century Plyboards and SKP Securities . We have with us Mr . Sanjay Agarwal - Managing Director and CEO along with Mr. Keshav Bhajanka - Executive Director , Ms. Nikita Bansal – Executive Director, and Mr. Arun Julasaria – Chief Financial Officer. We will have the opening remarks from Mr. Sanjay Agarwal followed by Q& A

session . Thank you and over to you SanjayJ !!

Sanjay Agarwal : Thank you Navin Ji for hosting the concall for Century Plyboards . Good afternoon friends.

Thank you everyone for taking out your valuable time for attending the Q1 FY2024 investor conference call for Century Plyboards (India) Limited. I am Sanjay Agarwal, MD & CEO of the company. I have alongside with me Mr. Keshav Bhajanka, Ms. Nikita Bansal – Executive Director, and Mr. Arun Julasaria – CFO of the company. I presume that every one of you would have gone through our numbers in detail. Let me still brief you on the key highlights for Q1 FY20 24. Results for Q1 of FY 2024 are in line with prevailing market scenario. On year-on-year basis we could hold up our topline. Results are not comparable quarter -on-quarter basis as fourth quarter is historically best quarter. On year-on-year basis the topline is almost maintained at Rs.882.39 Crores against Rs .881.48 Crores, blended EBITDA margin stood at 15.9% against 17.2%, profit after tax was Rs. 84.11 Crores against 96.47 Crores. Despite difficult market situation plywood has done well with improvement in topline as well as EBITDA margins. On year -on-year basis the topline improved from 474.75 Crores to 488.57 Crores and EBITDA margins improved from 10.4% to 13.6%. We expected 6 to 7% volume and approximately 2.5% price hike. We expect 8 to 10% growth with sustained EBITDA margin of 13 to 14% approximately after taking care of increase of raw material prices. Increase of raw material prices in laminate for addressing need of high-end market we have partnered with celebrity designer Manish Malhotra and have launched new range designed by him. For economy market we have introduced Sainik laminate s. In current quarter we incurred expenses for launching the se new ranges, benefit for which will come in coming quarters.

While gross profit on year -on-year basis was almost flattish the EBITDA margins reduced from 13.4 to 10% mainly on account of aforesaid launching expenses. With introduction of Century Plyboards (India) Limited
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new ranges for targeting specific new market segments the overall performance of laminate division will improve in coming quarters. We expect annual growth of 12 to 15% and EBITDA margin in the range of 13 to 15%. On Y -on-Y basis MDF revenue improved from

155.60 Crores to 166.77 Crores and EBITDA margins are reduced from 34.9% to 26.2%. The margins are reduced mainly due to increase in raw material prices which could not be passed on. In order to improve profitability company is focusing on value added products. The volume of premium MDF is planned to increase by 40%. We shall also be launching fire resistant MDF which apart from all other

features like bor er proof, termite proof of premium

MDF will be ultimate MD F in terms of quality and features. Our second line at Hoshiarpur is now stabilized. With aforesaid planning we expect volume growth of 20% in coming quarters with increased share of premium product margins are likely to remain stable and take care of further increase in cost. Particle board is suffering both on revenue and profitability. On Y-O-Y basis revenue is down from 51.07 Crores to 39.46 Crores and EBITDA from 36.1% to 22.7%. We are trying to combat erosion in profitability caused by increase in raw material prices and market conditions . On Q-on-Q basis while revenue slightly increased from 37.25 Crores to 39.46 Crores, EBITDA margins improved from 18.1% to 22.7%. We expect improvements both in revenue and margins in coming quarters. The scheme of moving off Logistic (CFS) Division to SPV is still to be finally approved by N CLT and hence effect of the scheme will be given once the scheme is approved. Scheme once approved will be retrospectively effective from appointed date of April 1, 2022. With these remarks I will open up to all the questions and answers to all the people online. Thank you.

Moderator : Thank you very much. We have our first question from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal : Good evening and thanks for the opportunity. Sir two questions firstly on the capex update could you update us across the plants I think for plywood there is a plant expected in northern India expansion plant and within south the laminate and MDF that is my first question ?

Keshav Bhajanka : So basically in laminate in south India we have slightly delayed our target was to complete the expansion in H1 , but now it is looking more likely that we will commission the line in Q3 and this is the reason why we had to temper our growth projections in laminate s. For MDF our objective was to have plant operational by H 2 of this year and we are more than on line with the same . So I think we will have commercial production for the new MDF line in the south within this current financial year.

Rahul Agarwal : For the plywood expansion in Hoshiarpur ?

Nikita Bansal : The timeline for that is probably by Q1 of next year.

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Rahul Agarwal : MDF Keshav if you could just be more specific like second half are we expecting it to happen in 3Q or 4Q ?

Keshav Bhajanka : I am trying to get it operational as soon as possible, but yes we should have it early in Q4.

Rahul Agarwal : Got it and secondly on margins when I look at margins ex laminates gross margins are down

I am assuming this is largely on account of timber and if I look at EBITDA margin ex particle board I think most of them are down, laminates as you explained it is more because of one-off expenses this quarter but just wanted to know will that sustain in terms of recurring expenses in the balance of the year on laminate and on plywood full year if you could help us with margin estimates across all segments that will be really helpful? Thank you.

Keshav Bhajanka : In laminates you see the expenses are going to stay because we have created like the MD had said a new prime in Sainik Laminates which we have just launched. We have also launched a new catalogue with a lot of advertisement behind it with a tie-up with Mr. Manish Malhotra being the first such in the industry but having said that the volumes are going to be looking up going forward and I am sure that we will get back on track towards 13 to 15% EBITDA margin over the course of the year. In plywood we have guided for 13 to 15% and I think we are very well on track.

Rahul Agarwal : MDF and particle board ?

Keshav Bhajanka : In MDF and particle board, MDF we have guided that we should be at 25%, we have tempered it to 25%, but I think

that we will be able to maintain the same and in particle board we have given a guidance of 20% which we are aiming to achieve.

Rahul Agarwal : One small question on the demand in last we spoke on the earnings call in May it looked like ply and laminates were all okay but what has really changed apart from timber going up I understand the delay in new expansion, but from the existing plants purely from a demand perspective what has really changed here?

Keshav Bhajanka : So basically I think this interest rate increase or the series of interest rate increases are somewhere hit the ability to transform from house to home. What I mean is real estate sales are good but people are deferring the decision to do up houses perhaps because of the additional burden that increase in interest rates is causing and I think that has led to a little bit of the exuberance that were there in the economy or in the real estate segment to go away as far as building material products are concerned but I think this is a short term phenomenon it should come back on track sooner rather than later.

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Rahul Agarwal : I get that. Thank you so much. All the best. I will come back in the queue.

Moderator : Thank you. We have our next question from the line of Achal Lohade from JM Financial.

Please go ahead.

Achal Lohade : Yes good evening. Thank you for the opportunity. Sorry if the question is repetitive. If I look at the last call May 2023 mid-May actually we were talking about say plywood 13% volume growth but now we are slashing it to 6-7%, so what I was trying to figure out is this new guidance is going to the extreme conservativeness that is why 6-7% otherwise have things really materially changed in last couple of months as much to have such a sharp cut in the volume growth guidance across the segments actually?

Nikita Bansal : So whenever we give guidance we give a guidance of value, so when we have given a guidance of 13% this time we are saying 10% and that is on overall year basis because of a muted Q1 but our effort will be to achieve 13% because we are trying to make up the shortfall that we had in Q1 compared to our expectation. I think we have done good in Q1, but our expectations were far better so in order to meet up those expectations Q2, Q3, Q4 is going to help us bridge the gap. All endeavors are on, we are already seeing positive signs, but we will have to see how the rest of the year plays out so in order to compensate the Q1 we mentioned 10% not 6-7. I think 6-7 was in terms of volume plus value so if you combine that, it is 10%.

Achal Lohade : Yes so 6-7% is the current volume growth guidance for full year while it was 13% in the last call actually for FY2024 so that is why I said substantial cut in the volume growth. If I look at laminate we had clocked about 25% volume growth we have not given volume growth guidance at least in the press release for laminates that is the reason I am asking. The same is the case with MDF 30%, two-thirds is 17% volume growth, implied volume growth for FY2024 so I am just trying to figure out. Obviously you said that the first quarter performance is not as good as what you were expecting but what I am trying to understand is the underlying reasons why it is because in last few quarters we have done a substantial performance compared to peers so I am just trying to figure out was that due to certain levers which are kind of exhausted and that is why this seems to be a new normal?

Keshav Bhajanka : You seen in laminates the basic reason for this lower guidance is because we are expecting the new capacity to come on board a little earlier and that capacity is now being deferred. In

MDF as well the reason for the temper expectation because our line is taking a little longer to streamline . We have faced certain issues

but now the line has streamlined so that has impacted and it has deferred our ability to look at higher sales because one quarter we have suffered so I think the impact that you are talking about is predominantly due to the fact that yes there is a slight sluggishness but our capacities have also gotten slightly deferred which
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is hindering our growth. I do not think it is a systemic issue at all. I think it is more to do with individual instances.

Achal Lohade : Understood.

Sanjay Agarwal : I will also tell you one more thing . I must have said that we had an excellent performance in Q4 so once the performance is excellent and too good everybody goes into a little bit of hibernation, so we took some time to recover. So I think we lost a lot in the month of April, but from May onwards we have started gearing up and we have really gained back and I can see that the better is still going . I am very clear that yes we will be able to recover I think within this quarter itself we will be able to recover whatever we have lost so there is no I should say let go or any change in the story or any momentum downwards or something but yes the markets are looking tight and we are trying our best, but I am sure we will be able to recover and go to whatever we have been thinking of say about 13 % growth. The 10% we are reviving because the first quarter has really gone below our expectation .

Achal Lohade : Understood and just basically on plywood since we have seen a low single digit growth in terms of volume has the industry also seen or industry is actually declined in terms of volume on Y-o-Y basis?

Sanjay Agarwal : Very frankly there are no industry data whatever we are talking or anybody is talking I do not think I would like to give you any data about that but our goal is not to go by that or goal is to actually to gain market share from the unorganized and actually we are working on that part itself actually so I really do not see any big reason or any big difference.

Achal Lohade : Got it. Thank you I will come back in the queue.

Moderator : Thank you. We have our next question from the line of Jojo Shaju from Alpha Invesco Research . Please go ahead.

Jojo Shaju : Thanks for giving me this opportunity. Sir my question is what has really changed in the particle board segment so that the biggest players are starting investing in this space and seeing this investment happen what is the outlook in terms of demand and supply in the near term and long term ?

Keshav Bhajanka : I think particle board has been a promising area for quite some time. However the capacities have been in the form of (inaudible) 19:20 which are relatively more economical and because of the same it has not been highlighted too much, now with continuous stresses being established by three players, earlier there was only one continuous stress by a company called Century Plyboards (India) Limited
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Associate Décor I think it is being highlighted a little more. If you look at it there is already a substantial capacity. The reason for the continuous stresses is because they are more economical, the operating costs are far lower , the standing losses are lower and the ability to give different thicknesses and different sizes is far higher. So now with the increase in the organized market within particle board the number of continuous stresses are coming up and we are all seeing that this is going to be a product category which keeps growing going forward especially with office furniture and commercial users .

Jojo Shaju : My second question is like on the strategy part you have mentioned like the demand will be coming from the large furniture manufacturer so when we are looking for players like Merino they have tied up with a larger furniture manufacturer so what is your strategy

specifically on

this part, so is it any talks going on with furniture manufacturer and on product side are you planning just for the plain particle board or you are focusing more on value added products ?

Keshav Bhajanka : In India there is tremendous opportunity in all across it is not just large manufacturers there are now a number of OEMs that are getting established and growing in size. Earlier the scale of some of these manufacturers were far smaller but today they have grown substantially and they act as good customers to us , so while we do not have a formal tie-up with any one large manufacturer per se we are supplying to most of the large manufacturers pan India. As such I think going forward the demand for the product category is going to continue to rise, our focus will of course be on premiumization including key laminated and other product

categories as we are actively within the particle board space so this is going to be our endeavor now.

Jojo Shaju : On laminate Sir what is the kind of growth you are expecting for mid to long term basis and any guidance on long term sustainable margin you are expecting ?

Keshav Bhajanka : I think long term margin we have always stated as 14 to 16 % and going forward you see this is a year of transformation because like I said we have launched new branded laminate category in the form of Century Laminates by Manish Malhotra . We have launched a new range in the form of Sainik Laminates. We are about to launch our toilet cubicle range when the new press commences and we are about to launch a 10 feet tiles which is more towards exports to Europe. So we are entering into a lot of diverse market, it will take some time to stabilize but I am very bullish on a robust growth for laminates going forward. Our attempts will be to achieve 20% plus CAGR as early as next year onwards.

Jojo Shaju : Understood. Thank you very much. I will come back in queue.

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Moderator : Thank you. We have our next question from the line of Aniket Kulkarni from BMSPL Capital. Please go ahead.

Aniket Kulkarni : Good evening and thank you for opportunity. I had a question regarding overall industry supply in the MDF industry so can you give an idea on how this suffice currently and how much is going to come up in the next couple of years with all the players basically an additional capacity ?

Sanjay Agarwal : You are asking about the total capacity increase in India?

Aniket Kulkarni : Yes India.

Keshav Bhajanka : There are going to be smaller (inaudible) 23:20 that are coming up . Meaningful capacity is being added one Globe Panel is already commenced, Action TESA is coming with a new capacity, we are expanding with new capacity in the south and Greenpanel is expanding another capacity in their plant in Srikalahasti , so with all of these the total capacity for MDF in India is likely to increase more than 30% over the course of next year and half so I think that while this is a very steep increase in capacity the market is also growing and as we have said a number of times before setting up a capacity and utilizing that capacity are two different proportions so we are confident that we will be able to gain market share and ramp up our capacity utilization faster than others.

Aniket Kulkarni : If it is possible to give any sort of data points as to what is the current demand and supply in terms of cubic meters like what is the current situation right now as of today and how will these figures be when the additional supply comes in the next couple of years ?

Sanjay Agarwal : Are you asking for numbers for the all India?

Aniket Kulkarni : In terms of cubic meters.

Sanjay Agarwal : Approximately I do not have exact numbers but approximately it is about 2.1 million cubic meters within capacity and I think within the next one year time it is going

to become about 3 million.

Aniket Kulkarni : Three million right?

Sanjay Agarwal : From 2.1 it will go to about 3 million but these are not exact capacity but we will be little bit of here and there but yes that it was.

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Aniket Kulkarni : That is quite helpful. Thanks for the opportunity and best of luck for your coming quarters.

Moderator : Thank you. We have our next question from the line of Praveen Sahay from Prabhudas Lilladher . Please go ahead.

Praveen Sahay : Thank you for taking my question. The first question is related to the MDF. In the press release you had mentioned about the volume of a premium MDF plant to increase by 40% and I can see that .

Sanjay Agarwal : There was a reading mistake actually . Presently we are at 34% premium for that it will go to 40%.

Praveen Sahay : So by when Sir this 40% contribution from premium ?

Sanjay Agarwal : We have already started working on that but it is a journey so I think we could be seeing this kind of a result within a year's time, so it will go from 32 to may be 33, 34, 35 that is how it will rise but yes we will try to reach 40%.

Praveen Sahay : Thank you for that. The next question is related to the laminate so can you quantify the expenses what you had mentioned due to new launches there is expenses which lead to a correction in the margin in laminate so how much is that ?

Keshav Bhajanka : There are two types of expenses. The first expense is going to be in the form of new trade

expense, in the form of branding, in the form of advertisement and the second is in terms of recurring expenses such as hiring additional space so I would say that the one-time expenses would be in the tune of Rs.3 to 4 Crores ; however, even though one time is going to be repeated in the form of higher ad spend because in the last quarter we only advertised for about 15 days this quarter onwards we are going to advertise for the entire quarter for the next two quarters. In terms of manpower spend, etc., I think it is going to be 1 to 1.5 Crores which is going to be a recurring expense.

Praveen Sahay : Just to add on this laminate business I can see that the average realization has gone down any specific reason for that?

Keshav Bhajanka: Yes there has been a change in the product mix from domestic towards export and our export realizations are lower than domestic realization, hence there is a fall in the overall realization.

Going forward as domestic gains more traction with new product launch in the Sainik range

I am sure realizations shall also continue to increase.

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Praveen Sahay : What is the contribution of exports Sir ?

Keshav Bhajanka : Today the contribution of exports would be 50% plus.

Praveen Sahay : Thank you Sir I will come in the queue.

Moderator : Thank you. We have our next question from the line of Keshav Bijayratan Lahoti from HDFC Securities. Please go ahead .

Keshav Lahoti : I was asking on the particle board side , so again if you are increasing the capex amount in this quarter also whether the equipment cost has again increased, this is a second quarter of increase?

Keshav Bhajanka : So the earlier was an estimate and now this is a frozen cost and yes due to the increase in Euro there have been certain exclusions in the price of machinery as you know the currency rates have fluctuated and we are provisioning for a slight higher currency rate compared to earlier.

Keshav Lahoti : Sir my question is you know the industry leader is planning to cut the MD F price by 5% to 10%?

Sanjay Agarwal : Industry leader means.

Keshav Lahoti : MDF green panel so by changing?

Sanjay Agarwal: I have not heard that they are going to cut the prices. I do not expect that they will cut the prices.

Keshav Lahoti : Cutting by 5% to 10% what they mentioned that

they will change the raw material

composition according to the cost will reduce so will their selling price so they plan to maintain their margin so are we also planning something some similar strategy on that side?

Sanjay Agarwal: See what I believe that there might be more competition in the Southern zone because Greenply has come up with this new plant so they might have reduced some prices in the south whereas we have not reduced any prices neither in North or in South and we are able to hold. As far as you are seeing the raw material mix currently there is no miracle as far as raw material mix change is concerned. It is one or two species of timber being used by all of

us and we all buy from the same market because none of us has our own plantation, which certainly helps the agriculturist to plant more trees but no one of us actually owns any

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plantation so I do not think that there is any way of reducing the cost of raw material there is no other way. The only way is to reduce the density of the board so it is possible that they are coming out with a new range which has a little less density so if you have a little lesser density in MDF board the usage will change so it may be useful into certain usage but it will not be useful into at least the furniture side of it or any other usage. We will see when it starts whenever it happens but yes presently we do not have any plans to introduce any lighter MDF at the moment we do not have because it is very difficult. A plant of that size to really reduce and have two or three types you already have seen the premium types and then we have the regular size, now if you start manufacturing another it will add to cost actually because the production will reduce , we will have to change more often, inventory will go up in all the different sizes and the prices so it is not necessary that the small change or change in density or say may be 40kg to 50kg will really reduce the cost.

Keshav Lahoti : Got it. One last question from my side. Have we seen any sign of demand revival in July or early August?

Sanjay Agarwal: I think that demand is already reviving a little bit but yes still the rains are very, very heavy so I believe that yes but I can see certain emanating of demand actually in the markets and I believe by the end of August or in September is actually revival of demand actually are doing

quite well.

Keshav Lahoti : Got it. Thank you. That is it from my side.

Moderator: Thank you. We have our next question from the line of Raj Mehta from RoboCapital.in .

Please go ahead.

Raj Mehta: My question is that when can we see the margins recovery by like can I get any timeline early expectation?

Sanjay Agarwal: For which category are you asking?

Raj Mehta: Overall category .

Keshav Bhajanka : Because of plywood like we said we already in line with 13% to 15%. In MDF our target is 25% and we are there or a little higher. In laminates we have said that by the end of the year we should be at 13% to 15% again and in particle boards we are already doing 30% plus so this is the guidance that we have given.

Raj Mehta: Alright.

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Moderator: Thank you. We have our next question from the line of Nikhil Agrawal from VT Capital .

Please go ahead.

Nikhil Agrawal: Good evening Sir and thank you for the opportunity. Sir I wanted to know if you could throw some light on the international MD F prices?

Sanjay Agarwal: If international prices are down and India has started importing some quantity I believe about 25,000 to 30,000 cubic meter of MD F is now coming into India per month but that happens mostly in the South region that is why in the North India we are not affected so much till now plus the international markets are not very good at the moment. The

rise in price is mostly

because of the freight the freight has really gone up and now the freights have already come down so there was not really a big jump as far as the prices were concerned in the international market so they basically are there where they used to be. The freight had gone up now the freight has come down.

Nikhil Agrawal: If I recall in the last quarter you had mentioned that international prices were up by about 7% or something had gone up all of a sudden?

Sanjay Agarwal: I must say that 5% to 7% here and there but even 7% price rise is good, maybe the import would have gone from 30,000 cubic meters to 40,000 cubic meter which has not gone up to that. We just maintain at 30,000 cubic meters just at 7% is nominal I must say as far as India is concerned .

Nikhil Agrawal: Basically whatever increase was there during that time it has lapsed it has come down to those previous levels right?

Sanjay Agarwal: But that 7% increase even after the fall and that has been maintained in the international market but most of the quantity comes only in to Southern India because the local domestic transport cost from South India or West India to Northern India is very high so that is why you see that we are still not affected at all.

Nikhil Agrawal: Understood Sir and I think I missed out on the volume and the value growth if you could repeat it or if you could just mention it again?

Sanjay Agarwal: For which category ?

Nikhil Agrawal: All categories for FY2024 .

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Keshav Bhajanka : I would be looking at a 10% growth by value. In laminate we will be looking at 15% growth, in MD F we will be looking at a 20% plus growth and particle board we will be trying to maintain the same volumes as last year, realizations could be slightly down due to the fact that we have taken a price correction.

Nikhil Agrawal: 20% plus growth in MD F and 15% in laminates these are value growths?

Keshav Bhajanka: Yes.

Nikhil Agrawal: Lastly I just wanted to understand like now we have Greenply with laminate?

Keshav Bhajanka: Sorry MD F 20% is volume growth and laminate also the 15% we are targeting is both value and volume.

Nikhil Agrawal: Like 25% to 15% the decrease in the revision and the guidance is just because of the delay in the new capacity?

Keshav Bhajanka: It is due to two things. Yes there is a slight weakness in terms of the market scenario. It is not as robust as we had earlier expected and the first quarter has been a little weak but it is mainly due to the deferment in the capacity addition.

Nikhil Agrawal: You maintain your margin guidance right all across?

Keshav Bhajanka: Yes.

Nikhil Agrawal: Great and one last question now we have the Greenply which has come up with their capacity , we have Action also coming up with the capacity so of course there is some pressure on the supply like there is an excess supply in the market so do you feel the need to cut prices going forward?

Keshav Bhajanka: I think at the end of it the price war leads to a disaster for most of the present world and I think we have the strongest financials in the industry so we are the ones who will be affected the least but having said that right now we are not really seeing too much of a trend. We will have to stay by the year and see how things continue but setting up a capacity and utilizing a capacity are two separate things. The ability to reduce price is something that everyone has, but at the end of it everyone needs to service that and everyone needs to be profitable so we stay by the year.

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Nikhil Agrawal: Because the feedback I got from the market was that Greenply they are selling at about 4% to 5% lower than the normal prices by Century and Greenlam ?

Keshav Bhajanka: Any newcomer will sell a little bit lower

that is very normal thing to do otherwise they will

not be able to make a mark within the market which is we already have set buyers , we already have our set people in the field, in the market , the brand, so everything matters. They will take their time and once they reach they will also have to increase price, if they do not increase price how will they maintain their EBITDA and profits? The initial time everybody will do

it. When we came into the market initially maybe we will also sold I do not remember now but we must have sold a few percent cheaper to everybody else at that time.

Nikhil Agrawal: Got it Sir. That is it from me. Thank you so much.

Moderator: Thank you. We will take our next question from the line of Udit Gajiwala from Yes Securities . Please go ahead.

Udit Gajiwala: Thank you for taking my question. Sir after last results on one of the interviews you were stating that you are positive that there will be some countervailing duty on MDF which might come in just wanted to check what are the current progress going on for the same?

Sanjay Agarwal : There is no progress there in that one and very frankly we are also not making much effort about it anymore. We have actually got it approved from the Commerce Ministry and the proposal is lying with the Finance Ministry and if it happens it happens , if it does not it does not.

Udit Gajiwala: Got it. Understood Sir. The rest of the questions have been answered. Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Hrishikesh Bhagat from Kotak Mutual Fund. Please go ahead.

Hrishikesh Bhagat : Good evening. Thank you for opportunity. The first question is if you can help me with the outlook on timber cost especially in Northern India how do you see it , do you think because our press release still talks about price hikes in plywood so do you feel that it is just catching up with earlier timber cost?

Nikita Bansal : Sorry I did not get your last part what did you say catching up with..

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Hrishikesh Bhagat : The price hikes so it is just catching up with the earlier in the sense covering up the earlier cost increase?

Nikita Bansal: Actually around April there was a price drop in raw material cost. We were planning a price increase around then but we delayed it because of the drop and the market was not favorable to take a price hike then. The price started rising from June and it has massively gone up in July. Currently there is a lot of shortage of material, a lot of materials also getting imported so there is a dependency on import as well as domestic so currently the next few months you will see this happen particularly during the rainy season so we expect the next few months to continue like this and we have already taken a price increase in July and it is not possible to take such large increases in one go so we are dividing it into one or two parts so we will just take a second part of price increase also but having said that to answer your second question we are only being able to take what is being increased we are not being able to take more increase than what the raw material is increasing.

Hrishikesh Bhagat : That is helpful. The second question is related to MDF now Hoshiarpur the expanded capacity was it fully available for this quarter and where I am coming from is a 6% volume growth since tad lower if it was fully available and considering one of our largest players was also under shutdown?

Keshav Bhajanka : The capacity is not fully up and running . We have faced certain challenges even though first board was up and running last quarter itself we have taken a little time to stabilize. You will

see the benefit of that capacity from this quarter onwards.

Hrishikesh Bhagat : Thank you.

Moderator: Thank you. We have our next question from the line of Nikh

il Agrawal from VT Capital .

Please go ahead.

Nikhil Agrawal: Sir just wanted to know the OEM mix in the India segment currently?

Sanjay Agarwal : See ultimately all the premium products the 34% we are talking is going directly to the consumer and the rest of it is mostly going to OEM either directly or indirectly through the dealer. To tell you exactly it is not possible because there is no study but we know that the by the usage so all the premium items are used by now every carpenter and every interior designer is using all these products and they are used by the consumer.

Nikhil A grawal: Got it Sir and just to clarify again you had mentioned that the international prices which had gone up earlier before the last call that has held up till now right?

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Sanjay Agarwal: They are mostly holding yes.

Nikhil Agrawal: G ot it. Thank you so m uch.

Moderator: Thank you. We will take our next question from the line of Praveen Sahay from Prabhudas

Lilladher . Please go ahead.

Praveen Sahay: Thank you for the followup question so M adam can you quantify the timber price increase in the month of July?

Nikita Bansal: It has gone up by around 5% but we have also seen chemical cost going down and timber cost (inaudible) 46:31 the raw material so it is about 50% of our total raw material cost and there are other costs as well.

Praveen Sahay: W e did any import as well?

Nikita Bansal: Yes we did. I do not have the exact figure but I think I will get back to you on it but we started importing through the last month.

Praveen Sahay: N ext question is related to the commercial veneer so what exactly happened there because in the plywood section the commercial veneer section we are seeing a down in the volume ?

Nikita Bansal: The thing is earlier we used to run the commercial veneer as a segment and which we actually sell it to a lot of vendors across and manufacturers across India. S ince the last few years when we repeated this on previous con calls as well that now this business is only to feed our plywood business so that is why we club it more under the plywood segment because it is more for the raw material and the security of that raw material is why we are still included so we only sell the lower grade ones out into the market the rest is all consumed in -house .

Praveen Sahay: T hank you for this clarification a nd the last one on the MDF the growth guidance for FY2024 has been reduced because of the delay in the plant but by the next year we will start with the South plant so we will see a strong growth in the MDF the way forward 2025 onwards ?

Sanjay Agarwal : This year we have given a growth of 20% and so we will be able to receive it. Next year when the plant comes in I think the production should come by the beginning of Q4 and by the time it stabilizes and we can really make a big impact in the market it will be new financial year and yes once it comes into production it will give a very big boost to us because right now south is not our market . We try to sell the minimum possible because it costs us to sell into

the South mar ket. Greenply has reduced maybe some prices and you still sell at our prices at

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higher prices whatever small we can sell. Next year then we will be in competition in South and we will take it head on. It is going to make a big difference and we will be abl e to export from South also t hat will also add to the growth. Export may not have much profitability but it will still be a contributor.

Praveen Sahay: So export right now is there in the MDF right now?

Sanjay Agarwal: Yes. Green panel is still exporting from its plant. We cannot export. F rom North plant it is impossible to export. It is impossible for an importer to actually bring import and take it to North India t hey

cannot compete with us and similarly we cannot actually export because of the domestic t ransport cost.

Praveen Sahay: So related question Sir in the South you are coming up with the plant in Q4 so have you explored the export market where you are going to go with the South plant which locations?

Sanjay Agarwal: Actually export is not our targ et. Yes we have explored the market , we are already in the process of setting up our team and meeting customers and all that are certainly going on because the plant will be in production very soon as far as but actually export is not our target , our targe t is to consume the whole production within India. This will take some time so only

for that period we will be exporting.

Praveen Sahay: Great. Thank you Sir. It was helpful.

Moderator: Thank you. We have our next question from the line of Harsh Shah from Dalal & Broacha Stock Broking Private Limited . Please go ahead.

Harsh Shah: Thanks for the opportunity. Sir as you said that both the industries particle board and MDF will be growing so what gives you the confidence that in the next couple of years both of these plants that were set up would be utilized optimally and where I am coming from is that I wanted to understand whether any sort of cannibalization that might take place because the applications of both the particle board and MDF are not much difference so if you could give color on it ?

Sanjay Agarwal: You see one the reason that we are so confident is because we have successfully been able to ramp up our capacities in the past as we have seen. We have struggled in the last couple of years because of the lack of capacity. We have been running at 100% and going forward the demand scenario in India remains robust. If you look at sales yes the wood panel industry right now the demand might not be great but the sale of essential real estate and real estate in general gives us a lot of confidence. The cycle is not about to turn anytime soon. Secondly Century Plyboards (India) Limited

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MDF and particle board the usages are different. Today particle board the majority of usage is for commercial purposes. You will see office furniture being made majorly from particle board whereas the essential furniture and other essential users, high end offices and other such usages use MDF, so both of these have distinct markets and both the markets have grown and cannibalization does take place but actually MDF and particle boards are cannibalizing the lowest end of plywood rather than each other. Earlier for both those purposes people were using cheap Yamunanagar plywood which is low in quality but that was the only option available. Now MDF and particle board are giving people options at lower price points with better quality.

Harsh Shah: One related question what will be the market size of the lowest range of plywood?

Sanjay Agarwal: We say that 70% of the plywood industry is unorganized and considering that the industry is anywhere between Rs.2 0000 Crores to Rs.25000 Crores and gives a huge figure for the lowest end it can be anywhere within that 15000 to 17000.

Harsh Shah: Thanks for the explanation. That is it from my side.

Moderator: Thank you. Ladies and gentlemen, we will now take the last two questions for the evening . We have our next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Good evening. My first question pertains to the particle board would you let us know what is the central market size and then conventional market size and how much of this is being met through imports currently?

Keshav Bhajanka: I do not have data on us right now but our CFO will get back to you with the data.

Rajesh Ravi: Sure because the import numbers that we check from the government website here hardly any numbers and given the recent inflows even that number when it increased t

hat lead to a

correction in the domestic prices and margins for place because you are the only player which is reporting particle board numbers and there we saw the margins softening so there was a concern like big capex from three players yourself, Merino and Green Panel so how would this lead to the margin and the return ratios for the project that your major capex that you are doing so that was the thought and secondly the MDF side?

Sanjay Agarwal: Let me answer your particle board first. You must have read in newspaper that Government of India has been considering to bring PLI in furniture , they have not yet approved but they are thinking because they know that furniture is the next big possibility from India so after Century Plyboards (India) Limited

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China and maybe after Vietnam probably India can become the third or fourth largest exporter of furniture in times to come, so all these exports which will happen will be using mostly using either MDF or particle board so whatever capacity we are building up we know that even if the PLI does not come India has hardly if I talk of say five years back then there may be only 60 or 100 OEMs in the country who were manufacturing furniture , today if you see there may be more than some 2500 or 3000 OEMs are there across the country and we expect that these 2000 or 3000 will go up to 5000 in the next four to five years time eventually so there will be no dearth as far as consumption is concerned. Yes particle board is definitely imported, even exported some particle boards and without any losses and typically the similar kind of prices to neighboring countries even that is also happening and not too much of

capacity is coming only just two or three manufacturers are adding up so in the next two years time or maximum two -and-a-half years ' time we will see that all these start getting consumed so it is not a very huge capacity is not really coming.

Rajesh Ravi: Because what we understand that in this segment there are multiple small , small players and none of the existing players are around more than 5% to 6% of the total market size is this understanding correct ?

Sanjay Agarwal: You see there are sm all, small players but the costing of the smaller player as far as the operating costs are concerned are above 8% to 10% higher than us so when the competition starts maybe we are missing a little higher but the operating costs are much lower as far as the wood is concerned or the timber consumption is concerned or whether the handling of losses are concerned, so all those are actually they cannot control and in th ese automatic plants they a re controlled very, very finely, so ultimately the overall quality of the products is also different so it is up to OEMs going to export their products they will have to buy from automatic plants.

Rajesh Ravi: Great Sir. That is all from my end. Thank you.

Moderator: Thank you. We will take our last question from the line of Sneha Talreja from Edelweiss Securities. Please go ahead.

Sneha Talreja: Thanks a lot for the opportunity Sir. Just two questions I am sorry if I may be repetitive here just would like to understand the timeline for the particle board unit and secondly in the laminates division of course you spent a lot because of the new launches so what would w e assume as a one-off and what could be the normalized level of margin here?

Keshav Bhajanka : As I have already stated in the laminate division a part of the expense is one time but it will be repetitive by higher advertisement cost and the second part in terms of manpower cost is

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going to be repeti tive so the advantage you will gain over time is going to be in the form of higher volumes and higher turnover and that will help offset these costs. For particle board we are expecting commer

cial production within FY2025 obviously towards the end of FY202 5 but within FY2025, nonetheless.

Sneha Talreja: I just wanted to understand the one -off expenses here I know you said it is partially repetitive and partial ly gone up but still what would that number be in between?

Keshav Bhajanka: Close to Rs.4 Crores at launch cost towards Manish Malhotra brand a new catalogue and towards exports and new geographies.

Sneha Talreja: The rest are the increased with the employee cost?

Keshav Bhajanka: Yes.

Sneha Talreja: Understood thanks Keshav and all the very best Sir.

Moderator: Thank you.

Sanjay Agarwal : So friends while I am quite excited about the new things being done in laminate division and I am sure this year will belong to our laminate division. Thank you so much for bringing us on this call and ta king your time for listening us and asking all the questions. Looking forward to see you next time for our Q2 earnings call. Thank you.

Moderator: Thank you very much. On behalf of SKP Securities Limited that concludes the conference.

Thank you for joining us ladies and gentlem en. You may now disconnect your lines.

Call: Nov 2023

Date: 15th November, 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Unaudited Financial Results for the Quarter and half year ended 30th September, 2023

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Thursday, 9th November, 2023 for Unaudited Financial Results for the quarter and half year ended 30th September, 2023.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
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"Century Plyboards India Limited
Q2 FY '24 Earnings Conference Call "
November 09, 2023

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CENTURY PLYBOARDS
INDIA LIMITED
MS. NIKITA BANSAL – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS INDIA LIMITED
MR. KESHAV BHAJANKA – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS INDIA LIMITED
MR. ARUN JULASARIA – CHIEF FINANCIAL OFFICER –
CENTURY PLYBOARDS INDIA LIMITED

MODERATOR : MR. NAVIN AGRAWAL – HEAD INSTITUTIONAL
EQUITIES – SKP SECURITIES LIMITED

Century Plyboards India Limited
November 09, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Century Plyboards India Limited Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the opening remarks conclude. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Naveen Agarwal, Head Institutional Equities at SKP Securities Limited. Thank you and over to you, sir.

Naveen Ag rawal: Good afternoon, ladies and gentlemen. It's my pleasure to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay Agarwal, MD and CEO, along with Mr. Keshav Bhajanka, Executive Director, M s. Nikita Bansal, Executive Director, and Mr. Arun Julasaria, Chief Financial Officer. Kindly note that during the course of this discussion, there may be certain forward-looking statements which must be viewed in conjunction with the risks that the company faces. We will have the opening remarks from Mr. Keshav Bhajanka, followed by a Q&A session. Thank you and over to you, Keshav.

Keshav Bhajanka : Good afternoon, friends. First and foremost, I wish you a very happy Diwali. Thank you, everyone, for taking out your valuable time for attending the Q2 FY24 Investor Conference Call for Century Plyboards India Limited.

I am Keshav Bhajanka, Executive Director, and I have alongside me Mr. Sanjay Agarwal, MD and CEO, Mrs. Nikita Bansal, Executive Director, and Mr. Arun Julasaria, Chief of the company. I presume that every one of you would have gone through our numbers in detail. Let me still brief you on the highlights for Q2 FY24.

The financial results for the second quarter have surpassed the previous quarter, both in terms of revenue and profit, despite a very challenging market situation and an upward trend in prices for key raw materials. Going forward, we expect to continue to upscale our revenue and profit growth. On a Y-o-Y basis, the top line increased to IN R987.9 crores against IN R900.2 crores, blended EBITDA margins to 15.1% against 13.7% and profit after tax was IN R90.33 crores against IN R76.22 crores last year.

Despite the difficult market situation, Plywood has done well with improvements in the top line as well as EBITDA margins. On a Y-o-Y basis, the top line improved from IN R487 crores to IN R541 crores and EBITDA margins improved from 4.3% to 13.5%. We continue to maintain our previous guidelines of overall 10% revenue growth and sustained EBITDA margins of 13% - 14% for the second half of the year.

In laminate for dressing, the need of the high-end market, we have partnered with celebrity designer Mr. Manish Malhotra and have launched a new range designed by him. For the economy market, we have introduced Sainik Laminate Board, a huge success that we have

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received in Sainik Plywood. In the current quarter, we had revenue growth of almost 10% over the previous quarter.

EBITDA margins also slightly improved to 11.7%. With the introduction of the new ranges for targeting specific market segments, the overall performance of the laminate division will improve in the coming quarter. We expect to maintain quarter-on-quarter double-digit growth and improve EBITDA margins. Correction, year-on-year double-digit growth and improve EBITDA margins.

On a Y-o-Y basis, MDF revenue improved from IN R 156 crores to IN R 196 crores and EBITDA margins are increased from 25.2% to 26.5%. The EBITDA margins for the current quarter included IN R7.5 crores on account of arrears for electricity subsidies. After taking out the effects

of this IN R 7.5 crores, EBITDA margins were 23%. Our second line at Hoshiarpur is now stabilized with the above-said planning, we revise our growth target to 25% for the second half of the year.

With increased share of premium products, margins are likely to remain stable or continue in line with our guidance of 25%. Particle board is suffering both on revenue and profitability. On Y-o-Y basis, revenues down from IN R 47 crores to IN R 38 crores and EBITDA from 28.5% to 22.6%, we are trying to combat erosion in profitability caused by increase in nominal prices. On quarter-on-quarter basis, while revenues slightly decreased from IN R 39 crores to IN R 38 crores, EBITDA margins were sluggish. We expect to maintain revenue and margins in coming quarters along the lines of what we achieved in Q2.

The scheme of filing of logistics division to our SPB is approved by NCLP and certified copy of order is awaited. On filing of certified copy of order with the rest of our companies, the scheme will be retrospectively effective from our point to point date 1st April 2022. The ongoing project of MDF and Laminate at Andhra Pradesh will commence operations within the current financial year. With these remarks, I will open up to all the questions. Thank you so much.

Moderator: Thank you very much. First question is from the line of Abhishek from DSP. Please proceed.

Abhishek: Hi, sir. Thanks for the opportunity. So just a couple of questions in terms of the plywood part of it. While you have seen decent volume growth, if you can help us understand, is it because of better demand or is it market share gain? And also if you can touch upon the trend in the underlying timber prices. Thanks.

Nikita Bansal: Yeah. Hi. So actually with respect to if you saw Q1, I think the growth was muted because the market was muted. So there was definitely recovery of market in Q2 as well as our strategy. We immediately made some corrections in June, etc., everything where we were facing some de-growth in certain branches or we weren't growing as per our expectation in certain products. So

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So I think it's both demand as well as some level of market share. But like we said in previous calls, it's very difficult for me to say or quantify the market share gain, etc., because data in plywood industry is almost difficult to capture. So yeah, and as far as the timber prices go, so Q2 saw a major rise in timber because of that we even started importing coal.

In fact, our long-term plan is that we will probably import 50% of our coal requirement from other countries like Brazil, etc. But we were able to do it quickly and that has also helped us actually ensure that the rates of coal does not increase massively. And in Q3, coal rates have started falling in India. So I think that is where the timber prices lie today.

Abhishek: So Nikita, just on the timber prices, 3Q would have seen something like a 3%-5% correction. Would that be a fair estimate or is the quantum higher already in 3Q?

Nikita Bansal: In Q2, sorry, did you say Q2 or Q3?

Abhishek: Q3. You mentioned Q2 was increased but you substituted it by import. But 3Q, I thought you mentioned that you have seen already some price decline. So I just wanted to understand.

Nikita Bansal: So it's been about 5 paisa in terms of percentage. INR 0.05 paisa on almost INR 2 in 2%-3%, yeah.

Abhishek: Okay, that's helpful. Just coming on to the MDF part of it, if you can just help us understand in terms of you've increased your overall top-line volume growth guidance to about 25%, just in terms of how is Hoshiarpur shaping up overall demand-supply economics and the margin deterioration x of the electricity charges that we have seen, how should we look at it given that timber prices are beginning to kind of correct? Thanks.

Keshav Bhajanka : So basically, as we had stated earlier, that we will ramp up capacity utilization relatively faster. And we have received a very good response from the market from our second line. Earlier, as you are very well aware, that we were facing demand overrun and we had a supply shortage. So now that has been addressed and we are slowly being able to gain a market share. Now, I think that going forward, even without the electricity subsidy, we will be able to maintain margins closer to a tune of 25% due to operating leverage. However, having said that, raw material price increases remain a concern, although they have flashed over the course of the current quarter.

Abhishek: Okay. But like how you're seeing in case of plywood, some correction. What about MDF? Is something that also on cards over the next second half? Or how should we look at it for the MDF part of the business?

Keshav Bhajanka : There is no meaningful correction, but we are hopeful that it has plateaued out.
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Abhishek: Okay. And just one last thing on the MDF part, given the overall supply that we are seeing being put up by our peers, how is the competitive landscape in terms of the underlying price scenario as far as MDF is concerned?

Keshav Bhajanka : I think the competitive landscape has been intense and will continue to remain intense with the new capacity coming in. However, I think we are well placed by virtue of our brand, by virtue of our efficiency in terms of both production and sales. So I think that going forward, we shall be able to scale up faster than the industry.

And we are eagerly looking forward to our under-plant commissioning operations over the course of the next quarter. We should get the benefit of the same over the course of the next financial year.

Abhishek: Okay. Got that. Thank you so much for answering my questions. I wish you all the best. Thank you so much. Thank you.

Moderator: Thank you. Next question is from the line of Rishikesh Bhagat from Kotak Mutual Fund. Please go ahead.

Rishikesh Bhagat: Hi, good afternoon. If you can help me understand this increase in inventory, it pertains to which segment and when should we expect normalization? Your fair bit of cash generation is impacted because of this inventory increase.

Keshav Bhajanka : Hi. If you look at it, the Romgale inventory has actually come down from Q1 to Q2. And the finished goods inventory has come down as well. So what part of inventory are you referring to?

Rishikesh Bhagat: I am referring to cash statement, cash flow. So there is an increase in inventory that is getting reflected in cash flow statement.

Keshav Bhajanka : That will be related to the total turnover, right? Because our turnover has also increased compared to last quarter. So if you look at inventory days, we have actually reduced inventory

days.

Hrishikesh Bhagat: Okay. Okay. And the second question is on particle board new capex. Now one of your peers rather new entrant, Greenlam has recently increased the capex for this particle board from INR600 -odd crores to INR770 crores. Their capacity is more or less at the same level, 2,35,000 to 2,40,000 CBM. And in our presentation, we have maintained it that. So we are fairly confident that we will be able to execute at INR550 -odd crores capex, this entire particle board capacity.

Keshav Bhajanka: I think, pretraining there will be unfair me to comment on competition, but if you look at the way that commodity prices that are very relevant for any new capex in our industry confirm steel and others, the peak, hopefully is behind us. And we have faced an increase in the capex for another project because of the timing of the project so to speak. So I am hopeful that again, we will be in line with our guidance. We would be in line with guidance we see no stocks

as of now.

We'll be very happy to...

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Hrishikesh Bhagat: About you only. I have more concern about your project sir.

Keshav Bhajanka: But I wanted you to also know that the Chennai project is proceeding very well. And we will hopefully begin sooner than expected.

Moderator: Thank you. Next question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Keshav, first question was on MDF and particle board actually for South India plants. Given this raw material problem and availability and pricing for large capacities which we are setting it up, could you just give us some sense on how have you tied up on raw material sourcing and pricing, let's say, for 12 months or 24 months, what our outlook you can share, please?

Keshav Bhajanka: Sure, sure. I think that if you look raw material in India, it is not really very possible at this point in time to go to your own plantation. But what we are doing is we are rapidly promoting plantation in the districts a jointing to apart. So if you look at Kadapa District, we have already started distribution of sapling. And going forward, we are educating farmers due to the higher raw material prices, agroforestry actually becomes the much more viable alternative. You can imagine like earlier when the price of timber was INR2.5 in Punjab when we were starting. And today, the price of timber short to INR6 plus.

The remuneration for the farmers has drastically changed. So I think that the supply is going to catch up with a lag. In the short term, there will be challenges. But like I've stated a number of times earlier, we are the most efficient executor whether the production or sales in this industry that bodes well for us.

Rahul Agarwal: So should I assume that once these plants start, let's say, around fourth quarter of this year, 12 months from there the availability of raw material should suffice and we should not face any supply problem. Is that taken care of?

Keshav Bhajanka: Yes, I think you heard this more question of price than availability because the demand in -- the supply is ramping up very fast, you'd see that in the short term, there will be spike. But that spike is required. We need to promote agroforestry and the best way because no matter how much you subsidize, no matter what rate you sapling for, even if companies start getting more fertilizer, their end result has to be a sale, then the farmer makes a lucrative income.

So at the current raw material prices, agroforestry is increasing, which is a very positive step for the long term. And we are hoping that, yes, [indiscernible] does not increase too much, but I'm hoping that timber prices don't reduce much further also.

Rahul Agarwal: Got it. Second question was again on MDF, the subsidy on electricity. Is this a recurring thing? How does this really work for the plant?

Keshav Bhajanka: It is a recurring thing, but now we will get it in bill. What we have gotten till now has been the arrears since the plant started till now. So that is a onetime payment. But now this amount will

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come to us in bill. So it will not come as an exceptional item. It is going to reflect in the form of a lower part able to book.

Rahul Agarwal: Get it. So annually, this number should be like -- does it really distort the EBITDA margin what you report or its because its?

Keshav Bhajanka: It's six years accumulated subsidy. So ideally, it is not going to be so meaningful. You can calculate 7.5×6 , it's about crores a quarter over an a year. So it is not going to be too meaningful.

Yes, the quantum will increase a little bit, our production goes up. But it's not going to be disproportionate. It's not going to be like INR3 crores, INR4 crores a year something.

Rahul Agarwal: Got it. Then it sh

ould be fine. And just one small question to Arunji on other expenses. The quarter number looks like INR200 crores. But does it include any one time expenses here?

Arun Julasaria: Basically, increase is on account of spending in advertisement. Now we are on movie theaters also. So we're spending there also. Apart from this, in this quarter, we settled a continual liability.

In fact, there was a case going on investment of government for entry tech which import in PGS thinner. So our total liability on that account was INR14-point some crores. And after adding interest and penalty to that, it would have gone around INR30 crores, INR35 crores.

So West Bengal government came out with an active scheme whereby they offered a very lucrative scheme that forget the interest forget the penalty, just paid 50% of original demand and settled it. So we paid around INR7.5 crores on that account. So that is included in this expenditure. So mostly on account of this onetime effect, plus increased spending over the current revenue.

Rahul Agarwal: Got it, perfect. Thank you so much and wish you all a very happy Diwali.

Arun Julasaria: Thank you.

Moderator: Next question is from the line of Sneha Talreja from Nuvama. Please proceed.

Sneha Talreja: Congratulations on strong set of numbers. Couple of questions, sir. Firstly, what's changed between Q1 to Q2? The reason I'm asking is, Q1, you decided to downgrade the guidance for MDF division to around 20% and this quarter with stability coming back. And of course, that we have seen a strong quarter with respect to demand and volume, you again decided to upgrade the MDF guidance. So what has changed between Q2 and Q1?

Keshav Bhajanka: Sneha, we are a conservative company, as you are well aware. And we believe that we should give bad news at the earliest. However, at this time, we believe that we'll be able to definitely overachieve this 25% and provision in lighting. Nothing has changed very meaningfully, but to be honest, we were fairly confident that the ramp-up would take place Q1 in spite of slight weaker hence but otherwise the revenue. Now we realize that it was actually just a one-off, one quarter exercise. So we believe that for the second half of the year, 25% is realistically possible and hence, we're going ahead 2%.

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Sneha Talreja: So second half, 25% growth in both the quarters is easily possible as what you are guiding for?

Keshav Bhajanka: I won't say easy, but yes, it's possible.

Sneha Talreja: Understood. Secondly, I wanted to understand, even in the Plywood division, you're seeing 10% sort of a volume growth. Was that expected? Or were we expecting to see -- because I was reading earlier note and we were anticipating most of the demand to come in post Diwali. And surprisingly, it's 10% growth now. So was this expected? Or has it come meaningfully only?

Keshav Bhajanka: We are targeting 10% revenue growth, it's not volume growth. I would request Nikita to clarify.

Nikita Bansal: So the thing is, if you see that Q1 was little muted, so that was unexpected for us. We have to recover that. Definitely, we didn't know how markets will behave. If we really see last quarter, we actually reduced the overall revenue growth expectations on plywood, and that is because of the muted Q1. But if you see the recovery is good and because of which and if you see is the all of fully I mean this is pre-COVID time. If you really go back to pre-COVID time, Q2 has always been a strong quarter. It's only during these COVID years is where things changed a little bit, and you had different quarters to lead in recovery better than even Q2. But historically, Q2 has always been a very strong quarter. And then Q4 is definitely one of our best quarters that we build the in this carrier. I hope I've answered your question.

Sneha Talreja: Understood. So lastly on yo

ur other expenses where you've seen ad spend have increased. How much was the ad spend this particular quarter as a percentage of sales versus last year same quarter and last quarter? And also was there any one-off in the Laminate division as well like with related to marketing expenses, which you've done additionally this quarter?

Keshav Bhajanka: I think we have invested in marketing scarily over quite some time now. I don't have the exact figures with me, but I'd request CFO to get back to you. And in laminates, there is no major one-off, but we have increased our ad spend in line with the launches that we have done.

Sneha Talreja: Right. Ad spend for the quarter, percentage terms?

Keshav Bhajanka: I'd request the CFO to get back to you on that with the detail offline.

Sneha Talreja: Sure, got it. Thank. Thanks Keshav. And all the very best.

Keshav Bhajanka: Thank you.

Moderator: Next question is from the line of Rahul Agarwal from InCred Capital. Please proceed.

Rahul Agarwal: Thanks so much for the follow-up. One question, Keshav, was on the container freight business. So where are we in terms of divestment? I understand the demerger approvals, the EBITDA number for the quarter also looks distorted at INR1 crores. Could you explain that as well as the

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Keshav Bhajanka: I think there is a one -off arrear for rental that we have paid as request here for this has been that later. But as far as and as for the concern our objective will always be to maximize value for our shareholders. So at this point in time, considering the current performance of the division, we are not going to get account to flesh if we go for a divestment.

We are waiting to start with the port operations , which as you know, is going to add tremendous value both in terms of top line and bottom line to the segment. And then once we get a correct pricing for the division, a correct value for the division, then we will look at divestment. It is taking slightly longer than expected to get the capacity operation. And once that happens, I'm sure that we'll be looking at a lucrative payoff from the division.

I'd request the CFO to please explain the one -time revenue accrued payment, the rent accrued payment.

Management: In fact, in this quarter, we have paid INR3 crores around additional fees from Calcutta Port Authority, which relates to early years. The port have rewire the rent of the land they have given to us retrospectively, and we had to pay it.

Rahul Agarwal: Okay, I get it. Second question was on laminate realizations. I think there is some decline quarter -on-quarter basis. What could be a reason for that?

Keshav Bhajanka: The reason is that in our premium product segment, we have been unable to grow. And we have at the same time increased sales of the lower segment. So, we are trying to arrest this as early as H2 itself. With the new catalog launch and with the launch of Sainik Laminate, as you know, Sainik Laminate has a far higher price point, 0.8 mm, and low category, we should be able to post a higher realization in the current quarter and beyond.

Rahul Agarwal: Got it. So, it should basically recover back in second half, right?

Management: It will recover. Whether it recovers back to last year levels or not, it could take a little longer.

Rahul Agarwal: Got it. Should we worry about the same thing for plywood? Because even Sainik Plywood, I hear, obviously, everybody knows it's done very well. But I also hear Club Prime sales, there's a severe amount of down trading there. And that sales for Century, a few dealers also tell me that they're down like 15% , 20%. Any truth to that? Should we also worry about plywood margins? I know you've guided for second half. So, I take that guidance

Keshav Bhajanka: I would request Nikita to take this over. I think the noise is around, the rest of the industry reducing in terms of realization. But I am very happy to mention that year -on-year and quarter -on-quarter, our realization is actually up. But I would just request Nikita to take this, please?.

Nikita Bansal: So, in the past, we've always said that the growth in Sainik will be far higher than the growth in the premium segment. Having said that, our endeavor always to grow. I don't think, I'm sure you might be hearing this from other companies or thing. But we are not, there is no de -growth.

There is growth, but growth is definitely not as high as when you compare it to Sainik. So, at

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the end, my job is to ensure that our average realization keeps increasing and our EBITDA is maintained. And I think that is what we've been delivering quarter -on-quarter. So, I don't think, I do not see that as a problem even in the future.

Keshav Bhajanka: In fact, if you look at it from FY '20- FY '21 onward, in plywood, our realization has steadily gone up year -after-year. Today, it stands at about 53,900 and it was 47,000 in 2020-'21.

Rahul Agarwal: Got it. Thank you so much and best of luck. Thank you.

Moderator: Thank you. Next question is from the line of Keshav Bijayratan Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Sir, congratulations on decent performance. Just want to know whether you want to change anything on the guidance side of volume growth and EBITDA margin, especially on the laminate segment?

Keshav Bhajanka: In the second half of the year, the objective in the laminate segment will be to achieve double -digit-plus growth. And we are going to try to hit our guidance of 13% to 15%. So currently, that is the visibility that we have. For the rest of the division, I think we have already given our guidance both in terms of revenue and in terms of EBITDA, if you'd like me to recap the same, I can.

Keshav Lahoti: Okay. So Laminate first half margin is something like 10%. So if you plan to end the year by 13% to 15% margin as per your guidance?

Keshav Bhajanka: No. I plan to be 13% to 15% margin in H2.

Keshav Lahoti : Okay. You're talking about H2. So why haven't we seen the recovery in Laminate segment margin yet, it's still like 11%. So -- And how is the segment -- have you seen any increase in sale in Sainik Laminate sale?

Keshav Bhajanka: Your voice is a little unclear. Could you just repeat the last part again?

Keshav Lahoti: Just wanted to get a sense about the Sainik Laminate sales. So has meaningful things happening on that side? And why is your margin still bit subpar in this quarter also like 11%? We do understand Q1 was like a one-off quarter, but still margin has not picked up in Q2.

Keshav Bhajanka: So I think our launches -- because we've launched our new catalog, whereas we have launched many slots. Sainik Laminate, like we have mentioned, was launched very recently. So these take some time to stabilize. Due to that, our margin will be affected. Last quarter also, it was affected.

And even during current quarter, our guidance is 13% to 15%. Now once we scale up, once the new catalog is fully accepted, once we see that spike in sales.

And once we look at better contribution from Sainik as well, because right now, Sainik Laminate has been launched only in the West and North predominantly and maybe one part of the South.

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So we haven't rolled it out nationally. We are going conservative with it because we don't want it to impact our higher income Century Laminate.

So because of these two, I think as we scale up across the new 1 MM catalog and in Sainik, you will see margin recovery being better. Alongside the sales next year, once we have the benefit of our under-capacity exports should also scale up rapidly. So medium term, I'm very bullish that margins and turnover is going to grow up -- go up quickly. But yes, short term, there have been challenges. And next two quarters, we'll see recovery, but not in the pace at which we had thought it could.

Keshav Lahoti: Understood. Got it. I just want to understand one thing, your particle board capex, which has increased during the last two quarters. So how will the return ratios look in particle board? And what is your assessment of particle board industry size? And how much is the import in this industry...

Keshav Bhajanka: Your voice is very unclear. Could you please come closer to the microphone or something because there's a lot static. I can't hear you properly.

Keshav Lahoti: So I just want to understand, the particle board capex has increased for you not this but initially in the last two quarters. So how will the return ratios look in this segment? And what is the revenue potential of this segment? And in your assessment, what is the industry size? And how much is the import in this industry because it's a very capex-heavy business?

Keshav Bhajanka: Okay. So I think in particle board, we should be able to do 1:1 in terms of asset turnover ratio based on the current realizations that we have. In any of our new investments, our objective is always to deliver 20% -plus ROCE and the particle board plant is no different. In the new capacity as well, we will definitely attempt to deliver 20% -plus ROCE.

Keshav Lahoti: Okay. So what's the industry size and import in the industry?

Keshav Bhajanka: I think CFO can connect with you and give you those details offline. I don't have the data on me.

Keshav Lahoti: Okay. Got it. One last question from my side. What is the capacity utilization of Hoshiarpur plant in this quarter and the exit rate?

Keshav Bhajanka: See, we are at 25,000 -plus in terms of -- 25,000 cubic meters in terms of total capacity. So I think, we would be close to 70% utilization as of the previous quarter. And going forward, our objective is to hit 80% -plus over the course of H2.

Moderator: Thank you. Next question is from the line of Nikhil Agrawal from VT Capital. Please go ahead.

Nikhil Agrawal: Sir, if you could help me with the volume, value and margin guidance for FY '24 and '25? I think I missed it.

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Keshav Bhajanka: '24, '25, we haven't given guidance yet. But our objective has been to maintain margin alongside 13% to 15% for Plywood and for Laminate and 20% for particle board, 25% for MDF. Our overall objective will always be to attempt to hit a 20% run rate of growth for the company.

Nikhil Agrawal: All right. So this is -- this was for FY '25, right?

Keshav Bhajanka: Yes.

Nikhil Agrawal: For FY '24?

Keshav Bhajanka: I have already given the guidance for '24. Would you like me to recap...

Nikhil Agrawal: Yes, yes, I mean that. Yes.

Keshav Bhajanka: Okay. So for H2, our guidance is that we will be doing -- the H1 numbers are already with you.

H2, we will be looking at doing a 13% to 15% EBITDA in plywood with a double-digit growth.

In Laminate, we will be looking at a double-digit growth and moving back towards the 13% to 15% EBITDA.

In MDF, we'll be attempting to maintain 25% -plus EBITDA with 25% growth. And in particle board, results are likely to be similar to the previous quarter, where we have had 20% -plus in terms of EBITDA and the volumes have been around 18,000 for the quarter.

Nikhil Agrawal: All right. And sir, any -- is there any revision in the capex or like capex plans or anything? You had a laminate plant, which is supposed to come up in Q3 in Andhra at least. So is that on track? Or is there any other...

Keshav Bhajanka: As I've already mentioned, we are hopeful that Laminate will commence production within this quarter itself.

And the MDF capacity in Andhra will commence production from next quarter.

Nikhil Agrawal: All right. And sir, lastly on the BIS norms, which are kicking in, in the -- for MDF imports, for MDF as a whole. So do we see anything major on this front? Like will it have some major impact on imports? Or is it -- will it be negligible?

Keshav Bhajanka: I think in any form of professionalization of the industry, whether in terms of BIS or earlier, whether GST was being introduced, the re's always going to be beneficial for players such as our self. So while the proof of the pudding is in the eating, I'm hopeful, yes, definitely, it will help domestic manufacturers.

Moderator: Thank you. Next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: My first question is related to laminate. Sir, how should one understand the pricing and margins of Sainik Laminates versus our existing blended pricing and margins?

Keshav Bhajanka: The pricing of Sainik Laminate is higher than our existing blended pricing. And the margin for Sainik Laminate, you see any new product when it is introduced, takes time to scale up. Once

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Sainik Laminate scales up, I think the EBITDA margin should be along the lines of slightly better than our overall EBITDA margins.

Bhavin Rupani: Okay. And sir, how do you intend to grow this? I mean what percentage of sales it could be one year or two years down the line?

Keshav Bhajanka: You see, our objective will always be to grow both Century Laminates and Sainik Laminates at double digits. Having said that, I think that for Sainik Laminate, it is reason to understand that we would be at least 40% in terms of the volume of Century Laminates over the course of the next two years to three years.

Bhavin Rupani: So did I hear it correct? You said 40% in next two years to three years?

Keshav Bhajanka: 40% of the sales volume of Century Laminates, 1 mm.

Bhavin Rupani: Got it. Also, sir, if you could specify a similar thing for the laminates designed by Manish Malhotra? What will be the pricing and margins over there?

Keshav Bhajanka: Manish Malhotra, the objective is to alleviate the brand. The pricing is substantially higher. But as you know, we do not normally give out any volume guidelines for product category.

Bhavin Rupani: Okay. And sir, next question is related to MDF. Your MDF margins per CBM has declined 6% after adjusting for the one-offs, 6% year-on-year is what I'm telling. However, when we look at the margins of competitors, it has declined quite sharply. Could it be due to better pricing in North India and possible raw material cost differential in North versus South India?

Keshav Bhajanka: Unfortunately, I don't comment on competitive activity. But like I said, our objective will be to maintain 25% of EBITDA margins at the 25% rate.

Bhavin Rupani: Okay. So is it possible for you to specify what is the pricing differential in North India and South India, both the realization and the raw material cost pricing?

Keshav Bhajanka: Raw material cost pricing in South India would be anywhere between INR4 to INR4.5 per kg, whereas in North India it is INR6.5 flat, and the realization in South India would also be lower than North India, but I don't have exact numbers on me right now. I would request the CFO to share the numbers or provide it off-line. As CFO indicated, we'll provide to you off-line.

Bhavin Rupani: All right. And sir, last question is the existing capex that we are doing. Do we have any state incentives or central incentives on any of our projects?

Keshav Bhajanka: Yes, we do.

Bhavin Rupani: Can you quantify it, sir?

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Keshav Bhajanka: State incentive is for the Andhra Pradesh project where we have electricity subsidiary, where we have a

transportation subsidiary, although the common trade and where we have received blended potential cost.

Bhavin Rupani: Is it possible to quantify, sir?

Keshav Bhajanka: I think CFO can again share those details with you. I don't have it with me -- offline.

Moderator: Thank you. Next question is from the line of Amit Purohit from Elara Capital. Please go ahead.

Amit Purohit: I wanted to understand about your carpentry loyalty program. How many additions of carpenters you would have done, and how does it work? I mean, last FY '23, what would be the addition in first half, if you could tell me what is the base and some excitement?

Keshav Bhajanka: Because of the competitive reasons, we don't share this data unfortunately. It is a trade secret and it is a big asset that we have. So we don't share any data on this program. But what I can tell you is it is growing from strength to strength.

Amit Purohit: 10%. Okay. And would we be able to share at least...

Keshav Bhajanka: Nono. Strength to strength. I cannot share percentages, unfortunately. It is growing from strength to strength.

Amit Purohit: Sorry. So just wanted to know what would be the spend on loyalty, say, probably last year? And what would be in first half? Is that possible to share?

Keshav Bhajanka: Again, we don't share any data on this and you understand why. But having said that, despite this, our margin profile continues to remain robust, and the guidance remains unchanged.

Amit Purohit: Okay. And second question on just laminates. So I mean, if I look at last five years, our capacity expansion in laminate s has been lower than when I compare it with any other segments that we have, and now we endeavor to get into this launching the Sainik Laminate s, and also drive the premium segment as well. So any capacity plants would be there? Or would you look to stabilize first on the margin side and then plan it after that.

Keshav Bhajanka: We have already announced a substantial capex in the form of the new unit in Andhra Pradesh. So the first is to execute that and utilize that capacity. And post that, we will plan for the capex. But for the time being, our focus is only on the Andhra capacity as far as the laminate division is concerned.

Amit Purohit: Okay. And this -- I mean, from a switch, is there -- I mean, I'm sorry, new to this, but I just wanted to understand when you look at laminate as a category, I understand there's a lot of winners, which is significant in terms of volumes. So when you launch a Sainik brand, there would be a shift in product mix, right, still for you? That's why you're saying that Sainik will be premium than our average right now for you?

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Keshav Bhajanka: See, export realization for us is lower because we are right now not in the larger side. Once we get into the larger sizes, then export realization will also start to go up. And at the same time we do have a component of 0.8 mm. So because of that one -on-one realizations will always be higher than our other realization. Since we are only in the one -hand category in Sainik, I am writing that when Sainik volumes start coming up, it will push on realization or not being lower.

Moderator: Next question is from the line of Nikhil Agrawal from VT Capital. Please go ahead.

Nikhil Agrawal: Sir, is it possible for you to quantify the impact of the BIS norms that are coming in?

Keshav Bhajanka: Your guess is as good as mine, but all I can say is that it will be beneficial because again, once it became quite shy, when GST is there, we're all very confident and we thought it could change the very industry functions, etcetera. And while it did help, the impact was nowhere close to what we had expected. So I think it is better to go in with muted expectations and see a better result.

Nikhil Agrawal: All right. And sir, like I was tracking from the

data that we get for imports. Sir, your Q2 imports

had -- is the date, if I'm not wrong, it has fallen down by 1% quarter -on-quarter. But for India as a whole, exports have increased by 7%. So was there any one -- any issue in the exports? Or were you focusing on the domestic markets more?

Keshav Bhajanka: Sorry. Could you repeat that one?

Nikhil Agrawal: Like your exports in quarter 2, they had fallen down by about 1% in quarter -- 1% quarter -on-quarter, according to the data, that you cast. But India exports were up by about 7%. So was there any issue in the exports? Or was it just a quarter where you were focusing more on the domestic market?

Keshav Bhajanka: To the best of my knowledge, there's been no reduction. So I think I don't know what data you have, but no, we have not seen any reduction in exports.

Nikhil Agrawal: All right. Like India, though India's exports grew by about 7% quarter -on-quarter. So what was your quarter -on-quarter figure?

Keshav Bhajanka: We don't share domestic versus export data.

Moderator: We have our next follow -up question from the line of Keshav Bijayratan Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: For the ply side, capex seems to be a bit slow, whether the Hoshiarpur ply commissioning might get pushed to Q2 instead of Q1?

Nikita Bansal: Yes. So actually we are taking that plant a little bit slow because in Q1 we had a little bit of a muted growth that -- we were taking the plant a little bit slow. So currently, I see maybe shifts

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much easier and faster with a machine. So as of now, I will stick to Q1, but if anything changes, I will update in the next quarter.

Keshav Lahoti: Understood. Sir, one thing we always saying that, segment supply is going to increase which will possibly...

Keshav Lahoti: So 1 thing we always say timber supply is going to increase in upcoming quarters, so which will lead to stable timber prices or possibly the timber price might cool off. Any sense what sort of increase in timber supply will happen, like what sort of plantation are happening to better sense?

Keshav Bhajanka: [inaudible] I mean there is a forex service that you may have gone -- you can go through, which is -- we need some light on it. But the reason that we've seen that supply will increase as it is included a little bit. If the prices of timber is going up, we incentivized the farmer or going to agroforestry increases. Today, when the prices were INR2.5 can we incentive to the farmer for agroforest? It is highly muted. So even though this is far easier crop to grow than a rice or a wheat or some other cash crop, still, the farmer was de-incentivized to move towards agroforestry.

Today when the prices in the north is sort up to INR 6.5, we are talking about 160% increase in the price. And because of the same, there is huge incentive and the quantum plantation that has taken place, when I go to the plant in Andhra Pradesh, and I go to the plant in Hoshiarpur, the quantum of new plantation taking place is truly hard. Thankfully say that the supply of timber is likely to go up. And this is the same trend that we observed in China, in other developed countries, as well. So this is what gives us confidence that agroforestry is here to stay and will only grow with time to come.

Keshav Lahoti: Understood. Sir, will it be -- I know it's very difficult, but to give me some sense of ballpark number of broader range, what sort of plantation increase comparatively?

Keshav Bhajanka: In the arable land of India, if 5% of that is converted to agroforestry, then the supply of timber will double. So that is the sort of math. I mean the total arable land of India, 5% of the total area that is currently being used by cash crops as per the minist

ry is that is converted to agroforestry.

We can then double the quantum of agroforestry in India. I hope that gives you a sense of the potential height.

Moderator: Next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.

Shubham Aggarwal: So just one question here. On the plywood segment, we saw the gross margins expand Q-o-Q. We have good growth as well in the segment. However, the EBITDA margins of the segment contracted, so about 100 bps Q-o-Q expansion in gross margin and 15 bps Q-o-Q contraction in the EBITDA margin. I just wanted to get a sense like what relates to this contraction in EBITDA despite of so much expansion.

Nikita Bansal: Can you repeat it actually? Because your voice is very mumbled.

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Shubham Aggarwal: Okay, hold on. Hold on. I'll repeat the thing. I think this should be better.

Nikita Bansal: Yes, go ahead.

Shubham Aggarwal: So I was just saying the gross margin for the plywood segment has expanded Q-o-Q by about 100 bps. However, the EBITDA margin for the plywood segment has contracted Q-o-Q by about 15 bps. Just wanted to get a sense, and this similar trend is also being seen in a year-on-year scenario. Just wanted to get a sense, I mean, what has led to this disparity? The gross margin has increased, the growth is good, I mean, the revenue growth is good, still EBITDA margins have come down.

Keshav Bhajanka: Basically, as we have guided earlier, we are very, very bullish on the medium to long term. We have already seen that peers in the industry, which come earlier, for instance, pipe and other products that go in the earlier state and the building is being constructed or house is being constructed, they have been doing very well. Our new launches have shown a significant uptick. Going forward we are very bullish that the cycle for our products is going to be fairly robust. So we have continued to advertise, and we continue to invest in marketing. And I think that this slightly higher than expected marketing income or the slightly elevated market income, perhaps justifies to a large extent, the delta that you're referring to.

Shubham Agarwal: Okay. So Keshav, would you be able to give a sense that this is majorly -- like what are you focusing on? TV advertising or is it generally in the form of discounts or retail activities at the ground?

Keshav Bhajanka: Cinema and TV are the 2 predominant medium. And alongside that, we have also ran up our

digital spend. Nikita, would you like to -- I think that in the context, Nikita will give.

Nikita Bansal: We never give out -- we don't give out exact value of how much it owns, but this is the first year that we are spending substantial amounts in digital for the brand awareness and campaign awareness. This is not done in the past. We've always been digitalizing and revamping. So this year there has been an increase in overall online spend in Cinema, which we didn't do in the previous years.

Shubham Agarwal: Okay. So all I was actually indirectly asking was, this is not because of higher R&Rs for our dealers and distributors to book material from us. That's what I was trying to assess.

Nikita Bansal: No.

Moderator: Next question is from the line of Bhavin Rupani from Investec.

Bhavin Rupani: Just one more clarification. First is on plywood. Have you taken any price hikes during Q1 and Q2? And are there any plans to increase in Q3?

Nikita Bansal: So we took 1 price rise in July post that -- raw material pricing is really increased that we were posted data price in Q1, since that the market scenario was such that we will be able to absorb

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any more price increases currently. And given that the raw material prices are coming down, I don't think currently we are willing for a price rise in the

near future.

Bhavin Rupani: Is it possible to quantify the price hike in July?

Nikita Bansal: I think it was 2% if I'm not wrong, in July. Different products and different things which would be 3% and 3% in something. So average it is roughly 2%, 2.5%.

Bhavin Rupani: All right. And just one more clarification, the guidance that you just provided, it was for second half, right, sir?

Keshav Bhajanka: Yes. The guidance that I provided was for the second half.

Moderator: We will take the last question for the afternoon from the line of Ritesh Shah, an Individual Investor.

Ritesh Shah: This is Ritesh, I'm calling from Investec Capital, not individual investor. I had a couple of questions on laminates. You have indicated a new range of targeting specific new market segments. This is the text which is there on the slide. Keshav, can you please elaborate this a little more? Are we looking at a particular sizes which were absent in the product topic or is it the new design? So that's the first question.

Keshav Bhajanka: So the first thing that I need to clarify, we were presenting the premium segment, essentially laminates. What we need to say is that there is a further value-added segment, which is higher - priced definitely laminates. And to this end, we are tied up with Mr. Manish Malhotra and we have launched a range.

At the same time, in the economy range of the 100 category we were absent. So that is where we are targeting through Sainik Laminate. Alongside the above, with the launch of the larger sizes that opens us for the opportunity of exporting to geographies in Europe and other geographies as we are not present yet due to a lack of the larger sizes. So this is what I mean by new ranges.

Ritesh Shah: Perfect. And what were the sizes which were launched which we now have?

Keshav Bhajanka: The sizes that we are going to launch with the new cases being commissioned this quarter, will be 14x6 and 10x4.

Ritesh Shah : Okay. This is helpful. And second related question to laminate is how are we looking at the distribution specifically for the premium laminate what you just mentioned. Will the distribution be different? How should we look at that?

Keshav Bhajanka: The distribution is going to ride on the same network that we have created over years and the advantage that we have is present in over 20,000 retail points across India. So we are piggybacking on the same or even the payment range.

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Ritesh Shah: Sure. That's helpful. And lastly, on MDF, what would your thoughts be on competitive intensity in the marketplace. Demand is good, but there is incremental local supply. And imports at times also create a havoc. We have seen larger listed players actually pushing material to the export market just to ensure that the utilization levels are fine and they maintain a fine balance. So it's a bit precarious. Would you be worried about this? How would you look at this particular scenario?

Keshav Bhajanka: Again, I do not normally comment on competition. So what I can say is that our ability to scale up and ability to utilize our capacity has been better than the industry in general. And the guidance that I have given on the call, we are fairly confident of achieving the same.

Moderator: That was the last question in the queue. As there are no further questions, I would now like to hand the

conference over to Mr. Keshav Bhajanka for the closing comments.

Keshav Bhajanka: Thank you, everyone, for attending our call. I wish you all a very happy Diwali.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2024

Date: 7th February, 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Unaudited Financial Results for the Quarter and nine months ended 31st December, 2023

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Monday, 5th February, 2024 in respect of Unaudited Financial Results for the quarter and nine months ended 31st December, 2023.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary

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"Century Plyboards (India) Limited Q3 FY24 Earnings
Conference Call"

February 05, 2024

M
MANAGEMENT : MR. SANJAY AGARWAL – MD & CEO
MR. KESHAV BHAJANKA – EXECUTIVE DIRECTOR
MR. ARUN JULASARIA – CFO
MODERATOR : MR. NAVIN AGARWAL – HEAD, INSTITUTIONAL
EQUITIES, SKP SECURITIES LIMITED

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Moderator: Good day ladies and gentlemen, and welcome to the Century Plyboards (India) Limited's Q3 FY24 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing " * " then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agarwal – Head, Institutional Equities at SKP Securities Limited. Over to you, sir.

Navin B. Agarwal: Good afternoon ladies and gentlemen. It's my pleasure to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities.

We have with us, Mr. Sanjay Agarwal – MD and CEO, along with Mr. Keshav Bhajanka – Executive Director, and Mr. Arun Jul asaria – CFO.

Please note that this conference is being recorded for compliance reasons. And during the discussion, there may be certain forward-looking statements which must be viewed in conjunction with the risks that the company faces.

We will have the "Opening Remarks" from Mr. Sanjay Agarwal followed by a Q&A session. Over to you, Sanjayji.

Sanjay Agarwal: Good afternoon friends. Thank you everyone for taking out your valuable time for attending the Q3 FY24 investor conference call for Century Plyboards (India) Limited. I am Sanjay Agarwal – MD and CEO, of the company. I have alongside me, Mr. Keshav Bhajanka – Executive Director, and Mr. Arun Jul asaria – CFO, of the company.

I presume that every one of you would have gone through our numbers in detail. Let me still brief you on the "Key Highlights" of Q3 FY24 :

The demand for our products is correlated to the occupancy of new housing units, as our products are used for the interior of houses. The demand for our product comes only after the apartment is ready for occupation. Any real estate project, depending on its size, has a time horizon ranging from 4 to 6 years or say average 5 years. Out of these 5 years, 3 years are for the superstructure stage – steel, cement, pipes, bricks, etc., are used. After this comes at the second stage of completion of the house where tiles, paint, sanitary-ware, electricals, doors, windows, glass, elevators, etc., are required. After completion of 5 years when the building is completed and the apartment is handed over to buyers for occupation, interior work-related materials like plywood, laminate, fitting, drapery, and other home improvement products are required.

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The real estate industry suffered with low demand and high ready-to-occupy inventory till 2019-20 or before the outbreak of COVID. In view of piled up inventory, the real estate developers were not launching many new projects. In the post-COVID period, the culture of the workplace was shifted from office to WFH (work from home), and people realized the importance of owning a decent home, which led to a sudden spurt in demand for apartments. People started to invest in buying apartments, which in return resulted in fast depletion of ready-to-occupy inventory, which lasted till '21 and part of '22. The builders started to launch new housing projects post '21 and most of the projects are in the first or second stage as mentioned above. All such projects will start to complete from 2025 onwards. Of course, there are still inventories in this phase from earlier stocks also. We experienced a spurt in demand when piled-up inventory of ready-to-use houses were sold and occupied. We again expect such spurt when ongoing large number of projects will start to deliver in '24 and '25. Till then, especially I must say that maybe from '25, till then the market will remain sluggish. B

ut with our brand pool and sales & distribution network, we shall not only maintain our market share but also book a moderate growth.

On an overall basis, the industry is facing an increasing trend in raw material costs, which cannot be passed on in view of sluggish demand. So, profitability also might be slightly impacted. Overall top line for Q3 on a year-on-year basis was up from Rs. 872.94 crores to Rs. 929.89 crores, higher by 6.5%. However, EBITDA was lower from Rs. 133.47 crores to Rs. 115.81 crores. The EBITDA margins are marginally lower due to company's spending on brand building activities and deputing reputed consultants like McKinsey and BCG for advising the company on capacity building, the benefits of which will accrue in future.

On a segmental basis, all major segments booked top line growth while plywood profitability was majorly down due to Royal Club Dealer Meet expenses of about Rs. 7 crores once in 2 years, which was booked in Q3 and engagement of McKinsey for advising on boosting sale of prime products during Q3. Laminate division profitability was majorly down due to increase in manpower cost for creating a new team of newly launched Sainik laminate, which will take time to ramp up.

MDF profitability is majorly down due to lower average realization and increase of raw material cost. Particle board profitability is substantially down due to lower average realization caused by import competition and higher raw material cost. As Q3 is a period of festivals when carpenters go home and people are engaged in festivals, the working days on interior sites are reduced and sales is reduced. However, such loss of sales is compensated with increased demand in Q4. We historically have Q4 better than Q3. Both plywood and laminate business will have better and increased top line and bottom line compared to Q3. With the BIS standard becoming

mandatory from 11th February 2024 for both MDF and particle board. Import competition for these products will substantially reduce and benefit domestic producers both on sale and profitability.

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On the scheme of hiving off of logistic CFS division to SPV, we are awaiting certified copy of order sanctioning the scheme. On filing of certified copy of order with Registrar of Companies, the scheme will be retrospectively effective from the appointed date of 1st April 2022.

Greenfield laminate unit at Andhra Pradesh has already commenced operations during this quarter, which is a big announcement now for us. The ongoing project of MDF at Andhra is on fast track and will commence operations within the current financial year.

With these remarks, I will open up to all the questions from everyone online.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Sir, looking at your performance for both MDF and particle board segment, I just wanted to understand what sort of competition is there in the market and who all are adding capacity. If you could help me with a number.

Sanjay Agarwal: Two people have added large capacities. One is Greenply who have started a plant in Gujarat. And another one is Action TESA who have extended their capacity I think about 800 cubic meter plant or something they have started about 6 months back. These are the 2 major capacities which have come in. And there is about 400 cubic meters have been installed by us at our Hoshiarpur plant only. These are the 3 major capacities. Apart from that, there may be some small manufacturers also, which I am unable to list at this moment.

Parth Bhavsar: Sir, on the particle board side, we are facing competition from the domestic players or is it all imports?

Sanjay Agarwal: The other competi

on was from importers with a number of imports. The quantity of imports in Q3 is supposed to be about 1 lakh cubic meters in Q3. I think still it is getting imported. But after 11th of February, all imports without BIS will stop. But of course, the material within the system may take some time to dilute. So, maybe this FY will go into dilution of that. But after that, yes, at least that competition will.... because that is a competition which does not have the... . There are different input costs. So, for them, the question of raw material price or maybe other costs is different and for us it is different. So, that will go away from the system.

Parth Bhavsar: Sir, considering the competition that is there in the market both on the MDF and particle board side, do you think any big players like you, or the other guys would delay their CAPEX announcement or delay the projects?

Sanjay Agarwal: Whatever I know presently, ours is the next big plant which is coming into production and that will come into production within this financial year. There is no delay about that. And after that, we do not have any decision taken till now at the board level, but I think we are in this business,

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and we will be contemplating taking further decisions. And we believe that the capacity and the markets of MDF and particle board in India are huge. And these are small things and temporary things which are happening, and it happens for every product and at every time. So, I don't think this would deter people like us. But yes, sometime in the near future may not be as good as it used to be.

Parth Bhavsar: Sir, if you could help me with the raw material cost for MDF for your north and South plant, or at least an idea where it was in Q2 versus Q3.

Keshav Bhajanka: In the north, MDF prices have increased and of course over the last few quarters. Considering last quarter, we would have been at around Rs. 6.5 to Rs. 7. We are looking at similar prices continuing for this quarter. Going forward, I don't see much further increase. At the same time, I don't see any reduction. In the South, while we aren't directly buying anything for our MDF unit, we are buying for our Chennai particle board unit. There we have seen a sharp increase in raw material cost. Compared to last year, the costs have jumped by in excess of 50% and there could be further escalation in this quarter.

Parth Bhavsar: Would it be at like Rs. 5.5 to Rs. 6?

Keshav Bhajanka: No, the South cost traditionally is much lower. Last year, the average for the year would have been less than Rs. 3.

Moderator: We will take the next question from the line of Sneha Talreja from Nuvama. Please go ahead.

Sneha Talreja: I just wanted to understand the impact of BIS implementation. When could we considerably see improvement in margins? Do you think that imports will start getting affected from now on?

How serious is the government on this implementation? Because earlier we were thinking there would be delays or there would be a pushback in terms of at least 3 months or 6 months. There were a lot of predictions being made. Some guidance here would be really helpful.

Sanjay Agarwal: The plywood BIS has already been delayed. So, the impact on plywood we really do not know when it will come because even today, a little bit of plywood is also now getting imported in the country. As far as MDF is concerned, the date is final. The 11th of February it is getting implemented. So, no more products can come into the country. Customs will not clear any more material after 11th of February without a BIS stamp. But anybody and everybody in the system might have a material which may last for the next 2 months, may last for 3 months or 2-1/2 months. So, I believe about 3 months' time before you see better times.

Sneha Talreja: Sir, given that we also have so many smaller units in M

DF based out of north, what's the kind

of a cost that they will have to incur to get a license done? Any guidance there? Do you think it will be an easy move for them to basically move to BIS or a lot of them would actually face shutdown?

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Sanjay Agarwal: As far as India is concerned, I think the manufacturers in India will get BIS and it's not very costly. So, the Indian manufacturers will get the license. It might take some time. And I am sure they must have already taken all the steps and they must be nearly ready. As far as BIS costs are concerned, they are not high.

Sneha Talreja: But will it lead to an increase in raw material cost because the kind of raw material that they would be using at this point of time – the smaller units – will that differ with BIS coming into play?

Sanjay Agarwal: Yes, there will be a little bit of a shift, but it may not be because their operating costs are already.... We believe that they are quite competitive as far as costs are concerned, and that is how they have survived in the system.

Otherwise, by selling about 8% cheaper to us or 9%

cheaper to us, they are already surviving.

Moderator: The next question is from Rahul Agarwal from InCred Equities. Please go ahead.

Rahul Agarwal: Sir, first question, I just want to understand a bit of range here. Here, what could be a base case for short term and then where are we headed in terms of recovery across segments in terms of revenue growth and margins? Just a ballpark range would really help.

Keshav Bhajanka: I think you should look at the panel, we are more or less in line with what we have given. In terms of growth, yes, the growth has been really slower. Even Q4 looks very different. But on the margin front, I think we will be more or less in line with guidance. In laminates, again, definitely we will be looking to maintain margins. But the growth that we are looking at, perhaps

we are not going to have a very healthy growth. We could have single-digit growth in the current quarter. MDF, we are expecting robust growth, but I am sure that year on year, we will have a 20% plus growth. But the current circumstance is quite dynamic. We will have to wait and see for what the implication of BIS is and how soon that comes into play for me to give you any definitive guidance on margin. For the current quarter, I can safely say that margins for both MDF and particle board both are likely to be lower. Particle boards, the volume is likely to be consistent. We are pretty much at capacity utilization, so there'll be no major change. Going forward, next year onwards, we are hopeful once we add this fully incremental, both MDF and particle board should see an upside in terms of volumes and margins.

Rahul Agarwal: Sir, the second question was on brownfield and greenfield MDF capacities. Typically, how much time does it take to reach 90% to 95% utilization? If you could help me understand, let's say you started 400 CBM at the North India plant, what is the capacity utilization today and how does it ramp up over the next 2-3 years, like first year, second year, and third year? And similarly, based on the greenfield capacity, typically how would it ramp up? Obviously, the assumption is that

demand is okay, and the competition is bearable. In that circumstance, how does it work?

Keshav Bhajanka: I think that given our basis now is that we look at 80% plus capacity utilization towards the second year of operation. That is how we envision any new capacity. Whether brownfield or

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greenfield, if you talk about MDF or you cannot discount the market dynamics, but I think going forward, this is going to be the target for both our capacities. In terms of ramp up, in the north part, we are facing certain challenges with some thicknesses in the new line which w

e have now

overcome. Going forward, I think 80% is a fair aspiration and we should be able to achieve for the new line capacity onboard and for the Brownfield expansion that we are undertaking.

Sanjay Agarwal: Rahulji, when the markets are in your favor, there will be faster utilization and also enthusiasm. And when the markets are not much in your favor, we also back off a little bit. This is just a human tendency I am talking about.

Rahul Agarwal: If I understood it correctly, you said 80% utilization is possible to reach within 12 to 18 months, is it?

Sanjay Agarwal: Yes, technically, we can ramp up within 1 year provided the market is there. If we can sell 80%, we can produce 80% in the very first year.

Rahul Agarwal: And one question was on the premium products. For plywood, you obviously had this Royal Club Meet. Just to understand some sales trends over here over the past 2 years, how is the Royal Club Prime and other premium players doing for you and how much do they account for in the overall plywood sales?

Keshav Bhajanka: We don't share data breakup between our premium and our non- premium categories. That is something that we don't do due to competitive reasons.

Sanjay Agarwal: At least we are not doing bad; that much I can tell you, but we are not doing excellent also as far as premium is concerned. The company wants to develop and grow mostly into premium products only. And that is why you will see that we are trying to consult sometimes BCG and sometimes trying to get in McKinsey and Vector and all those. Every effort is to actually try and do better in premium products actually.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: My question is repetitive that is on the BIS front. If you hear the commentary of other managements, they are more like let's wait and watch how it will shape out. The most bullish on the BIS which I found is Century. What sort of decrease in imports do you expect from BIS?

Will it possibly this 1 lakh number can come down to below 50,000? What is your take? Why so bullish?

Sanjay Agarwal: We believe that after 3 months from today, for at least 6 -7 months till then nobody will get a license. They will take their time. So, at least 6 -8-9 months would be without any imports practically because without BIS, it will not be allowed. I have checked day before yesterday the records. Until now, nobody has had a BIS registration. So, I don't think that any quantity can come in. A drowning man will clutch at a straw. In these times, that will be a good thing to

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happen to the industry. Of course, a lot of capacity has come in and consumption is growing as it was earlier also. But it will take some time to catch up. That's a normal thing to happen.

Keshav Bhajanka: For the international players to manufacture as per Indian standards, they will also need changes, adjustments, and it is not going to be as easy as simply switching on a button and changing. I think all of this makes us reasonably optimistic.

Keshav Lahoti: Coming on the CAPEX plan side, what we can see is there is some push of CAPEX from FY24 to FY25. One is on Hoshiarpur ply. Is the expansion running delay? And the second one is on the laminates. The laminates project has been commissioned, but yet you have not spent Rs. 50 crores. Whether the CAPEX size is decreased or how should we see that?

Arun Julasaria: Regarding laminates, the project was in phases. Right now, we have started only 1 line. Further lines will be added in the next financial year. Regarding the plywood plant at Hoshiarpur, we are going slow because demand for plywood is now on the lower side.

Keshav Lahoti: The second line would cost Rs. 43 crores. And what would be the size? Will it be 2 million sheets?

Keshav Bhajanka: There is a little bit

of confusion here. I will just clarify. For laminates, we have commissioned the second plant also. Trial production has already started. The majority of the cost should be incurred within this quarter or next quarter later. For the additional 2 lines, additional CAPEX that will be done at a later stage.

Keshav Lahoti: Coming on the laminates side, normally we expect 13% to 15% type of margin. We have seen some improvement in margin sequentially but still it is subpar what Century can deliver. When should we expect Century should be back to normal 13% to 15% type of guidance?

Keshav Bhajanka: I think right now we are investing in a lot of new trends. If you look at the larger press, we will soon be starting our Sainik physical division. We have already created a separate manpower setup for Sainik laminate which we have launched, which is taking time to ramp up. I think you can look at this as a phase of investment where maybe for 2 -3-4 quarters, the investment is disproportionately higher. But after that, like we said, our target will be 13% to 15% or even 14% to 16% long term. We will move back towards that, maybe in a time lag of a year plus.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: My first question is related to the MDF. For this quarter especially, I can see there is a good correction in the realization. Is that due to a competitive intensity, the prices were down and significant correction? Also, if I compare it with the peers, that's a quite significant correction.

Is that you are going to maintain at this level and what is the basic reason for this correction?

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Sanjay Agarwal: I think the competition has heated up in the last quarter and there was not much impact. But I believe that in this quarter, it will be a little higher than even last quarter. So, the prices have gone down by about 7% or 8%. And that should have an impact on the EBITDA and overall profitability.

Praveen Sahay: You are largely in North India, and in the fourth quarter onwards, you will expand to South India as well and more of the imports are happening there. Is it fair to assume that whatever the BIS norm implementation, you will get some kind of a benefit in the South? And is it possible like whatever the price correction or the overall realization correction you have got so far, to some extent, you will minimize that with this?

Sanjay Agarwal: What I believe because of the addition of so much of capacity – this is my assumption; these things are market related, so nobody knows, but I believe that – we will have better sales starting May and that will actually help us on improving our efficiency and more profitability. But I don't see prices going up in the next 6 months' time. Yes, anything can happen, but I don't see it because for 3 months, you have already stocks here, and after that, you have so much of capacity which needs to be consumed till now. That's why I don't see it. But, yes, after 6 months I see there could be support.

Praveen Sahay: Moving to the plywood segment, and as you had mentioned that because of the dealer meet and as well as your consultant hire, your margin profile has deteriorated. Can you give a timeline and if possible, the quantum you are paying for the consultant?

Sanjay Agarwal: Consultant's quantum money we cannot tell, actually, but we have given the cost we have incurred for our meeting of dealers, which cost us Rs. 7 crores plus. I think you are mostly concerned about EBITDA. Our guidance is always between 12% to 14%. I believe that even this quarter, even the annualized EBITDA also should be within 12% to 14%. Yes, on the lower part of it, of course, maybe 12.5% to 12.6%. But, yes, we will be somewhere between 12% to 14%.

Praveen Sahay: Will we be going to see the cost related to the

consultant the way forward as well is what I'm trying to understand.

Sanjay Agarwal: Cost related to consultants, these are such things that if we stop learning and when the organizations are at a mid-size and growing and trying to really grow very hard, at that time, some outsider may be needed, may not be needed. Of course, at some time, even the organization gets tired of outside people working with them. It will all depend on the situation. I cannot even tell you at the moment that, yes, what we will do because this is not a decision which I personally take. We, as a team, take the decision. Along with the executives, these decisions are taken. If the need is felt, yes, in the benefit of the organization, we will decide, yes, or in the benefit of the organization, we will decide no. I am talking too theoretically, but yes, that is the way it is actually.

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Praveen Sahay: Lastly, on the laminate. Laminate realization also was soft quite a bit. Will that the new norm we can see that such kind of a realization to be maintained over here?

Keshav Bhajanka: In laminate, there is a slight lucency in the domestic market where we have been facing issues. I think that we have taken strategy and steps in order to fix that. And as I said, it will take a bit of a time lag. So, this is not the new normal. We will be definitely looking at higher realizations going forward. But it may take some time for us to bounce back.

Praveen Sahay: This lower realization is on account of what? I missed that.

Keshav Bhajanka: On account of a higher percentage of exports.

Moderator: We will take the next question from the line of Abhishek from DSP. Please go ahead.

Abhishek Singh: Sir, just one thought. Over a period of 12 months, you are commissioning almost Rs. 1,500 crores to Rs. 1,600 crores of CAPEX spread between particle board, MDF, and laminates. At what point in time will you look at your next round of CAPEX? Will you expect the market to like in plywood, you said now the market is weak? What are a couple of lead indicators which you will look at before the next round of CAPEX? How should we look at it?

Sanjay Agarwal: I think this is the biggest investment CenturyPly is doing in its lifetime. And we are just going to complete within this year including our particle boards capacity. I don't think that there is anything which we will take up within the next 2 months or 3 months or 6 months' time. Yes, we are already planning; we are already thinking about what we can do. And I have seen that the CAPEX done when you are down is the best time for a CAPEX. At this time, you get all your goods cheaper, and you can put up a plant, you can bring it up, you can finish all the problems which a plant faces within the first 12 months. It is a very crucial time actually. I think I have clarified your point.

Abhishek Singh: Sir, but this BIS change which is happening first in MDF and particle board and maybe in plywood at a later point in time, do you think that can be a major trigger point for you?

Sanjay Agarwal: No, I don't think so. For MDF, it is just 30,000 cubic meters maximum per month. So, that's 1 plant actually you can say. And as far as plywood is concerned, yes, maybe about Rs. 1,500 crores worth of plywood is coming in a year's time. Even compared to the plywood market, again it is not too big of capacity. Yes, it makes a difference as far as the mind of the market or the pools and all those things a little bit change in the psychology of the market. Everybody in the market today can say now I am importing when there are 20 other sellers in the market. Then the number of sellers in the market reduces. That is how it happens most, the psychology changes. But it is not a very big quantity.

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Abhishek Singh: Sir, just

one other thing. In your last cycle, you had aspired to be a Rs. 1 crore mean profit per day company, which you have successfully achieved. Anything that you have articulated for your team internally or internally have decided for the next cycle.

Sanjay Agarwal: Keshav is the Young Turk. I think this commitment he should make, not me.

Abhishek Singh: But I thought the guidance has to come from the top and he will execute. That is what I thought.

Keshav Bhajanka: I think our ambition or pursuit as you know is to grow sustainably. And I think that going forward, we have sort of a vision of Rs. 12,000 crores turnover by FY31. That is going to be the outcome. And of course, as you know the Century, it will have to be profitable turnover growth.

We will be looking to maintain ROCE and roughly Rs. 12,000 crores for ply.

Moderator: The next question is from V. P. Rajesh from Banyan Capital. Please go ahead.

V. P. Rajesh: I have a question on the supply-demand side, as you were talking. When do you think the extra supply that you are seeing in the system across different products will subside or will get absorbed in the projects, etc.?

Sanjay Agarwal: It's very difficult to tell you when we will be able to absorb all these quantities. And by then – actually before that – we will take up new more quantities. Actually, we would have taken up investment for further quantities already at that time. But, yes, we must say that whatever we have created now will take about 3 years to.... I think that's a good thing to do. If you can consume all quantities within 3 years, it should be good. Particle board huge capacity coming up and MDF huge capacity coming up. Markets should open up sometime at the end of '24 or maybe in '25. So, I think, yes, 3 years is a good period within that.... But before that, we will have more quantity, I am sure. Our management and our people will certainly embark on further capacities and will decide.

Moderator: We will move to the next question. The next question is from Utkarsh Nopany from BOB Capital. Please go ahead.

Utkarsh Nopany: Sir, my first question is that during our last earnings call, we were fairly positive and updated the guidance for each of our segments. But if we see the performance for each of our segments, they are pretty weak for the December quarter. I wanted to know what has changed post mid-November that has resulted in such a difference in our performance compared to our expectation.

Sanjay Agarwal: Very good question, I must say. If you really see that even during the last call and the performance of Q2, there were not really very good results. We were certainly expecting to do better, weren't we? And in the Q3 also, we expected that we will be able to cover up. Yes, we were a little closer, but then, we were sure that we would be able to do it. But now after 3 quarters and the kind of movement we see in the market, then we see the results every other company is giving – the real estate is booming and we can see that the real estate has a great future at the

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moment and we, as a company, within that space, will gain – but now it is becoming clear to us that it is not so fast. It's going to take some more time. The realization has come to us right now that it is going to take some time. Yes, we are very very positive that the future is good. The India story is also working for India. Yes, mid-term and long term, very positive. Short term, yes, there are some headwinds.

Utkarsh Nopany: Sir, for the MDF segment, I wanted to know that our current operation is basically in the north region, which fetches better realization and margin compared to the South players. And if we see for the December quarter, our EBITDA margin is almost at par with what Greenpanel has posted for December. Going forward, whether our MDF segment margin is expected to be further

impacted once our South plant becomes operational?

Sanjay Agarwal: Yes, because of the price changes also, I think EBITDA will be impacted by maybe 2% to 3% further. The South has a different economy altogether because the South cost of timber and north cost of timber is also different. So, the EBITDA, I think, should not be much different from

South to north because of the prices of raw materials.

Utkarsh Nopany: You mean to say that the margin profile for South and north are almost similar considering the timber prices at the moment?

Sanjay Agarwal: Because of the timber prices and raw material prices difference, the South usually will have maybe even if a lower price, it is able to compete and it will have net-net a similar kind of an EBITDA in times to come. Actually, the problem is the timber. Because, across the country, the timber plantation happens and at some time the supply demand thing will happen and there is now less availability of raw material. It was realized maybe about a year or 2 years back or 2 - 1/2 years back, a lot of plantation had started. But it will take 3 - 1/2 years minimum to actually get that round. And for plywood, it will take maybe 5 or 6 years to get that round. Till then, the prices might stay a little higher. So, it may be another year or a year and a half's journey or maybe 2 years before the timber prices start softening.

Utkarsh Nopany: Lastly, sir, on the depreciation expense part, we have seen that we have done a lot of CAPEX in the last 2 fiscal, but our depreciation quarterly run rate has remained stable in the last 3 quarters. I wanted to get some sense of what would be the quarterly depreciation run rate for the current March quarter and for FY25.

Arun Julasaria: In fact, the figures we are giving you in the investor presentations are standalone figures, and we have been historically giving because all our subsidiaries were immaterial. Only one operating subsidiary, Auro Sundaram, that goods also were channelized and sold through the parent company. But now, our new plant is coming in the name of our subsidiary. Depreciation of that plant will be booked there only. But that I am telling of in time to come. Till now, the depreciation is almost on the similar side because we have not made major expansions in CenturyPly itself except adding one more line in Hoshiarpur.

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Utkarsh Nopany: Sir, on a consolidated basis, what would be the depreciation cost for FY25?

Arun Julasaria: I can't tell you the exact figure at the moment because it comes out of computation. So, we shall get back to you after computing what is likely to be in the future.

Moderator: The next question is from Adityapal from Motilal Oswal. Please go ahead.

Adityapal Singh Jaggi: Sir, post this CAPEX, what would be the total capacity in laminates?

Keshav Bhajanka: Rather than looking at it in laminate capacity, because when you have pressers, they are going to be different. In terms of the quantity, we will only look at 72,000 sheets for the 14x6 press because the sheets will be on average 12 mm thick and will be a 14x6 sheet. The two additional pressers should be able to add close to Rs. 300 crores to the top line. I think that is a better yardstick. In terms of volumes, it will not be a like-for-like match.

Adityapal Singh Jaggi: Sir, I understand that you can't quantify the export business, but if you can just give us in terms of the qualitative metrics that would be our top 3 markets in exports.

Keshav Bhajanka: Currently, our major markets are the Southeast Asian economy and North American economy. Going forward, with the larger-sized pressers, we will be targeting both Europe and the Middle East in a bigger way.

Adityapal Singh Jaggi: Likewise, for domestic, which would be our key regions between north, South, east, and west?

Keshav Bhajanka: We are a pan-

India company.

Adityapal Singh Jaggi: But if I were to look at it from a revenue split, is it equally split or there might be a bit more concentrated towards north and South because these are the larger markets.

Keshav Bhajanka: The South is our largest market followed by the north.

Moderator: The next question is from the line of Nikhil Agarwal from VT Capital. Please go ahead.

Nikhil Agarwal: Sir, I wanted to know what would be your FY25 volume guidance and margin guidance.

Keshav Bhajanka: You have seen the numbers for the first 3 quarters. For the 4th quarter, we are looking at single-digit growth in both panels and laminates. As we have already mentioned, in panels, we are looking at similar margins to what our guidance is, 12% to 14%. In laminates, we will be attempting to maintain similar margins. However, the expenses for the new South plant could lead to slightly lower margins. In MDF, we should have a volume growth of (+ 20%) in Q4, but margins are likely to be lower. And in particle board, we will have a similar top line, but margins, again, could be a little under pressure due to raw material prices.

Nikhil Agarwal: And what about FY25%?

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Keshav Bhajanka: Our attempt will be for far more robust guidance, far more robust growth. But we will get back to you on this. At this point in time, with the South plant frozen, I don't want to give you figures.

Nikhil Agarwal: What has been the raw material price trend in the laminate segment in Q3 and Q4 now? What has it been? Have the prices been fairly stable?

Keshav Bhajanka: There has been an increase in the price of one particular variety of craft paper, the lower end of craft paper, predominantly due to the (Inaudible) 54:25 spend likely to cut. But other than that, raw material prices have been fairly stable.

Nikhil Agarwal: And lastly, what is the capacity of your phase 1 laminate plant that has commenced production? 2 million, right?

Keshav Bhajanka: The capacity, like I have mentioned in the previous answer, it is not going to be possible to give like for like because this is going to be a 14x6 press that produces 12 mm boards. That is going to be the standard thickness. We can look at a total of Rs. 300 crores of additional CAPEX at full utilization from the 2 new lines that have been commenced.

Moderator: The next question is from the line of Kushagra from Old Bridge Asset Management. Please go ahead.

Kushagra Bhattar: Just 2 questions on your pre-laminated MDF segment. Sir, if we understand 25% of your volumes and almost 33% to 34% of your value within the MDF comes from pre-laminated, can you give us a similar ballpark number for the EBITDA contribution as well from the pre-laminated MDF within your overall MDF EBITDA?

Sanjay Agarwal: I don't think I have separate EBITDA for both the things, no. Right now, I don't have any but, yes, if you want, we can give you later.

Kushagra Bhattar: The second question is, again, on pre-laminated MDF. Can you tell us, is there any overlap between your pre-laminated MDF and pre-laminated particle board segment? Basically, the pre-laminated particle board is also seeing a decent amount of capacity additions by two other players. I just wanted to get a sense like, is there a competition between pre-laminated MDF and pre-laminated particle board segment?

Sanjay Agarwal: Technically, 100% of particle boards are used by OEMs. These are the small factories which make furniture, and 100% of the pre-laminated particle board is used by OEMs. They buy it from us or from dealers. As far as MDF is concerned, MDF is going to OEMs, but the pre-laminated MDF is now being bought by contractors who are working at your home or my home also, and they have learned how to use it. Yes, it is going to the OEMs also, but I don't think there is a competition because there are two different

different kinds of furniture being made by them and different kinds of usage they have. So, I don't think there is a competition between particle board and MDF pre-laminated.

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Kushagra Bhattar: Last question, sir. You made a very interesting remark on the CAPEX philosophy. Doing it in the downtime can actually sort of benefit you a lot. I just wanted to get a sense with some debt buildup already there but still a decent amount of cash generation and net equity to debt still down, let's say if the opportunity comes up and 6 months down the line, you decide to lap up on CAPEX, what sort of debt levels you are comfortable on your balance sheet?

Sanjay Agarwal: As a company, you know that we have been one of the most conservative companies as far as debt is concerned. Particularly, before taking up the present investments, we were for quite some time a debt-free company. As our mindset is there, we are really waiting to become debt-free ASAP. But, yes, I think we will always be working on some kind of ratios which usually people work on. Suppose you have an EBITDA of Rs. 500 crores, we believe that 1:1, 1:2 maximum is what we should look into. But, yes, all these things keep changing because of how we are expecting the demand in the market and how the market will be. We might become more conservative, or we may become a little more open. But, yes, I think this 1:2 should be related to EBITDA. Otherwise, as far as the bank is concerned, we can pay back in about 6 to 7 years' time. Even if we go up to 3x to 4x of our EBITDA, we are quite safe. But we are a conservative company. So, usually we will not be in that area.

Arun Julasaria: In fact, we believe in maintaining a very high DSCR. Apart from debt to equity, we also want to make sure that DSCR is on a very high side. It should always be more than 2.

Moderator: The next question is from Shubham Agarwal from Axis Capital. Please go ahead.

Shubham Agarwal: Just 2 questions. I am just trying to sum up whatever we talked about regarding MDF on this call. Just tell me if I have understood it right. Your margins QoQ will decline in Q4, i.e., the current ongoing quarter, which could be lower by about 200 bps to 300 bps. Then, starting February, though there will be implementation of BIS norms, for the next 6 to 9 months, we

could see realizations not really inching up as much because a lot of domestic capacity is coming up. And about 6 to 9 months from there, probably we could see some realization improvement. Is that understanding correct?

Sanjay Agarwal: Let me explain. This quarter, yes, we expect the EBITDA to go down, but if we can improve the capacity utilization, it might still not go down as much as we think. That is the clarification for your number 1 thing. And number 2, we believe that the present import stocks may last till April.

So, from May onwards, we will be getting the benefit of stoppage of the imports. The prices may not go up 6 months from now, but after 6 months from now, I expect that, yes, we will get support from the market.

Shubham Agarwal: And MDF realizations have declined by about 7% to 8% QoQ in Q4. That is also what you are seeing right now.

Sanjay Agarwal: Yes. This 7% to 8% is including the Q3 and Q4.
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Shubham Agarwal: Q3 to Q4, 7% to 8% decline?

Sanjay Agarwal: Yes.

Shubham Agarwal: Now, coming down to plywood, just if we didn't have, let's say, the dealer event and the consultant costs this quarter, would we still be in the 12% to 13% range or let's say 12% to 12.5% EBITDA margin range.

Sanjay Agarwal: For plywood, yes, we expect that when we end this year it should be about 12.5% to 12.6% somewhere there.

Shubham Agarwal: I was asking, in Q4 if we didn't have these 2 costs of Rs. 70 million and the consultant cost whatever it

is, would we still be in the 12.5% range broadly for Q3 specifically?

Sanjay Agarwal: I am saying that we will be able to end this FY24 with an EBITDA of about 12.5% to 12.6%. I think that will clarify the whole thing if I give you some specific EBITDA for this month. Are you looking for that?

Shubham Agarwal: No, not really, sir. On plywood, let's say the consultant costs remain in FY25 as well, if the consultant cost remained, you will still be able to achieve 12% to 14%, right? Maybe in the lower end or the higher end, we will see.

Sanjay Agarwal: Yes, for plywood, that is our target.

Moderator: The next question is from Bhavesh Jain from DB Investment Advisors. Please go ahead.

Bhavesh Jain: Sir, we talked about MDF and the competition all about it. We can see the increasing trend of MDF across the industry. And since there is a slowdown in demand currently, can we expect the margins to remain under pressure for around a year or something about?

Sanjay Agarwal: I think now MDF is at its bottom. So, I don't expect any further lowering and I don't think that there is any further possibility for anybody. The markets are like that and there is a knee-jerk reaction and new capacities coming in. All those things mixed up and such things have happened.

But I don't see any further going down.

Moderator: The next question is from Vineet Shanker from JM Financial. Please go ahead.

Vineet Shanker: Sir, I just wanted to ask one question. On the MDF side, you said that there will be a 7% to 8% decline in the realization going forward in the Q4 and could also be in the Q1. I just wanted to understand where this decline will be coming from. You see any competition pushing down its prices for volume? Can you highlight on this?

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Sanjay Agarwal: This happens every day in the market, and everybody is doing it. Nothing specific about whether Century will do it or somebody else will do it. Competition happens like this that one day somebody does and the other day somebody else does and it happens in the market. And everybody wants to secure his own buyers, the permanent buyers. You don't want to let the permanent buyer, or the permanent big dealer go off your hand. This keeps on happening. And whenever the feels are a little softer and we have a feel that, yes, the demands are a little slow, at that time, automatically you start giving up a little bit, little bit. And when the demands are strong, at that time, we start pulling up a little bit, little bit. We go to the dealer, and we say the prices will be up by 2% or by 4%. Right now, we go, and we will say yes, this is the exact price. Then, he negotiates a little bit, or he asks for a larger order. This is nothing that it happens in one day and there is nothing like that it is planned. But, yes, it happens.

Moderator: The next question is from Adityapal from Motilal Oswal. Please go ahead.

Adityapal Singh Jaggi: Sir, I just want to double click on the previous figure that you said that the incremental capacity for laminates will generate Rs. 200 crores to Rs. 300 crores of top line. What would be the total revenue capacity for this expansion?

Keshav Bhajanka: It will be Rs. 500 crores plus.

Adityapal Singh Jaggi: Rs. 500 crores will be the capacity that it can generate for you?

Keshav Bhajanka: Yes.

Moderator: The next question is from Rahul Agarwal from InCred Equities. Please go ahead.

Rahul Agarwal: Sir, one question I had on the consultant cost. Qualitatively, which project are they working on currently? Could you explain? Because I think they moved from laminates to plywood and then I am not even sure whether they are working on MDF and particle, I would assume.

Sanjay Agarwal: No, we are working on plywood, and we are working on the premium segment. Specifically, this time, very specific to the product.

Rahul Agarwal: Th

is is McKinsey, right?

Sanjay Agarwal: Yes.

Rahul Agarwal: What is BCG working on?

Sanjay Agarwal: BCG was earlier working on laminate sales. And now there are certain things which have come up from that program, and they have undertaken that in a very short period of, say, about 3 months to about 4 months, the company is that.

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Keshav Bhajanka: Basically, the BCG project is on how to maximize earning potential from our existing distribution network. How to leverage the distribution structure that we have to generate maximum earning potential across categories. It is a project that is likely to benefit the company as a whole, but the McKinsey project as the MD has categorically said is of premiumization in the plywood segment. Both of these are short-term support, and they will be completed within this quarter, with no decision as for new extension as of now.

Rahul Agarwal: And last question on the CFS division. The margins still appear to be low. Are there any one-offs there even in this quarter?

Sanjay Agarwal: I think the CFS division is now stable near this. As far as the present situation or the near future is concerned, some little bit up and down is okay but that is where actually we should stay.

Arun Julasaria: To tell you specifically, margins are still on the downside because now Calcutta is a river port so the craft will continue to reduce. So, the margins will not improve.

Keshav Bhajanka: So, we should assume 10% as the EBITDA margin for the business, right?

Arun Julasaria: Yes, you can't expect better than what we have shown in quarter 3.

Moderator: The next question is from Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Sir, my question is pertaining to MDF. On one of the prior questions, you indicated that if the demand is low, then basically we give up that particular part of the demand. How should we understand this? Basically, you are indicating flattish margins. Is there a sort of understanding that despite new capacities which are there in the market, probably the larger guys will focus on the export market and not pump material into the local market?

Sanjay Agarwal: No, there's no possibility at all of any kind of understanding. But the markets are like that everybody knows everything, and everybody pretends to show that I don't know anything. But in the market, we know what the other guy is doing, how much he is offering. If a guy goes into the market and he offers something, the guy will telephone the other manufacturer. Sir, this is the situation happening. This is a very big, you can say, circle within the market which operates. So, there cannot be any understanding, but, yes, the bottom has come. Everybody understands that at these kinds of margins, to go below these margins, and you never know that the prices of timber are not in anybody's control. They may still go up. And it seems that, yes, they will go a little bit further. But, yes, the feeling is always there that the prices will go down. Now the feeling is clear that the prices cannot go down further, and BIS will help there actually.

Ritesh Shah: Sir, if I put it the other way round, how much ever might be the demand, it is there anyway.

Supply incrementally is going to come. Are we assuming that the inputs will actually go down?

And that is something which gives us confidence on pricing and margins?

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Sanjay Agarwal: There are 2 things in import actually. One is the quantity of, say, 30,000 cubic meters which practically is, you can say, 1.5 plants – big plants – in India. And #2, the import, even if it is 1 plant or 2 plants, it is under the control of 1 person or 1.5 person who is selling it in the market. But as far as the import is concerned, there are maybe 30 importers in the country and all 30

importers are fighting in that market. So, the number of sellers are too many and that actually weakens the feel of the market. I hope you are understanding.

I will tell you in, say, stocks. If suppose some stock is there in the market and there are 1,000 sellers in the market, even if the prices are not going down, everybody knows that everybody is a seller, so it's going to go down. Isn't it? Similarly, there are 30 sellers in the market, maybe only 30,000 cubic meters. But actually, that weakens the market. Now, because of the BIS happening, all those 30 people are being removed from the market. The moment the number of people selling is not there in the market, it will help.

Ritesh Shah: Correct, but, sir, will this be a temporary scenario? Because, if I am a trader or if I am an exporter out of Thailand, I will definitely work harder and I will get the BIS approval. Probably, I will also come back into the market after 3 months or 6 months. Is there a scenario which is possible?

Sanjay Agarwal: What I believe is that this is a kind of thing which will take maybe another 6 months or 8 months' time or 9 months' time before he gets the BIS. That is number one. But now you look at the exporter. He has to take a BIS he is a large company, he manufactures, say 2,000 cubic meters. Out of that, he exports 300 cubic meters to India or 200 cubic meters to India per day. For 200 cubic meters, he has to go through all this panga of getting the BIS from India. And the Indian

government or the officers you know what kind of people they are and how they do all these things. Will he really make a very strong effort to get this BIS just for that small quantity?

Because, for him, it 's not a very large quantity. Yes, it is important, but it 's not a very large quantity. Will he take so much of panga? Even if 1 or 2 people do, will every exporter do this? No, it 's not possible. I hope you get what I am saying.

Ritesh Shah: Yes, sir. This was very helpful. Sir, just the last question. The material that was going from Southeast Asia to probably the US and Europe – I don't know how much of it was flowing, specifically for MDF – if I am an exporter/manufacturer out of Thailand, given the Red Sea container freight issues, if I look at my incremental cost, it will be hardly anything. So, could there be incremental pressure in India that I will dump material more?

Sanjay Agarwal: Very frankly, I am not a person who can comment on this because I have not much of a knowledge on this subject. But, yes, this is an issue and I think this is mostly applicable to Europe. It 's not applicable to the USA, I think, so much. But I am a person who s hould not be relied on for a comment on this Red Sea thing, not much of a knowledge.

Moderator: That was the last question in the queue. I would now like to hand the conference back to Mr. Sanjay Agarwal for closing comments.

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Sanjay Agarwal: Thank you ever ybody for your patient hearing and joining us for the Q3 FY24 Results . We look forward to a much better, very exciting future. See you again.

Moderator: On behalf of SKP Securities Limited, that concludes the conference. Thank you for joining us.

Ladies an d gentlemen, you may now disconnect your lines.

Call: May 2024

Date: 29th May, 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Audited Financial Results for the Quarter and year ended 31st March, 2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Monday, 27th May, 2024 in respect of Audited Financial Results for the Quarter and year ended 31st March, 2024.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
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"Century Plyboards (India) Limited
Q4 FY '24 and FY '24 Earnings Conference Call "
May 27, 2024

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CENTURY PLYBOARDS
(INDIA) LIMITED
MR. KESHAV BHAIKAR – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS (INDIA) LIMITED
MR. ARUN JULASARIA – CHIEF FINANCIAL OFFICER –
CENTURY PLYBOARDS (INDIA) LIMITED

MODERATOR : MR. NAVIN AGRAWAL – HEAD INSTITUTIONAL
EQUITIES – SKP SECURITIES LIMITED

Century Plyboards (India) Limited
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Moderator: Good day, ladies, and gentlemen and welcome to Century Plyboards (India) Limited's Q4 FY '24 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the opening remarks conclude. Should you need assistance during the conference call, please signal an operator by

pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities at SKP Securities Limited. Thank you and over to you, sir.

Navin Agrawal: Good afternoon, ladies, and gentlemen. It's my pleasure to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay Agarwal, MD, and CEO; along with Mr. Keshav Bhajanka, Executive Director; and Mr. Arun Julasaria, Chief Financial Officer. Please note this conference is being recorded for compliance reasons. And during the discussion, there may be certain forward-looking statements. These must be viewed in conjunction with the risk that the company faces. We'll have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session. Thank you and over to you, Sanjay ji.

Sanjay Agarwal: Thank you, Navin ji. Thank you. Good afternoon, ladies, and gentlemen. I am Sanjay Agarwal, MD, and CEO of the company. I welcome you all on the earnings call of Century Plyboards (India) Limited for the year and quarter ended 31 March 2024.

Before I proceed with call, I still like to mention the customary disclaimer that this call is just for discussing company's historical numbers and future guidelines. In Norway, should be construed solicitation for investing in the company. I am accompanied by Mr. Keshav Bhajanka, Executive Director and Mr. Arun Julasaria, CFO of the company. Results, along with analytical presentation we're hosted on company and the Stock Exchange website and I hope you all have gone through the same. I will not like to spend time on repeating the same.

Overall, top line for Q4 on quarter-on-quarter basis was up from INR909.67 crores to INR1,025.64 crores, higher by 12.7%. EBITDA improved from 12.3% to 15.3% while all segments contributed to top line growth. In this quarter, we have taken impairment of INR19.60 crores on account of binding contract for disposal of our investment in subsidiary, Century Singapore Private Limited, which was building in operating overseas asset at Laos. Apart from this, we have also taken INR4.46 crores impairment in respect of one more subsidiary, Century Infotech Limited as its business is also non-operational. With these impairments now, company is now not left out with any asset requiring impairment.

During the quarter, the scheme of hiving off of CFS division to 100% SPV was finally approved by NCLT and given effect from appointment -- appointed date first April '22. During the year, greenfield laminate and MDF units at Andhra Pradesh set up by company's wholly owned subsidiary, Century Panels Limited, commenced operations. Operations at Buddha units are gradually picking up. The industry -- our industry is facing increasing trend in cost of principal Century Plyboards (India) Limited
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raw material timber, which cannot be passed on fully in view of sluggish demand, so profitability will remain moderate. In case of MDF industry is facing oversupply caused by recent addition of capacities, which are still to be absorbed by the market.

Going forward, for current financial year, we expect double-digit top line growth across all segments. While Plywood segment is likely to grow nearly by 10% with EBITDA margin ranging between 12% to 14%. Other segments will book higher growth by utilizing recently

added new capacities. Laminate with the addition of capacity at Andhra is likely to grow at 20%, with EBITDA margins ranging from 10% to 12%. MDF also with addition of capacity at Andhra is likely to grow at 40%, with EBITDA margin of 15%.

We expect new ongoing capacity of particle board at Chennai to commence operations by end of current financial year. If it happens early, we may have a better growth. Otherwise, particle board will remain flat. For looking after our MDF and Particle board businesses, we have appointed Mr. Sumant Wattas as CEO. Mr. Sumant has been partnered with BCG, Boston Consulting Group and has been associated with our consultancy projects for the last 4 years. He brings industry as well as professional expertise.

With this, I rest my opening remarks and invite questions from you all.

Moderator: The first question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, remember in last call, the laminate outlook was we were expecting to be back to 13% to 15% in 2 to 4 quarters, the guidance was. But now laminates margin earlier, used to guide 12, you're guiding 10 to 12. There's a sharp drop in margin guidance. So what has changed in the industry scenario?

Keshav Bhajanka: Keshav here. I'd like to address that. See in laminate, there's going to be a gradual ramp-up of the capacity that we are taking up -- that we have taken up in Andhra Pradesh. If you look at last quarter also, we have been 12% plus. There was a onetime exceptional write-off, which was because of an entry tax rates, which was quite a few years earlier. So because of that, the EBITDA margin is looking at sub 10%.

Otherwise, if you take that 2.8% impact, we are 12.4%. However, the Andhra capacity is going to ramp up gradually and towards the same because the capacity is very high into depreciation factor and higher fixed overhead, we have guided for a lower EBITDA margin. In steady state without Andhra, our margins will be anywhere between 12% to 14%.

Keshav Lahoti: Okay. Got it. So H2 should be like 12% to 15% right away to see H2 FY '25?

Keshav Bhajanka: It will increase as Andhra scales up. But for the entire year, we're looking at 10% to 12%.

Keshav Lahoti: Got it. And Andhra would be your export -focused plant, right?

Keshav Bhajanka: Yes. Andhra will be predominantly export focused.

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Keshav Lahoti: Got it. So normally, export margins would be better for you versus domestic?

Keshav Bhajanka: We would have similar margins but considering that these are large-sized compact Laminate, there is a chance that margins could be slightly better going forward.

Keshav Lahoti: Got it. And particle board, in your opening commentary, you said the flattish revenue in FY '25.

Keshav Bhajanka: Particle board we have said flattish revenue because we are hoping or expecting that the new line comes into operation by Q4 of this year. However, as we have seen recently that due to this entire issue of Chinese technicians, engineers not getting visas, plants have been getting deferred by a few months. So if the plant comes into operation, we will definitely have a 25% growth for the year. However, if the plant takes a little time or it comes in operation towards the end of Q4, then this year will be flattish, and we'll get the benefit of the new plant from next year onwards.

Keshav Lahoti: Got it. Understood. One last question from my side, what is the ad spend for this year?

Keshav Bhajanka: We have always had a targeted spend of 2% to 4% and we are going to be within the same bracket.

Moderator: Next question is from the line of Praveen Sahay from Prabhudas Lilladher India.

Praveen Sahay: Can you give the capacity for the laminate right now?

Keshav Bhajanka: Capacity for laminates. Just give me a second. You are asking for overall capacity.

Praveen Sahay: Yes, overall

capacity right now.

Keshav Bhajanka: So our overall capacity post -Andhra would be, just 1 second, this is all on a rated capacity basis. We will get you with data. Mr. Sanjay Agarwal, who is sitting with us, will share the data shortly.

Praveen Sahay: Should I go ahead for second question?

Sanjay Agarwal: Yes, yes.

Keshav Bhajanka: Yes, please.

Praveen Sahay: Yes. So the next question is related to the Plywood and in the Plywood, as you have guided for 10% of growth in the revenue. So how is the capacity they are -- capacity and the capacity utilization you are looking at and also the plant capacity at the Punjab when it is expected to come?

Sanjay Agarwal: So the Punjab plant is on the hold actually, we are not making much of a progress because of the raw material situation there in Punjab and the future there also still looks bleak. So Punjab plant may or may not come up. But otherwise, also the load capacity, so Plywood capacity is actually -- we had at a utilization of 87% in Q4. And for the whole year, we have used 81% of

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the capacity. So we still have possibility of increasing it by 10% this year. As far as capacity is concerned, there is no problem.

Praveen Sahay: Okay. And related to the margin in this segment itself, if I look at your commentary, it is like increased trend in the raw material.

Sanjay Agarwal: I'm unable to hear you, please speak a little louder.

Praveen Sahay: Yes. So related to the margin in the Plywood itself, as you had mentioned earlier in the commentary that facing increasing trend in the raw material, still you are guiding for 12% to 14% of a margin profile. So how is possible with -- you are expecting some price hike or some product mix changes? What exactly you are looking at to deliver on the higher side of the margin?

Sanjay Agarwal: See as far as our plywood is concerned, we are able to pass on some of the cost rise, like even in this May, even in this market, we have taken a 2% price rise. So -- and even last year, there has been some price, cost rise as far as the raw material is concerned, but still we have been able to deliver the EBITDA. So -- and because it is a branded product, it's possible we have delivered it in the past.

So we are quite confident that within this year also, we'll quite be able to pass -- we'll be able to deliver. There is one more thing. You see our capacity utilization goes higher and higher; it

makes a little bit of a difference as far as the costs are also concerned. I hope you understand that. So the capacity utilization from 80%, to say 88% to 89%, that makes a difference to our bottom line.

Praveen Sahay: Okay. And for a full year, how much of the price hike you have taken in the Plywood?

Sanjay Agarwal: Last year, we have taken just a second. I have the right number.

Moderator: Praveen, do you have any follow-up question?

Praveen Sahay: I have one...

Sanjay Agarwal: Last year, we have taken a 2% price rise.

Praveen Sahay: Okay, sir. Last question sir related to your MDF because if I look at your EBIT margin and EBITDA margin, there is good amount of a difference. So is it only because of a new plant coming and depreciation numbers is on the higher side?

Sanjay Agarwal: Can you repeat the question, please?

Praveen Sahay: So for this quarter, if I look at your EBIT margin is nearly around 10% and EBITDA margin is around 16.5%, so there is a good amount of depreciation is there in this quarter. So is it because of the Andhra unit, which has commissioned or how to read these numbers?

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Arun Julasaria: Yes. You are talking of this figure. You are talking of consolidated figure or stand-alone.

Praveen Sahay: No, no. I'm talking only about the MDF segment.

Arun Julasaria: MDF figures from our PPT.

Praveen Sah

ay: Yes. So for MDF figure from your PPT as well as from the result update.

Arun Julasaria: Our PPT figures are stand-alone figures. So any depreciation of new plant is not factored in that.

Moderator: Next question is from the line of Chirag Jain from Yogya Capital.

Chirag Jain: I was trying to more understand on the MDF side, which we are expanded -- expanding into.

The other players also are expanding into the same thing which you are trying to do. So how -- what are you looking forward for FY '25 and '26 in terms of MDF segment? That was my first question now.

Keshav Bhajanka: I think that if you look at MDF, for the coming year, our prime objective is going to be ramp up capacity utilization of the newly commissioned capacity in Andhra Pradesh. And I think we are very well poised to deliver a strong growth in the market because still now, we are focused on only the North market. This was because of our having capacity only in the North. Now with the South plant becoming operational, I think we can rapidly ramp up capacity. Next year, the objective, of course, will be to reach as close to full utilization of the expanded capacity as possible.

Chirag Jain: So don't you see something of price pressure -- thriving pressure coming up in the market due to a huge capacity coming into the market into the same year and everybody trying to ramp up their capacity in the same year?

Keshav Bhajanka: I think that, yes, there will be pricing pressure. But given when you look at MDF, you need to litigate with the holistic picture. Today, if you look at the total capacity, I have seen that most people look at total capacity regardless of whether it is a continuous press or to the multi-gig press. In MDF, as you well know, there is a clear 10% to 15% EBITDA difference between a continuous line and a multi-life press.

So when we are talking about huge capacity additions, we should also factor in that at current EBITDA margins, it will be very difficult for multi-life players to survive. So going forward, if we only count the continuous capacity that is there in India, I think sooner rather than later, we will have equilibrium between demand and supply. So we have to see how it plays out. But for centuries, we have always been able to ramp up our capacity faster than the industry. And I'm sure this trend will continue.

Chirag Jain: Without changing the realizations.

Keshav Bhajanka: The realizations have dropped, and we will change the realizations as and when the market dictates the same. I think that is something beyond your or my control. So going forward, we'll

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play it by the year. But yes, I'm fairly confident that we'll achieve the guidance like we have given.

Chirag Jain: Okay. Also second, my question -- second question was on the prelam side. We have higher realizations in the prelam side. So why don't we focus on that side?

Keshav Bhajanka: I think we do focus on that side. And we don't only have higher realization in prelam, we also have higher realizations across our range of products. For instance, our premium plus, which is a value-added product has a far higher realization than DIR. So there is a continuous exercise to

grow across our value-added products and we have been growing year after year, quarter after quarter. You will see the trend continuing.

Chirag Jain: Yes. So what was the margin difference between a plain MDF and the prelam MDF?

Keshav Bhajanka: We don't share that data.

Chirag Jain: Second question was on the Plywood side. The Plywood industry of the unorganized segment is very -- it is lying almost 40% idle. So why don't we acquire some of them rather than expanding on our own?

Sanjay Agarwal: See, the kind of industries these small units are, today the kind of quality we make, it is impossible to manufacture that kind of a quality in these small units.

We were discussing even internally that people must be wondering why don't we acquire, but there's no reason for us to acquire anymore.

Chirag Jain: Okay. Sir, last question before I get back in the queue. Can you please confirm the Andhra plant is coming up with the prelam MDF or the plain MDF?

Keshav Bhajanka: We are coming up with every form of the MDF, including prelam. So you will see the Andhra plant having every SQ and every type of...

Moderator: Sir, sorry to interrupt you. May I request you to speak a little louder, please?

Keshav Bhajanka: The Andhra plant will have prelam and every other possible value-added product in India.

Moderator: Next question is from the line of Souvik Mohanty from Nuvama Wealth. The line for the participant is dropped. We move on to the next participant. The next question is from the line of Adityapal from MSA Capital Partners.

Adityapal: Just quickly, I wanted to understand the split for laminates revenue between export and domestic.

Keshav Bhajanka: Currently, our total split will be less than 25% towards exports, 75% domestic.

Adityapal: Okay. And sir, just wanted to get a bit on the qualitative side of things. How is the Laminate revenue looking in the domestic market? Do you see a strong pickup, which are the growth pockets and what would be the -- on the competition side, how would things be panning out?

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Keshav Bhajanka: From Q2, we do see a strong growth. Q1, I think, could be a little affected because due to the election season, demand has been a little sluggish in laminates domestically. Q2 onwards, we are definitely seeing a strong growth. We are launching a new catalog with regards to our Bond segment, which should help us. We are also launching 12 individuals as a result of the new capacity that has been commissioned in Andhra Pradesh. As such, overall, we are looking at 20% plus growth for the year as a whole with flattish Q1.

Adityapal: Understood. And sir, a bit on the -- how the -- are you seeing an increase in competitive intensity from the existing players? And second, sir, for Century going forward for Laminate segment, do you see exports being a bigger growth lever than domestic?

Keshav Bhajanka: Currently, considering the base of exports is small, it's just the percentage of growth in exports is likely to be higher. This is also due to the fact that the under-capacity is predominantly dedicated towards exports with 2 larger size presses, but domestic shall also grow at a very healthy clip. So we are seeing growth in both, but you're right, the percentage may increase a little more towards export.

Adityapal: Understood. And sir, any color on the competition?

Keshav Bhajanka: I think Laminate has always been a very competitive industry. But considering the current scenario, it is very similar to what it was earlier. It has not changed too much. But yes, we are working towards further differentiating our product categories to stand out more in the market and gaining some of the market share that we have perhaps lost in the domestic market in the past year.

Moderator: Next question is from the line of Amit from Elara Capital.

Amit: Sir, just one question on the Plywood side. One point is just to understand your assumptions of 10% top line growth, what would be the value and volume for do you have?

Sanjay Agarwal: This 10% projection is on the value side.

Amit: Yes. So volume would be like 7%, 8% and similar to what people said increasing...

Sanjay Agarwal: Should be about 8%, 8.5%, yes.

Amit: Okay. Okay. And on the Plywood side, you indicated of EBITDA margin anywhere between 12% to 14%. The assumption is more to look at the full year numbers of FY '24 when you were building it because Q4 of exit has been -- I know there is a seasonality, but Q4 has been about 15% or so. So it's...

Sanjay Agarwal: What happens

you see in Q4, there are always some additions, some subtractions, some things will provide it little higher earlier, you may credit, or they were not provided a debit and there were some advertisement expenditures were a little lesser in Q4. Production was a little higher

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than probably usual, but you have seen that for the last so many years, we are maintaining this 12% to 14% and we have been very consistent.

So that's why we believe otherwise that way the things have changed with MDF from where to where the things have come. So market forces can force anybody to accept anything actually. But in plywood because of our brand and all, we have been able to maintain EBITDA. In some quarters, it might be a little higher or lower, but on an average, it will be between 12% to 14%.

Amit: And second question is on MDF, similar, I mean 40% growth largely volume-led because there is competition. So we've seen a realization drop. Do you think that should continue?

Keshav Bhajanka: Sorry, I didn't understand your question.

Amit: I'm saying the assumption of 40% growth in MDF for next year. That is largely volume back, right? Or you expect a realization decline and the volumes could be higher?

Keshav Bhajanka: The assumption is 40% on value growth, considering that realizations will be lower, volumes will be higher than 40%.

Amit: Okay. And similar on the EBITDA margin, when you look at exit of Q4, it's about 16% and we are guiding for a 15% so -- are you looking at a significant competitive intensity higher and that consumption is...

Arun Julasaria: The low capacity that comes into play will take some time to ramp up. So that is the first point.

And secondly, timber prices have been elevated from time now and we don't see any reason for them to correct within the near term, say, within this year. So due to these 2 factors, I think that margin of 15% is something that we can target. Going forward, with the implementation of the IS in February next year and an easing of timber prices gradually perhaps in the next year, we should look at better margin.

Moderator: Next question is from the line of Rajesh Kumar Ravi from HDFC Securities.

Rajesh Kumar Ravi: Yes. Sir, I have a few questions. First, could you discuss on the timber prices? How are they being in the North and South? And what is the outlook? And secondly...

Sanjay Agarwal: So I will keep answering, it will be better, because otherwise, I will forget your questions.

Timber price difference is about INR1 between South and North, South is cheaper, and North is more expensive. And the North prices run faster. So first they increase and then the South catches up, it is how it has been happening until now.

Rajesh Kumar Ravi: And what is the outlook, sir, when do you expect the price correction -- prices to stabilize or see a pullback?

Sanjay Agarwal: I don't see in at least next 18 months, we really don't see that the prices should correct because there was a gap in between in plantation because the prices had gone below and the farmers were not planting, somewhere, I think, around '22, they have again, started -- restarted planting. So

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we expect that somewhere in '25 and maybe '26 beginning, we should start getting that plantation 3 to 4 years. So that's why actually that gap has to be there.

Rajesh Kumar Ravi: So the whole of...

Moderator: Rajesh Kumar, sorry to interrupt you. May I request you speak a little away from the mouthpiece? Your voice is coming a little muffled.

Rajesh Kumar Ravi: Yes. Is it better now?

Moderator: Yes, please.

Rajesh Kumar Ravi: Okay. Sir, do you expect this FY '26 also the gross margin for the industry to be under pressure because of?

Sanjay Agarwal: I cannot comment on FY '26 till now. But for FY '25, we

are very sure that there cannot be big

changes. FY '26, there could be changes you see, we do not know. Like Plywood, the core, the prices have not really gone up too much because import started. The prices of local core went up so high that the import is started and that has stopped any increase in the core prices. So that might happen with MDF also, but we do not know at this juncture, that is not clear to any of us.

Rajesh Kumar Ravi: And sir, what is your net debt outlook given the ongoing expansions? And how much is the total capex you have outlined with the around INR500 crores to INR600 crores for FY '25?

Keshav Bhajanka: The capex guidance is already given in the investor presentation.

Rajesh Kumar Ravi: Right. Okay. So net rent, how you're looking at this number to increase?

Keshav Bhajanka: I think again, in terms of our debt projection, we have a very healthy internal cash flow generation. And from here on, the only substantial capex that you are seeing is the Chennai project. So if you factor that in, I don't see a very substantial addition going forward.

Rajesh Kumar Ravi: So around INR400 crores, INR500 crores addition would be possible this year on a net basis.

Keshav Bhajanka: We will be able to get back to you with that data offline.

Rajesh Kumar Ravi: And last question is on the margin outlook for MDF and PV. I understand these 2 sectors are under pressure. But 15%, is it conservative or do you see -- because if you as a market leader, you and the other players talking about 15% margin for the MDF, isn't it a very green scenario?

Keshav Bhajanka: To be honest you, we have to give guidance as per the current demand situation in the market. And as for the prevalent market forces. As per that, yes, 15% is what we are realistically seeing. It is not conservative, not aggressive. And we are going to achieve -- we are going to attempt to achieve the same. Regarding the rest of the market, I think as you go throughout the year, you'll get further clarity on the same.

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Rajesh Kumar Ravi: Sure. Sir, last question on the particle board, which is a sizable project. And given that 2 other projects would also -- one more project will be ramping up at similar times. What could be the utilization ramp-up? Will it be like 70% utilization? It will take 3 years, 4 years? Or did the utilization...

Keshav Bhajanka: We will get back to you with that data, but our capacity utilization has always been far better than the industry. And I think, in particular, that is what you will see again.

Moderator: Next question is from the line of Souvik Mohanty from Nuvama Wealth.

Souvik Mohanty: I had only one question. In the fourth quarter, there's an increase in margins of supply whereas the timber prices, which is common for both MDF and Plywood, this has improved for Plywood -- Plyboard versus MDF it has declined.

Sanjay Agarwal: Timber consumed in MDF and Plywood are different. Timber consumed in MDF is very -- is only 3 to 4 years old, whereas the timber consumed in Plywood is at least 7 years old. And that is why the purchase prices are also quite different in both the cases. In Plywood, timber prices, what had happened, it increased the prices of core increased and immediately, import of core had started from many countries, from Asia, from Vietnam or from even including Brazil, they have started exporting too. So that's why the prices of the core and thus the prices of that timber, both got restricted, and they have been restricted now wherever they are. So not much price increase has happened during the last 7, 8 months. And in plywood, there is one more thing, we are -- it is a branded product. So we are able to pass on some at least if not the full cost, we are able to pass on some of the cost to the consumer also. It does not depend on whether local Plywood unit in Yamun

anagar increases their price or not, still we can increase to some extent. So that is why both the timber prices increase does not really result into the same kind of result.

Moderator: Next question is from an Bhavin Rupani from Investec India.

Bhavin Rupani: Thank you so much.

Moderator: Bhavin, sorry to interrupt you. Can you please speak through the handset?

Bhavin Rupani: Sir, as per media reports, unorganized players in South has taken some 5% to 7% price hikes recently. Do we plan to take any price hikes in Plywood segment?

Sanjay Agarwal: See the small Plywood manufacturers have been announcing these increases in last 1, 1.5 years, they have increased their prices many, many times. But we know for sure that those prices have really not been affected in the market. They announced but then ultimately, everybody has to sell in the market and there are more than 1,000 sellers in the market. So the prices have not increased. As far as we are concerned, yes, we have taken the price range of 2% from first of May, effective first of May.

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Bhavin Rupani: Sir, what you're saying is unorganized players have been announcing price hikes, but they are holding it back is that?

Sanjay Agarwal: Yes, they always fall back. They try to insist because it is segmented seller situation. So in that, actually, it has never been possible for them to increase the price. That is the story, let's say, 2 to 3 years.

Bhavin Rupani: Okay. Got it, sir. Sir, as far as Plywood is concerned, what will be our proportion of Sainik and non-Sainik volumes? Or is it possible to share.

Sanjay Agarwal: That actually have never shared because it is a competitive information. So it is better we don't share. It is good for our health.

Bhavin Rupani: Fair enough, sir. Is it possible to share the growth rates, if not the volumes?

Sanjay Agarwal: Overall growth rate is about 10%. So last year, I think we have clubbed about 7.5%, 8%, something like that. This year, it will be about 2%. We are trying for more, but we are committing to 10%.

Bhavin Rupani: This was about Sainik, sir?

Sanjay Agarwal: No, no. I'm saying overall, Plywood...

Bhavin Rupani: Is it possible to bifurcate between Sainik and non-Sainik.

Sanjay Agarwal: No, it is not. Always the Sainik will be a little more than the prime material, but then I am unable to divert the percentage. So I'm happy to know that you have understood, and you remember, there are different brands Sainik and prime, yes.

Bhavin Rupani: Sir, as far as particle board is concerned, we have mentioned 25% volume growth of particle boards. So when do we expect our new plant to be commissioned.

Keshav Bhajanka: Our expectation is for the new plant will commence within Q4 and should give us some traction in Q4 itself. However, considering the fact that there have been certain delays, including in our MDF project because restrictions that have been placed on movement of individuals, particularly with regards to any machinery coming in from China, we are a little cautious on that front. If the plant comes in operation towards the back end of Q3 or the early part of Q4, we should be able to achieve this growth. However, if the plant is dispersed, then we might see the benefit in the next year and this year could remain flattish.

Moderator: Next question is from the line of Utkarsh Nopany from BOB Capital Markets.

Utkarsh Nopany: Sir, my first question is on the depreciation policy. So if I see our depreciation rate has gone down from 6.3% in FY '22 to 4.6% in FY '24. And this might be due to the commissioning of our laminate and MDF project towards end of Q4 FY '24. So if you can guide us what would be Century Plyboards (India) Limited
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your quarterly depreciation run rate from this June quarter onwards? And what would be our normal d

epreciation rate on a sustainable basis going forward?

Arun Julasaria: I cannot reply to your question instantly because depreciation you see in the results is average of depreciation of various assets. So it depends upon the types of assets additions. And apart from this, CEO talking of which figure you are talking about standalone figures or consolidated figures?

Utkarsh Nopany: Sir, I am talking about consolidated figures. I'm just giving you a sense over the last 3 years.

Arun Julasaria: In case of consolidated figures, depreciation figure has come down because the depreciation charge is only proportionate because operations so far in the plant has started in March only. So the depreciation chart in books is only for few days of the parts. So next year, from Q1 onward, it will be for the whole quarter.

Utkarsh Nopany: So can you give some sense like what would be the quarterly depreciation run rate, since we have done largely most of our capex? So what would be the run rate from June quarter onward?

Arun Julasaria: That I'll have to calculate what will be the full depreciation for the quarter. And then I will be able to tell.

Utkarsh Nopany: Sir, why I'm asking, sir, because our -- we have done a capex of INR1,500 crores, our gross lock has more than doubled but our depreciation expense on an annual basis has hardly gone up by INR25 crores over the last 2, 3 years period.

Arun Julasaria: I am telling the depreciation for the new plant only for few days where you are seeing the low figure for the whole year. Block figure is early on date, but the depreciation is for the period only. On the existing asset, it was for 365 days, whereas for new additions, it was only for few days.

Utkarsh Nopany: Fine, sir. Sir, my second question is like we saw that our Laminate sales volume has gone down on a Q-on-Q basis despite we have started our greenfield unit in AP, can you please explain the rationale for that? And what would be your current set of utilization of our AP Laminate and MDF plant in the month of May? And at what operating rate our AP Laminate and MDF unit is likely to become breakeven at EBITDA level and by when it is likely to be achieved?

Keshav Bhajanka: You've asked 4 questions; I will go one by one. In Q4, if you look at it overall, it was not a very good quarter for us and their certain challenges with regard to some export markets. Due to that, the volume figure is lower. However, quarter-on-quarter, the revenue figure is higher because domestic has a higher realization for us than an export.

Secondly, with regards to new capacity coming into play, any new capacity that you bring into the market takes some time. There are feeding issues that take place. And it has taken us some time to ramp up the capacity in Andhra as far as Laminate is concerned. We should get the benefit of that within the current quarter and going forward.

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From next quarter onwards, we're likely to get a good benefit out of the same. Regarding both Laminate and MDF unit, we are likely to be at EBITDA positive level within H2 of this year

itself, exact figures, I don't have with me.

Moderator: Next follow-up question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: First, I just want a clarification on Ply side. So what I've understood the Ply price hike has been 2% in Q4 as well as FY '24. So FY '24 should be higher than 2%. And what has been the price hike in May month for Ply?

Sanjay Agarwal: You see the last price take, I think -- in this year, we have taken on first of May, but the effective first of May, it has been already affected on all our sales from first of May. In last year, I think we did not take in Q4. It has taken some time July. It was taken in July '23.

Keshav Lahoti: Okay. Understood. Got it. Yes. And how has been the progress on Sainik La

minates side?

Sanjay Agarwal: Just a second. Keshav?

Keshav Bhajanka: Sainik Laminates, we are still trying to ramp up our volumes. As of now, I would say that we have only launched in a few markets, and we have decided to hold the launch in further markets till we are able to get a concrete strategy. We are working on it. I think this year, we should see far more traction in Sainik Laminates.

Keshav Lahoti: Okay. So the traction is taking longer than what you might have earlier anticipated.

Sanjay Agarwal: Much longer.

Keshav Lahoti: Got it. Understood. And what might be the key reason for this? What are the key takeaways so far?

Sanjay Agarwal: I think any new product category will take time to learn. Century has always been a player in the premium segment. When you're entering a new segment, it does take some time. But hopefully, we will follow in the success of Sainik Plywood, which, as you know, helping the revolution. It is taking some time, and we will try to form that sooner up than later.

Keshav Lahoti: Got it. And what sort of capacity utilization you're anticipating for AP MDF plant in this year?

Keshav Bhajanka: I can say for the overall capacity utilization for MDF, we will be looking at close to 70% utilization of the total capacity. It's difficult to segment it because certain markets will move from North to South catchment depending on the profitability. As you know, the timber price on the South is a little lower. So we are rehashing some markets.

Moderator: Next follow-up question is from the line of Bhavin Rupani from Investec India.

Bhavin Rupani: So can you provide the status of all the ongoing projects? And what is the expected commissioning timeline?

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Keshav Bhajanka: As far as the ongoing projects, I'll tell you for all the major projects. The laminate project in Andhra Pradesh has been commissioned. The first 2 presses have been commissioned. The MDF project in Andhra Pradesh has been commissioned. The PVC project that we have undertaken in Andhra Pradesh has been commissioned. And the last -- the large projects that we are looking at, particle board is likely to be commissioned within Q4 of this year as we have already mentioned in the call. The Plywood decision, as the MD has already stated will be taken after some more due diligence. We still have excess capacity, and we are planning for where to set up into new Plywood unit. So this is a status of all expansions.

Bhavin Rupani: Got it, sir. Sir, next question is related to MDF. Sir, we have been guiding 15% margins in FY '25 versus approximately 17% that we clocked in Q4. So do we expect any price cuts over year?

Or is it due to higher raw material costs that we expect?

Keshav Bhajanka: There has already been a certain price cut as far as the north market is concerned. And in the South as well, once we have launched new capacity in Andhra Pradesh, we are now more in line with outpricing. As you know, it is not going to be a big impact on EBITDA because the South cost will also be lower than the North. However, considering the current consecutive landscape and considering that we have just setup our largest capacity ramping it casually over the course of the year, I think that 15% is of sale line.

Moderator: That was the last question in the queue. As there are no further questions, I would now like to turn the conference over to Mr. Sanjay Agarwal for closing comments.

Sanjay Agarwal: Thank you. Thanks to each one for attending the call. Looking forward to a better and more promising '24, '25. See you next quarter. Thank you.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

Date: 9th August, 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Una udited Financial Results for the Quarter ended 30
th June ,
2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Wednesday, 7
th August, 2024 in respect of Una udited Financial Results for the Qua rter ended
30th June, 2024.

This is for your information and record.

Thanking you,

Yours faithfully,

For Century Plyboards (India) Ltd.

Company Secretary

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Q1 FY '2 5 Results Conference Call "
August 07, 202 4

Management: Mr. Sanjay Agarwal
Managing Director and C hief Executive Officer
Mr. Keshav Bhajanka
Executive Director
Mr. Arun Julasaria
Chief Financial Officer
Mr. Sumant Wattas
Chief Executive Officer – MDF Busin ess

Moderator : Mr. Navin Agrawal
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Moderator: Good day, ladies, and gentlemen, and welcome to Century Plyboards Limited Q1 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agarwal, Head, Institutional Equities. Thank you,

and over to you, sir.

Navin Agarwal: Good afternoon, ladies, and gentlemen. It's my pleasure to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay Agarwal, MD, and CEO; along with Mr. Keshav Bhajanka, Executive Director; Mr. Arun Julasaria, Chief Financial Officer; and Mr. Sumant Wattas, CEO, MDF Business. We'll have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session. Thank you, and over to you, Sanjay.

Sanjay Agarwal: Thank you, Navinji. Thank you. I welcome you all at FY '25 Q1 Earnings Call of Century Ply. Before I start, I would like to state customary disclaimer that this call is just to discuss company's historical numbers and future perspectives. In no way, should be construed as invitation for investing in the company. With us along with analytical presentations are sent to you and also posted on the stock exchange website. I presume you all have gone through them, so I will not be repeating the numbers.

Although the industry is continuing to struggle for growth and issue with the raw material availability and price. On an overall basis, the results are in line with guidance shared by us in last call. On year -on-year stand -alone basis, our total revenue was up from INR862 crores to INR952 crores.

On a consolidated basis, it was up from INR891 crores to INR1,005 crores, posting a growth of 10.5% on stand -alone and 12.8% on consolidated basis. Plywood division posted better -than-expected year -on-year growth of 14.9% with EBITDA margins of 14.4%. Compared to other players, our better raw material linkages helped us to keep our costs under check.

Aggression on the part of sales team put sales ahead and improved sales mix. This resulted in continued substantial improved profitability compared to our peers. We continue to maintain our guideline of sales growth of 10% plus, with EBITDA margins between 12% to 14%. Although Laminate division this growth guideline improved EBITDA margin to 12.3%.

Our Andhra facility is ramping up will add the sales of Laminate segment, we can expect to see guided growth in coming quarters. Newly setup MDF facility at Andhra has picked up exceptionally fast in very first quarter of operation. And a year -on-year growth of 47.3% volume to MDF segment.

New facility is ramping up very fast, and we expect it to be EBITDA positive by third quarter. MDF market is in huge supply pressure leading to correction in average realization. While we
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expect substantial growth, we are unable to predict improvement in average realization consequential improvement in EBITDA margin.

Going forward, we expect 40% plus value growth with some improvements in EBITDA margin. Particle board industry is under new pressure, both at average reason and raw material cost front. Number of small players are there in the industry. We are coming up with a facility with continuous process, which will result in improvement of quality and also reduction in cost. This new facility is expected to start by end of this financial year. We shall expect growth and profit improvement after our new facility starts as until then, we expect to maintain flattish growth.

We have also set up PBC board facility at our Andhra location. This has started production in the month of May '24. This facility is also ramping very fast and will add to almost INR100 crores revenue by next year.

The conviction on account of sale of our Singapore subsidiary along with lowest step -down subsidiaries as completed in the month of April '24. We have taken impairment loss of INR24.06 crores for the same in our last year accounts, which was reflected in our spend on accounts as exceptional items. However, as the transaction is completed in April '24, we have derecognized all assets, liabilities, and minority interests in some subsidiaries in current quarter in our consolidated account.

The resulting difference amounting to INR13.33 crores is shown as exceptional item in consolidated profit and loss account in compliance to accounting standards. With these words, I rest my opening statement, and we are open for questions from all of you. Thank you.

Moderator: The first question is from the line of Rahul Agarwal from IKIGAI Asset Management.

Rahul Agarwal: Sir, no questions on guidance today. I think that we interview, and the presentation made it very clear across segments. I have 2 questions. I just wanted to set the context right, keeping ROC focus, and I can see Century nearing capex competition in the next 7, 8 months both opex and capex intensity as well as balance sheet leverage looks like peeking out right now.

So 2 questions. Firstly, on plywood second on MDF On plywood Sanjayji, do we see a structural cyclical turnaround going forward in terms of volume growth because when I look at last 7,8 years excluding fiscal '22, '23 post -COVID, I think the segment grew single digits for many years. Do you see a double -digit volume growth sustaining over the next 5 years given where

macros, competition, and substitution parts for plywood...

Sanjay Agarwal: Let me answer the question, then you ask the second question. You see, I think in India, the things are so dynamic that we are all talking about so much of growth. We are talking about very high GDP growth. But at the same time, we are seeing that the price are really not growing. We are seeing that the FMCG books are at a growth of maybe 2% or 2.5%.

So we all believe in the story, the India story is absolutely there and everything positive is happening. There's no 2 things about it. But to predict for the long-term growth of 14% will not

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be right on my part. But I have been telling that we are doing too many experiments. We have found the best of the things through our experiments, and we have implemented them across our country now in all our branches and our products.

And we think that yes. That is what is really resulting in the present jump as far as plywood is concerned. We will certainly love to have this kind of a growth because the growth has continued for the first quarter. It has continued from July, and it seems that, yes, it will continue for some time. But for 5 years, I don't think anybody has the capability to tell you.

But I can tell you, plywood because it's a branded product and brand will always keep profits and the sale within a particular parameters. It will probably -- it can go only up without our expectations, but it will not go too low that is what we have seen over so many years. You can ask your second question, Rahul.

Rahul Agarwal: Got it. And secondly, a similar question on MDF, like would you like to call it a bottom here because only 2 quarters since centralizing into India business. The EBITDA margin is falling below 15%. My sense is hence for the margin should stay, let's say, till next 2 quarters, most case you get the new plantation timber and then we see a strong up cycle not only for Century, but for the entire industry as demand supply mismatches are covered over the next 5 years.

rs. So

would you like to call a bottom in terms of margins for MDF? That's my second question.

Management: If you look at our -- if you look at our standalone numbers, so we had about 14% margin. And I think that, yes, this would be the bottom because going forward, we are going to attempt to increase value-added products, we are going to attempt to increase capacity utilization. However, timber costs have increased slightly higher. So that is the challenge that we're all grappling with. But by and large, I think, this will be the bottom. And going forward, with increased capacity utilization, we should definitely see some room for it.

Moderator: The next question is from Keshav Lahoti from HDFC Securities.

Keshav Lahoti: I want to understand one thing. The laminate plant got commissioned in Jan. So if commercial production started from this quarter or in Q4, also some production has happened? And secondly, in this facility, what our competition says the NSR is as high as INR6,000 per sheet. Is it a right interpretation?

Management: I'll take that the Laminate facility it came on board in January the first few months ago just to production and to ramp up the uses more export-oriented has taken a little longer. As we cargo certification also actually has just come in within the coming August of. So that is why -- and yes, the average realization from this facility will be higher because a large chunk of it will be compact laminate and that too larger size.

So if you're look at it in per sheet basis, it will be higher. But overall, the current two hot presses that we have there, the total turnover that we can expect at peak utilization will be about INR250 crores. So it is similar to what one standard press of 8 by 4 will be giving us the past slightly higher.

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Keshav Lahoti: Okay. Got it. Understood. And on this MDF plant, we can see a small increase in capex to INR730 crores earlier INR700 crores was the guidance. So is it like you're adding something new? Or is it in the equipment or something cost as close it is a hike in cost?

Sanjay Agarwal: Costs have been shooting up. And I think there are certain elements that we had expected to be completed at lower cost for instance, roads in media, et cetera, have cost, slightly higher than what we had thought. So this was predominantly an increase. Not due to any addition in terms of plant machine gain, but due to an escalation in cost.

Keshav Lahoti: Understood. Got it. Last question from my side. Firstly, on the ply side, this quarter, we did 14.5% margin, and the company has also taken the hike in June, so that will fully get played out in next quarter. and what we hear, ply industry is also planning next quarter -- next round of hike. So what sort of hike you are planning possibly in this quarter? And will you like to up the

margin guidance to something like 15%? And lastly, on the progress on Hoshiarpur ply, which earlier call, you highlighted is on hold. So what are the plans on that side?

Sanjay Agarwal: Hoshiarpur is put on hold because -- what we expected in Hoshiarpur is the kind of plantation issue that happen, we saw that the plantation was not happening and more of this timber was coming from UP and then there are areas like Odisha. So we -- the plan is still on hold. We are about our other facilities, which are existing. As far as your question our EBITDA are concerned, we have -- given the -- in my opening statement, we're saying that we still maintain.

As far as the price increase is concerned, we increased 2% from 1st of May, and we have increased 2% from 1st of August. We have increased 2% from 1st of June and 2% from 1st of August. The 4% price has been taken across in all of our plywood products. But the cost of raw material has gone up.

On the region for a higher EBITDA can be higher quantity of sales or

growth in the growth is

higher than a little bit of EBITDA will be higher. But then that also I cannot say that we can sustain that for a very long period. That could be there for 3 months or 6 months. So our guidance will be 12% to 14%.

Moderator: The next question is from the line of Praveen Sahay from PL India.

Praveen Sahay: First question is related to the plywood. So earlier call, you had given us some volume growth guidance in the plywood in the range of 8% to 8.5%, while you had delivered a far better number in the Q1. So is there a further reason in the volume growth for the plywood? And at what realization...

Management : we have given a guidance.

Praveen Sahay: So 10% is our revenue. So still you're holding 80% around volume growth?

Management : 10% volume growth, yes.

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Praveen Sahay: Sorry, just to clarify this, in the sales growth guidance, you had given a 10% for the plywood.

Sanjay Agarwal: Yes. But I maintain that we should have about 10%, maybe 11%, maybe 12% of the value growth. For the moment, yes, we have higher growth. And if the Q2 also goes accordingly higher and we may revise our guidance for the whole year. But right now, I will be little cautious.

Praveen Sahay: Okay. And also, if you can highlight...

Management : Will be the all less series going around, Bangladesh and what is happening with Israel, we really don't know what is going to achieve.

Praveen Sahay: So basically, my question is from where you are getting this kind of volume growth, 13.5% of volume growth in the plywood. So from where you are getting this -- how -- is that the market share gain been, or you can say that...

Sanjay Agarwal: From where, but actually, we were doing a lot of experiments in our sales team and our sales method. I think we have been able to consolidate them, and we were able to implement that across the country, and that is helping us. We are not the same company which we used to say 5 years back. So it's a completely change way we operate with -- that we operate with a dealer for our dealers or our contractors everything has changed. Maybe that kind of data or study you get in India will be very difficult and not so organized.

So we all speak to each other, and we speak to media we try to understand, yes, what is going around. So that's totally that yes, whatever we have done is giving us very well. And the quality -- our quality has really improved because the percentage of complaints have more than our percentage of component 0.0 something and even that has also halved -- there is a reduction of 50% in our complaints. I mean that is also will result in good sales section.

Praveen Sahay: Okay. Sir, the next question is related to the MDF so in the guidance you had given a 15% margin guidance for '25. And I understand fully with the AP plant commissioning your margin on overall MDF segment has deteriorated. So how -- like how in the next 9 months, you are confident of delivering for a full year of 15%, even if I look at a consolidated basis, it's 1.5% for a quarter.

Sanjay Agarwal: On a standalone basis, we are confident of this 15%. For Andhra you're right, it will take some time to ramp up, but we are confident that by Q4, even the Andhra capacity or even the consolidated margin, will be at 15% plus. The 15% steady sales margin, yes you are right, with Andhra ramping up, the overall consolidated margin could be a little bit lower.

Praveen Sahay: Okay. Okay. And second thing is on the realization related to that because the realization in the opening remarks on so as I said, in the MDF it's a decrease and the way forward also we expect some degradation. So do you believe with the south plant coming up, usually, our realization is expected to go down from here as well what we are right now?

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Sanjay Agarwal: I don't think so. I think in the south currently, we do not have a very high percentage of value-added products. Pre-lamination line also started producing from the second half of July, we actually had a much lower share of Pre-lam MDF in our Andhra facility. Going forward, we are going to increase our value-added products and that should give us slightly higher realization. Having said that yes, South as the market perhaps will not have high realization as we were doing earlier, but I don't see realizations dropping much further from here. They could improve the share with the product.

Praveen Sahay: And lastly, sir, if you can give some numbers related to the timber pricing. So how is the north timber price in this quarter or the past quarter? And how has the number on Y-o-Y or sequentially.

Management: I'll take that question. In an MBS in North, our timber price is between INR6.5 to INR7 per kg. In South, it is about INR1 cheaper. So it's in the range of INR5.5 per kg.

Praveen Sahay: Okay. And how has it sequentially, how much it has increased.

Management: As compared to last quarter, it has increased marginally in the range of 5% to 7% for the rest of the year, while we hope it remains steady, but given the plantation cycle, it's hard to pay there to fall business, it might mainly still increase in the next 2 quarters. But it's very difficult to say for sure.

Moderator: The next question is from Sneha Talreja from Nuvama.

Sneha Talreja: Three questions from my end. From you mentioned a lot on that -- you mentioned about prices, margins bottoming out prices also bottoming out, than maybe we should think improvement. Is it based on the fact that we have brought up some price hikes here? Or will it be based on the fact that our utilization ratios would improve, and our value-added mix would improve...

Sanjay Agarwal: You talk about wood or MDF?

Sneha Talreja: MDF.

Sanjay Agarwal: Yes, in MDF currently, while there is no clear visibility of price hike, but considering the state of margin across the industry I think it is only logical that prices should start to increase.

However, as of now, we don't have any price rise in if there is a development, then if there's an opportunity we will definitely take on.

But having said that, value-added products are going to increase perhaps because if you look at it in the first quarter, like I mentioned, from Andhra, we had zero pre-laminated MDF. And that, of course, is a much higher value-added product. So once these products start increasing and as margins increased slightly -- sorry, you'll see a realization increase slightly.

Sneha Talreja: Understood. And my second question was related to how much more write-offs will be pending from the overseas subsidiaries, are we done because the write-off or there are more write-offs.

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Management: No, there is no write-off as such this is just an adjustment to comply with the content. We've had an opening balance sheet which contained all the figures of subsidiaries, which now seem to be succeed. The production was completed last year only. Sorry, impairment was taken last year only. But conjecture was completed on 25th April. So, this is just removal of those balances and resulting difference. We have to root to obtain those accounts because AS dictated. Relevant accounting extended dictated.

Sneha Talreja: Understood. Sir, this is largely done.

Management: Yes. You can call it the investment.

Sneha Talreja: Understood. And sir, my last question was on MDF, could you actually tell the utilization rates for our new facility AP and what would be the Hoshiarpur plant running at this point of time utilization wise.

Sanjay Agarwal: Currently, at Andhra first quarter, we are at a very low utilization. As you know, we will be at less than 20%. Quarter 2, of

course, we are planning to ramp it up substantially higher. And in sharper capacity, we will be running at close to 85% to 87%.

Moderator: The next question is from Shubham Aggarwal from Axis Capital.

Shubham Aggarwal: I have -- the first question is regarding the gross margins. So I was just comparing the consolidated and stand-alone gross margins for Laminates and MDF. And what I see is that there's a gross margin loss from those new subsidiary that we've incorporated. I just wanted to get a context like how should we look at it.

Sanjay Agarwal: So basically, have sold maybe less than 10,000 cubic meters from capacity the that is substantially large in the first quarter. So because of that, all the expenses over into None of that is in ours. And in gross margin, we also account for factory overheads. So our gross margin is

not only down materially, but it also takes into account factory overhead. And we are seeing it. However, going forward, with Andhra ramping up in late quarter, you will see a drastic change in the picture.

Shubham Aggarwal: Got it. Got it. And the second thing is, in the opening remarks, you mentioned something about essentially doing something specifically that helps keep the RM inflation for plywood under check? I just missed that. If you can elaborate and explain to us, what is -- if that helps essentially control our impression of that.

Sanjay Agarwal: We have done over quite some time, we have been in agreement, and we have certain agents with raw material suppliers, not only in India, but overseas also. So we are now having a very good supplies from the best of the suppliers in Brazil even Vietnam. So many of the countries, we have connected for quite some time. And now we are able to ensure that we give the raw material at the right quality and the right place.

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And you also know that there is so much a problem in one as far as the container sale is concerned. I hope you are hard about the freight fee rate has really increased all around. And there also, we have been able to many much better than anybody else because of our CFS, we are intestinal the lines in the world. And that's how we are able to get a better rate also. All these things have been dented in ensuring the quality, in ensuring the quantity both at the right pace.

Shubham Aggarwal: So I understand is your -- so it's now viable to import the RM for plywood and you are doing that. And incrementally, that share of share is increasing, and that will keep increasing until the RM prices are high in India once like all other players you also.

Sanjay Agarwal: Yes. And tomorrow is the metal prices after a year or 2 years is the fall down if they reduce, Then importantly, top -- but when the moment and import from so many companies comes into, but we increased the increment in the prices of raw materials will slow down in a very big way because we get the local supplier and quarter competition from now overseas. And there, the prices are quite stable because there are so many countries are where we are lead to supply.

Shubham Aggarwal: Got it.

Management : One point here, we should also take into account that our large inaction, which is Pan India, including 3 factories that are for based and 3 factories that are more domestic port -based, helps us substantially. In times like this, our port -based factories actually give us a substantial advantage, whereas when domestic raw material costs are low, the landlocked factories are the ones in Gorkhi, Guwahati, and Karnal to be particular, give us a substantial advantage. So, strategically we are well -placed to cover either scenario.

Moderator: Next question is from Nikhil Agarwal from Kotak AMC.

Nikhil Agrawal: Sir, my question was regarding the impact of BIS norms that would be coming in said, do you see a sizable import reduction post that?

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Sanjay Agarwal: Sorry, could you repeat the last part?

Nikhil Agrawal: Sizable import reduction post the implementation of BIS.

Management : Definitely, you see the MDF boards being imported into India today does not match Indian standards and do not match the quality of MDF and then play the manufacturing. For instance, if you see the ID or wax content, of any of the imported boards, you will see that there is a huge difference between what we are currently making and what is getting imported. So I don't think that it will have -- it is going to have a major impact -- and taking a BIS license in itself for our international player will take some time. But even in the long term for them to comply in the follow -up quantity that India purchases from maybe some of these manufacturers, it's not going to be easy.

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Nikhil Agrawal: Okay. And even if they match up to the BIS standards and then improve the product quality, what would be the increase in their cost of production?

Management : It could be substantially increase in the cost. Today, for us to manufacture this similar product role in tail 20% cost saving. So for them, there will be a 20% cost jump.

Nikhil Agrawal: Sorry, I think that is 20%?

Management : For them, it will be a 20% cost increase in order to meet the current standard acquiring manufactured by us or the other branded domestic player.

Nikhil Agrawal: All right. Understood. And what about the unorganized smaller unorganized players? Like are they BIS compliant? Or are they also on the same thing as the...

Management : It varies from player to player, there are a lot of none. So we can't simply say one size fits all. It

depends. I would say that some are compliant, some are not.

Nikhil Agrawal: All right. Understood. And do you plan -- with this Andhra facility once it transcends, do you plan to export as well?

Management : It will depend on profitability. But yes, we have already exported some containers. And going forward, I see there is scope to export, but it depends on value.

Nikhil Agrawal: All right. Lastly, could you just help me with the MDF imports into India for the last 3 months.

Sumant Wattas : This is Sumant here. I can take that. Look, the MD who referring to this whole shipping freight increase rather reduced the MDF import somewhat, usually the MDF imports are in the tune of 25,000 to 30,000 CBM per month. If I look at the last 3 months data, I would believe it's about in the range of 15,000 to 16,000 CBM. So it's come down by about 50%. But as the freight crisis emerges, we see that the trend goes upwards or downwards but it's come down in the short term on account of freight.

Moderator: The next question is from Abhishek from DSP.

Abhishek Ghosh: Sir, just a few questions. In the plywood segment, when we look at the volume growth, it's almost about 14% for the current quarter. Now this is happening at a point in time when the overall building material demand when we look at it is subdued. So how should we look at your growth trajectory in plywood when things normalize, given that so much of the take rates have happened, some market share perspective? And is it more coming from the panics of the world, which is largely competing within semi-organized to the unorganized?

Sanjay Agarwal: This time, we are seeing that even in Q1 and after that, both semi and our prime material are doing, both of them have grown well. I cannot say that the earlier I just said in this call only that how long we will be able to sustain it. But we believe that our -- everything we have done the changes in our sales process and our quality, both are now doing very well. So we expect to get some more share of market from our competition and equally 4% of it also.

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And I also see that the market

is slowly changing from totally the lowest class, the lowest cash

of is to the belly of the market where the customer is asking for a little better prior. They are not ready to buy the best, but still they are now looking for the very big level. So I think that change in also happen. It's going to be very big for the industry. But yes, we are here to wait and watch.

Abhishek Ghosh: Okay. Sir, just another thing, just one thought. In terms of that when the raw materials go through such sharp increases over a sustained period of time, what we usually observe is that the unorganized tends to suffer a lot. And this is an industry that not is probably the highest I was more trying to understand from that perspective because the bit to take price hikes the unorganized unbranded is far, far lower. So from that competitive thing...

Sanjay Agarwal: We are pleased that is very cost for them, but you see we Indians are a very different breeds, we Indians are so pakka that we will find some way out because the given the small manufacturers in unorganized structure they all are bear themselves in the market and in the factory. So they find some way out to survive. Few of them may stop production, both who have something else to do or something big to do. They will stop getting into fly -- so new people coming into plywood and even MDF they will stop totally now. But those who are there, will try their best. So I don't take Indian entrepreneur to be...

Abhishek Ghosh: Fair, fair point. So my next question, you partly answered. Given the profitability curve MDF has seen, how could we locate capacity addition on MDF, how do you see it over the next 12 to 18 months in terms of the capacity addition in MDF in the country?

Keshav Bhajanka : I don't think is going to be any -- Hi Abhishek, Keshav, here. I don't think there's going to be any substantial in MDF capacity going forward. In fact, a number of the smaller peers under tremendous pressure and quite a few of the peers, even the ones that have recently set up a -- so currently, in this scenario, I don't see much crash addition happening in the next couple of years. I think 1 line is coming close to completion. But other than that, I don't see any capex in the medium -- short to medium term.

Abhishek Ghosh: Okay. Okay. That's helpful. Just in terms of the employee cost, we have seen a sharp increase on a sequential basis. Is it just with the annual increments and other things getting reflected in the first quarter and then it stabilizes over the next 3, 4 quarters? Or is it to do with some other inflationary elements?

Management : We have actually increased our term fee substantially we are investing towards in MDF, as you know, we have a massive growth target for this year. So yes, in focus more on the market. So I think there are number of things where increment has played a role. But other than that we're also scaling up and we are provisioning for a larger growth going forward.

Abhishek Ghosh: Okay. Okay. And one last other thing in terms of -- if I look at your capex projections that you gave there is a sharp reduction in the capex program from FY '26 onwards after you commission or particle board line. So FY '26, one should see sharp deleveraging that would happen for

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Management : At this point in time, yes. Because currently, we don't have any closing capex . And I think considering the current scenario, and we have already taken on large capex. We are not going to go for any substantial capex for the next year, 1.5 year after So they'll be sharp deleveraging effect taking place.

Moderator: The next question is from risks Hrishikesh Bhagat from Kotak Mutual Fund.

Hrishikesh Bhagat: So one question. See, when I look at your various segments, say, plywood, laminates, obviously, the margin var

iability is fairly low across the longer cycles in the plywood in the narrow range of 13%, 15%. Laminates also fairly in that range. And that is also getting reflected in the segmental ROCE for each segment, the larger bench time to a fairly good whereas same in case of MDF, the variability is fairly large on the margin front across the cycle.

This has been the second cycle were seeing margins coming fairly to low single digit. So -- and for industry as a whole, it not before you. So my question is, do you feel that MDF eventually could matter to that plywood or laminate kind of? Or do you think that this margin volatility will remain inherent and the cyclical in this segment?

Keshav Bhajanka: This is Keshav here I think if we look at this as a product category in any 5 -year horizon, you typically guide for 25%. The last cycle that we were talking about over the year 2018, '19. So any 5 -year cycle, we'll be looking at close to 25%. But having said that, as you know the market in MDF itself with premiumizing. Our value -added product percentage is increasing. As you know, premium plus, which is a higher category material.

That material is now being sold in the form of semi -branded product. So I will see that over the course of the next 5 to 6 years, what you are saying is correct the margin variability remain should reduce. But even otherwise, any high year time period, I think MDF will have close to 25% EBITDA margin. But it should go down over the course of time.

Moderator: The next question is from Bhavin Rupani from Investec.

Bhavin Rupani: Sir, you mentioned about raw material linkages. Can you please elaborate what proportion of linkage we have versus our total raw material requirement right now?

Sanjay Agarwal: I think it is difficult to tell you what percentage are linked. But yes, whatever we are importing that 1 we have done wonderfully with the biggest of the suppliers and the best of the suppliers. And it keeps on varying very frankly, even if I tell you that so much percentage has been linked, but it still -- it keeps on hearing on local availability. We still look for that if you can do from the local market, it is better for us. And it really does not matter where you get your remote gets in our quantity and quality.

Bhavin Rupani: All right. Sir, is it possible to quantify what would be landed prices of imported raw material versus existing domestic prices?

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Sanjay Agarwal: Yes. It's the imported raw material is a little higher. Say about 3%, maybe 3.5% or 4% is higher than the local, but the quality is better. The imported raw material quality is much better. So that actually suffices for its higher base.

Abhishek Ghosh: And sir, as far as plywood is concerned, what would be our current utilizations?

Sanjay Agarwal: So our capacity is now at 3,39,000 about 3,40,000 cubic meters and utilization in '24, '25 is about 75%. We are actually increasing our capacity across all our plants. We are nearly 5%, 10% every year. So some of small capex have been undertaken in most of the plants, especially the plants which are on ports, the Chennai Plant, Kolkata plant, all these we have taken up.

Bhavin Rupani: Sir, my next question is related to particle board. Sir, how should one understand the utilization levels in particle board in first year of commissioning?

Management : I think that currently particle board is going through for the difficult scenario. And because of this, the new line is substantially because the EBITDA margin in the new line will move far as continuously. Having said that once we start the new line at that point in time, temporarily, we may have to shut down the existing capacity. Like I said, the EBITDA margins in the new line are going to be higher than the existing line. To hold the new capacity, I think by the exit of year 1, we would comfort

ably be at 50% plus capacity utilization.

Bhavin Rupani: And at what level should I assume your breakeven?

Management : 50%.

Bhavin Rupani: Sorry?

Management : 50%.

Bhavin Rupani: 50%. All right. And lastly, on the pricing of MDF and. Particle board. Currently, we are experiencing declining prices across all the -- for all distributors. So just wanted to understand how are the prices decided. So it is desired by the association? Or is it that each and every company decides when and how much price increase or decrease one should take?

Management : There can be no association. I think if you cannot have a consortium. So it is individually by players and splay the comparative intensity of the market we look at various factors such as the current price of imports, our own brand strength and then we decide on pricing. And each company does it on their own.

Moderator: The next question is from Amit Purohit from Elara Capital.

Amit Purohit: So just on -- you highlighted the changes that you've taken one; I understand the fleet on the Street was kind of increased, and that's visible in the employee cost. And second, I think some time a few years back, you started with this order has arrived and then you had this influencer engagement program, anything else beyond this, which you would like to highlight maybe a Century Plyboards India Limited

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separate team has been set up for B2B? Is that also if you could just qualitatively address what are the actions that you have taken.

Sanjay Agarwal: No, all those experiments, which is various experiments we have done. We have done -- so all we have done experienced in every aspect of sales. And all those experiments have been now completed and we have found out the best, which really give us the best results. And they have been -- also earlier, we were doing into some branches are not some branches, we are operating in different way some branches we are setting i n operation in a different way.

Now we have found that , what is the way to operate how to control at the central level. And that -- all those systems have been implemented across the country. It's not necessary that this will continue to give us this kind of a growth for all the time to come. But yes presently , these are the visions, and the quality seems to be the reason for the growth presently. And actually, we have not done anything very new. What we have done is all the old wine and new bottle in sensually we have organized working in all the areas still. So they are now not thinking what to do. Everybody knows what they are going to do.

Amit Purohit: And sir, you indicated that the smaller players, the cost of doing the business has probably increased. And so is that -- I mean, broadly, that is resulting to them shutting down or some of them shutting down of the business?

Sanjay Agarwal: For plywood, are you talking about plywood?

Amit Purohit: Plywood Yes, sir.

Sanjay Agarwal: Plywood, there are about 3,300 units across the country. Even if 100, 200 shutdown, it makes no difference Frankly, actually, it makes no difference. And the smaller guys are also there in these 3,000 people are there in this industry for long. So they und erstand the industry. They have their own local markets, suppose som ebody is operating in Siliguri.

He is operating in Siliguri has got excellent connections with the dealers and all that. So the chances of openly closing down is going to take some time. The only thing which can do this is the consumer. If the consumer starts demanding a better quality. It is happening, which I can see now that, yes, from the lowest side of the quality, they are now shifting to the belly of the market, which is a medium quality product like se mi or a little lower than semi.

That is happening in some ways. Otherwise, you would not have gained so much in semi in the last 5 years. There was no -- not

hing known as semi or at that level in the market. So I see that, that change is happening, but India is a different country, all a re the smartest guys.

Amit Purohit: Regionally, if you see, where is this change you are seeing that consumers are moving up recently Anything -- I mean we understand...

Sanjay Agarwal: Yes. I tell you, Eastern India is doing very, very well. Eastern India and Southern India, 2 regions, 2 bones are really doing very well in this. West, I am unable to understand the West Century Plyboards India Limited

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actually because the maximum money is the maximum growth lies in the west, but still that area still consumes lot of lower -quality product. And same is true for the North.

Amit Purohit: Okay. Okay. This is helpful. And sir, on the sourcing of raw material, you indicated import and domestic, you take a decision based on the pricing and whatever best suits you. But right now, what would be the mix like for import and domestic sourcing?

Sanjay Agarwal: Very frankly I avoided the question because I myself don't know the exact acceptance.

Amit Purohit: Okay. No problem, sir. And sir, on the new facility of AP the overhead cost basically would be the fixed cost, right? So that would remain...

Sanjay Agarwal: The facility at AP, yes?

Amit Purohit: So you -- that would remain fixed for both laminate, MDF and whatever improvement we will see now is on the gross profit side, which is current loss because we have factory overheads, which are present, right?

Sanjay Agarwal: Yes.

Moderator: The next question is from Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Just a clarification on the MDF side, the 15% guidance is including AP plant, right?

Management : No, The 15% guidance is not including AP plant, 15% provision on steady state basis. However, the endeavour will be to reach as close to it as possible, due Andhra taking some time to scale up. It could be marginal.

Keshav Lahoti: Understood. Got it -- because the volume you were taking AP -- so the clarification was -- so that is stand-alone 15% you are guiding.

Management : Yes.

Keshav Lahoti: Understood. Got it. And what's the progress on the laminate -- how is that shaping up?

Management : It is not extent we wanted. I think that within the next 1 year, now we have corrected strategy, and we are looking at certain course corrections within a year, we'll be able to stabilize it to a far higher.

Keshav Lahoti: Okay. Got it. And MDF guidance is including the laminate guidance is including the AP one, 10% to 12%?

Management : Yes.

Keshav Lahoti: Okay. And are we seeing any sort of cost pressure in laminates on the kraft paper or something? And do the -- do you have any plans to take a price hike?

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Management : We have already taken a price hike as on the 1st of August. And this is close to a 3% price, this is due to raw material cost.

Keshav Lahoti: Okay. Got it. And what sort of raw material pressure we have seen in Laminate side?

Management : There is an increase in the cost of both chemical unless like increased fee cost of aircraft.

Moderator: The next question is from Udit Gajiwala from Yes Securities.

Udit Gajiwala: Congratulations on of numbers on plywood specifically. So just to understand, one bit that the demand that you are witnessing in plywood, would it be that be from any specific in our sector or metro specifically driving or is it the Tier 2, Tier 3?

Sanjay Agarwal: Actually, the market for plywood and especially for Century Ply, we have gone down to below even 75,000 tons we have gone now. So we are seeing pull from everywhere. This time for the whole of first quarter for the month of July. And this has been happenin g for some time because we know that the metros to grow in metro is much more difficult because there are

so many --

everybody who starts a la brand or facing facility.

He comes to all the spent metro during the first 1 or 2 years. So for us to actually sustain and grow the Tier 2, Tier 3 terms are more important. So we have taken up many strategies so that we keep growing there. The metros are easier. Outside metros is a real challenge where the smaller companies cannot reach and not even do their supply chain.

They are a company like Century Ply for us, it's very easy to have a supply chain which will supply across the country and the overhead. We can supply anywhere in the country within, say, 12 hours' time , 24 hours' time , this is the kind of management we have now.

Udit Gajiwala: Got it. Got it, sir. And just last one on the particle boards where you are mentioning a lot of pressure around. So that's still your confident of in the 50% utilization what type of situation that you feel would change in terms of margin at pricing at?

Management : I said FY '26 end, you'll be looking at a 50% utilization. Of course, the ramp-up will take some time. And like I have said we should have a higher EBITDA margin than current margin. The situation is it fee because one BIS comes into place from a done, we' ll be able to give a lot more clarity and margin in market.

Moderator: The next question is from Praveen Sahay from PL India.

Praveen Sahay: Sir, related to the Laminate, can you give how much is the export contribution for Q1 as I understand that because of containers and all.

Sanjay Agarwal: We don't normally share those numbers.

Praveen Sahay: Basically the last quarter, you had given some indication is less than 25% on the revenue.

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Sanjay Agarwal: We even increased onto 6% to 4% as Andhra scales up. But we normally refrain from giving the break -up.

Praveen Sahay: Okay. And how is the utilization on overall Laminate facility?

Sanjay Agarwal: On the existing Laminate capacity in Q1, we will be at a 75% -plus utilization. For Andhra as you know, scale -up is taking time, we will be at less than 10%.

Praveen Sahay: Okay. And also on the realization front. So especially in the Laminate, how is the domestic realization because you had taken a price hike in the August. So last quarter, how has been the realization is that a flat sequentially? Or is there some deterioration because of product mix?

Sanjay Agarwal: Sorry, I didn't get your question.

Praveen Sahay: Sir, the realization in the laminate for the first quarter FY '25, how has been on a sequential basis?

Sanjay Agarwal: On FY '25, we've had a marginally lower realization and that is due to a slight change in the product mix. But I think in this quarter with the price increases, we will see higher realization.

Praveen Sahay: Okay. And this you are talking about excluding export?

Sanjay Agarwal: Sorry ?

Praveen Sahay: This, you are talking about excluding exports, the domestic realization you are talking about.

Sanjay Agarwal: The realizations that we gave are including -- but yes, domestic is a larger contributor and the increase in realization should be there because the market prices have been hiked.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Sanjay Agarwal: So I thank all of you for your interest in Century Ply and attending this call. We believe in India story and in spite of whatever happens across the world, we are very positive that the times to come will be very positive for interior industry and building products industry. With all the hopes and positive notes, see you again next quarter. Thank you.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference.

Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2024

Date: 18th November, 2024

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Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Unaudited Financial Results for the Quarter and Half year ended 30th September , 2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Friday, 15th November, 2024 in respect of Unaudited Financial Results for the Quarter and Half year ended 30th September , 2024.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
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Transcript

Century Plyboards India Limited
Q2 FY 25 Results Conference Call

November 15, 2024

Management

Mr. Sanjay Agarwal – Managing Director and Chief Executive Officer
Mr. Keshav Bhajanka – Executive Director
Mr. Arun Julasaria – Chief Financial Officer
Mr. Sumant Wattas – Chief Executive Officer , MDF business

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Moderator: Ladies and gentlemen, good day, and welcome to Century Plyboards Limited Q2 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the opening remarks conclude. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities. Thank you, and over to you, sir.

Navin Agrawal : Good afternoon, ladies and gentlemen. I'm pleased to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay

Agarwal , MD and CEO; along with Mr. Keshav Bhajanka , Executive Director; Mr. Arun Julasaria, Chief Financial Officer; and Mr. Sumant Wattas , CEO, MDF business. We'll have the opening remarks from Mr. Sanjay Agarwal , followed by a Q&A session. Thank you, and over to you, Sanjay Ji.

Sanjay Agarwal: Thank you, Navin Ji. Good afternoon, ladies and gentlemen. Welcome to the FY '25 Q2 earnings call for Century Ply. Before we begin, I would like to provide the standard disclaimer. This discussion will focus on the company's historical performance and future prospects and is not intended as an invitation to invest in the company. The results and analytical presentations have been shared with you and are available on the stock exchange website. I assume you have reviewed this, so I won't go over the figures in detail.

Despite ongoing challenges in the industry, especially building material industry with respect to raw material availability in timber segment and prices, our results are largely aligned with the guidance provided in our last call. The company has delivered ever highest quarterly top line, both in standard and consolidated level. On a year -on-year stand -alone basis, our total revenue rose from INR962 crores to INR1,063 crores, while consolidated revenue grew from INR997 crores to INR1,183 crores, reflecting a growth of 10.6% and 18.7%, respectively.

The plywood division reported an impressive year -on-year growth of 21.1% with EBITDA margins of 15%. Despite experiencing cost pressures from rising raw material prices, the EBITDA margin in the plywood segment has improved due to a favorable product mix and increased volumes. While we have revised our guidelines for H2 at 12% plus sales growth and EBITDA margins between 12% and 14%.

Though on year -on-year, there is a degrowth in the Laminate division, but on quarter -on-quarter, we grew from INR151 crores to INR161 crores in Q2. EBITDA margin reduced to 7%, mainly due to higher marketing spend in Q2. Our Andhra Pradesh facility is scaling up and will contribute to Laminate segment sales, supporting our growth outlook in the upcoming quarters. Our newly established MDF facility in Andhra Pradesh has shown remarkable progress, resulting in 75% year -on-year volume growth to the MDF segment in this quarter.

The facility is ramping up swiftly and we anticipate it to become EBITDA positive by Q3. While we foresee substantial growth, supply pressures in the MDF market will limit average

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realization, but we expect over 40% value growth with some margin improvement in EBITDA.

In the Particle Board segment, intense competition continues to pressure both average realization and raw material costs with many smaller players in the industry. We are establishing a continuous process facility to enhance quality and reduce costs slated to start operations by the end of this fiscal year.

We anticipate growth and profitability improvements once the facility is operational, though growth may remain

flat until then and pressure on the margin side. Our PVC board facility in Andhra Pradesh is ramping up quickly, expected to contribute nearly INR100 crores in revenue over time. With that, I conclude my opening remarks, and we welcome any questions you all may have. Thank you.

Moderator: The first question is from the line of Utkarsh Nopany from BOB Capital.

Utkarsh Nopany: Sir, my first question is...

Moderator: Sir, sorry to interrupt you, but your audio is not coming clear.

Utkarsh Nopany: Sir, my first question is on MDF segment. So if we see like our -- realization for the new AP unit, it was down by around 20% compared to our stand -alone operation.

Moderator: Utkarsh, sorry to interrupt you once again. The audio is still not clear.

Utkarsh Nopany: So sir, what I wanted to know that our AP unit realization was down 20% compared to our stand -alone operation. So I wanted to know from you what would be the normal difference in realization on a sustainable basis in your viewpoint? And second is on sequential basis, our AP unit capacity has been ramped up with increase in our volume.

And the realization has also improved for our AP unit by 8% on a Q -on-Q basis. But still our operating loss has gone up from around INR11 crores in June quarter to around INR16.5 crores in September quarter. So what is the reason for the same sir?

Keshav Bhajanka: You see the Andhra unit right now does not have -- it was the second quarter where we had just started our Particle Board unit, where we have just started ramping up value -added products. So because of this, the average realization is looking lower. The difference between the South and the North unit realization is unlikely to be very high. Sumant is on the call. Immediately after this, he will take that point up and he can tell you that what is likely to be the difference in realization.

Secondly, with regards to the quarter, you see in this, there is a forex loss that has gone within the operating metrics, even though the forex loss normally would be in capital, but because of historical treatment, we have put it in operating. If you remove the forex loss, the loss has

reduced. And within this quarter, we will be EBITDA positive. Sumant, would you like to...?

Sumant Wattas: Yes, this is Sumant here. On the differential between CPIL and the South unit, for domestic sales, the differential will be actually quite minimal, maybe even less than 2% to 3% on an

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ongoing sustainable basis on realization. You will see some differential on account of exports because we also export from our South unit, and that impacts the weighted average realization. So net -net, I think between 5% to 10% differential largely on account of exports with almost parity in domestic. That's the kind of differential you can look at.

Utkarsh Nopany: Okay. Got it, sir. And sir, my second question is on the laminate segment. Like our stand -alone sales volume was down by 10% on a Y -o-Y basis. which was not the case for the major peer, which has posted a growth in this quarter. And we are not able to ramp up our new unit for the last 3 consecutive quarters. Can you please explain the reason for that? And our realization was also down by 4.5% on a quarter -on-quarter basis in September quarter.

What is the reason for that? And what is our realization outlook for the second half of FY '25 for laminate segment?

Keshav Bhajanka: So I think you put 3, 4 questions. I'll try to address all of them. The first was that, yes, in the current quarter, we have missed out on our volume guidance. The reason behind this is that we have seen weakness both in domestic as well as in export sales , but we have taken a number of steps such as new productions, such as increasing our sales and marketing footprint in terms of the team, increasing our supply chain and distribution network.

So

I am confident that in the second half of the year, we'll be able to recover and grow at close to 10%. With regards to the realization, the realization drop is due to an adverse product mix. If you look at stand -alone basis, we are taking price increase s in 1 mm and 0.8 mm. So this is just due to a changeover between the mix, higher -end products have sold less, low -end products are sold higher.

With regards to the Andhra unit, we are ramping it up. This is an export -based unit. So in this, it does take some time because first, we'll have to sample, customers will have to approve, then we'll have to make containers, then we have to get certification. So I am sure that in the second half of the year, you will see a much better realization from the Andhra unit, but it did take longer th an we had expected to scale up.

However, second half of the year, we will be EBITDA positive at Andhra with healthier capacity utilization.

Utkarsh Nopany: Okay, sir. And sir, my third question is on the Particle Board segment. So we have seen a sharp decline in the Particle Board segment margin on a Q -on-Q basis in the September quarter. And the 3 large capacities likely to come into production by this March quarter. So do you expect the margin pressure to increase further going forward? And how long it is expected to continue in your viewpoint?

Keshav Bhajanka: Again, if you look at EBITDA without forex , we would be at 11%. The reason that the gross profit is seeming lower is on account of the same forex loss component that has been taken here, and this is something that we will correct going forward. However, in Particle Board , there is

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definitely pressure. Once the new capacities come up, the advantage that we face is that the operating costs will be far lower.

We will have savings in terms of resin, saving in terms of raw material consumption, savings in terms of lower wastage. So all of those are going to aid us. But today, in terms of Particle Board margins, considering the higher cost of timber, yes, margins will be subdued till the new plant comes in. Hopefully, post the new plant, you will see a revival in margins.

Utkarsh Nopany: And sir, lastly, I just wanted a clarification on the guidance part. The EBITDA margin guidance, which you have given in the presentation for MDF and laminate for second half of FY '25, whether that is for stand -alone basis or consolidated basis?

Keshav Bhajanka: No. That is for stand -alone basis. In MDF, we would say that margins for consol basis would be 10% plus. The sales growth numbers are on consol, but the EBITDA margins are on stand -alone because it is difficult for us to put EBITDA margins till those reali zations and that operating leverage comes in. So the EBITDA guidance is for stand -alone, but the volume guidance is for consol.

Moderator: The next question is from the line of Bhavin Rupani from Investec.

Bhavin Rupani: Sir, my first question is related to Particle Board s. Earlier, you had mentioned about reaching

50% to 55% utilization at the end of year 1 post commissioning. Now given that tough market conditions, elevated input prices and incremental domestic supplies, do we still believe we can reach 50%, 55% utilization at the end of year 1?

Keshav Bhajanka: Are you asking about Particle Board or MDF?

Bhavin Rupani: Yes, sir. Yes, sir, Particle Board.

Keshav Bhajanka: So the new plant that is going to be commissioned?

Bhavin Rupani: Yes, sir.

Keshav Bhajanka: So in terms of the new plant, one thing that we have to keep in mind is that this is a superior technology compared to the existing unit. So the second -- the new plant comes on board, we will actually have to take a shutdown of the existing unit. So in that sense, reaching 50% plus of the new capacity will be much easier because we have already had a starting point of 30

% plus

-- once the new capacity comes in, the existing capacity will be taken under shutdown. But yes, we are confident that we will be able to ramp up to 50% plus of the total rated capacity by the end of the first year of operation.

Bhavin Rupani: Okay. And sir, what about the new facility on a stand-alone basis, if we consider new capacity, by when do we expect it to reach 50%, 55% utilization?

Keshav Bhajanka: So that is what I was trying to say. It will actually be earlier because we will have a head start. Once the new capacity comes in, because the operating metrics are going to be far better, the Century Plyboards India Limited

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cost is going to be far lower. We will be taking a shutdown of the existing capacity. So we will only be running the new capacity. And the plant is likely to start production within Q4.

Bhavin Rupani: Okay. Got it, sir. Sir, second question is related to MDF. Can you help us understand what is the blended price of MDF right now? And what is the breakup of FOB prices, freight cost and custom duties?

Keshav Bhajanka: Sumant, would you like to take this?

Sumant Wattas: You're talking about imports, right?

Bhavin Rupani: Yes, sir. Yes.

Sumant Wattas: So look, imports landed net to customer right now are at about \$205 to \$208 per CBM levels. And you can assume port handling, custom duty to be about 5%, 7% of that. And freight would be another maybe 30% to 40% depending on what month we're talking about. It was very tight in June, July. In October, it has eased out a bit. But the net-net landing right now will be in the \$205 to \$208 per CBM mark.

Bhavin Rupani: Which turns out to be approximately INR18,000, sir? Is that correct?

Sumant Wattas: Correct.

Bhavin Rupani: And sir, the average domestic realization is INR25,600. So the difference is quite huge. So do we expect any price reduction in the domestic market?

Keshav Bhajanka: You'll be happy to know that we have just taken a price increase in the domestic market as recently as last week. So no, we don't expect any price reductions. And you must take into account that there are different grades, different categories of MDF. What you are speaking about is the lowest end of imported MDF. So that as a product is not even comparable to our DR, forget the rest of the category.

Bhavin Rupani: Sir. And what would be the price increase?

Keshav Bhajanka: Blended 3%.

Bhavin Rupani: Got it, sir. And sir, last question is related to laminates. You mentioned that there is an increase in marketing spends during the quarter. Is it possible for you to quantify what would be the marketing spends in Q2 versus last year?

Keshav Bhajanka: Okay. Marketing spend for Q2 would be lower -- sorry, for H2 would be lower than H1. But the exact data, I don't have it ready on me. I think Vinay or the CFO can get back to you with those details.

Bhavin Rupani: Got it. And what would be the utilization for our new AP laminates plant?

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Keshav Bhajanka: We would be looking at clocking in 50% plus utilization towards the second half of the year.

Moderator: Next question is from the line of Amit Purohit from Elara Capital PLC.

Amit Purohit: Sir, on the plywood business, our volume growth has been very strong. And even if I look at the first half number has been upwards of 15%, closer to 16%. So -- and we are looking at in second half close to about 12%. Any reason -- I mean, we've been seeing that first half, most of the building material companies and in consumption, there has been a slower growth. In fact, second

half is when the growth is expected to be very strong.

So just 2 parts to this question. One, what is driving this growth? Any -- and second, for us? And second, why a conservative guidance in the second half?

Sanjay Agarwal: Yes. See, the industry has been

passing through a bad phase, the whole of building material industry. And what we decided in the beginning of the year that we have taken a total growth of 14%. So we could motivate the whole force that we should now do our best in the first half. So they have tried their best and actually, we have achieved more than what we can actually expect usually. So usually, whenever all these things happen and the industry growth will catch up somewhere.

So we are being a little conservative and practical, I should say. And that's why we are saying that in the next part of the year, it will not be exactly what we could achieve in the first part of the year. But yes, average, what we have predicted, we will be able to achieve the growth we predicted for the year. And the EBITDA call -- so right now, the EBITDA is also a little higher at 15%.

But we still believe that by the end of the year because, again, the prices of raw material may rise, they have stabilized now and they are not rising for some time. But still, you never know because when the industry is passing through such stage of raw material rise and fall, these are absolutely out of our control. So that's why we still say that it will be somewhere between 12% to 14% for EBITDA also.

Amit Purohit: Okay. I am sorry, I might have missed out on if you have answered this, but the laminate performance, if I look at the stand-alone business also reported a decline. Any specific reason? Because, I mean, I would presume that if plywood is doing well, then laminate should also do well. Any competitive intensity increasing or any?

Keshav Bhajanka: Yes, competitive intensity in the industry has increased, and we have lost market share in domestic as far as laminate is concerned. Even in export, the traction that we expected, we have not gotten the same. So I think this is a transition period. But going forward, we are confident second half, we will deliver on 10% plus growth and our margins would also be on guidance.

Amit Purohit: And so then what would -- what are the steps? I mean, just to try to understand better what -- because, I mean, in first half, if I look at our volumes on a stand-alone basis are also down high single digit. And then we are talking about double-digit growth. I understand the new facilities Century Plyboards India Limited

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will help us in achieving that. But what changes we would have taken in terms of whether it is on the trade schemes or better incentives or branding side, what are all the changes that we have done?

Keshav Bhajanka: Firstly, we have increased our feet on street substantially. We have added a much larger team, and that enables us to reach out to more customers, to more influencers, to more dealers. So I think that for the past couple of years, we had limited our feet on street. This is the first time that we have taken such an aggressive expansion in the manpower. So I think that is the first step. Secondly, we have launched our new catalog. The last catalog did not get us the traction that we had wanted to. So we have refurbished and launched a new catalog within last quarter. Due to the fact of launch expenses, you're seeing a much higher marketing expense, but this is going to aid us in terms of volumes.

And already, the response from the market has been very good. Alongside this, we have increased our supply chain network. We have opened 3 new RDCs, and this is going to help us gain a lot of market share in those 3 locations. So I think all of these steps are going to help us in gaining market share back and hitting our growth targets.

Amit Purohit: Okay. And last on the MDF. When I look at the stand-alone business, our gross margin sequentially declined, even gross profit per CBM also declined. I mean I understand there has been increase in cost, but now we are talking about the price increase. So would you presume that --

I mean, you have guided for a better margin in the second half, but that would be largely on the stand-alone, right, this 15% margin.

Keshav Bhajanka: We are going to be looking at a higher margin in both. But stand-alone, yes, we'll be working to get back to 15% plus margin. Even for our new unit, I think that from this quarter, we will turn EBITDA positive and towards the second half of the year -- sorry, second half of the quarter, that means in Q4, we will be looking to hit double-digit EBITDA numbers. But on a conservative side, 15% plus should be our EBITDA figure for stand-alone. And our attempt will be that we'll deliver 10% plus consol for H2.

Moderator: Next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: A couple of questions from my end. Sir, I just wanted to check with you on BIS time line. Is

there any revised guidelines which are coming up? Or are players actually getting BIS licenses?

So some status there would be helpful.

Keshav Bhajanka: So as of now, the latest update is that it is all status quo. February, BIS is likely to be implemented. And we, as an industry, are taking all the necessary steps to ensure that BIS implementation does not get deferred again. In all likelihood, February is when you will see BIS come into effect for all our products.

Sneha Talreja: Understood. Secondly, on an extension to one of the previous participant's question on the laminates front. I wanted to check that what has really changed? Like even this quarter was

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slightly on the muted side, which you mentioned. But even if I see your presentation, the revised guidance stands much lower than what your earlier expectation was. So why there is a significant change in terms of laminates revision in guidance?

Keshav Bhajanka: We failed in the first 2 quarters. And we need to course correct and we need to make sure that the reasons that we have identified, we have taken steps towards it. But the traction that we are expecting on the ground, it is taking longer. We are confident that we have taken the right steps, but this recovery is not as quick as we had thought. So for that, the numbers are conservative. But I'm sure that we will at least deliver upon these and then build on it for next year.

Sneha Talreja: Understood. And thirdly, on laminate side -- sorry, on the MDF side, this quarter, we have seen plywood growing on a Q-o-Q basis, your other Particle Board growing on a Q-o-Q basis, but the MDF has actually seen a drop on a Q-o-Q basis. This is despite your new plant commissioning and ramping up.

Keshav Bhajanka: Sorry, sorry, -- there's some mistake. MDF, there is no drop. MDF, the volume growth has been substantial.

Sneha Talreja: Okay. On the volume side.

Keshav Bhajanka: If you look at consol, yes. If you look at the consol numbers, then the volume growth has been tremendous. I think it is 50% plus volume, consol volume previous quarter. Yes. So console, the volume growth for this quarter is showing at 75%.

Sneha Talreja: Okay. I'll just relook at the number, sir.

Keshav Bhajanka: Yes.

Moderator: Next question is from the line of Abhishek Ghosh from DSP Mutual Fund.

Abhishek Ghosh: Yes. Sir, if you can just help us quantify the exact forex loss, which was there in the entire P&L because when we go through the segmental numbers, there is an element of forex loss in every segment. So if you can help us give us a consolidated number?

Keshav Bhajanka: Just one second. Vinay? forex consolidated number. Segment-wise, you can see it as a difference between the EBITDA and the EBITDA after other than forex but...

Abhishek Ghosh: Broadly INR11 crores, INR13 crores would be the number. Would that be a fair estimate?

Keshav Bhajanka: It is INR10 crores plus for sure. I think it is in PPT, what is the number? Abhishek, I think Vinay from

our team or the CFO will get back to you on this immediately.

Abhishek Ghosh: Most of the loss is because of the capital investment we have made and we have imported machinery in our new plant in panel, Century panel. So according to me, we should not think that this is actually revenue loss or -- but it is a long-term loss, of course.

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Keshav Bhajanka: But sorry, just to correct again. here, the euro has actually corrected. So from last quarter, the loss -- the nominal loss that was there actually will show as a profit in this quarter. So I think that is what you want to understand, right? What is the extra profit that will come in the current quarter. So that -- Vinay would be able to get back to you.

Abhishek Ghosh: I was actually trying to see normalized margin. So that is why I was just trying to look at the forex number, but I'll probably take...

Keshav Bhajanka: EBITDA without forex, for instance, in the stand-alone is slightly higher and the consol -- higher the consol. Abhishek, Vinay will get back to you with this data. We don't have it readily but we will get it in the next 15, 20 minutes.

Abhishek Ghosh: No. I'll take it offline. The other thing about -- I think a lot has been talked about MDF and other things, but let me also take this opportunity to congratulate for the way you have executed on the plywood part of it, I think given where the industry is, you think that this competitive edge of taking market share, both from the unorganized and organized given that you have invested into the business over the last 4, 5 years.

This is likely to continue from here on. And at some point, the market demand also turns

favorable. Just your thoughts on the plywood segment part of the business.

Sanjay Agarwal: So basically, in plywood segment at some time, we will -- we were at about 4%, 4.5% market share of the total market. With the launch of Semi and with progress in our Club Prime, today, we are at about 8% of the market or 8 -plus percentage. Our actual target is to reach much, much higher and become -- within in our minds and hearts, we feel that yes, now we are a successful, really good brand in the market.

So anything below 13%, 14% is not digestible by us. So we are working towards it, but it is taking time. And I think only thing I can say right now with the market conditions in building industry that, yes, we are trying our best, and it will happen in time to come. And we will keep on progressing whether slow, sometimes fast. You have seen even in the past, you see there has been times when we have been slow because of the market conditions.

But whenever we got a chance, we have accelerated in a particular period and gone beyond actually.

Abhishek Ghosh: Sure, sure. And sir, any thoughts on the timber side? Does the cycle continue for another 12 to 18 months? Or are there any updates on the timber prices can be soften before that? Any thoughts?

Keshav Bhajanka: Abhishek, currently, timber prices are still on an upward trend. In the North, while the pressure is not that high in the South, there is a acute shortage of timber. Sumant will be able to guide on this further. But I think that the timber issue is not -- is likely to continue for 12 to 18 months, as you said. The new plantations that are hitting also, the demand is growing at a faster pace.

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So this is not something that will go away in the short or the medium term. It will take its time.

In the meantime, however, we have been able to take price increases, which I think is a very positive step because that is the only way to deal with the higher raw material cost. Sumant, would you like to elaborate?

Sumant Wattas: Keshav, I completely agree with your assessment. I think the timber pressure will continue. In North, hopefully

lly, things will stabilize sooner. In South, I think the situation will continue for at least another 9 months.

Abhishek Ghosh: Okay. And -- in the plywood segment, have we taken any price...

Sanjay Agarwal: I was just going to speak about the plywood segment. In plywood segment, the timber prices are stable. They are not increasing because now a lot of import is happening, which has actually now stabilized the prices in the market as far as the raw material for plywood is concerned. And we had taken a price rise, last time -- Vinay? Price rise we have taken in plywood.

Management: 2% is from 1st of August.

Sanjay Agarwal: From 1st of August? From 1st of August, we have taken 2% which we have implemented fully and further price rise is there in our mind, but we are yet to decide. We don't want to hit the kind of growth we are making and the markets are not so well. So we are rethinking and thinking. So still the price rise further is not decided. But the raw material prices have now stabilized as far as plywood is concerned.

Abhishek Ghosh: Okay. Sir, in terms of MDF, 6 months back, 12 months back, we were hearing many players looking to announce MDF expansion given where the profitability curve today is, is there a change in stance as far as the industry is concerned? And how should one look at the supply of MDF over the next maybe 18 months? If you can just help us at the industry level, that will be helpful.

Keshav Bhajanka: Abhishek, I think one competition is coming up with a line for thinner material. Other than that, I don't think anybody at this point is contemplating any sort of MDF capacity. I think that like you correctly said, today, based on these ROCES, I don't think anybody would be looking to enter the market. And this will -- where the EBITDA margin reached 30%, 35% plus, everybody sees this as a gold mine.

But now that it is corrected, suddenly the industry does not seem so prosperous. So currently, we are not expecting any capacity additions, any further capacity additions, I mean. And now it is a question of demand catching up to supply, which will play out, say, over the course of next 12 months.

Abhishek Ghosh: And MDF demand do you think is growing at broadly 15% plus? Or has that also kind of moderated?

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Keshav Bhajanka: Again, we don't have any authenticated numbers, but I would say that MDF demand would be

growing at anywhere between 15% to 20%.

Sanjay Agarwal: This is evident plant performance also.

Keshav Bhajanka: From the ramp -up we have done in the South, you can see that the market for MDF is growing.

Abhishek Ghosh: Sure. And sir, what about the South plant? What is it -- what is the utilization for our southern unit for the MDF today?

Keshav Bhajanka: Utilization for the South plant, just one question.

Sumant Wattas: Abhishek, it's about 50% plus already. So our capacity is around 20,000 CBM per month, and we are already doing around 12,000 CBM of sales from that plant. So it's 55%, 60%.

Keshav Bhajanka: Abhishek, I think that you are thinking of the capacity is going to increase once the extension comes into play. The extension will take another, say, 2 quarters. Post that, the capacity will increase further. This is based on the current capacity without the extension.

Abhishek Ghosh: Okay. So is it fair to assume whatever the current quarter's MDF volume you have done on that about 12,000 to 14,000 CBM per month of volume can be further enhanced whenever you ramp up to the full utilization. Is that the right way to understand?

Keshav Bhajanka: Yes. I think we will be able to do at optimum capacity utilization, Sumant, please correct me, the 24,000 to 24,500 CBM per month.

Sumant Wattas: Absolutely, Keshav. Correct.

Keshav Bhajanka: The other thing is extension is put in place.

Abhishek Ghosh: That is by end of FY '25?

Kes

hav Bhajanka: That will be by -- over the course of the next 2 quarters, let's say.

Abhishek Ghosh: Okay. Got it. The other thing is if you look at your employee expenses, that's increased by almost 29% on a Y -o-Y basis because we are investing a lot into these newer facilities while they have not all ramped up. So you think about 50 bps to 100 bps of margin improvement over the next 18 months can come in because of operating leverage and employee spend not increasing at a similar proportion to that of revenue? How should one look at that thing?

Keshav Bhajanka: You have this habit of putting us in a difficult position. But yes, definitely, with operating leverage because we have invested and we have overinvested right now to ensure that we are ready when the capacity is coming. Over the course of the next 2 to 3 quarters, you will see operating leverage play out, and that will definitely lead to higher margins.

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Abhishek Ghosh: Okay. And one last thing. In terms of cash flows, how should one look at the deleveraging part of the business now that you've incurred major part of capex, your working capital are also elevated in the current quarter. How should one look at deleveraging from here on given that a lot of the capex has already been incurred?

Keshav Bhajanka: By Q4, once the Particle Board plant comes on stream, then our capex cycle is pretty much over. I mean there will be a small addition in terms of plywood, but that is not going to be very capex intensive. So from there, every quarter, you see deleveraging taking place. And I think cash flow generation from next year onwards will be quite good. So we'll be able to get rid of the debt within, say, a period of 12 to 18 months.

Abhishek Ghosh: Okay. And do you see imports of MDF likely to increase in anticipation of BIS? Is that something that you're seeing in the marketplace?

Keshav Bhajanka: It could be but Sumant, I think you would answer that.

Sumant Wattas: Look, if you just look at the last 2 quarters, Q1 was quite tight on account of the shipping prices.

I mean, typically, the MDF imports are 25,000 to 30,000 CBM per month, but Q1 was more like 15,000 to 20,000. Q2 was even lower. We saw a little bit of uplift in October, but it's not yet back to the 30,000 CBM per month level. So I would say it will be still muted as compared to last year. But a little bit of pressure has been released from Q3 onwards. There will be a slight increase, but not back to earlier levels of last FY.

Moderator: Next question is from the line of Tushar from KamayaKya Wealth Management.

Tushar: Sir, in terms of realization, if we compare our peers, I think your realizations are higher in terms of MDF. So just wanted to know like as there is a huge capacity coming on stream in MDF in pan-India basis. So will you maintain that dominant position going forward? And how are you seeing the market of MDF considering the imports and all your take on that sir?

Keshav Bhajanka: Sumant, would you like to take it?

Sumant Wattas: Yes. Yes, sure, Keshav. I wasn't sure which one is answering. Let me take that. I think ED spoke of this before. Right now, of course, there's a little bit of oversupply. But in this cycle, demand is still quite robust, right? So we see MDF, we are very bullish on the MDF demand. I think it will be in the 15% plus range in the times to come because fundamentally, it's a robust product and has a wide application base. So that's -- from a demand perspective, I think things look good. Also from a supply perspective, like Keshav mentioned, new supplies or new capacities will now actually slow down. So therefore, demand catching up to supply will also play out in the

next 12 to 15 months.

So I would say, overall, the segment is poised for good growth, both from a volume and a value perspective. And in terms of realization, I t

think the third question that you asked, because of this scenario, we are pretty confident that realizations, we hope to maintain full position and leadership on the realization front on account of the macro picture .

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As well as because we continuously invest into high value -add products, which also help us beat some of the imported materials and the unorganized players in the segment.

Tushar: Got it, sir. And sir, in terms of growth for next financial year, like post -- if I ask maybe from Q4, how are you seeing the Q4 vis -a-vis the last Q4?

Keshav Bhajanka: I think we have already taken our guidance because -- in the investor presentation itself. So in H2, we believe that we will have 12% growth in plywood. On a consol basis, we will have 40% growth in MDF, 10% in laminate and Particle Board flat. So this is our guidance for H2.

Tushar: Fair enough. That was helpful.

Moderator: Next question is from the line of Rishab Bothra from Anand Rathi Shares and Stock Brokers.

Rishab Bothra: Two, 3 things. One, what will be our capacity starting FY '26? Because you mentioned one of the facility, one of the segment will -- old plant will shut down and new capacity will come up. If you could provide segment -wise capacity FY '26?

Keshav Bhajanka: Capacity, would you like to? So basically, the new capacity will come on board for Particle Board , and that will be 800 cubic meter per day production unit. Currently, we are at 250 cubic meter capacity. So that is going to be a ramp -up that takes place. We'll be going from 250 to 1,050. But in all honesty, the existing unit will then be shut. So we'll be looking at an effective capacity of 800 cubic meters per day for Particle Board .

Rishab Bothra: Got it. So 1,000 plus will be available for '27?

Keshav Bhajanka: Yes.

Rishab Bothra: Okay. And sir, in respect to raw materials, can you help me wood chips or wood waste is used in Particle Board as well as MDF and raw timber is used in plywood?

Keshav Bhajanka: No. So today, in plywood, you will use the higher girth of timber, whereas in MDF and Particle Board , you will be using timber that is of a lower girth. So in plywood, the minimum plantation cycle used to be 6 to 7 years for eucalyptus and it is planted in a different way with only 500 -plus sapling per acre, whereas for MDF Particle Board or for paper, the typical plantation cycle is 1,100 sapling per acre and the tentative time line is 4 years. It can be 3 to 4 years also.

Rishab Bothra: And with respect to cannibalization, which are the segments you see in furniture cannibalizing one another? Let's say, earlier, it was made of plywood, now completely made of MDF or Particle Board . So demand for that segment for plywood will reduce. What's your sense?

Keshav Bhajanka: India's plywood capacity today would be close to 10 million cubic meters. China's current capacity for plywood is close to 170 million cubic meters. So we are at a very, very early nascent stage as far as this industry is concerned. So while cannibalization will take place, I believe that all our segments are going to grow.

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Of course, MDF and Particle Board because of the extremely low base are going to grow faster, but I am fully confident that we'll see sustained growth in plywood as well. We are right now at close to 120th of China's capacity. So we are not at that stage yet.

Rishab Bothra: And last question, by when do we see tapering of debt? I mean, peak debt will be FY '26?

Keshav Bhajanka: So like I said, again, from the end of Q4, you will see debt reduction on the books quarter -on-quarter.

Moderator: Next question is from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala : Most of the questions have been answered. Sir, just one thing, the growth that we have seen in

plywood, it's very commendable and I'm sure that we have been gaining market share. So is this more to do with the timber issues that are there right now, which is technically unorganized? And like you mentioned that your target for your own market share is way higher than like the current 7%, 8%.

So incrementally, what will be the steps? I know it's a very longer view question for you to answer maybe. But just some light that you can throw like consistently, how can we grow our market share in such an industry that is dominated by unorganized.

Sanjay Agarwal: So see, we have been growing and we have been increasing our percentage. And a few years back, we were saying that we are about 4%, 4.5% of the market. Now we are 8.5% or about 8.4% of the market as far as plywood is concerned. So consistently, we have grown. But yes, if I see, yes, there could be some support from the raw material availability. Some of the local manufacturers, small manufacturers may not be getting enough raw material.

And we -- because we are able to import in large quantities, we are having able to manage the quantity enough. But that may be to some extent. But otherwise, you see we have seen that every 2, 3 years, we get a chance where we -- all our -- whatever we have done, we are able to focus on certain parameters or actions we have taken in the market. And those parameters actually help us.

Right now, also, we are working on certain parameters. So earlier, all experiments have been completed and we have found where and how to operate. We are now trying some new things in the market. So those things, again, even if one of them succeed, that will give us a push maybe in another 1 year or in another 2 years' time, again, that will give us a big push actually in the market. So it is a combination, you can say that, yes, the raw material availability makes a difference to us.

But otherwise, because of our push and our new, new things, we are really -- I'm unable to speak about those efforts absolutely right now. But earlier, all the efforts we have done, some of them failed, some of them have really succeeded and given us the results we have right now.

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Udit Gajiwala : Understood, sir. Got it. And sir, lastly, on the MDF front, like you mentioned that there are no major capacities now coming up post this fiscal. So do you see some tapering off in the kind of small hanger that you put in the price war that is going on to grow market share, then we may see some price sanity coming across by all the players?

Sanjay Agarwal: I think it has to. Market share, we are already gaining. If you look at the quantity, the growth in the H1 is about 75% compared year-on-year. But yes, price sanity in the market should come, but the raw material is eating up right now actually. Otherwise, even these prices would not have been really bad for us. So the future is good because the raw material prices have to go down maybe 1 year, 1.5 years, 2 years, it has to go down.

And the market has to improve because not much capacity is coming up. I think except green, one capacity, to my notice, at least there is no other capacity coming up.

Moderator: Next question is from the line of Utkarsh Nopany from BOB Capital Markets.

Utkarsh Nopany: Sir, my question is on the MDF sector. So like you have mentioned that we are towards the end of the new capacity addition in this space and the excess supply may likely to get absorbed over the next 12-month period. So just wanted to know whether the large capacity addition, which is going to come in Particle Board category is likely to delay the recovery in the MDF industry demand supply fundamental as the low-end particle demand could be catered by the high-end Particle Board product category.

Keshav Bhajanka: I think you need to look at it a little differently. Each of these are in

dividual segments. I mean,

yes, it can be substituted, but each have their own markets. So today, Particle Board capacity being added will not have a detrimental impact on MDF. Both markets are likely to grow. Again, I'll take China as an example, which has maybe 160 million, 170 million cubic meter of plywood capacity, 50 million to 60 million of MDF capacity.

And 45 million to 50 million of Particle Board capacity. So today, these segments are not really going to impact each other that much. But yes, there is growth, and that is why these capacities are coming in. The market is growing that there is no doubt for all product categories. all 3 of these product categories.

Utkarsh Nopany: No, sir, I understand your point from a long-term point of view because why I was asking because the other company which is also coming up with the Particle Board plant, they are saying that they would try to tap the low-end MDF category, which can easily be substituted by their high-end product Particle Board. So maybe for the next few quarters, whether the large Particle Board capacity addition could result into pricing pressure for the MDF sector, sir?

Keshav Bhajanka: Again, the lowest category that you are talking about, practically most of the organized players are not in that category. The import substitution material, that is a much, much lower grade material. And that in all likelihood is going to impact the imported -- the people who are importing MDF because you see it is a lower density material, the material will not pass BIS standards.

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So in that Particle Board could substitute. But as a branded player, I cannot manufacture the material. So for me, it is not likely to impact.

Utkarsh Nopany: Okay. And sir, lastly, like if you can give me some sense, like what would be our estimated net debt at the end of March '25? And what would be our average depreciation rate policy for our new capex ?

Keshav Bhajanka: The depreciation policy will remain consistent. We are not going to change our depreciation policy. In terms of debt, I think we have already put it in the investor presentation. But for further details, the CFO can clarify to you offline.

Utkarsh Nopany: For depreciation, sir, like our depreciation rate has been consistently going down. So for that reason, I just wanted to know what is the kind of depreciation rate we assume for the new capex sir?

Keshav Bhajanka: Depreciation rate has been going down. I second...I think depreciation rate going down could be because some machines are fully depreciated rather than that, the CFO is on call -- just one second. So our CFO will connect with you offline and clarify -- we won't have that data readily available.

Moderator: Next question is from the line of Arun Baid from ICICI Securities.

Arun Baid: So sir, the question was more for the MDF segment. One, we heard that there were some price cuts taken in Q2, specifically in South India. Is that correct? And if yes, is this price hike taken up 3%, does it compensate for whatever adjustment was done in Q 2?

Keshav Bhajanka: I think you can treat this as out and out price increase. I don't think Q2 saw any meaningful cut. So this is a pure play price increase, and this is not South India. This is pan -India, what we have taken right now. It's a blended 3% increase. Some markets will be more, some markets will be less.

Arun Baid: So from Q3 onwards, effective, let's say, in Q4, on a like -to-like basis, we should be seeing the blended prices going up at least by 3% to 4%, right, realization?

Keshav Bhajanka: Definitely. Yes.

Arun Baid: And second thing is one...

Keshav Bhajanka: What the MD used to say is with timber prices coming up, competitive pressure continues to remain.

Arun Baid: And sir, next year, this year, you'll have the plant extensions, which you mentioned about

in

MDF. So what's the kind of utilization we should look at from the MDF business, specifically for AP plant next year because North plant is already running at full utilization?

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Keshav Bhajanka: AP, we will -- I would say we will comfortably be at 80% plus utilization for the whole of next year.

Arun Baid: And assuming timber stays where it is because next year, timber prices, as you're saying, might come down, if not -- or at least stabilize, then what can be the margins or EBITDA per CBM we look at from this business next year, I'm sorry, FY '26?

Keshav Bhajanka: It is difficult for us to predict that right now as the MD just said, but we have given you guidance for H2, and our endeavor will be to deliver on that without saying to exceed that. Going forward, we have said that MDF is a cyclical business. But overall, if you see any 5 -year period normally gets you close to a 25% EBITDA.

Arun Baid: So next year, we should be way better off than our North plant, which is at 15% guidance, we should be much better than that in the AP business because at 80% utilization, we should be more than 18%, 20%.

Keshav Bhajanka: Right now, I am not giving any guidance for next year. But with the statements, I have said that H2, we will meet and deliver on our guidance and next year should look better. That's all I can say.

Arun Baid: And sir, the laminate business, which you mentioned, so next year steady -state basis, how do you look at the AP plant ramp -up?

Keshav Bhajanka: I think next year, AP plant will be at a very good capacity utilization. We have done the initial steps. We have seeded the market. We have approached new customers. We have expanded our base into Europe. And there are a number of steps that have taken place, but it takes time to play out. Next year, we will be at a good capacity utilization as far as the Andhra unit is concerned.

Arun Baid: Yes, sir, when you said good, sir, would we be at 60%, 80%, how should we look at it?

Keshav Bhajanka: We will be at 2/3 plus.

Moderator: Next question is from the line of Amit Kumar from Datamine Investments.

Amit Kumar: Can you hear me?

Sanjay Agarwal: Yes, absolutely.

Amit Kumar: Just one question. For first half or for second quarter, whichever you have data available, could

you please help break down the revenue growth in terms of domestic versus exports, especially given the ramp -up in the AP.

Keshav Bhajanka: We don't share that data. Unfortunately, we don't share that data.

Amit Kumar: Could you at least sort of just help us understand qualitatively good exports, given the fact that the ramp -up in the AP unit has been significantly higher now, and that's an export -oriented unit.

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Sanjay Agarwal: Regarding MDF...

Keshav Bhajanka: No. Regarding laminates, going forward, we are going to see good traction in exports. So the growth rate in exports is likely to be higher than growth rate in domestic. This is due to the fact that, as you rightly mentioned, the Andhra capacity is predominantly an export -based unit.

Amit Kumar: In terms of MDF as well?

Keshav Bhajanka: No. MDF, we have the ability to export from Andhra, but the unit has been designed for the Indian market only.

Amit Kumar: Okay. So again, quantitatively, in the first half at a broader sort of company level, quantitatively -- sorry, qualitatively, at least can you sort of say that your exports would have been higher than your domestic -- like significantly higher, will be moderately higher.

Keshav Bhajanka: In the first half of the year, there would be status quo. There would not be much change.

Management: Somebody asked the question about the total forex loss for the quarter. On a stand -alone basis, it was INR1 crore approx. And on a consol basis, it was INR13

crores approx.

Moderator: Next question is from the line of Karan Bhatelia from Asian Market Securities.

Karan Bhatelia : Sir, just wanted to understand the capacity expansion plan for the plywood industry for us, given the fact that the Punjab unit is already delayed.

Keshav Bhajanka: In plywood, you see we have the ability to go beyond rated capacity. So currently, there is no scarcity of material because, as you know, the rated capacity is based on 6 -day working and plywood we can go beyond the same. Having said that, the decision to defer is only because we are looking at which is the best potential location to set it up. I think we are making good progress on that front also.

And before the end of this financial year, we will close the decision of where to set up the unit.

Post that, I think we have the ability to execute and put up the unit within a short time span.

Karan Bhatelia : Right. Short time span -- it could be less than a year?

Keshav Bhajanka: Yes, less than a year, definitely.

Karan Bhatelia : And second question on Sainik Laminates. How do you see that product category? How is the distribution? How is the pricing and the margins over here? Qualitative comments would be helpful.

Keshav Bhajanka: Yes. We are at a very nascent stage. We have only launched in certain geographies and the traction we have seen has not been good. So we are working towards it. But again, it is a competitive market. However, considering we are only in the one category in Sainik Laminates, when we scale up, it will be a profitable product.

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Karan Bhatelia : Right. And the presentation, Q2 estimates, which you've shared that growth is on a Y -o-Y basis, right?

Keshav Bhajanka: Which one, sorry?

Karan Bhatelia : The presentation, the table that you mentioned for second half growth across categories.

Volumes, that is on the Y -o-Y comparison, second half to second half.

Keshav Bhajanka: The growth numbers are Y -o-Y and for consolidated. The EBITDA for stand -alone because it is very difficult to predict the EBITDA for the new units until we see operating leverage there.

Moderator: Next question is from the line of Bhavesh Jain from DB Investments.

Bhavesh Jain: Help me understand regarding the raw material prices. So if I recall in the call, you mentioned that RM prices for plywood have been stable. But for MDF, it has been increasing on the higher end. So can you just explain why there is such a difference?

Sanjay Agarwal: See, as far as plywood is concerned, we are able to -- because it's a higher -priced material finished good also, and we are able to afford a higher price of timber. From the very beginning, there was a big difference in the price of MDF and plywood because MDF timber takes about 3 to 4 years to grow and plywood timber takes about 6 to 7 years to grow.

The plantation -- timber is the same, the quality of the plywood -- spec is the same, but actually, they are planted a little differently. So this is the first reason. The second reason is in plywood, we are able to import now our raw material from Vietnam , from African nations, even up to

Brazil also, we are able to import.

And the prices may go down a little bit if the sea freight comes down actually. Right now, because of the very high sea freight, we are facing certain higher costs. But still, it has stabilized. Even the local people are unable to increase their prices for plywood. But as far as MDF and Particle Board is concerned, that timber is the same timber which the paper units consume. So basically, this timber plantation in India was -- the movement came because of ITC and BIMCO. So they were the ones to bring the plantation thing to India. And now all the paper industry and MDF industry depends on the same kind of timber. That is why there is a higher competition out there.

And first few years because

use the raw material prices were low, the plantation did not happen, say, for 2 years or 2.5 years, the plantation did not happen. That's why we have already seen about 1.5 year or 2 years of higher prices of timber. I think the higher prices may last about a year more and then it has to start coming down.

So that is the basic difference between the 2 kinds of timber and the reason for higher pricing.

Bhavesh Jain: Okay, sir. So if I got it right, the supply glut is more on the second type of timber, which is used for MDF, the lower plantation cycle which has.

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Sanjay Agarwal: The demand there is more, but the main difference is this timber quality we are unable to import for MDF and for Particle Board, we are unable to import. That's why the local timber is still lower than the import cost. But in plywood, the import cost and the local have come equal. So that's why the local prices now cannot go up.

Moderator: Bhavesh, do you have any follow-up question?

Bhavesh Jain: No.

Moderator: Next question is from the line of Pranav Mehta from Equirus Securities.

Sanjay Agarwal: Good afternoon. How are you?

Pranav Mehta: I am good.

Sanjay Agarwal: Your information keeps helping us actually.

Pranav Mehta: Yes. So just one question with regards to the upcoming proposed capacity addition of formaldehyde resin for developing in-house resin. So just wanted to ask like how much of our resin requirement is expected to be fulfilled via this upcoming capacity? And what is the potential for reduction in our resin cost, if any?

Keshav Bhajanka: So we are taking -- the capex is planned for 100%, but we are still deciding how much we will start off with. And the resin savings, we will have to figure it out as it goes, but there should be a definite saving. The main issue is that resin quality now has become a challenge. And I think it is a challenge for most players because the manufacturers are very small-scale units.

So there we have been seeing in the recent past, the quality standards are not being maintained. So that has pushed us to this step. There should definitely be savings, but more than that, the quality and consistency of product will improve through setting up this unit.

Moderator: Next follow-up question is from the line of Rishab Bothra from Anand Rathi.

Rishab Bothra: Yes, Sir, in the Board meeting, we approved resins and formaldehyde plant at Hoshiarpur. So any other backward integration which we are planning? And why have we opted for this? Are there pricing increasing at a faster pace?

Keshav Bhajanka: Like I just said, the reason that we have opted for this is because of consistency of raw material. We are seeing this as a challenge going forward. And hence, we are setting up the in-house and we are ensuring that for us, quality should not become an issue. It should not be that because the smaller unorganized resin manufacturers, we face an issue in the market. That is the main objective. However, I am pretty confident that there will be a saving in this system. Currently, there is no other backward integration that we are looking at.

Rishab Bothra: Okay. And this will be utilized, I mean, complete requirement will be sourced from in-house?

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Keshav Bhajanka: Yes. In a gradual phased manner.

Rishab Bothra: Yes, that I understood.

Moderator: As there are no further questions, I will now hand the conference over to Mr. Agarwal for closing comments.

Sanjay Agarwal: Thank you. Thanks, everybody, for their time and interest in Century Plyboards India Limited.

And we look forward to a very good winter in front of us. We hope everybody will enjoy, be healthy, and we look forward to the growth of India with Trump coming in USA, everybody

says that, yes, India will have a more favorable time. So w

e look forward to that also. And

looking forward to see you all in Q3 FY '25 call. Thank you.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

Sanjay Agarwal: Thank you.

Call: Feb 2025

Date: 13th February, 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Una audited Financial Results for the Quarter and nine months ended 31st December, 2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Tuesday, 11th February, 2025 in respect of Una audited Financial Results for the Quarter and nine months ended 31st December, 2024.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
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Century Plyboards India Limited
Q3 FY25 Results Conference Call
February 11, 2025

MANAGEMENT :

MR. SANJAY AGARWAL , MD AND CEO
MR. KESHAV BHAJANKA , EXECUTIVE DIRECTOR
MRS. NIKITA BANSAL , EXECUTIVE DIRECTOR
MR. ARUN JULASARIA , CFO
MR. SUMANT WATTAS , CEO – MDF BUSINESS

MODERATOR :

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Moderator: Ladies and gentlemen, good day and welcome to Century Plyboards Limited Q3 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Navin Agarwal, Head Institutional Equities. Thank you, and over to you, sir.

Navin Agarwal: Good afternoon, ladies and gentlemen. I'm pleased to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay

Agarwal, MD and CEO; along with Mr. Keshav Bhajanka, Executive Director ; Mrs. Nikita Bansal, Executive Director; Mr. Arun Julasaria, CFO; and Mr. Sumant Wattas, CEO for the MDF business. We'll have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session.

Thank you, and over to you, Mr. Agarwal.

Sanjay Agarwal: Thank you, Navin. Thanks for hosting the call for us. So good afternoon, ladies and gentlemen.

Welcome to the FY '25 Q3 Earnings Call for Century Ply. Before we begin, I would like to provide the standard disclaimer. This discussion will focus on the company's historical performance and future prospects and is not intended as an invitation to invest in the company. The results and the analytical presentation have been shared with you and are available on the stock exchange website. I assume you have reviewed this, so I won't go over the figures in detail.

The Q3 FY '25 results align with our expectations. Year-over-year, standalone revenue saw a solid 10.3% increase rising from INR910 crores to INR1,003 crores while consolidated revenue grew by 20.7% from INR947 crores to INR1,143 crores. The company's overall EBITDA margin across all segments stood at 11.5% in Q3, down from 12.6% in Q2. This decline is primarily due to lower volumes in Q3 compared to Q2, which is typically given the festive season in Q3.

The plywood segment is performing well, ranking among the fastest growing segment in the building material industry. It recorded a 19.2% year-on-year revenue growth in Q3, with a 9-month FY '25 increase of 18.5% over 9 months FY '24. The EBITDA margin for 9 months FY '25 rose to 14%, up from 12.1% in 9 months FY '24, driven mainly by higher volumes.

The Laminate segment is facing challenges with revenue declining both year-on-year and Q-on-Q. Despite sales pressure, the company maintained Q3 EBITDA at Q2 level by optimizing marketing expenditures. Standalone MDF revenue remained relatively flat Q-on-Q with a 2.6% year-on-year growth. However, standalone EBITDA improved to 16% in Q3 from Q2 due to better production efficiency.

On a consolidated level, MDF revenue grew by 7% quarter-on-quarter and an impressive 53% on year-on-year. Notably, our newly established plant at Badvel is now EBITDA positive. The particle board segment experienced a 3.1% Y-on-Y revenue decline with an EBITDA margin of 4.8% in Q4. This was primarily due to lower volumes and increased raw material costs. We are Century Plyboards India Limited

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setting up a continuous process facility aimed at improving quality and reducing costs. The operations expected to commence in the first quarter of next fiscal year. While we anticipate growth and profitability to improve once the facility is operational, growth may remain flat until then with continued pressure on margins.

With that, I conclude my opening remarks and welcome any questions you may have. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line

of Shubham Kadhi from 3A Financial Services. Please go ahead.

Shubham Kadhi: Regarding what is your outlook on the timber prices globally for the next one or 2 years?

Sanjay Agarwal: Timber prices globally? Keshav, you have some idea or Nikita, if you have some idea, I don't have any idea about the globally.

Keshav Bhajanka: Yes, I will just take that up. If you look at imports into India in terms of timber imports, they are not very substantial as far as our industry is concerned. Timber has started importing some amount of chips and some amount of pulp, which means that domestic prices are now more or less falling in line with international prices. So the only conclusion we can draw here is that going forward, there will be the possibility to import chips if prices rise further. But having said that, we don't see the scope for prices rising much because of disparity.

Shubham Kadhi: Okay, sir. And so mainly if we see domestic prices, as you said, are in line -- going to be in line with global. So when can we expect them to fall like previously, you had said like the cycle will continue for another year or so. So post that, can we see an improvement in margins?

Keshav Bhajanka: So again, the same statement I made last time. The hope is that within that time period, prices will start reducing. As of now, it's not happened. But going forward, definitely, the prices today seem to be on a much more elevated level. So I think that within the next year or two, they will normalize.

Shubham Kadhi: All right. That's it from my end. I wish you the very best.

Moderator: Thank you. The next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: My first question is related to plywood. Sir, in Q2, we had imported timbers for plywood from various Southeast Asian countries, including Brazil, Africa. Now given INR is depreciating against USD, do you think we are still better off if imports or are we increasing our sourcing from the domestic players now?

Nikita Bansal: So there is a purchase decision process that we have. So we keep evaluating from time to time.

So there are various types of -- there are, there is acacia, eucalyptus. So there are various forms of material also that we can get in imports. So it's not necessarily just eucalyptus. There is also acacia, there's also pine.

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So there are various raw material options that are available. So we keep deciding basis pricing and what is the processing cost of that in our factories because a lot of the things that we get we save a lot in terms of drying and because they come in the dried state. So I don't think it's a simplistic answer just because USD cost is a concern right now, and we will have to change our decision.

Currently, we don't, but we keep evaluating it. It's very dynamic. It also depends on what is the pricing at that moment in the thing. Currently, we are continuing with import. Things may change in a month. But as of now, it is still making sense to continue with import.

Bhavin Rupani: Okay. And so what is the proportion of imports as of now?

Nikita Bansal: So currently, I would say that we are 75%, 80% depending on import for plywood raw material and about 20% is domestic.

Bhavin Rupani: Got it. And we also committed INR150 crores for plywood. Can you throw some light here?

What is the location? What is the capacity?

Nikita Bansal: Yes. So we are planning to put up our plant in Hoshiarpur. We had actually declared this a little while back, but then we had put it on hold because of the raw material fluctuation, and we had also started evaluating another location, which is Odisha Andhra Pradesh border, etcetera. So after all contemplation, we have come to the conclusion that currently, it makes sense to put up a plant in Hoshiarpur. The work has started in the planning stages.

We already have the land and some basic work has already been done in the first plan that we've gone ahead about 1.5 years back. So I think it will be a year from now where we will have the plant ready and operational. In the meantime, we are already augmenting capacity in our existing plants like we have a plant in West in Kandla.

So we are augmenting capacity there. Some have already happened, some will happen more in the next 3 to 6 months. So since we are growing, we need to keep ensuring that we are increasing our capacity. I hope I've been able to answer your question.

Bhavin Rupani: Yes. A follow-up on that. So what is the proposed capacity on this new plant?

Nikita Bansal: So it would be about per day capacity about 50,000 into 25 working days.

Bhavin Rupani: 50,000...

Nikita Bansal: We work on MA. So that would be about -- I will get back to you on this.

Bhavin Rupani: Okay, Fair enough. And what is our current plywood capacity and what is the incremental Brownfield that you are working on and where will be our capacity post this Brownfield work?

Moderator: Ma'am you are not audible right now.

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Nikita Bansal: Sorry, can you repeat your question? What was your follow-up question?

Bhavin Rupani: What is our current plywood capacity and you did mention that we are working on some Brownfield expansions at Kandla. So what would be our capacity post the Brownfield expansions?

Nikita Bansal: Okay. So currently, we have about 3,40,000 CBM capacity. And I think we will be expanding it by another I will circle back with the exact figures because I know everything in MA and I'll just have to convert it into CBM and let you know. So I'll circle back in this in the next 5 minutes and let you know.

Bhavin Rupani: All right. My second question is related to laminates. Our new laminate plant has started -- has a capacity of almost 9 lakh sheets. Currently, if we reduce stand-alone volumes from the consol volumes, the volumes for subsidiary comes to somewhere around 1,10,000 sheets, which means we are running at almost 50% utilization. However, we still seem to have been making EBITDA losses over here. What do you think is the reason behind this and when do we think we will breakeven from this plant?

Keshav Bhajanka: So again, when you look at this capacity, the number of sheets comes in the form of quantity, but it can be a sheet of 6 mm or it can be a sheet of 1 mm. Now of course, if it is a sheet of 1 mm, the profitability is going to be far lower. If it is a sheet of 6 mm, the realization profitability, will be far higher. So because of this, I think currently, the numbers that you are seeing, are slightly skewed.

They are skewed towards lower-value products. Hence, you're seeing in terms of quantity, a good increase, but in terms of value, a lower increase. So going forward, the capacity utilization

is going to be far higher. I think here, rather than looking at it from the point of view of numbers, we should look at it from the point of value.

Bhavin Rupani: Got it. And when do you think we will break even at some value or utilizations if you have in your mind?

Keshav Bhajanka: Here next year, by Q2, we should be looking at breaking even only as far as laminate is concerned.

Bhavin Rupani: Okay. And any breakup over here is possible, what is the domestic volume right now, domestic versus exports, what is it right now?

Keshav Bhajanka: We don't share that information.

Bhavin Rupani: Got it. The next question is related to particle board, sir. How should we understand the utilization of particle boards for year 1 and year 2?

Keshav Bhajanka: For the new capacity?

Bhavin Rupani: Yes, sir.

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Keshav Bhajanka: Once the new capacity comes on board, we will pretty much be putting a hold

on the current

capacity. The volume will be transferred to the new line because the operating parameters in the new line will be far better. It's a continuous press versus a multi-press, which we currently have. So by definition, wastages will be lower, resin consumption will be lower and EBITDA will be higher.

So I think within the first year, we will be able to hit close to a 50% plus capacity utilization of the stand-alone new line capacity, and second year onwards, we will ramp up.

Bhavin Rupani: Got it. And sir, the last question is related to tax rates. So we have two new plants, particle board and laminates. I'm presuming the tax rates over there are lower. So how should one understand what would be the blended tax rate for Century as a whole?

Keshav Bhajanka: The tax rate for the B unit for Century Panels is lower, but the tax rate for the Chennai plant will be in line with the tax rate for the company. So I think the CFO can answer this better, but the basic lower tax benefit that we'll get will be from Bud, which means from the new MDF plant, the new laminate plant, and the new --CFO if you would please clarify.

Arun Julasaria: Yes. The particle board plant at Chennai is coming from Century's applicable tax rate is 25% for a new company that we have for Century, which is running our new MDF and the new PVC plant tax is 15%.

Bhavin Rupani: Sir, any sense on the blended rate? It could be somewhere around 23%...

Arun Julasaria: The profitability of both. So difficult to imagine at the moment. You can say in the plant, we will have losses this financial year. We may not have tax depending upon what...

Nikita Bansal: I would like to just answer your question on plywood. So the capacity at full utilization would be about 80,000 CBM. And as far as the expansion in our West and some other factories, it's about 15,000 to 20,000 CBM. Currently, we are already at a very high utilization percentage. So because of that we are expanding. So I think we are at 90% to 95% utilization capacity already.

Moderator: Thank you. The next question is from the line of Hrishikesh Chandrakant Bhagat from Kotak AMC. Please go ahead.

Hrishikesh Bhagat: So on the MDF South capacity, is it fully 950 CBM that is installed or is it lower today?

Sanjay Agarwal: So right now, it is a bit lower. I would say the capacity right now is more around 750 to 800 CBM per day. When we take the press extension, the capacity will reach to 950 CBM to about 1,000 CBM as you mentioned. Recently, we've seen a slight increase in capacity on account of the installation of the pre-heater. So just to summarize, right now, we are at about 800. We will go up to 950 to 1,000 after a little bit of capex that we take in terms of line extension.

Hrishikesh Bhagat: Sure. So effectively, if I work with 800 per CBM, you guys are already above 50% utilization at least in the South capacity. So the question has more to do with in terms of the South

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production, is it now fairly stable in terms of mix like in terms of high-grade MDF or is it largely still a low-grade MDF in terms of commodity, that's what the question is?

Keshav Bhajanka: So Hishi basically, in any new plant, you will first start selling the mass products and then gradually as you delve deeper into the market, you will start selling the value add. So currently, the majority of our products are in the lower-end DI category, premium plus prelam et cetera, takes some time to ramp up and we are ramping up. But I think next year, towards H2 you will see us reach somewhere close to the same figures that we have in Hoshiarpur in the Badvel unit. Last quarter, you will also see that we have taken a hit because of some degrade to initial days,

we had a lot of degrade. Now we had to get rid of that chocker block in my plant. So because of our realizations have

been lower this quarter, realizations will look way better.

Hrishikesh Bhagat: Okay. So the purpose from apart from realization, the idea is that if you start moving to high-grade MDF then potentially from the incremental utilization standpoint, probably it should peak around somewhere around 80%, 85%. That's what the point is in the sense on once the stability and once you have the market in place in terms of -- The utilization should peak at 80%, 85%. That's what the question is ?

Keshav Bhajanka: Yes. Depending on the product mix, see, for us, the ideal scenario is utilization peaks at 75%, that means 100% is premium. But I don't see that happening. But still, you're absolutely right. You can take 85% as peak utilization considering the quantum of premium products we are looking to add.

Hrishikesh Bhagat: Okay. Thanks.

Moderator: Thank you. We'll take the next question from the line of Sneha Talreja from Nuvama Wealth. Please go ahead.

Sneha Talreja: Just two to three questions from my end. And sorry if at all, I'm repeating it. Just wanted to understand the scenario on the Plywood segment. We've seen a continuous outperformance coming in from you. I wanted to understand that the industry is growing that strongly? How are we gaining market share, some reasons and how sustainable these market shares could be, and your outlook on this particular segment?

Nikita Bansal: So see the industry itself, if I really look at Plywood as an industry I think we said it several times that Plywood as an industry will continue to grow at 5% to 7% year-on-year. It won't grow in double digits just because there are a lot of other wood panel products like MDF particle boards that are coming in. Growth will continue at 5% to 7%.

And we have always said that as a company, if I really look at the industry, we used to be a few years back about this basis turnover, we used to be about 4% to 5%. Today, we've reached 9%. So somewhere we are gaining market share. And that has been through our various strategies that we keep doing. And our goal is ultimately in the next 4 to 5 years to reach 15% market share.

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But having said that, is there a shift towards branded? Is there a thing there is really no study or data on Plywood industry that is there and easily available? So everything is extremely ad hoc and something that is a big perception that we have. So it's very difficult for me to really say that is there a shift unbranded to branded. What are we doing good? We are doing these things that we are doing at the same time.

What is really working to give us that result? I think it's the combination of everything that is helping us result in our delivery. So I hope I've been able to answer is there anything particular more you would like to know, I would expand on that.

Sneha Talreja: No, I think Plywood -- okay, I'll put it other way. What are the things which are not succeeding in the laminates segment to put it as? I mean you are outperforming significantly in the Plywood front. What are the things you're trying to replicate in laminates that's not working out for you?

Keshav Bhajanka: I think in laminates, we have not been able to execute. We had good strategies. We've been able to revise a number of new interventions, for instance, increasing team size for architect working, for instance, introducing semi laminates, but the execution on ground hasn't been as good as Plywood. And I think towards that end only, we have now taken the decision to bring about a change in leadership.

I'm sure with the change in leadership and with a course correction that we have already taken, we should be able to execute better on the ground and that should result in better numbers going forward.

Sneha Talreja: Any change in guidance that you would want to give out or any new guidance for FY '26 for all the di

visions?

Keshav Bhajanka: Not currently.

Sneha Talreja: Not currently. Sure. Let's me get back. Thanks Keshav.

Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Sir, firstly, a small clarification the guidance mentioned in PPD is for Q4 or H2?

Nikita Bansal: Q4.

Keshav Lahoti: Okay, understood. And secondly, I want to understand, firstly, congratulations on a stellar MDF performance. So your peers have reported the numbers. So kind of 15% healthy margin on MDF side, while peers are talking about increase in timber cost for this quarter also, while you have

mentioned your timber cost for MDF decreased in this quarter. So what things you are doing different, please let us know?

Sanjay Agarwal: Yes. So I'll answer. We've invested significantly behind production efficiencies. So that's done us well this quarter. Also on the product mix side, while in South, we are still ramping up to Century Plyboards India Limited

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value-added products. In North, we are focusing a lot on our value-added products that also helps us in profitability. So I would say these are the two main reasons that are driving profitability for us.

Keshav Lahoti: And your timber costs have reduced sequentially, right...

Sanjay Agarwal: Not really. Look, timber cost is something that is not fully in the control of the company any which ways. So it is what it is for everyone, right? In North, our timber prices are already 7 plus. In South, we are at about 6 plus. So that's moving in line with industry. We haven't seen a reduction in timber costs Q2 or Q3.

Keshav Lahoti: And lastly, how should we read the situation in particle board industry? While the margins of particle board industry is so low, recently, a large capacity by Greenlam has got commissioned and now Century also plan to enter this market. And the industry margin is so low and when we are seeing new supply coming up in this industry, how will the industry scenario looking for next 1 or 2 years?

Sanjay Agarwal: See, you're right. I think every industry goes through these phases of overcapacity and under capacity. Particle board for sure, we see a lot of capacity coming up, like you rightly mentioned. Also margins are under pressure primarily on account of increased raw material prices and also sales pressure. But this is the time for the industry to also innovate and step back.

So new technology will come in, which will give certain efficiencies. People will invest more in other kinds of products. So I think this is a good time for the industry to sit back and reflect on what more value-added actions can be taken. But these are cycles, they happen.

Keshav Lahoti: Understood. Got it. So we expect particle board to breakeven at EBITDA as well as PAT in FY '27?

Sanjay Agarwal: Yes, that's what you would aim for.

Keshav Lahoti: Both the PAT also breakeven, right?

Sanjay Agarwal: Sorry, can you repeat your question?

Keshav Lahoti: PAT breakeven will also happen in FY '27?

Sanjay Agarwal: PAT breakeven.

Management: Yes, that will be the attempt.

Keshav Lahoti: Okay. That's it. Thank you.

Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

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Praveen Sahay: Congratulations for the best set of numbers. My first question is related to the MDF. As in the previous participant's answer, you mentioned that improvement in the GM is because of a product mix change. But if I look at your stand-alone, there is not much improvement in the realization. So sequentially, I'm looking at the number, realization is almost flat, whereas your gross margin profile has improved. So what exactly...

Keshav Bhajanka: So if you look at our realizations in prelam, quarter-on-quarter,

our realization has gone up by

4.4%. And plain MDF, you see there is also a product mix change that might have taken place because of which you're not seeing the realization improvement. Like-for-like, if we sold the same product, there will be an improvement in realization. This could be due to a mix change within plain MDF.

Praveen Sahay: Okay. Got it. Second question is, as you had also given the guidance for the fourth quarter, around 40% plus of sales that required around -- if considering the realization to be same, around 55% plus of a growth in the volume. So do you expect even a lot of capacities are coming in, you are able to maintain that more than 50% volume growth numbers for MDF?

Keshav Bhajanka: I think most of the new capacities have already come in. So considering that we were able to do it as of the previous quarter, I think we should be able to maintain our guided growth.

Praveen Sahay: Okay. And on the plywood side, definitely, like last three quarters, volume numbers has been very strong. And like how -- like way forward from here onwards, what exactly the capacity addition is a more driver you are looking at to further increase your market share? And what exactly you are looking at to increase the market share there over here when you are at

somewhere around 9% of market share already? So any color on that?

Nikita Bansal: I think definitely capacity expansion is to cater to the increase in market share that we would like to do. So the growth will be catered by expansion. But at the same time, I mean, we have to continuously keep deploying various strategies on ground, whether it be in terms of various programs that we keep doing, whether it be in terms of availability, whether it be in terms of channel expansion, whether it be in terms of really developing our Sainik 710 brand because that is where the belly of the market lies further growing the brand of Century Ply.

So I think it is not very easy to say that there is one strategy that we are deploying and that is what is going to lead to result. So I think it's a combination of a lot of activities happening, whether it be in terms of team, in terms of building up the team, in terms of digital infrastructure. So there are so many things that go in. It's just that the intention is towards reaching that. I mean there are a lot of things that in the last -- I think from COVID to now, there were a lot of things that worked in our favor. There are a lot of strategies that failed. But that does not mean that we stop putting those efforts. And ultimately, some result into what we have been able to gain in from 5% to 9%. So similar things will keep happening.

Praveen Sahay: So in this segment, how much in the last 9 months...

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Moderator: Sorry to interrupt, sir, I would request you to rejoin the queue for follow-up questions, please.

Praveen Sahay: Okay.

Moderator: Thank you. We'll take the next question from the line of Harsha from Key Securities Limited. Please go ahead.

Harsha: Firstly, I congratulate for your results. And my question is like how you managed to achieve your year-on-year growth despite weak market segment? And how will you see your market in the next 6 months?

Sanjay Agarwal: You see, you have seen that the growth has basically come from 2 sectors, MDF, where we have installed new capacity. And we also, as a company, Keshav as a leader for MDF has taken it very strong lead and full team has been put into pressure into South India and the growth is coming from South India.

So the plant has reached the full capacity also as we had earlier thought of. As far as plywood is concerned, of course, whatever we have been trying too many things, new, new things, some of them have really failed and we have done away with them. There are certain things which have really succeeded, and we are now

pushing harder on them. So -- but it's a very, very difficult situation in these markets.

Right now, yes, we are doing well this year. Next year also, we will probably look for similar kind of growth. And I hope that the markets will also improve by then the government is also trying to do a lot of things. I hope this kind of a growth will continue.

Harsha: And my next question is, how would you see your market in next 6 months?

Sanjay Agarwal: Yes, that's what actually -- I believe that the markets are only going to improve because the market has been slow for some time. And now with the win in Delhi and Maharashtra and one of Karnataka state high court state none other state BJP won, I think they have also -- they must have got their confidence back. And I think they will start now spending the money also a lot, the investment cycle will also start and they have requested the businessmen also industrialist also to increase their investments in the country.

I'm sure things are going to change. They cannot remain as today because the markets are slow.

You can see in all the results we are seeing for third quarter. I certainly believe that the H1 of the next year will be much better than what we have today.

Harsha: Okay sir. Thanks. That's it from my side.

Moderator: Thank you. We'll take the next question from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Sir, on the volume growth outlook for plywood, so we have -- I mean, if I look at the historical trend has been that for FY '24 was not so great in terms of the revenue growth for us in the Century Plyboards India Limited

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plywood. And then FY '25, we saw a very strong growth likely in more than 10% kind of.

Would you say that now the strategies are in place, which will give you confidence of a double-digit outlook in plywood should not -- it's a doable thing that is -- I don't know if you've answered this, but just wanted to check your thoughts on this?

Nikita Bansal: Yes. So -- see, we have given the outlook that in Q4 we will grow at that 12% going forward,

and that has been our statement throughout that we will grow at 12%. But we cannot predict any year and that is why we always give a number that we feel can be done. If you see this year, I have been saying 12%, but we are outperforming that 12%, but we still give a conservative number just because the market is so dynamic.

It may not be just strategies alone that play alone -- so yes, we may have got strategies right for this year. Whether they will continue to work next year because there is so much how the market changes, how the scenario changes, what does the competition react to different things. So I think we are right now not talking about growth numbers for next year. Whenever we come with that, we will discuss it more.

But I think as a division, we will always give numbers which we feel are doable. If we outperform great, if we don't -- but yes, currently, we are on the track that, yes, we've got something right and it's going right for us. Whether it will continue, we don't know.

Amit Purohit: Okay. No, I just was wondering if this is a base effect thing or would it -- this is something more to it?

Nikita Bansal: I mean, is there ever a strategy that is baked and go for all years. I don't think it has to be dynamic. You have to keep changing strategy, you have to keep adapting to various market scenarios. So I would say let's see how everything unfolds. Yes, we are definitely on the right path, and we definitely have the right vision in place.

Amit Purohit: And would the loyalty program that paint and the carpenter loyalty program, that allocation, how it would have moved over the last 1 or 2 years, if you could share that?

Nikita Bansal: You mean in terms of budget?

Amit Purohit: In terms of -- yes, the budget probably, say, '22, '23, '24, till now, what would that -- if anything

which will give some sense on?

Nikita Bansal: So we actually don't budget it. It is something we generate within our pricing itself. So there is no budget as such. And at the same time, these are 2 fine details for us to share over this call.

Amit Purohit: Sure. Okay. And second, on the MDF part, I wanted to understand, I mean, your guidance of 15% for Q4, that presumes that the stand-alone MDF would have at least 18% to 19% kind of EBITDA margin, right? Is that a fair -- this 15% first is on consol right now because 40% YoY growth would also be consol for Q4?

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Keshav Bhajanka: Yes. Earlier, we had given numbers for profitability on stand-alone, but for volume on consol. This is because we weren't very sure of how that would scale up. 15% was for stand-alone, and we are sure that 15% can be achieved for standalone. If you're looking at consol, I would say that the blended EBITDA numbers would be closer to what they were in this quarter.

Amit Purohit: Sure. Okay. And there is one -- I mean, I was just doing a math. I don't know if you would be able to help me out in this MDF, which is basically the consol minus the standalone performance and I see significant savings on the overhead cost, especially on the new plant. Anything one-off thing or should we take that as a...

Keshav Bhajanka: I think it's operating leverage and the benefit of economies of scale. So there has been nothing significant that is one-off in the current quarter.

Amit Purohit: Sure. I will take this offline. Thank you so much.

Moderator: Thank you. The next question is from the line of Utkarsh Nopany from BOB Capital Markets Limited.

Utkarsh Nopany: Sir, my first question is on -- again, on MDF segment margin. So I just wanted a clarification from you. If we see the industry leader margin has contracted sharply on a quarter-on-quarter basis in December quarter, whereas if we see for our MDF segment margin, the EBITDA margin without the impact of forex, there has been a 700 bps improvement on a quarter-on-quarter basis despite our realization going down by 2%.

So can you please explain why our margin has improved on a quarter-on-quarter basis, which is an aberration compared to the industry trend?

Keshav Bhajanka: I think it is better efficiencies as far as our new plant is concerned. Last quarter, if you look at it, on a standalone basis, while we weren't very far off from where we are in the current quarter.

But on a consol basis, we are very, very far apart. So the new plant, of course, there have been operational efficiencies that we have brought in.

Alongside that, I think that in terms of timber, we have benefited slightly from having higher inventory, which has reduced the cost. But overall, I think this is predominantly due to operating leverage and due to operating efficiencies that we are able to generate.

Utkarsh Nopany: Sir, on a quarter-on-quarter basis, your revenue has remained roughly same. So the operating leverage benefit would not have kicked in. And if you could quantify what would have been the reduction in the timber cost for us on a quarter-on-quarter basis?

Keshav Bhajanka: Operating leverage, when we are discussing operating leverage, I meant year-on-year. So the

overhead cost definitely gets split up. Quarter -on-quarter, like I said, in any plant, when you are in your first or your second quarter, there will be wastages, there will be higher consumptions, you need to ensure quality is met. So all of those things have definitely led to us being able to give a higher EBITDA number in Q3 compared to Q2 as far as the Badvel plant is concerned.
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Utkarsh Nopany: And sir, going forward, can we maintain similar kind of a margin run rate, say, from the March quarter onward

ds, what we have delivered in December quarter at least for MDF segment?

Keshav Bhajanka: Yes. Our attempt will be to maintain similar margins.

Utkarsh Nopany: And sir, second question is like, can you please quantify what kind of a pricing action we have taken for each of our segment in December quarter and whether we are planning to take in March quarter as well for MDF plywood and for laminate?

Keshav Bhajanka: For MDF, we have taken close to 3% to 4% blended increase pan -India as far as prices are concerned. For laminate and for plywood, I don't think we have taken any increases as far as last quarter is concerned.

Utkarsh Nopany: Okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors Private Limited. Please go ahead.

Shivkumar Prajapati: First question is like, I guess, from today onwards, BIS on some wood panel products was about to be effective. So is it effective from today like any update if you could share?

Nikita Bansal: Yes. I think BIS is getting effective in different products at different times. So say, for example, plywood is 28th Feb is the date. I think in MDF it is 11th or 12th Feb is the date. And I think it is very -- I think if you give us a day or so to know whether it really got effective or not. But this time, it seems that the government is extremely serious about this being put into motion. In terms of import, it will be done on these dates. In terms of domestic, I think we are doing it in a staggered manner over big, small and micro up to August.

Shivkumar Prajapati: My second question is the follow-up on the previous question. Like if I'm not wrong, you mentioned that you have taken price hike of around 3% to 4% on MDF during the previous quarter. Is my understanding correct?

Keshav Bhajanka: Can you repeat the question, please?

Shivkumar Prajapati: Like you mentioned that we have taken price hike on MDF the previous quarter around 3% to 4%.

Keshav Bhajanka: Yes, absolutely correct.

Shivkumar Prajapati: Okay. That's it from my side. Thank you. Best of luck.

Moderator: Thank you. We'll take the next question from the line of Rishab Bothra from Anand Rathi Share and Stock Brokers Institutional Equities. Please go ahead.

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Rishab Bothra: Sir, I wanted to understand on the demand perspective for each of the segments. What are the key drivers you see will be meaningful in next 2, 3 quarters, which will demand, the plywood, laminates, MDF and particle board?

Sanjay Agarwal: I think I have already spoken on this because I believe that under currents have been slow and government was not at a very confident footing because of the results of the annual -- of the 5 - year central elections and then local elections. But after these three big wins and now the government has also adjusted and the kind of budget they have given.

So I think all of this will actually now in a few months, I think there should be a recovery. And it is only -- it's a question of mindset. If people feel positive, things will become positive. So that's why I believe that H1 should be much better than the last 3 months , 4 months, 5 months, whatever has gone.

Rishab Bothra: I agree this is on a broader level. But in case of plywood, let's say, dealer demand will be available from housing space, laminates, could it be export or domestic? And in MDF and particle board, will it be OEMs or dealer distributor level. So I wanted some color on that front?

Sanjay Agarwal: So as far as plywood is concerned, it all depends on the high upper middle class or the upper class, HNIs housing actually. So I believe that a lot of sales has happened and a lot of new residences and offices are getting now interior decorated. So I believe that some demand have started coming in, and we are benefiting out of that on

ly.

Otherwise, this kind of a growth would not have been possible. And I think this should now

continue for some time. And more and more sales are happening. We are seeing the kind of registration fees being collected in Maharashtra or in Gurgaon. They are certainly a very positive sign.

Yes, of course, even after buying a person probably a year to settle down his mind who is the interior designer, what kind of design he wants to do and all that might be happening. But I'm sure that this is what will really propel the further growth as far as plywood is concerned. As far as MDF and laminate is concerned, I would like Keshav to...

Keshav Bhajanka: I think for laminate, both the domestic as well as the export markets, I won't read to a substantial increase in demand. Exports have been doing well for some time now, and India is growing steadily in export of laminate for quite a few years. I think with the new larger sized presses, we should be able to take advantage of this trend as well. And of course, the domestic market will continue to grow.

As far as MDF and particle board are concerned, I am very confident that we will see an increase in domestic demand. There is growing traction and both OEM and home consumers or the retail segment, they are likely to grow in line with the government's initiatives towards housing for all and other such initiatives related to real estate.

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We should see -- you see two large plants of MDF came into production. One is Century Ply, another XM had come into production, and both are mostly doing well. I think both have crossed 50% capacity utilization because MDF is the one which is really growing much faster than plywood. A lot of furniture is getting converted into usage of MDF.

So I expect that within next about a year's time, whatever capacity has been created should be absorbed. So I don't see much headwinds or any kind of a problem in coming time as far as these things are concerned.

Rishab Bothra: Got it. And lastly, on input cost, what would be the delta in case of wood price increase, let's say, by 5%, which segment will be affected the most? I guess laminates don't have timber consumption as such, large timber consumption as compared to...

Sanjay Agarwal: No timber consumption as far as laminate is concerned. Laminate is made out of paper, craft paper and all that.

Rishab Bothra: Correct. So only the plywood, MDF and particle board will be impacted. And if you could sell out what percentage plus or minus is there in case of increase or decrease in timber cost by 5%...

Sanjay Agarwal: For MDF, the price quarter-on-quarter has increased by about 5% to 7% in North and in it's slightly higher. It's about 10% to 12%.

Keshav Bhajanka: This is for MDF related to MDF. For plywood, I think there hasn't been any material spike in raw material prices in the last quarter, but if it has been miniscule.

Sanjay Agarwal: I think for plywood, what has happened, we are getting good imports of core veneer and face veneer both from different countries. So there is not one country, but many countries which are now exporting to India and the demand is being met. And that is why the local price rise also had been curtailed that it is not increasing. Otherwise, it would have gone to the roof.

So for last about 6 months' time, I don't see any increase as far as plywood raw material prices in India is concerned because of the import prices. And I don't see until something very big, something which we do not see right now happens after Trump, anything can happen, of course, but I don't see much happening really there.

Rishab Bothra: Got it. Increases...

Sanjay Agarwal: Yes, plywood is capable of taking that price rise also. It has -- we have taken about 4% price rise in this year, present year also. So next year, again, if it happens, we will be able to take

a
price rise.

Rishab Bothra: Got it. And lastly, if I may chip in. Anything update on the container freight business? What kind of capital can we get released? And how soon can it happen?

Moderator: Could you please repeat your question Mr. Agarwal had got disconnected from the call.

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Sanjay Agarwal: Yes, please. Yes.

Rishab Bothra: So I wanted to understand what kind of capital can be released from the container freight business? Any update on that front? How soon that can happen?

Sanjay Agarwal: Container freight station, very frankly, is doing much better this year. That much I know. But right now, I'm unable to really answer any question on that division. CFO can throw better light.

I know this division is doing much better than last year. That much I know.

Arun Julasaria: No, container freight station, this business is doing good now. increasing we don't have any plan of expanding capacity in this business. Of course, we are now entering into operations that we have separate ports. So we are working on that business. We are also working on whether we can have some rev partner who can help us in this business. So a lot of things are on drawing board in fact. So we shall update at right time.

Sanjay Agarwal: So no plans as of now and port operations will be in a different entity?

Arun Julasaria: We don't have any hiring of plan.

Rishab Bothra: Thank you, sir.

Moderator: Thank you. We'll take the next question from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: Sir, do we have any export obligation from our new MDF plant and particleboard plant in South India?

Keshav Bhajanka: Yes, we do have an export obligation from the MDF unit. And currently, we are not in line to meet the same because the raw material prices have shot up drastically, but we are working on all available options, and we are sure that within the 6-year time horizon, we'll be able to meet our export obligations.

Bhavin Rupani: And what is the time lines within which we have to export.

Keshav Bhajanka: 6 years.

Bhavin Rupani: 6 years, sir?

Keshav Bhajanka: Yes.

Bhavin Rupani: Okay. And quantum, if that is possible?

Keshav Bhajanka: I think CFO will get back to you with exact details. I don't have the data ready on me.

Bhavin Rupani: Got it. And sir, last question is related to plywood. Just wanted some sense which category is growing faster? Is it the Sainik one or the premium category is growing faster and if you can give the breakup, if that is possible?

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Nikita Bansal: We never give this breakup, but just to give you a perspective of everything, if you have to deliver 18% to 20% growth it cannot be behind just one segment. Both segments have to grow at a very double-digit growth numbers for you to deliver that level. Having said that, I've repeated this in every call that the belly of the market lies at the Sainik segment. So the growth -- our expectation is that the growth level of Sainik has to be higher than that of [inaudible 56:56], but that does not mean that Century is not growing at a very high pace. So I hope that answers your question.

Bhavin Rupani: All right. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question in the queue. As there are no further questions, I would now like to hand the conference over to Mr. Agarwal for closing comments.

Over to you, sir.

Sanjay Agarwal: Thank you. Thanks to all of you for supporting Century Ply with very positive hopes for the Q4 and the H1. And I believe that things will be much better under currents will certainly improve in coming times. We close today's call. Thank you.

Moderator: Thank you, members of the management. On behalf of SKP Securities Limited, that concludes this

conference. We thank you for joining us, ladies and gentlemen and you may now disconnect your lines. Thank you.

Call: Jun 2025

Date: 4th June, 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai- 400 051
Scrip Name- Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Audited Financial Results for the Quarter and year ended 31st March, 2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Monday, 2nd June, 2025 in respect of Audited Financial Results for the Quarter and year ended 31st March, 2025.

This is for your information and record.

Thanking you,
Yours faithfully,
For Century Plyboards (India) Ltd.

Company Secretary
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"Century Plyboards India Limited
Q4 FY25 & FY25 Results Conference Call "
June 02, 2025

MANAGEMENT : M R. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CENTURY PLYBOARDS
INDIA LIMITED
M R. KESHAV BHAIKAR – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS INDIA LIMITED
M RS. NIKITA BANSAL – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS INDIA LIMITED
M R. ARUN JULASARIA – CHIEF FINANCIAL OFFICER –
CENTURY PLYBOARDS INDIA LIMITED
MR. SUMANT WATTAS – CHIEF EXECUTIVE OFFICER –
MDF BUSINESS – CENTURY PLYBOARDS INDIA
LIMITED
MR. VISHU GOEL – CHIEF EXECUTIVE OFFICER -
DECORATIVE BUSINESS – CENTURY PLYBOARDS INDIA
LIMITED

MODERATOR : M R. NAVIN AGRAWAL – HEAD INSTITUTIONAL
EQUITIES – SKP SECURITIES LIMITED

Century Plyboards India Limited
June 02, 2025

Moderator: Good day, ladies and gentlemen. Welcome to Century Plyboards Limited's Q4 FY '25 and FY '25 Result Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the management opening remarks. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities. Thank you and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. I'm pleased to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us; Mr. Sanjay Agarwal, MD and CEO; along with Mr. Keshav Bhajanka, Executive Director; Mrs. Nikita Bansal, Executive Director; Mr. Arun Julasaria, Chief Financial Officer; Mr. Sumant Wasth, CEO, MDF Business; and Mr. Vishu Goel, CEO, Decorative Business. We'll have the opening remarks from Mr. Sanjay Agarwal followed by a Q&A session. Thank you and over to you, Sanjayji.

Sanjay Agarwal: Thank you, Navin. Good afternoon, ladies and gentlemen. Welcome to Century Ply's FY '25 Q4 Earnings Call. Before we begin, please note the standard disclaimer. Today's discussion will cover the company's past performance and future outlook and is not intended as a solicitation to invest. The earnings result and analytical presentation have been shared with you and are also available on the stock exchange website. The Q4 result for FY '25 is a re-better on both year-on-year and quarter-on-quarter basis.

On a year-on-year stand-alone basis, revenue rose from INR1,026 crores to INR1,049 crores while consolidated revenue increases from INR1,061 crore to INR1,198 crores representing a growth of 2.3% on a stand-alone basis and 13% on consolidated basis. The Plywood segment is performing quite well and stands out as one of the fastest growing areas in the whole building material industry. Revenue increased by 9.8% year-on-year for Q4 with an EBITDA margin of 15.4% for the quarter primarily driven by higher volumes.

Revenue for the full year '24-'25 has grown by 16%. The revenue from Laminate segment at the consolidated level increased by 1.9% while stand-alone EBITDA margin stood at 5.6% with margin pressure resulting from higher schemes and increased sales overhead on account of employee cost.

Our facility in Andhra Pradesh is scaling up and is expected to support sales growth in this segment in the coming quarters. MDF revenue at the consolidated level grew by 37.5% with an EBITDA margin of 13.2%. Our facility in Andhra Pradesh turned EBITDA positive in Q4.

I'm also happy to report that both the segments, Laminate and MDF, at our Badvel plant has achieved nearly 60% of capacity utilization in Q4. The Particle Board segment continues to be under pressure and revenue declined by 23.2% in Q4 with an EBITDA margin of 5.6%. The new Century Plyboards India Limited

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plant at Tamil Nadu is expected to be operational from this quarter and will help in improving the EBITDA margin on account of lower cost of production.

With this, I conclude my opening remarks. Thank you. I now welcome your questions.

Moderator: The first question is from the line of Bhavin Rupani from Investec.

Bhavin Rupani: First question is related to MDF plant. Sir, I wanted to understand on the EPCG scheme benefits from the MDF plant. Last time we specified that we have some obligations of exports going ahead. Can you please specify the quantum of exports and the timelines under which we have to export from this plant?

Keshav Bhajanka: Normally EPCG benefit can be availed over the course of 6 years and the quantum of exports, the obligation will

depend on whether we take GST into account or not. So the obligation can be between INR150 crores to INR400 crores. This detail we'll be figuring out because, as you know, the export scenario has changed, but this is something that takes place sporadically. A couple of years exports may not be viable and a couple of years they may be extremely viable. So we are figuring that out.

Bhavin Rupani: So have we started exports on our new plant?

Keshav Bhajanka: Yes, we have. Right now the quantum is limited because, as you know, in the international market, there has been substantial pressure on the prices of MDF. Alongside that, raw material prices in India have increased drastically. So because of this phenomenon, exports aren't as viable as they used to be, but we have already started exports, currently predominantly we export to the Middle East.

Bhavin Rupani: Okay. And is it possible for you to specify what are the margins in our exports business?

Keshav Bhajanka: We never share numbers even in laminates and even in other products between domestic and exports unfortunately.

Bhavin Rupani: Got it. And sir, any price hikes, price cuts that we expect or we have taken during the quarter or

we expect going ahead in MDF?

Keshav Bhajanka: Going forward we are all expecting price hikes in MDF, but it is a little too early for that to play out. I think over the course of next couple of quarters, there'll be a wait and watch scenario. But the expectation is towards the end of the year, there should be certain price rises in MDF.

Bhavin Rupani: Got it, sir. Sir, second question is related to plywood. What we have heard is some associations in southern part of the country have taken some price hike of 7%. Does it give us more leeway to increase the prices going ahead in Plywood segment as well?

Nikita Bansal: So the thing is with respect to these association news that come, they are flyers that go out every quarter. So it's not something new. But when you'll actually see at ground what is effective, it is never effective at 7%. So usually it's not even effective at 1%.

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Associations say that they want to take it to just create a pressure. But ultimately like right now I can tell you that in the Yamunanagar, there is no increase. So I do n't think there is any price increase that we can take, but we ourselves have taken a price increase in April of 2% in our Century brand.

Bhavin Rupani: Very much clear, ma'am. And last question is related to working capital I spend specifically on inventory days. We have seen significant jump in March. Any specific reason behind it and when do we expect this to normalize?

Keshav Bhajanka: I think raw material prices have moved up substantially over the course of the past quite a few quarters now. So in line with the same, we have built up an inventory so that we would not face the constant pressure of increasing prices from the market. Having said that, I think now there has been a bit of stability. So because of the same, over the course of this and the next quarter, we will be able to liquidate some amount of raw material inventory. So this benefit we will get over the course of, say, H1.

Alongside that, 1 structural change that is taking place is that we have definitely increased raw material inventory of coal in particular because we have started importing it. As you know earlier, it was predominantly domestic sourcing. Now since it is imported, that change is likely to continue for the near future. But overall, inventory will start to reduce from this quarter onwards.

Moderator: The next question is from the line of Rudraksh Raheja from ithoughtpms.

Rudraksh Raheja: Sir, my question pertains to the Laminate segment. So if I look at the industry, one of the organized players in this market has recently secured a white labeling business from Wilsonart, which is a

global player from U.S. So do you see this as a normal course of business or is this a strategic shift where other global players might look towards India as a destination to outsource their manufacturing needs?

Keshav Bhajanka: I think you're absolutely right. India is likely to remain one of the best destinations for export of laminates for the foreseeable future. And companies like ourselves have also been white labeling for a number of international brands over the course of the last two decades. But the opportunity now, particularly in compact laminates, is proving to be substantial. I think going forward, you will see many more such agreements coming from organized players within the country, ourselves included.

Rudraksh Raheja: Sir, what exactly changed that triggered this huge opportunity opening for Indian players?

Keshav Bhajanka: I think a number of changes that have taken place. Firstly, in the case of compact laminates, the cost of labor is a major deterrent. Compact laminates, as you know, cannot be manufactured in any meaningful way through mechanization. It requires a labor intensive process. As such, I think a structural benefit for India is likely to persist for the foreseeable future.

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Secondly, I think overall, the efficiency of Indian manufacturers to manufacture thin HPL has also helped us substantially. This again is likely to continue going forward.

Rudraksh Raheja: And sir, are we looking forward to any such opportunities?

Keshav Bhajanka: A few.

Rudraksh Raheja: Okay. Sir, could you quantify the production cost differential like you mentioned in India versus a market like U.S.?

Keshav Bhajanka: Sorry, could you repeat the question?

Rudraksh Raheja: I wanted to ask about production cost differential.

Keshav Bhajanka: The production cost differential between India and, say, Europe or U.S.A. is going to only keep widening. You see labor cost there has increased substantially and environmental norms there

are also getting more and more stringent. So India will continue to have this advantage for the foreseeable future.

Rudraksh Raheja: So at this stage, what's the amount; a ballpark figure, how much differential does exist?

Keshav Bhajanka: I would put it this way that a number of U.S. companies have stopped their manufacturing operations in the U.S., a number of European companies have stopped manufacturing operations for laminates and compact for HPL and compact in Europe. So that should give you a sense.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: My first question is related to the plywood. If you can share what is the capacity of the plywood currently? And also as per the presentation, you are going through capex in all of your facilities especially in the plywood. So what increase in the capacity you are expecting by end of FY '26?

Nikita Bansal: So the capacity utilization currently is about 90% for this entire year and already we've announced the Hoshiarpur plant, which will come about in the next 15 months, which will help us with our futuristic growth and we are expecting that to be about 48,000 CBM more.

Praveen Sahay: So 48,000 CBM from the Hoshiarpur and others facility also, if I look at, whether it's in the Joka or Gandhidham, et cetera, there also you had done a capex and doing, like '26 also you had a plan for.

Nikita Bansal: That will continue. So that will be another 50,000 CBM for this year. So we are sorted for this year. Even at the end of this year with the growth numbers we have in mind, we will still be at a decent capacity utilization. Still not at 100%, but yes, we will need another plant next year.

Praveen Sahay: Okay. Second question related to the laminate because the laminate this quarter, if I look at, that's because of higher scheme discount or a sales overhead, the margin were on the l

ower side

on the consolidated basis. So can you give some indicative the way forward because already you

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had given in the presentation for the guidance? But how to achieve the improvement in the margin the way forward? And also if you could talk about the export sales numbers for this year or the coming years, how that's going to play out?

Keshav Bhajanka: So normally we do not give guidance particularly in export. Like you have said, our Andhra unit is predominantly designed towards exports and that will lead to a substantial increase in our overall export base. If you look at the margins for the current quarter, they have been impacted because we have invested substantially; whether it is in terms of plant, whether it is in terms of manpower; and the growth has not come.

Because the growth has not come, the cost base has increased. This year we are very confident of a 20% growth and in line with that, we have seen a good April and a good May. So I am confident that with increasing economies, with increasing operational utilities, with increasing volumes; we shall see a recovery to higher margins. For the current year, we are looking at 8% to 10% EBITDA margin towards the end of H2 and I think we will be online to achieve the same.

Praveen Sahay: Okay, sir. And also if you can share the timber pricing for a quarter, how has been North and South?

Keshav Bhajanka: Sumant, would you like to take that up?

Sumant Wattas: So for the MDF business, our timber prices for Q4 consumption prices in North was about INR6.7 per kg and South was about INR6.3 per kg. That's quarter 4. In quarter 1, we've seen some decline in both North and South in the range of 5% to 10% in both.

Praveen Sahay: And both the places, South and North, both the places you have seen decline?

Sumant Wattas: Yes, yes. There's been a marginal decline of 5% to 10%. Hopefully it continues, but monsoon is also coming so let's see. I think they'll remain stable or there will be a minor correction.

Moderator: We'll take the next question from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: We can see your particle board capex has increased by [INR57 crores 0:18:14]. And secondly, your particle board margin, which is just 5% when a small plant is operating at optimum utilization. How you will see the particle board margin to be in this year and possibly FY '27?

What are the ramp-up plans?

Keshav Bhajanka: I think if you look at the current capacity versus the upcoming capacity, there will be a structural difference. The current capacity is a multi light press, which has inherent disadvantages. Of course the capacity has served us very well and we have had a very good return on it.

But given today's competitive landscape, we had to go for a continuous line where you have close to 7% saving in terms of sanding and trimming, where you have 2% to 3% saving in terms of overhead, a further 2% saving in terms of resin.

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So on a steady state basis, this plant should definitely give us a 15% plus EBITDA margin. This year and the first half of next year will depend on capacity ramp-up. But I think that going forward, the new unit is likely to lead to a good EBITDA for particle board.

Keshav Lahoti: Got it. So 15% is a normalized margin you are saying or earlier we were expecting ...

Keshav Bhajanka: Steady state you have a decent capacity utilization. Steady state at given prices, yes, that is a good EBITDA number. Of course it does have fluctuation. There is volatility in terms of margins in this industry. If prices rise going forward for particle board, you will see an increase in our margins as well.

Keshav Lahoti: Got it. And one thing in particle board, earlier the small press we used to make 20%, 25% margin, which is down to 5% to 6%. It's purely because of

timber cost or there are other reasons also attached to it?

Keshav Bhajanka: There are two reasons. Firstly, timber cost increase has impacted cost. But at the same time, realizations have not moved up. Now there are a number of reasons that have put pressure on realizations, both overcapacity in domestic as well as imports.

Imports even though not very high in terms of quantum, but they do act as a limitation for the domestic industry to take correct pricing positions. With BIS coming in, we should see a benefit there, but it is still early days. So let us wait for that to play out.

Keshav Lahoti: Got it. And what about the MDF line rebalancing we wanted to do, the expansion plan? When should that happen?

Keshav Bhajanka: Between September and December of this year we should go for the expansion. However, we have not taken a concrete date yet. It will depend on how utilizations take place and when we can build up sufficient inventory. It is going to be a shutdown that is in excess of 30 to 40 days. So we will have to plan it out. But I think in quarter 3, latest maybe by quarter 4, we'll have to go for the expansion.

Keshav Lahoti: Normally the demand is heavy in Q4. So whether Q4 it will be possible because people ideally then target the monsoon time.

Keshav Bhajanka: There are a number of factors that go into it. I think our ability to build up inventory, to build up the correct inventory, get a sense of what we will require and availability from the OEMs who is going to also lead to that expansion, who is also going to work towards the expansion; all of these factors need to be taken into account. Whenever we go for it, we are going to ensure continuous servicing of the market.

The advantage we have of course is that we have multiple units. So even if one goes under shutdown, there is always the likelihood to feed it from the other at the loss of maybe slight amount of margin. So I do not think it will be a very big challenge for us. But you're absolutely correct, the planning needs to be impeccable and that is what we are working on.

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Moderator: We'll take the next question from the line of Tanmai Mohta from Locust Investment Group.

Tanmai Mohta: So actually I have two questions. So the first was on the line of the MDF business. So broadly if you look at your margins, margins have declined substantially. So I just wanted to understand is this only because of the wood prices and what do you see margins going ahead? And secondly, on the demand side given there's significant overcapacity in the industry, what do you see? What's your sense on sort of demand growth at the industry level? And the second question is on the plywood side. So just wanted to understand, I mean if we just look at your sort of sales volume breakup, your commercial veneer business I think the volumes have fallen substantially. So within your plywood business, what do you expect sort of is going to drive your 20% growth going forward?

Keshav Bhajanka: So for MDF, there are two things that have played out. There has been overcapacity in the market, a lot of new capacity that has come in. Because of that, you see the pricing in the market has also changed.

Over the course of the past year, there has been close to 8% reduction in realization for us and far higher for competition. So I think this is definitely a factor that together with the increase in raw material has led to lower margins. Having said that, last quarter on a stand-alone basis, we have already clocked close to 20% EBITDA margin. So I think margins will look on the way up going forward.

Sanjay Agarwal: Second question is regarding commercial veneer or decorative units?

Tanmai Mohta: Commercial veneer basically understanding your sales?

Sanjay Agarwal: We are technically not in commercial veneer anymore. We have a unit in Gabon, which serves as

a raw material supplier to us. So whatever high grade material is consumed by us and the lower grade material we sell in the market and it's not much. It's very little. And we are no more in the business of commercial veneer practically.

Tanmai Mohta: Sir, just a follow-up just on the demand side. What do you think on the demand side in the industry that is going forward? Do you think the industry could grow at about 10%, 15%?

Sanjay Agarwal: Demand for plywood?

Tanmai Mohta: MDF?

Keshav Bhajanka: MDF demand is likely to continue to grow at 20% plus. The market has been growing at close to 20% and I believe that the market is likely to continue growing at 20%.

Moderator: We'll take the next question from the line of Amit Purohit from Ela ra Capital.

Amit Purohit: Sir, just on the MDF part on a stand-alone basis, we saw a volume decline of almost 13%. What would you attribute this to?

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Keshav Bhajanka: You see there is a catchment that we are serving from our North plant where it is more profitable to serve from our South plant. So obviously that rebalancing has taken place and that has led to higher EBITDA. But when you are catering to the South from the North and you have a plant in the South, then of course that change will take place.

Amit Purohit: Okay. So you think that the outlook for the next year, this should keep on happening for some time or you think this was just a 1 quarter thing and now things should stabilize?

Keshav Bhajanka: Like I said, for the year, our target will be 20% growth and we are very well in line to achieve that depending on two or three factors such as relative price of timber, depending on the logistic costs. We will keep balancing between the plants to come to optimum EBITDA levels.

Amit Purohit: Okay. And on the plywood side while you highlighted two things, one that the timber prices have come down and it looks to be a bit more stable and may probably come down.

Keshav Bhajanka: Sorry, timber prices have come down for MDF. That was indicated for MDF by Sumant, who is our CEO for MDF, not for plywood.

Amit Purohit: Okay. And not for plywood. So plywood, the number is broadly similar, right, on a sequential basis or on a Y-o-Y basis? What is that?

Nikita Bansal: You're talking about raw material prices?

Amit Purohit: Yes, timber.

Nikita Bansal: So currently because we are very dependent on import and even the quality is far better so currently, there's not been much change in the import prices.

Amit Purohit: Okay. And I'm just -- the reason I'm asking this is that we have guided for 12% to 14% plywood margins. If I look at our FY '25 margins is close to about 14.5%. And generally, I mean there's an outlook that timber prices have probably peaked out and things should improve from here on. In that context, do you think that we are a bit more conservative in our guidance or how do you think about it?

Nikita Bansal: No, I think we are not conservative. We always aim for 12% to 14%. But when the volume is phenomenal in a year, it always gives you some EBITDA advantage because your fixed overheads are already the same. So this year has been very good for us in plywood because of which we have delivered this type of EBITDA. Going forward also I will still maintain we will try to deliver a 12% to 14%.

Amit Purohit: Okay. And sir, lastly, on laminate. When I look at other players also, listed ones who have displayed, almost all of them have reported a decline in volumes. So just curious I mean from an industry perspective, I mean we have -- I know it's not rightly correlated, but we have plywoods, which is doing well, but laminates somehow we thought there is some bit of lower penetration and hence laminate demand should also kind of should pick up. Why would it...?

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Keshav Bhajanka: For plywood,

I would not say that the industry has done particularly well. For plywood, I say that Century Plyboards (India) Limited has done well. And if you look at overall, the demand scenario in building materials isn't great if you look right across the building materials segment. So in plywood, our gain has been on the basis of market share gains and substantial market share gains of that. So laminate, the demand scenario is muted. Hopefully, it will recover as the building material cycle recovers, new launches come into the market and so on and so forth. But currently, I don't think domestic at least there's a very healthy demand scenario for plywood.

Amit Purohit: Okay. And lastly, on the BIS norm implementation, anything that you've seen on the ground? I know these are too early days, but I mean you think that when is the time that you think maybe the imported inventory gets utilized and things? If you could share some insights on what is the

state of the industry in terms of giving the licenses to international companies and all.

Sanjay Agarwal: So I think BIS, it is too early to reply very frankly. Yes, even for smaller guys, they have permitted till I think August and they are not permitting anybody abroad till now. In Nepal, yes, they have allowed one or two companies. They have given BIS permission. So I really see that, yes, there is a positive notion as far as plywood or MDF, both are concerned.

But yes, it will take some more time to really affect the market in India. But I really believe that this time BIS and even the Commerce Ministry is very strong and they are very decisive about protecting Indian industry as a whole. So I believe that yes, they will certainly see to it that Indian industry benefits out of it.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, my first question is on the distribution side. Can you highlight where our distributor dealer count is, how it has improved over last one year? A related question over here is are we looking to rejig or have we already rejigged our CDC/RDC network to improve supply chain optimization? So that's the first question.

Sanjay Agarwal: Okay. So as far as supply chain is concerned, you see from the day GST came in, we were very quick to assess what changes are required and accordingly though not much, not very big, but yes, some changes have been done. And as far as -- you asked only for supply chain, isn't it?

Ritesh Shah: Yes, sir. Sir, my question was basically, we have I think a CDC at Joka and we had some RDC. So have there been any changes over the last year or 2?

Sanjay Agarwal: So that's for laminate. So I will ask Keshav to this.

Keshav Bhajanka: With regards to laminates, I think you're absolutely correct. We have a CDC at our Joka facility and we have RDCs located pan-India. We have opened two new RDCs and we are constantly looking to improve our service time to the market. So although there are no significant changes that are taking place at this current point in time, but the objective is always to provide the best possible service to the customer. So we are always exploring the same.

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Ritesh Shah: Right. Keshav, would you like to highlight any other initiatives specifically on laminates? I was just looking at the Century e-shop expansion solutions initiative. Anything on the distribution basically which can actually help on laminates moving forward?

Keshav Bhajanka: I think there are a substantial number of initiatives. If you look at in laminates, we have tweaked our GTM. We have increased our sales team to include a number of team members who will focus exclusively on specifications.

I think that these coupled with new digital tools that we are adding to our portfolio coupled with a new catalog and a far better and expanded range should help us and improve our position in

laminates and domestic in particular.

For exports, like I've already said, with the larger sizes, we have come up with a number of product categories for markets where we are never present. So all of these put together should help in laminates.

Ritesh Shah: Specifically for exports, do we have any firm order book right now?

Keshav Bhajanka: Yes, we have a substantial order book. And in fact I'm very happy to share that last month was the highest turnover that the Badvel plant has ever done for laminates. So I think we are on the right trajectory. We will see improvements in laminates exports on account of the new capacities over the course of the current year.

Ritesh Shah: That's great. And how confident are we on laminates for the local sales?

Keshav Bhajanka: I think laminates, a number of things that we have tried out have not panned out as we had expected. But now there are a number of initiatives that are showing some traction on the ground and with a change in leadership and with a very senior and experienced sales professional coming in as the CEO of Laminates, I think that there will be further growth impetus that comes out in the domestic laminate space.

Ritesh Shah: Sorry, just to stretch this a bit, but is there anything specific that we are trying different locally into laminates?

Keshav Bhajanka: Like I said, we have already increased our sales footprint substantially. We have improved our range and our catalog and there are a number of GTM changes that we have brought about. So once the go-to-market changes, it brings inherent advantages alongside the same provided it is implemented well. So I think all of these are going to lead to a higher share for us in the domestic market. We should recover the position that we have lost over the course of the past couple of years.

Ritesh Shah: Sure. This is very helpful. And just last question, again a question for Keshav. You indicated in a couple of prior questions that we are hopeful for MDF pricing to move up, but we haven't given any timeline to it. You did indicate that the growth is, say, at a round 20%. Would you like to put some numbers on what is the demand and supply at the country level right now? And any

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capacity additions that you foresee at the industry level that you are aware of? If you could just flag that, that would be quite useful.

Keshav Bhajanka: The reason that I try not to give guidance for the same is every time I've given guidance in the past, I've been wrong. But having said that, I think that there is overcapacity in the market. As you know, a substantial amount of capacity has been added by ourselves, by Green, by Action, by all of the organized players and even some of the unorganized players have come in with continuous line presses.

So because of that, there is still overcapacity position. However, like you said, the demand growth has been sustained and has been strong. BIF has been implemented, which should lead to a greater share of domestic production as a part of the overall domestic demand. So it should play out.

But again it is difficult for me to give you a time span or give you a percentage increase. It's very easy to say that it will increase, but I cannot say that it will increase by 5% in Q3 and 6% in Q4 and so on and so forth because to be honest, we have no clarity on that.

Moderator: We'll take the next question from the line of Rahul Agarwal from IKIG AI Asset.

Rahul Agarwal: Sir, two questions. I think both of them have been discussed. I just wanted to understand a different perspective. More from a longer term, I understand you've given the guidance in the presentation.

But just let's say if we think about three to four years, right, the company is essentially now peaking out on capex, peaking out on debt as well. So most of the capex should now be complete, let's say, by March '26. I

if we take a 3- to 4-year view, would you like to share and make us understand maybe on a consol basis or segment-wise, whatever is comfortable, in terms of where should the company stand in terms of peak revenues, peak EBITDA, steady state. What are you looking at internally if there is a plan? And that is the first question. And second was on the net working capital. I think the cycle has expanded, as Keshav explained, because of some inventory things.

Just wanted to know if you could quantify how much of the inventory reduction we should expect let's say, by March of 2026. If that's the balance sheet, should we expect it to completely come back and if you could quantify that? That's all, sir.

Keshav Bhajanka: I think that going forward, like you rightly put it, the peak of the current capex is likely to be over by FY '26. There will be some additions that we'll plan in various units and so on and so forth going forward.

But post that, I think that the balance sheet will strengthen substantially. We'll be repaying debt and so on and so forth until and unless we go for new projects, which will depend of course on Century Plyboards India Limited
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capacity utilization. Having said that, we have given a guidance of INR12,000 crores turnover by FY '31 and I think we are very well on line for the same.

Today, all our units put together I think peak turnover would not exceed INR7,000 crores or INR7,500 crores. So I think that we will need to invest over the course of the next few years to reach that INR12,000 crores target. That we will have to plan, say, by the year-end plan as and when capacity utilization keeps increasing and we keep gaining market share.

For the working capital cycle, you're absolutely correct. Our working capital cycle has expanded due to certain calls that we have taken in inventory particularly for MDF. I think going forward, like Sumant has already hinted, that raw material price increases in MDF have I would say peaked out and they are starting to normalize again. So going forward I'm hopeful that over the course of the current year, we will reduce inventory days by close to 10 days.

Moderator: The next question is from Souvik Mohanty from Nuvama Wealth Management Limited.

Sneha: Sneha here from Nuvama. Just a couple of questions from my end. You've been going through a lot of times on the raw material correction taking place. Just wanted to take a view in terms of what percentage of raw material prices can ease in FY '26 and FY '27. Some sense there could be helpful.

Keshav Bhajanka: Sneha, I think that again it's very difficult to say. I think that the peak of raw material prices particularly in terms of timber for MDF and particle board is behind us, but predicting this is difficult. I think that as new supply hits because it's simple and logical. When the price was INR2, INR2.5, at that point farmers stopped doing agroforestry, prices went up to INR7, the quantum of agroforestry taking place increased substantially. So it will play out at equilibrium and I think prices should go down, but giving a time frame on that is extremely difficult.

Sneha: Understood. Secondly, on the MDF front although you said that there is currently oversupply situation and while we may, maybe FY '26 we may not see lot of capacity additions, we are hearing of some new players entering in FY '27.

Would you be able to suggest to us what sort of a capacity addition is taking place in FY '27 and how much is the oversupply situation currently according to you in percentage terms would also be helpful?

Keshav Bhajanka: I think there are one or two new capacities that have been announced. So as of now, I don't have a clear sense of what is the total quantum of addition. However, like I said, demand is increasing by 20% year-on-year.

And the current capacity levels, I think that towards the end of the year the industry should be

at a far higher capacity utilization than what it was as of last year. So going forward, I don't think

that the quantum of capacity that is coming in is going to lead to a further oversupply escalation. That is based on current data that we have.

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Sneha: So still we would be at around 15%, 20% oversupply at this point of time?

Keshav Bhajanka: Yes.

Sneha: Understood. See, on the particle board front, in case you have given margin guidance on the particle board side. How is your utilization likely to go up? Any sense there that what could be the first year operating rate at and what level do we plan to break even?

Keshav Bhajanka: You see in particle board once the new capacity starts, we will have to shut down the old capacity. Like I've already explained, the new capacity gives us far more economies of scale, gives us far lower cost of production and so on and so forth. But I think in H2, we should be at 50% capacity utilization of the capacity of the new plant. So I think that gives us a bit of a sense. Next year the objective will be to increase capacity utilization to substantially higher.

Sneha: And breakeven would be at?

Keshav Bhajanka: I think breakeven would be achieved at 60% plus.

Moderator: The next question is from Shivkumar Prajapati from Ambit Investment Advisors.

Shivkumar Prajapati: My question is on the furniture and fitting segment that we have planned to enter.

Keshav Bhajanka: Your voice is not clear. I'm sorry, but I can't hear you clearly.

Shivkumar Prajapati: So my question was on the furniture and fitting segment that you have planned to enter. Could you please share some more details regarding the same like what are our strategies and what products we are trying to enter and what are the market segments that we'll try to target and some more insight?

Keshav Bhajanka: So I think if you look at the history of Century Plyboard, we are a very prudent company and such decisions take a long time for us. So currently, we are in the process of exploring. We don't have concrete plans for exactly how we'll enter exactly which space we are going to enter, which products and the manner of entry. So we will keep you updated as time progresses. For the time being, we are in exploration mode, but we will take some time. Our process is quite intense and we will deep dive on the same and then we'll come to a conclusion.

Moderator: The next question is from the line of Utkarsh Nopany from BOB Capital Markets Limited.

Utkarsh Nopany: Sir, my first question is for MDF segment. So like two listed players have recently indicated that they have taken a price cut of 4% to 5% in April month. So just wanted to know whether we have also taken any price cut in the current June quarter?

Keshav Bhajanka: We have taken no price cuts. There are schemes that we give to the market periodically.

Typically if you look at it, Q1 isn't a great quarter for MDF. So it might be that certain schemes have been given out in the market, but there are no rate cuts whatsoever.

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Utkarsh Nopany: Okay. And sir, second question is for your Particle Board segment like we have seen a sharp decline in the volume in the past two quarter period and your margin has also come under significant pressure. So can you please help us understand what is the reason for that?

Keshav Bhajanka: You see cost has increased substantially. Timber prices have increased, which you very well know. Because of that, servicing a number of accounts does not make sense to us anymore. So the number of accounts we are servicing currently or we have the capability to service with the multi light press has reduced.

But going forward with the new capacity, like I mentioned again, and with the different economics as far as cost of production goes, we will be increasing our

r market share. In the new

capacity, we are also going to be catering to the 8x4 market.

As you know, 8x4 is the predominant size in India as far as MDF, plywood and laminates. That size we will never aim for particle board because our press was a 9x6 press. So with the Conti line, we can manufacture 8x4. It will be a different segment where we are absent from today. So considering all of these factors, going forward, I think there is ample scope for volume growth in particle board.

Utkarsh Nopany: Okay. And sir, lastly on the capex side, can you please help us understand the reason for upward revision in our MDF and particle board project cost?

Keshav Bhajanka: I think when the projects were envisioned, the cost structures were quite different. As you know in the interim, prices of pretty much all commodities and all raw materials, whether it's steel, cement, whether it is everything else have gone up substantially. So for us, the increase has not been so much. I think the two, three aspects that have led to it is higher cost of basic building material.

Secondly, there has been an upward revision in the dollar and the euro and most of our machinery has been bought in these currencies. And thirdly, normally we expect that we complete our plants well within guidance. This time we have completed it just about guidance. So that means that any savings that come due to a lower time, due to a lower setup time, that hasn't been there.

Utkarsh Nopany: Okay. For MDF like our cost has gone up from INR600 crore to INR730 crore and like we already commissioned this project in last March quarter. So whether this increase in cost is related to the brownfield expansion or it is related to our earlier project only?

Keshav Bhajanka: No, no. It is only related to the Greenfield in Andhra Pradesh.

Utkarsh Nopany: Okay. It is not covering the brownfield expansion cost?

Keshav Bhajanka: The brownfield expansion was done earlier. That is a separate line item.

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Utkarsh Nopany: No, sir, like what I wanted to understand that we were looking to do some line balancing for our MDF project in AP to increase our capacity. So it doesn't include that cost from INR600 crores to INR730 crores.

Keshav Bhajanka: No, it does. The machinery has already been ordered. The cost of setting it up, I mean there will be some cost in terms of manpower and so on and so forth. But other than that, the machinery cost is very well included in this figure.

Moderator: We'll take the next question from the line of Tanmai Mohta from Locust Investment Group.

Tanmai Mohta: So actually there was some confusion. So I just wanted to ask you if you could just mention your capacities amongst your sort of 4 divisions so it just helps give us a clear idea of what capacity is on board and what's yet to come. And the second thing is regarding your debt levels. So you said that you have peaked out. So could you quantify any sort of debt repayment you will have, say, over '26 and '27. That will just help us.

Sanjay Agarwal: You are looking for capacity on each item; plywood, laminate, MDF?

Tanmai Mohta: Yes. Yes. The existing capacity and what's coming up and your debt repayment schedule.

Sanjay Agarwal: Okay. So in plywood, we have a capacity of 3.40 lakh cubic meters and we will be adding about 48,000 or 50,000 cubic meters in the year. And next year we'll be again adding about 48,000 cubic meters, 50,000 cubic meter next year also. So in two years maybe about 100,000 cubic meter will be added in plywood.

And laminate; Joka, we have capacity of 87.70 lakh sheets and Badvel capacity is 8.80 lakh sheets. MDF Hoshiarpur is 3,13,500 cubic meter and Badvel is 2,14,500 cubic meter. You want to know the capacity utilization also?

Tanmai Mohta: Utilization is fine. We can drive that from your production.

Moderator: The next question is from the line of Keshav

Lahoti from HDFC Securities.

Keshav Lahoti: Sir, this year you said 48,000, 50,000 addition in ply so it's through debottlenecking entirely?

Sanjay Agarwal: Yes, through some extra capacities within the existing plants and some debottlenecking, yes. This is a continuous process. You have seen it in Century Plyboard from the very beginning. In the existing plants, we have been creating capacities and we have gone even double the capacity within the plant actually in few years.

Keshav Lahoti: Yes, I agree. But in FY '27, you're not factoring any debottlenecking because Hoshiarpur will be coming that year also.

Sanjay Agarwal: Yes. In that year, internal capacity planning we have not done as yet, but we can be sure that, yes, there will be some capacity addition in next year also, in FY '27 also in the existing plant also. Yes, it will be there. But that planning we have not done because that actually happens, it's

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a continuous rolling kind of a thing. So you don't require much of a planning for that. Wherever we see a possibility, we just go ahead and do it.

Keshav Lahoti: Understood. And laminates, earlier we are expecting the AP plant to break even in Q2 FY '27. Is that on track or possibly that is delayed?

Keshav Bhajanka: No. I think it is pretty much on track.

Sanjay Agarwal: Regarding laminate, I think everybody seems to be a little bit this thing. I must tell you that in last about two years' time, we have changed a lot of things and all the experiments, et cetera, have now finished.

As you have seen in plywood also, earlier we were doing so many experiments and all those experiments ceased in the beginning of this year. And this year, we have done a good job I think. So in laminate also, I personally believe that all the experiments have ceased. The management also internally, manpower also, everything has now really settled down well. And I really expect this year to be much, much better than all other years, yes.

Keshav Lahoti: Sir, normally in laminates earlier, we used to do 15% kind of a margin also. Should we expect in the next two or three years or possibly how should we look at that?

Sanjay Agarwal: This year I think we are looking at 10% and I'm sure by next year we will be confident enough to tell you. But then yes, I cannot and I should not tell you what we will be able to do next year.

Keshav Bhajanka: No. But you're correct. Going forward, like MD has said, we will strive to achieve higher and higher EBITDA margins. This year we have given guidance. Next year of course the endeavor will be to do even better.

Keshav Lahoti: Got it. And then what would be the consolidated laminate margin for this year? Stand-alone is 8% to 10%, consolidated would be how much? And what sort of utilization you're expecting for the new laminates plant in this year?

Keshav Bhajanka: Like we said, we are going to look at high single-digit consolidated margins toward H2 of this year. In capacity utilization, we will have to get back to you.

Moderator: The next question is from Rishab Bothra from Anand Rathi Shares and Stock Brokers Institutional Equities.

Rishab Bothra: Sir, just wanted to understand the guidance which you mentioned sales growth percentage, is it for volume or value?

Keshav Bhajanka: It's for value.

Moderator: The next question is from Tanmayi Mohta from Locus Investment Group.

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Tanmayi Mohta: Just two bookkeeping questions. So one was you mentioned that you are hiring more people in your sales team, et cetera. So just wanted to understand your employee cost going forward. Do you think it's going to be at a similar level? And the second was regarding my previous question, which sort of didn't get answered, regarding the debt repayment schedule.

Keshav Bhajanka: So employee cost definitely will go down now because we have

done the bulk of hiring and

going forward with increasing scale, we will see a lower percentage of employee cost. With regards to debt, I think we are at peak debt like I had already mentioned. And over the course of the next two years, we'll be repaying the majority of debt. So I think we'll be at very, very low long-term debt by the end of FY '27.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Sanjay Agarwal for closing comments. Thank you and over to you, sir.

Sanjay Agarwal: Thank you. Thank you, ladies and gentlemen. It was great talking to you, connecting to you. Looking forward to a great Q1 -- Q2 and we'll be back with great results. Q1, I'm getting confused. But yes, looking forward to a great Q1 and getting back to you with better results as expected by you. Thank you.

Moderator: Thank you, members of the management. On behalf of SKP Securities Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

Date: 11th August, 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Una udited Financial Results for the Quarter ended 30
th June,
2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Friday, 8
th August, 2025 in respect of Una udited Financial Results for the Quarte r ended 30th
June, 2025.

This is for your information and record.

Thanking you,

Yours faithfully,

For Century Plyboards (India) Ltd.

Company Secretary

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"Century Plyboards India Limited
Q1 FY26 Earnings Conference Call "
August 08 , 2025

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CENTURY PLYBOARDS
INDIA LIMITED

MR. KESHAV BHAJANKA – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS INDIA LIMITED

MRS. NIKITA BANSAL – EXECUTIVE DIRECTOR –
CENTURY PLYBOARDS INDIA LIMITED

MR. ARUN JULASARIA – CHIEF FINANCIAL OFFICER –
CENTURY PLYBOARDS INDIA LIMITED

MR. SUMANT WATTAS – CHIEF EXECUTIVE OFFICER –
MDF AND PARTICLE BOARD BUSINESS – CENTURY
PLYBOARDS INDIA LIMITED

MR. VISHU GOEL – CHIEF EXECUTIVE OFFICER –
LAMINATES BUSINESS – CENTURY PLYBOARDS INDIA
LIMITED

MODERATOR : MR. VAIBHAV PACHISIA – SKP SECURITIES LIMITED

Century Plyboards India Limited
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Moderator: Good day, ladies and gentlemen, and welcome to Century Plyboards India Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then

zero on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Vaibhav Pachisia from SKP Securities. Thank you, and over to you, sir.

Vaibhav Pachisia: Thank you. Good afternoon, ladies and gentlemen. I'm pleased to welcome you to this Q1 FY '26 Financial Results Conference Call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay Agarwal, MD and CEO; along with Mr. Keshav Bhajanka, Executive Director; Mrs. Nikita Bansal, Executive Director; Mr. Arun Julasaria, Chief Financial Officer; Mr. Sumant Wattas, CEO, MDF and Particle Board Business and Mr. Vishu Goel, CEO, Laminates business. We will have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session. Thank you and over to you, Mr. Agarwal.

Sanjay Agarwal: Thank you, Vaibhav. Thank you. Good afternoon, ladies and gentlemen. Welcome to the FY '25 Q2 Earnings call for Century Ply. Before we begin, I would like to provide the standard disclaimer. This discussion will focus on the company's historical performance and future prospects and is not intended as an invitation to invest in the company. The results and analytical presentations have been shared with you and are available on the stock exchange website.

Revenue performance. I'm pleased to share that our Q1 FY '26 performance is in line with the guidance we shared during our previous investor call. On a year -on-year basis, we delivered a healthy revenue growth of 6.8% on a stand -alone level and 16.3% on a consolidated basis. This performance underscores the resilience and agility of our strong business model.

EBITDA performance. Now moving to profitability. On a stand -alone basis, our EBITDA, excluding foreign -- forex impact, came at 12.7%, slightly lower than last year Q1 13.5%. This marginal decline is largely due to higher advertising and promotional spend we undertook during the quarter to support our growth initiative.

On a consolidated basis, EBITDA, excluding forex impact, improved significantly to 12.5% compared to 11.2% in Q1 FY '25. This uptick is primarily driven by the positive contribution from our Badvel plant, which was an early ramp -up phase during the same period last year. Now to business segment highlights. Plywood. The segment continues to lead our portfolio with 15.3% year -over -year growth in top line, supported by strong volume growth.

The EBITDA margin in this segment stood at an impressive 13.8%, placing us amongst the best. The plywood industry in India is poised for steady growth over the medium to long term, supported by structural tailwinds such as urbanization, rising disposable incomes, government focus on affordable housing and the shift towards branded and organized products.

As consumer awareness around quality, sustainability and aesthetics increase, demand is expected to shift further in favor of premium and eco-friendly plywood solutions. The ongoing Century Plyboards India Limited

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formalization of the sector aided by BIS implementation and stricter environmental regulations is anticipated to benefit organized players, leading to consolidation in the market.

Despite near -term challenges from input cost volatility and subdued real estate cycles in certain regions, the long -term outlook remains optimistic. With continued infrastructure development, a revival in private capex and robust demand from the furniture and

interior decor segments, the

plywood sector is expected to witness a good growth over the next 3 to 5 years.

And I am happy to say that July '25 marked a historic milestone for us as we recorded our ever -- highest ever sales volume in plywood. Now to Laminates. I am happy to report that this segment is showing early signs of a turnaround. We recorded a 12.8% year -over -year and 1.9% quarter -on-quarter growth in consolidated revenue.

The EBITDA margin came in at 5.9%, and we are optimistic about continued gradual recovery in the quarters ahead. To support margin expansion, we are focusing on strategic cost -saving interventions across operations. MDF. Our MDF business has performed very well with a 23.7% year-on-year revenue growth on a consolidated basis and an EBITDA margin of 14.3%, among the highest in the industry.

The improved results are a reflection of better capacity utilization, especially at our Badvel facility and cost optimization at both the plants. Particle Board. The segment continues to be in recovery phase, although revenue has declined year -on-year compared to Q1 of last year, there has been a sequential improvement over Q4.

Margins remain under pressure, primarily due to elevated timber costs and ongoing pricing challenges. However, with the launch of our new facility, which offers a cost advantage, we anticipate an improvement in margins going forward. Capacity expansion update. I am also pleased to share that commercial production at our new particle board plant in Tamil Nadu commenced towards the end of Q1.

We believe this addition will not only support our growth trajectory but also help improve our cost structure over the medium term. Working capital cycle. The working capital cycle, which had increased in the previous quarter due to higher inventory levels has improved this quarter,

coming down from 76 days to 71 days, primarily driven by better management of raw material inventory.

To conclude, we remain confident in our long-term strategy, and we are focused on execution efficiency and innovation across all segments. We thank you for your continued trust and look forward to updating you again next quarter. Now I open the forum for questions and answers.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Rahul Agarwal from Ikigai

Rahul Agarwal: Sir quick questions four of them. Firstly, on plywood, obviously, we are running ahead of our guidance. I also see that last year, rest of the 9 months from July to March, we have seen a very

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strong revenue growth. Going forward, guidance remains the same at 10% sales growth. Does that mean we are basically looking at normalization in growth going forward? Because July looks like highest ever. So just some sense on plywood top line, please? That's the first question?

Nikita Bansal: See, in plywood, we've always believed to give a 10% plus. Now 10% plus can vary. Market dynamics can change, et cetera. So we would like to continue giving that guidance. Obviously, we will not have a degrowth, and these are things that investors understand, they see the trend, they've seen the trend last year. But if you to give a guidance from the company, we will continue to say that we will deliver 10% plus growth this year.

Rahul Agarwal: Okay. Got it. So essentially, we are looking at normalization, right? Because last year, 9 months, the growth was very high. Is that fair to understand?

Keshav Bhajanka: So again, like we said, the objective will always be to deliver better. Guidance is at 10%, but our company will always try to deliver a best in case in terms of value and volume growth. I hope that clarifies.

Rahul Agarwal: Got it, Keshav. Similar question on MDF. I think we've achieved 15% consol EBITDA. It looks like things are getting better.

I'm assuming this. Can you just comment on what's really happening with the supply side of MDF right now? I know exports are much lower -- sorry, imports are much lower, but domestic supply and the pricing trends looks better. So going forward, consol margins at 15%, is it fair enough or there is some upside potential here?

Keshav Bhajanka: Rahul, you're right on both accounts. Imports are much lower and exports are much lower. So you are correct there. But having said that, I think that, yes, there is still some oversupply in the market. A lot of capacities have come up and 3 multi-daylight lines have started over the course of the last year itself.

But going forward, I think we are reaching a stage where capacity utilization has begun to improve right across the industry. In the next few quarters, we are seeing this continuing. The reason for 15% achievement and continuing 15% guidance is that right now, our focus is going to be on market share gains.

We are going to definitely try and meet the EBITDA numbers. But at the same time, this is a time period with BIS coming in, with the imports being curb where we can expand substantially, and we are trying to gain a foothold as the market leader. So I think that for the current foreseeable future, let's say, 9 months, next 3 quarters, the guidance holds.

Rahul Agarwal: Got it. Thirdly, on inventory, I think Sanjay you mentioned, we have obviously reduced raw material inventory. But when I look at balance sheet reported as of March, right, it was about INR986 crores. I think that's a function of raw material finished goods and WIP. In the presentation, we have raw material and finished goods. Just wanted to know, is it possible to share the overall inventory total as of June end? Is it possible to share that?

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Keshav Bhajanka: Vinay will take it up. Sorry, just give me a second. I think our team will get back to you on that. The CFO will get back to you with details on the same. I don't have it in front of me right now.

Rahul Agarwal: Okay. And lastly, on pricing trends for timber on MDF and plywood, if you just discuss a bit on qualitatively what's really happening because we've heard there is some bit of timber deflation. If you could just help us understand it better over the balance of the year, that will help. That's all from my side.

Keshav Bhajanka: You're absolutely right. In MDF and particle board, the timber prices seem to be rebounding slightly. There seems to be a little bit of easing out, but I think it's still wait and watch. Currently, in the -- this month itself, prices have jumped up because of monsoons, but that's a trend that takes place every season. But I do hope that the peak of timber prices are behind us, and we should see some slight spike during the course of the current year.

As far as plywood is concerned, I think timber prices are pretty much at similar levels. But that also does mean that the increase that we have seen over the course of the past couple of years, there is no steep jump as of now. Prices are more or less at similar levels. So MDF, particle board should benefit from slightly lower raw material costs. In plywood, it will more or less remain in line with what it has been.

Sanjay Agarwal: Just one, really the plywood timber to grow takes longer time. So the price reduction will happen still, I don't think before the next year or the year -- end of the next year, I think, should be a little bit of a help because it takes longer time to mature the team required for plywood.

Rahul Agarwal: Best wishes for the rest of the year.

Moderator: Next question is from the line of Sneha Talreja from Nuvama Wealth.

Sneha Talreja: Congratulations on good set of numbers. Sir just a couple of questions from my end. Just wanted to understand, we're seeing a good amount of improvement with your gross margins i

n the

plywood segment, but that's not translated into EBITDA margins where we have seen some amount of fall. Is it some increase in ad spend or something that we've seen particularly this particular quarter?

Nikita Bansal: So this quarter, we were in IPL. So that is a massive spend which happened in Q1 because of which you are not seeing a translated -- into EBITDA. But going forward, obviously, we will continue to spend and we are also investing a lot more in our brand. But we won't have the IPL cost for the rest of the year.

Sneha Talreja: Understood. What would be the percentage of ad spend this particular quarter?

Nikita Bansal: Sorry, can you repeat your question?

Sneha Talreja: What would be the percentage of ad spend for only Plywood division this particular quarter?

Nikita Bansal: So we usually -- Vinay do you have it?

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Management: 4%.

Nikita Bansal: We keep it 4%, but what was in Q1?

Management: We'll get back.

Nikita Bansal: Okay. So we'll get back usually throughout the year, we keep it as a 4%, but we don't know what it was. Obviously, it was higher in Q1, but the exact percentage will come.

Management: 5.7%.

Nikita Bansal: It was 5.7%.

Sneha Talreja: That was helpful. Secondly, what I wanted to ask is the scale up in MDF segment has been pretty great. We have seen that over the years. My similar question was on the Particle Board segment.

How are we planning things? Because when I look at your current business at this point of time, we are still seeing some drop in terms of volumes, whereas our new capacity has just come up there.

Margins, of course, on the falling trend, of course, that can be given because the sector itself is probably not doing that well in terms of particle board. How are we seeing scenario improving because our new capacity has already come onboard. Do we have visibility already starting up from OEMs? So I think just a couple of these things would be helpful?

Keshav Bhajanka: So Sneha, I think you're absolutely correct. But the only point of difference that I have is that the new line is a continuous line. So the quality of product that is very, very different as compared to the earlier product. Whereas in the market, pricing is similar. So the multi-daylight line was competing against continuous lines that have been brought in by 2 large -scale players in the industry.

And as a result of that, the traction that we had because the quality parameters have changed, but I'm very happy to tell you that the quality that we have gotten from the new line, once you see the board, it looks more like an MDF and particle board. So we are very happy with the product quality that has been established.

The product has started selling the market, the response from OEMs and the market in general has been superb. I think with this quality of product, you shall see a rapid scale up in the volumes. Maybe this quarter, we will take a little time to stabilize the new plant because like I said, it's

just commissioned. But from next quarter onwards in H2, you will see a huge spike as far as particle board volumes are concerned.

Sneha Talreja: This was really helpful, Keshav. And what are we estimating for particle board in the first -- second -- sorry, can you hear me?

Keshav Bhajanka: Yes, I can hear you, but the MD just reminding me of one more point. We have not currently been in the 8x4 market in particle board. As you remember, our earlier line was a 9x6 multi -

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daylight press where we could manufacture 9x 6 and 8x6. So a huge chunk of the market, which sells as per 8x4 size, that was not available to us. However, now because we have a 8 feet pipeline, we can manufacture 8x4 as well. So this, again, will help us to increase volumes.

Sneha Talreja: This was again helpful. Just lastly, o

n the Particle Board segment because this is a new segment.

Just wanted to get some numbers here. What could be the revenue looking like in first, second, third year of operation? And eventually, how does the scale up happens in terms of margins because raw material prices have been easing out, but other players, what I'm seeing are still doing losses, who have recently commissioned. So just some sense from you would be helpful?

Keshav Bhajanka: Is this for Particle Board, right?

Sneha Talreja: Only for Particle Board, yes, yes.

Nikita Bansal: For Particle Board, you will see our total turnover potential will be in excess of INR 500 crores from the existing line. Of course, the objective will be to push it higher. And as you know, that we always attempt to reach 100% capacity utilization, 90% plus by the third year. Having said that, EBITDA margin that steady state will look at 15 %. During the ramp-up phase, it's very difficult for me to give you guidance. But I'm assuming that from next year, we will be at double -digit EBITDA plus. And going forward, by year 3, we should definitely be at 15% plus.

Moderator: Next question is from the line of Ritesh Shah from Investec India.

Ritesh Shah: Sir, 2 basic questions. Sir, one is I wanted to understand how do we look at commercial MDF?

Does it -- is it as a part of our product portfolio or is it absolutely a no -go zone for us? That's the first question.

Sumant Wattas: Look, this is Sumant. We offer products to different segments, be it the OEMs, be it trade, etcetera. So we can offer the full gambit. There are no red zones or no -go zones. But as a company, we want to offer products that are of the highest quality. So we'll never compromise on quality. Of course, individual specific requirements we cater to. So no red zones, but at the Century certified quality.

Ritesh Shah: Okay. So would it be possible for us to indicate what percentage of volumes would that be? And a follow -up over here, you do indicate like Century level of quality, which is great. But if I had to just push a little further, would it qualify under the BIS norms?

Sumant Wattas: So let me answer your first question first. We won't be able to share any details on our product mix percentages that we don't usually share. And second, of course, we strive for BIS and much more. BIS is rising.

Ritesh Shah: Okay. That's helpful. My second question is on the ply side. Are we looking to -- the way in which we position Sainik 710 and 303 in the marketplace, are we looking to reject our strategy Century Plyboards India Limited

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specifically post -- I wouldn't say dilution, probably dilution of BIS norms. Has our strategy around the product positioning 710 versus 303 changed?

Sanjay Agarwal: What do you mean by policy change?

Ritesh Shah: Sir, so are we continuing with Sainik 710 in the marketplace after the new norms from BIS came in two weeks back?

Sanjay Agarwal: Sainik 710 is just a brand. And we will be clearly writing down on this thing whether what BIS norm it is, it will be written on every piece of plywood. So even earlier, it was there, even in future, it will be there. So there is no policy change. And Sainik 710 is a brand. So the brand is changed.

Ritesh Shah : Correct. Sir, I'll call you offline for this and I'll take it offline.

Moderator: Thank you. Next question is from the line of Sucrit Patil from Eyesight Fintrade . Please go ahead.

Sucrit Patil : And my question is to Mr. Sanjay Agarwal, sir. Are you there?

Sanjay Agarwal: Yes, I am here.

Sucrit Patil : My question is, given Century Ply's strong year -on-year growth and stable margins despite inflationary pressures, I want to understand how are you thinking about deploying AI -driven demand forecasting or automated stock keeping units rationalization across your dealer network by the next 2 years?

And do you think by do

ing this, it could unlock working capital efficiencies and improve product market fit in the Tier 2, Tier 3 clusters? As Managing Director , what is your vision on this? I

want to understand that, sir ?

Sanjay Agarwal: See, Century Plyboards has been trying to make plywood as an FMCG good. And we have been doing many other things as far as credit control is concerned, distribution is concerned, but the plywood market does not accept the DMS. Until unless we can install software, which is known as DMS, distribution management system, till then we do not have visibility of what happens

after the wholesaler or the dealer.

Of course, we have started other screens through which we are now having some data about the retailers and all that. So we get data how much material is being bought by the 4,000 retailers or 5,000 retailers across the country from our dealers, that data now we have, and we pay some incentive on that.

We are working on a very -- very recently, we have decided to actually implement DMS in a very small area and try a new effort, but it is going to be a herculean task. So I cannot put any time line. But yes, as far as Century Plywood is concerned, we are very strongly pushing AI in Century Plyboards India Limited

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every department in our company. And we believe that we will be in line with everybody else in every other industry as far as AI is concerned. But I think Nikita wants to say something.

Nikita Bansal: Yes. So I would just like to add that, as a company, I mean, you've also read in our annual report that we've taken a 3-year digitization plan and no digitization plan can be complete without AI being there. So we have -- we are taking up AI in a big way. We are also training our people in AI because today, AI is something that not many people understand.

It is not as just going and GenAI has become the most in vogue now. So we are training our people about AI and then encouraging everyone to use. And as far as dealer segment goes, see we have so many lines of business. So in the Laminates business, we are using AI. We are using -- we are going to use AI if it is successful there, we will use it in other.

So if you really look at the next 5-year road map, I think if a company does not adopt AI and does not utilize AI to its full extent, it will be at a loss. So -- and Century Ply has always been ahead of the curve, so we'll continue to be ahead of the curve.

Sucrit Patil: That pretty much answers my question. So just on the ending note, would it be -- would I be right to assume that in the next 2 to 3 years, you will start -- will start implementing all the things which you have just mentioned right now?

Nikita Bansal: Probably earlier.

Moderator: Next question is from the line of Sagnik Sarkar from SKP Securities. Due to no response, we move on to the next participant. Next question is from the line of Ashutosh Khetan from Asian Market Securities.

Ashutosh Khetan: I have a question on the plywood segment. So basically, what's the update on the new capacity for the plywood Hoshiarpur plant sir?

Nikita Bansal: The update is, we are progressing -- we're going to soon start work and we should have something by -- it should go live by next year Q2 this time.

Ashutosh Khetan: Sorry, it's Q2 of FY '27?

Nikita Bansal: Yes.

Ashutosh Khetan: Okay. And next is on the price hikes. Like have you taken any price hikes for this quarter in plywood or any other division?

Nikita Bansal: So in plywood, we did take a price hike at the end of April. We took a 2% price hike as far as MDF and Laminates. And as far as other segments go, we did not take any price hike. And in Laminates -- sorry.

Keshav Bhajanka: Yes, we've also taken a price increase in Laminates of 2.5%, which has been implemented on one particular portfolio within the domestic segment, which is the 1mm portfolio.

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Moderator: Next question is from the line of Shiv Kumar from Ambit Capital.

Shiv Kumar: First of all, congratulations on great set of numbers. So sir my first question is on the industry front, like wood panel as a whole. So I just want to understand what was the organized -- I mean, just want to understand the organized versus unorganized share across all segments as of suppose FY '25? And what was the share like 2, 3 years before? And the demand versus the capacity across all segments that we operate. This is my first part?

Keshav Bhajanka: So basically, there is no authenticated data alignment, it is all on the basis of estimates. But what I can tell you safely is that the industry has not been growing at a fast clip, which is obvious from the results that you will see right across, whereas we have been growing at quite a fast pace, whether it be plywood or MDF.

So in plywood and MDF, we have definitely increased our market share, but there is no authenticated source of data. So plywood, the total market size has been -- we have been say INR 25,000 crores to INR 30,000 crores based on various publications for the past so many years. So unfortunately, we cannot give you much closer representation. But in terms of market share, you're absolutely right, we would have gained market share over the course of the last 5 to 6

years.

Shiv Kumar : Okay. And sir, is there any sign of industry consolidation in any of the segments that we operate?

Keshav Bhajanka: Yes, definitely. You see if the industry is not growing and some of the organizers are doing well, that shows that there is a certain amount of consolidation that is taking place. So I think there is some amount of consolidation taking place in plywood. There's some amount of consolidation

taking place in MDF. This should get accelerated by BIS, but BIS on SME industry will only become effective from this month onwards. So let's wait and watch how it plays out.

Moderator: Next question is from the line of Yash Sonthaliya from Edelweiss Public Alternates.

Yash Sonthaliya : So my first question is like you already alluded, we haven't taken any price hike in MDF, while there was some correction in prices of timber. So can you help me with what's margin guidance if this price is sustained going ahead? And are there any plans or chances of we taking price cuts or price hike, volume discounts or taking back the volume discounts?

Keshav Bhajanka: Again, markets are dynamic. So as and when the market scenario unfolds, we will definitely have to look at pricing discounts and so on and so forth. But in terms of guidance, like I've already mentioned, 20% revenue growth with 15% EBITDA guidance. This is what we are looking at, and we will attempt our best to deliver the same to you.

Moderator: Next question is from the line of Nandita from Marcellus Investment Managers.

Nandita : Congratulations to the Century Plyboards' team for excellent set of numbers. I had a couple of questions. First of which is related to the real estate cycle. So we keep seeing data from Century Plyboards India Limited

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ANAROCK and other research organizations that come out with the data on real estate saying that sales have actually gone down now that the industry, the whole cycle is sort of turning in real estate. The growth that we saw in FY '23, '24 is now coming off.

So I want to understand how does the plywood market work out? When will most of the orders for plywood be coming in even where we are in the cycle how does that play out? And secondly, my question is on your Laminates division. What is the game plan going forward? Because I think this is one of those first quarters where both volume and realization growth was pretty solid after multiple quarters of degrowth. So I wanted to understand where do you see the division going forward in the next 1 to 2 years?

Nikita Bansal: So with respect to the first question, see the thing is -- sorry, on the real estate cycle, for a very long time in plywood division we used to guide ourselves basis the real estate cycle. But what's here realizing slowly and it's about -- even though we don't have authenticated Market Share data, the fact remains that because organized is such a small part of the entire industry, we need to stop looking at cycles.

And we need to start concentrating more towards capturing the unorganized to organized. And if that is going to be the focus, the growth is going to be there irrespective of the real estate cycle. So that has been our goal. I don't -- there might be years we succeed, the years we don't succeed, but I would like to not follow these real estate cycles because there is a substantial base that is going to remain even if there is a degrowth or a growth in the industry.

Nandita : Fair enough. I just had one follow-up on this. So I completely understand where you're coming from. The follow-up that I have over here is then from a Particle Board and MDF division perspective, especially going forward from this real estate cycle because we see that commercial real estate is actually going really strong.

And because MDF and Particle Board is basically -- it doesn't have this entire dynamic of a very large unorganized market. It's mostly organized or imported and imports have really stopped now because of the BIS norms. Where do you -- do you have any clarity on how your demand and how your volumes will go, especially in the context of the commercial real estate cycle in the next 1 to 2 years?

Sumant Wattas: I think on the MDF and Particle Board, the industry is still very nascent, right? Like if you look at the entire industry, MDF is barely penetrated 20%, 25% of the industry. So I think at this early stage of the category and the industry, we are actually immune to real estate cycles. And therefore, we see robust demand going forward. I think right now for us, the game is to create the category.

Nandita : Okay. Yes. And my second question with the Laminates division, question is -- yes, so my question was basically, given that the last quarter, the Q1 FY '26, we saw really good volume and realization growth in the Laminates section after a very long time. I wanted to understand what's the game plan, what's the strategy surrounding volumes? And what is your guidance or realization in volumes going forward in the next 1 to 2 years?

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Keshav Bhajanka: So like I said, our target is to do 20% plus in terms of revenue growth. And this together with high single digit or mid - to high single -digit EBITDA for the current year, that is what we are targeting. However, I think we have just started on the journey towards correction. There were, of course, mistakes that have been made, but with new leadership in place and with a lot of good initiatives that we have put into execution, I think both on domestic and export front, we have been doing better. So hopefully, this will persist. So I think this year, 20% revenue plus mid - to high single -digit EBITDA should be realistic for Laminates.

Moderator: Next question is from the line of Rahul Agarwal from Ikigai Asset Managers.

Rahul Agarwal: I think you talked about new product development and launches for Particle Board, something like the sizes which were not present earlier now you have. Similarly, could you share some color on laminates and MDF in terms of overall Century Plywood, the entire company and the thought process over the next 12 months in terms of filling white spaces across whatever product segments we are talking about. Now we also have a lot of many plants which are running. If you could help us on Laminates/MDF would really be helpful ?

Keshav Bhajanka: Sure. So as far as MDF is concerned, over the course of the past year, we have launched Cenboil Plus, which is our highest density, highest waterproof MDF product till date. In Particle Board, like you rightly mentioned, we have already launched our new product, which has been very well accepted in the market, which is a superior version of the earlier erstwhile Particle Board that we are manufacturing. Alongside that, we have launched a whole new range as far as Particle Board and MDF are concerned in terms of pre -lam and our [inaudible 0:38:40] and shade cards. This will be on display within the next few exhibitions, which starts off with MATECIA, which takes place this month in Delhi, itself. In PVC boards, we have launched a new category called louver, which is gaining good traction from the market. And again, it is another product launch that will be displayed at the upcoming events. In Laminates, we have launched a laminates acrylic laminates this is a product category that in India has been selling well for quite some time, but nobody has been able to give a guarantee or a warranty because the product quality is normally considered to be quite inferior. We have finally been able to develop a superior quality product, and we'll be launching it in the current month. So there are so many yes or so many new opportunities that keep arising. And as of now, these are three of the launches that we are focusing on. Going forward, we will update you as and when new product categories start coming up.

Rahul Agarwal: Anything on the ply side as well?

Keshav Bhajanka: There is a lot of work that is going on, on the plywood side, but I think it is too early to share details on the same. We can update as and when further progress is made.

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Rahul Agarwal: Fair point. Anything on the furniture fittings, things have moved forward from there on?

Keshav Bhajanka: Sorry, could you just repeat? Your voice cracked.

Rahul Agarwal: For the furniture fittings, have things moved forward on that?

Keshav Bhajanka: Yes, we have definitely moved forward. We have already created a senior team, and we are at a very advanced stage of understanding the segment. However, with Century, we are very prudent when it comes to new product categories and to cash injection in particular. So we will be studying the segment. I think maybe over the course of the next 6 to 9 months, we'll be able to take a call of whether we are committed to going into the segment or not. But it is not something that we'll be able to tell you in a month or so.

Rahul Agarwal: Perfect. Got it. And lastly, bookkeeping on the debt side. I think consolidated debt was about INR1,400 crores as of March. How does this number look like end of March '26, '27 based on the cash flow planning?

Keshav Bhajanka: I think we should be looking more towards the long -term debt because the short -term debt will be a part of it, considering the scale at which the company is growing as the turnover increases, working capital requirements do tend to increase. But having said that, long -term debt within the course of the next 2 years, I think we'll be able to repay the majority of the long -term debt. And unless until we come up with another large capex or something of that sort, we will be coming close to 0 long -term debt on the books.

Rahul Agarwal: Which is INR 400 crores repayment, right? Approximately INR 400 crores is a fair number?

Keshav Bhajanka: Yes, more than INR 400 crores repayment. So we will be looking to bring long -term debt as close to 0 as possible. But yes, cash flow generation has been strong over the course of the next few quarters. Most of the cash flow is going to be towards debt repayment.

Moderator: Thank you. Next question is from the line of Varun Singh from AAA PMS.

Varun Singh: Sir, would you like to call out timber pricing for us in North and South and maybe how much

it

would have declined in the quarter?

Sumant Wattas: Yes. So timber prices did decline marginally. For Q1, our North pricing was close to about INR6.3 per kg and South is about 10% lower. And over the quarter, they would have declined by about 8% to 10% Q1 over Q4. And as ED mentioned a while back, this quarter, there might be a slight increase on account of monsoons. But on the long term, we hope that the timber prices stabilize.

Varun Singh: Okay. Understood. And secondly, I'm not sure if you have already answered this question, so please pardon I joined call a little bit late. So in MDF, when you talk about competitive intensity, etcetera or that the industry is consolidating. So can we safely assume that now maybe there is

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no more price war kind of a situation and we are able to -- or everyone is able to comfortably sell their products at some equilibrium rate? I mean, how should we judge the competition as of now?

Keshav Bhajanka: I think what we can safely assume is that the 2 plants that we have put in place, which are located at strategic locations within India and considering that we are a brand which has tremendous brand pull with high premiums in terms of pricing, alongside which we have perhaps the lowest cost of production in the country.

On the margin front, we should be able to do okay despite whatever happens in the market. While there is no trend for price war, there's also no trend for a price increase. So we'll have to see how the market plays out. But I think in terms of EBITDA margin, we will be doing better than the industry so to speak -- so to say.

Moderator: Next question is from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: Congratulations on a great set of numbers. With the major questions answered, sir, just one thing.

In your plywood, what was the imported timber quotient for this quarter?

Nikita Bansal: So we have pretty much moved to imported timber now. I would say that it is to the -- we don't share such details, but I would say majority is imported timber.

Udit Gajiwala: Okay. And what would be the kind of difference between the domestic and the imports now? And going ahead, if the domestic prices are expected to come down, could you shift back? I mean what's the thought process there?

Nikita Bansal: So currently, we are looking at it as that quality is the most important thing for us at Century, and we believe that the quality of the imported timber is far superior to the domestic quality currently available in the country. So I think in the foreseeable future, we will continue to import.

Moderator: Next question is from the line of Bhavin Rupani from Investec India.

Bhavin Rupani: Sir, my first question is related to plywood. So what is our current capacity? And what is the utilization in that capacity? And also, if you can spell out what is the proportion of in-house versus outsourcing right now versus what it was last year?

Nikita Bansal: Okay. So our current capacity is 366,000 CBM, and we have a utilization of 91%, and we are going to be increasing our capacity in H2 by another 30,000 CBM.

Bhavin Rupani: All right. And what is the proportion of in-house versus outsourcing?

Keshav Bhajanka: We do not share that number. Unfortunately, we don't share these numbers.

Bhavin Rupani: All right. And as far as MDF is concerned, if I'm not wrong, we have some export obligations over there, right? So when do we start exports from this new plant? And what is the export obligation in absolute term, if you can spell out that?

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Keshav Bhajanka: Can you repeat your voice -- again -- sorry...

Bhavin Rupani: Is it clear now?

Keshav Bhajanka: Yes.

Bhavin Rupani: So for MDF plant, we have some export obligations, right? So what -- when do we start with the exports from this new plant? And what is the export obligation in absolute terms?

Keshav Bhajanka: So we have already started with regards to exports. The value of the export obligation, I don't have with me on -- off hand, but our CFO can share the same with you. But currently, the potential to export from this plant is very limited because timber prices are still elevated. They are not as high as INR 7, which had gone. But the viability in exports isn't substantial.

So we are working on it. And once viability comes back, then I think the export quantum will move up. We have started exports, but the very limited quantity, predominantly to Middle East.

Bhavin Rupani: Okay. And what would be the proportion right now?

Keshav Bhajanka: Very negligible. I think less than 5%.

Bhavin Rupani: Okay. And anything on Particle Boards? Do we have similar obligations in particle board plant as well?

Keshav Bhajanka: No, we would have some small obligations. I don't have the numbers off hand, but we can share the same.

Nikita Bansal: And the question of outsource, I will just like to mention one more thing in plywood that all our main brands are completely manufactured in our plants. It's a very small percentage of Sainik MR that we outsource. But all our main brands, which is Sainik 7 10, all brands of Century Ply are manufactured in -house.

Bhavin Rupani: All right. And sir, next question is on Laminates. It was encouraging to see our revenue and EBITDA growth in this segment. I wanted to understand, was it due to increase in exports or due to domestic market?

Keshav Bhajanka: I think we have done well on both fronts. There has been growth in domestic as well as in exports. And the execution on the ground, the execution result, which perhaps wasn't as great for the past few quarters, now that has started to kick in. So I'm hopeful that we'll see results improving quarter -on-quarter.

Bhavin Rupani: All right. And sir, last question on Particle Board and MDF, given the competitive intensity and the oversupply in this category we are seeing right now, do we have plans to launch anything similar to Sainik plywood in these categories?

Keshav Bhajanka: No, we have no such plans.

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Bhavin Rupani: Perfect. All right. Thank you.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Agarwal for closing comments.

Sanjay Agarwal: Thank you, everyone for their support. We look forward to meet you again for briefing on the Q2. Thank you.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2025

17th November, 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Una audited Financial Results for the Quarter and half year ended 30th September, 2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Thursday, 13

th November, 2025 in respect of Una audited Financial Results for the Quarter and half year ended 30th September, 2025.

This is for your information and record.

Thanking you, Yours faithfully,
For Century Plyboards (India) Ltd.

Company Secretary

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"Century Plyboards India Limited
Q2 FY26 Earnings Conference Call "
November 13, 2025

MANAGEMENT : MR. SANJAY AGARWAL – MD & CEO
MR. ARUN JULASARIA – CFO
MR. SUMANT WATTAS – CEO – MDF & PARTICLE BOARD
BUSINESS
MR. VISHU GOEL – CEO – LAMINATES BUSINESS

MODERATOR : MR. NAVIN AGRAWAL
HEAD, INSTITUTIONAL EQUITIES SKP SECURITIES LTD

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Moderator: Good day, ladies and gentlemen. Welcome to Century Plyboards (India) Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head Institutional Equities, SKP Securities Limited. Thank you, and over to you, sir.

Navin Agarwal : Good afternoon, ladies and gentleman. I'm pleased to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay Agarwal, MD and CEO; along with Mr. Arun Julasaria, CFO; Mr. Sumant Watas, CEO, MDF and Particle Boards Business; and Mr. Vishu Goel, CEO, Laminates Business.

We have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session. Thank you, and over to you, Sanjay-ji.
Sanjay Agarwal: Thank you. Good afternoon, everyone and a very warm welcome to our Q2 FY '25 earnings conference call.

Before we begin, please note the standard disclaimer. Today's discussion will cover the company's past performance and future outlook and is not intended as a solicitation to invest. The earnings results and analytical presentation have been shared with you and are also available on the stock exchange website.

The company delivered a strong and broad-based performance during the quarter, with growth across all key business segments. Our performance underscores the resilience of our business model, the strength of our brands and the success of our ongoing initiatives to enhance productivity and operational efficiency.

At the consolidated level, the company delivered a robust performance with ever highest quarterly revenue of INR 1,386 crores, up 17.1% year -on-year. This growth was driven by healthy demand pull of our products and robust performance from our newly commissioned limits. On a half yearly basis, H1 revenue was 16.7% higher over the same period last year, demonstrating our ability to sustain momentum despite a challenging macroeconomic backdrop. In terms of profitability, again, at the consolidated level, the company delivered given ever highest EBITDA ex ForEx of INR 181.7 crores. EBITDA margin ex ForEx improved to 13.1% versus 10.3% in Q2 FY '24. This improvement was primarily supported by higher volumes and the benefits of our ongoing cost optimization programs. We have also taken meaningful steps to strengthen our balance sheet efficiency.

On a stand -alone basis, our working capital cycle reduced to 63 days as compared to 76 days at the end of FY '24. On consolidated level, it has improved to 70 days from 74 days. This was achieved through tighter inventory management, improved payable management and efficient

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cash flow discipline across divisions. Overall, the quarter reflects not just growth, but also improving quality of earnings.

Segmental performance. Let me now take you through the detailed performance of each of our business segments. Plywood segment. The plywood business delivered an exceptional quarter, achieving its highest-ever quarterly revenue of INR 760 crores, registering a 16% growth year -on-year and 17.5% sequential growth quarter -on-quarter. This performance was supported by healthy volume growth and improved distribution reach. EBITDA margin stood at 14.2%, supported by higher volumes and stable input prices.

Laminate segment. The laminate division continued to improve its performance trajectory. Revenue, which is at ever highest quarterly revenue at INR 188 crores, at the consolidated level

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grew by 16.6% year -on-year and 8.4% quarter -over -quarter. We are witnessing encouraging demand both in the domestic market and exports, especially from design- driven and premium SKUs.

The EBITDA margin expanded to 9.5% supported by better cost absorption, favorable product mix and internal efficiency initiatives. Going ahead, we expect steady improvement in both volumes and profitability as the segment continues to benefit from the brand's strong recall and enhanced manufacturing scale.

Now I will move to MDF segment. Our MDF business continues to deliver robust growth with revenue increasing 27.9% year -on-year and 32.4% sequentially and clocking ever highest quarterly revenue at INR 343 crores. The growth was primarily driven by higher volumes of tech and improved plant utilization across units. While EBITDA margin stood at 13.6% against 14.3% in the previous quarter, a slight moderation was due to temporary cost pressure.

Now to Particle Board segment. We are pleased to inform you the new Particle Board plant commenced commercial production and sales during the quarter. As expected, EBITDA for this business remains under pressure due to higher fixed costs during the ramp-up phase.

Financial overview. From a financial perspective, Q2 reflects consistent improvement in both scale and quality of earnings. Our continued focus on operational excellence and disciplined capital allocation has helped us maintain healthy return ratios. We also remain committed to investing in brand building, technology upgrades and distribution enhancement to support long-term growth.

Cash flows from operations have improved to INR 269.4 crores in H1 against negative INR 2.73 crores in FY '24-'25, enabling us to fund CapEx requirement and largely through internal accruals.

Looking ahead, we expect the growth momentum to continue across all major business segments. The medium -term outlook for the building material and interior solution industry remains positive, supported by rising urbanization, higher disposable income and increased consumer preference for branded and premium products.

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With a diversified product portfolio, a strong brand, expanding distribution network and upcoming capacity additions, Century Plyboards is well positioned to deliver sustainable revenue growth in the coming quarters. We will continue to focus on value creation through operational efficiency, prudent financial management and responsible growth, keeping shareholder return at the core of our strategy.

That concludes our management commentary. We will now open the floor for questions.

Moderator: We'll take our first question from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti : Firstly, congratulation on a strong set of numbers in all segments. I want to understand, firstly, laminates, you are planning for a debottlenecking. If I see this quarter, I was saying in MDF, you are planning for debottlenecking, right, in H2 in earlier call, you highlighted. So is that running on track? Do you plan to do it in H2? Any change?

Sanjay Agarwal: So we're talking about MDF or laminates?

Keshav Lahoti Yes, MDF.

Sumant Wattas : This is Sumant here. We are planning for an extension -- line extension on our South plant, which will increase capacity of the South plant by about 25%. We will not do it in H2 of this year. It will most likely happen in H1 of next year.

Keshav Lahoti: Understood. Got it. As I can see this quarter, your MDF plant would be operating at 85% utilization, which you say is the peak utilization in Q2. So do you feel you will face capacity constraint in this segment when you talk about demand is growing by 20%, 25%. And even after line extension, overall at the group level, the capacity will just increase by 10%. So how do you feel to service the demand for next 2 to 3 years? What is the view on that?

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Sanjay Agarwal: So, you're correct. I mean as of now, we have healthy utilization levels. It's about 80% across both our plants, North and South. In H1, like I mentioned, we'll take a line extension, which will take our capacity from the current 5 lakh -- 5.25 lakh cubic meters to about 6 lakh cubic meters next year.

So that's a bit of capacity relief as of now, we are bullish on the industry. The industry will grow by 15%, 20%, and that's our outlook as well. With the current capacity, we'll continue to optimize for product mix, value added, so on and so forth. And internally, we are deliberately -- on how to think about future capacity expansion, but nothing concrete at this point in time.

Keshav Lahoti: Understood. Got it. But anything you can say from initial discussion, what are the thoughts. You want to put up a new plant, whether it will be brownfield possibly when you are planning maybe in FY '28, we will do something because maybe till FY '27, we'll have the capacity maybe in FY '28 peak quarter, you might face capacity constraint?

Sanjay Agarwal: Look, all options are open on the table. It's a bit too early to comment.

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Moderator: We'll take our next question from the line of Praveen Sahay from PL Capital.

Praveen Sahay : So sir, my question is related to laminate. Definitely, like revenue growth is there, but it's largely due to a realization improvement. So can you give some color on how mix has changed, which product or which market basically the expansion and which led to the realization improvement and how it is sustainable?

Management: Thanks for the question. So I think 2, 3 areas, okay? One, to the question of how the product mix has changed. So this is a broad-based kind of recovery we are seeing, okay? And this actually expands both for our domestic as well as our international operations. So at this stage, it is not a specific geography or the set of geographies wherein we are working towards the improvement of the product mix.

However, this is a more broad-based strategy change which we are looking at wherein the premium mix is something which we are pushing and that actually is impacting our realizations in a positive way. So that's where we are working on.

Praveen Sahay : And that's sustainable in the nature way forward, we will see continued such kind of realization.

Management: Yes. So it should be sustainable because as we move forward, we are now proactively looking at avenues in terms of the entire ecosystem, specifically the influencers, including the architects, some of the premium markets as far as exports are concerned and a certain conscious effort to look at a high premium product mix, both for our international as well as our domestic markets. So we strongly believe that as we move forward, the premiumization on the category is something which will continue.

Sanjay Agarwal: See basically, the train of laminate had derailed for the experiments very serious, very deep experiments we were doing, and they were not really working. So it was like a train which derailed. But now actually, it has come on the rails that you can see, it is progressing. Now very soon, in a year or so, you will see we'll be back absolutely on the full swing. That is what happens. It was derailed.

Praveen Sahay : Good, sir. Sir, next question is related to particle board, even though that contribution is very low, but your guidance is 40% for our sales growth. But in the first half, there is a decline in the revenue. So how in the second half, you are looking at very exponential growth?

Management: Yes. Thank you for the question. In the sort of Q2 revenue and volume numbers that you see, there's a footnote about 10,000, 11,000 million cubic meters of sales we actually capitalized, which is about INR23 crores of sales. If you take that into account, these are trial sales of trial

material, which as per accounting norms need to be capitalized.

So if you take that into account, Q2 actually has seen expansion and growth as compared to Q1.

And hence, we are quite confident of the 40% guidance that we've given. The 40% growth potentially means ending the year at about INR 200-odd crores, if I take the trial sales into account because we already at INR 54 crores, INR 55 crores quarter for Q2. Even if I maintain

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the same run rate, which we are quite hopeful of surpassing, we should be able to hit that 40% guidance.

Moderator: Next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja : Sir, just 2 questions from my end. Actually, I just wanted to understand, if I'm not wrong you've already spoken about this particular quarter, we have seen some impact on the MDF side of it ...

Sanjay Agarwal: I can't hear clearly, actually. Hello? Your voice is not very clear.

Sneha Talreja : just wanted to understand the raw material cost impact on the MDF front, although I understand we have seen some increase in prices. Have you already started seeing decline there or that's still on an elevated level? If yes, by when can we see easing out of those raw material prices? And what impact did it have on our margin level?

Sanjay Agarwal: Yes. So Sneha, thanks for your question. Look, this quarter, there was pressure on raw materials on both wood and chemicals. Let me take it one by one. On wood, especially in North, there was a pressure on account of supply shortage in Punjab where our plant is, there were significant rains and floods.

And as a result of it, there was availability constraint and cost pressure on timber in North.

However, having said that, South continues to stabilize and maybe even soften a bit. This is a temporary phenomenon. It is stabilizing on the wood front. On chemicals, again, we don't see the cost pressure to sustain. It's a temporary blip.

As you are aware, most of our chemicals are basic chemicals linked to global commodity movements and global freight movements, be it natural gas or be it crude. We believe this will also stabilize in a month or so.

Sneha Talreja : Understood, sir. Secondly, just wanted to get a clarity on your particle board decision in this particular quarter, of course, we capitalized everything and you have made trial runs. How is the response in the market? And how do we see gradual run rate improving from here?

Management: Yes. So, there's this plant that we've commissioned is a top-of-the-line continuous line. And the technology is actually quite cutting edge. The board that have come out has received very good feedback from the market. The board quality, the surface quality, etc., is very, very robust. So we're very hopeful of a good response in the coming quarters and a good scale up.

Sanjay Agarwal: Sneha, the quality of the particle board has come out so that we are very, very confident that selling it will not be difficult for us. Of course, the market prices will prevail, but selling it will not be very difficult, and we'll be able to ramp up soon.

Moderator: We'll take our next question from the line of Amit Purohit from Elara.

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Amit Purohit : Sir, just on the segmental wise, if you could help us in, one, any price increase that you would have taken in the plywood or MDF segment and also the cost pressure in terms of the timber pricing for plywood and MDF?

Management: As far as plywood is concerned, there are no cost pressures. A little bit of prices have softened in India. So some of the manufacturers, the small ones are using more of local material. And it's good for us because we want to manage quality and the pressure which was there on imports is a little bit reducing.

So neither there is any increase of prices nor there is any reduction

in prices. And that's why we have also not increased any prices on our products. Whether we are getting benefit because of

the volumes increase, the automatic cost reduction happens a little bit. That's how the EBITDA

is a little better.

Amit Purohit : On MDF, sir?

Management: On MDF, pricing, -- we haven't taken any structural price increases nor have we taken any structural price decrease. So Q-o-Q on realization that you see is mostly on account of product mix and thickness mix. And we expect going forward as well prices to remain stable.

On cost pressures, like I mentioned, there have been temporary pressure this quarter, both on timber on account of monsoon floods, especially in North and also temporary pressure on account of global fuels in crude and natural gas as well as shipping on the chemical side.

However, these are temporary blips. We expect things to stabilize this quarter.

Amit Purohit : Okay. And generally, sir, on the demand environment, many of the companies have talked about that there has been extended monsoon, which had an impact on the consumption in general. But when I see our numbers, we don't see anything -- any impact. In fact, there has been a bit of an improvement only sequentially, if I look at even plywood volumes or even for that matter, MDF volumes.

So what would you ascribe it to? Is it -- I mean, the thing that earlier was talked about that after 2, 3 years of real estate cycle or the plywood or the decorative segment starts to do well. Is that the benefit? Or this is something to do with the internal initiatives that we have taken on with distribution as well as on the intermediary side focus that is helping us to gain. What is the market environment now?

Sanjay Agarwal: I don't think that there is much change in the market. And you have to see that we are in an industry in plywood, we hardly have any market share. It is below 10%. So there is a huge possibility. So in such situation where you are below 10%, even if the total growth is not very good, still we have a lot of space headroom to actually achieve.

But we see that there is a good demand in the market. And you have to -- again, remember that the quality assurance order has stopped all the imports of whether it is MDF or whether plywood
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by 80%, 10%, 20% is still getting imported. So that is helping MDF also and that is helping plywood also.

So I don't see that for us because we are doing everything possible under the sun, whether it is branding or expansion of people, no new measures to gain market share, always we are there in the market totally. So -- and it has worked earlier. It is working now, and we certainly hope that it will work in the future also.

Moderator: Next question is from the line of Hrishikesh from Kotak Mutual Fund.

Hrishikesh: Sir, just if I look at your MDF margin probably this 13.5% is at a reasonable utilization of 70% plus. So obviously, we can't take a call on the pricing, but how much is the scope on the product mix side do we have to improve? Because utilization, if I look at it, there's very little runway considering we are now almost close to high-density MDF also we are selling. So how much on the product mix side or customer mix side do we have in terms of to get the margin up further?

Management: Hrishikesh, thanks for your question. I think there's, you know, while we have a healthy baseline on value-added products I think there's a lot more scope. And as a company, we endeavor to really push the envelope on the high-margin value-added products. So I think there's significant way to go there in terms of both geography mix and product mix from our perspective.

If you look at the current margin number, you also have to factor in a little bit of temporary blip on account of RM that I spoke about. So I think going forward, we at least endeavor to re

ally up

our game further on value-added and also therefore see improvement in margins. But this takes time. I mean this is a long-term game, and we have to invest behind marketing, R&D and a lot of other focused programs on the influencer side as well. But we believe there's sufficient room to grow there.

Hrishikesh : Do you feel that potentially 20% margin is possible, assuming at the current realization without much price hikes based on the improvement in product mix or whatever you spoke about, let's say, at the exit of March or probably next year?

Management: Look, it's hard to put the timelines to when we take those margin levels, but it is in a steady state with value-added maxed out and all temporary RM pressures going away, I think high-teens is a possibility.

Moderator: Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, congratulations for a good set of numbers.

Sanjay Agarwal: Thank you.

Ritesh Shah: Sir, I had a simple question. Sir, how do you look at the machine make, say, something Chinese versus something European, specifically with our experience probably on particle board on the quality and output. The differential that it could help us on capex intensity and hence, on pricing

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and profitability. And something similar, hypothetically, if you had to add another line on MDF.

Say, 6 months, 12 months, 18 months out, would you go for a Chinese make based on your experience of particle board?

Sanjay Agarwal: Are you asking a question for some new venture?

Ritesh Shah: No, sir.

Management: I don't think we have the opinion here on what is Chinese I think century, what we can tell you about it is that we keep a very close eye on all technology developments. And our OEM partners, the Chinese or European have been associated with us since very long.

Whatever machineries we put up in future protection, we totally understand and scrutinize and put up the best machinery possible. So I don't think it's a fair -- it won't be fair from our side to take a comment on the country of origin in terms of robustness of technology. I think it's immaterial.

Ritesh Shah: Right. Let me put it other way, sir. Particle board stabilization, quality of products, are you something happy with?

Management: Like we previously mentioned, we commenced commercial production in this quarter. So commercial production started June '26, which is almost Q2 for us and the machines are stabilized. We are very happy with the quality of the product. And we're looking at a more robust ramp-up.

Ritesh Shah: Sure. And sir, just last data point, if you can. Sir, hypothetically, for the same capacity standards, if one has to, what will be the capex differential between the 2 regions, say, 20%, 30%, 40%?

Management: Honestly, I'll have to come back to you because it depends a lot on some specific specifications, right? So let's say, for the particle board, you know, our particle board is a super particle board. So we've added a few pieces of equipment that enhances the product quality much beyond what we are offering. So it's apple to apple comparison.

Ritesh Shah: Okay. Sure. Just last question, given you didn't comment on the MDF potential extensions -- expansion next year or year after. Sir, how should we look at the balance sheet numbers, specifically on the absolute net debt number, if you could help us with that? And the capex number that we should look for '26, '27, '28?

Sanjay Agarwal: Arunji, would you like to take that?

Arun Kumar Julasaria: No, no. You do it.

Management: He is asking for the whole company.

Sanjay Agarwal: Specifically for MDF, so I think you are the person.

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Management: Are you asking specifically for MDF?

Ritesh Shah: No, sir, at company level. Sir, given

we didn't get an answer on MDF, I'm trying to just bridge the gap somehow.

Arun Kumar Julasaria: So you see as far as you have seen all the investments we have done, particle board, MDF and plywood. So all the investments are now into full -- have been ramped up fully. All the initial problems have been covered. So these are the time now when we will be reaping the benefits.

So this year, maybe still some hiccups with the particle board plant.

So what I see that this year and the next year are absolutely there to get the benefits of whatever we have planted. And I see this growth, whatever we are doing right now, this growth will continue. We always give indications of every item and we have separately, plywood separately,

laminates separately. And we expect we will be able to achieve that without any problem. That is what was your question.

Ritesh Shah: Sir, I was referring to how should we look at the net debt profile, say, currently, should we expect INR300 crores?

Arun Kumar Julasaria: You see, you have to calculate because I have -- we have given the guidance of growth and we have given the guidance of EBITDA also. So we do not like to give you a figure that, yes, this is the profit or this is the expected profit, but we have given a guidance on both the things, and it's very easy for you to calculate actually now. Isn't it?

Ritesh Shah: Correct. Yes, sir. Sure, sir.

Arun Kumar Julasaria: But it is all positive, actually. Yes.

Ritesh Shah: Yes, sir, it is positive, so it can be more positive, sir. That's the reason we are trying to figure it out, sir. Sir, capex number '26 and '27, sir?

Arun Kumar Julasaria: Capex, we have undertaken on plywood factory in Hoshiarpur, which is now under construction. And the other capex, I think we are still planning. So MDF or particle -- no more particle board right now, but MDF and plywood we are planning, I think, first, we will get it approved from the Board and then we'll be able to declare.

The only way to grow is to put up more investment into this manufacturing capacity because there is no other possibility.

There is no trading. So there is no other possibility of growing. So we will have to invest.

Moderator: We'll take our next question from the line of Udit from Yes Securities.

Udit : congratulations on good set of numbers. Sir, I just wanted to understand a bit deep into the plywood space. I'm sure that you have been delivering some superior numbers versus everybody else. And what is leading to such kind of a growth?

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We understand that there might be some kind of shift in demand happening from unorganized to organized as well. But if you can throw some light into product segment or the kind of market share that you're gaining, that would be helpful.

Management: Frankly, there is no very specific reason at the moment. Yes, the import ban because of the quality assurance has certainly helped. Otherwise, a lot of plywood coming in from Vietnam and Nepal, etcetera. So that has happened been stopped or reduced to a great extent. The rest of it is

actually all the market is open to all every company some companies are sometimes.

So, it is right now, the movement of Century Ply, so probably whatever we are doing is working in the market and we are able to gain the market share at the moment. And we are working very,

very hard on many new things. We are learning while we are progressing. So there so many things we are doing, which nobody else is doing, actually. And the quality.

Of course, the quality is still the best. Nobody else comes near than the customer who has tested the fruits once , he again comes back for plywood, Century Ply only. I hope I answer your question very well.

Udit : Yes. For sure, sir. That was very helpful. And all the best.

Moderator: Next question is from the line of Mehul from NMV Securities.

Mehul: Yes, I

would like to know the utilization for H2 for all the four segments?

Sumant Wattas : Utilisation for H2 for all the four segments.

Management: So, maybe I can start with MDF.

On MDF utilization for H2 will continue to about 80%-plus

utilization . [inaudible 0:36: 21] 85%. For particle boards , you know, currently we are at about 35% utilization. We hope to go up to about 55% to 60% in H2. For plywood and land, I will hand it over to Vishu.

Vishu Goel: So, Mehul, Vishu this side. On the laminate side, right now, since we have kind of two plants out there, okay, we have an older plant in Joka , there's a new facility in Badvel. So Joka, we are about 80%, 82% utilization.

And for Badvel plant, we have ramped up to almost about 55% as we speak. So as we move forward, we are looking -- yeah, as we move forward, we are looking at the capacity utilization for both Joka as well Badvel to go up about 10 to 15 percentage points for Badvel specifically.

Mehul: Okay. And for plywood?

Sanjay Agarwal: And for plywood, we are internally increasing the capacity in all our plants, like in '24/'25, the capacity was around 3,39,600; in '25-'26 Q1, it was 3,82,800; in Q2, it has increased to 3,94,800.

And already certain internal progresses are happening in Kandla and in Chennai . So this capacity will further increase.

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So presently, what we are doing is we are able to supply and achieve through our internal development within the existing plants. The new plant will still take about a year delayed a little bit. It will take about a year to come out. And all the plants excepting particle board capacity, all the plants are about 80%, 85% typically.

Mehul: Okay. And what is the -- what is the utilization we are expecting for '26 and '27?

Sanjay Agarwal: For '26, '27. I think the way we look at it, it should go above 100% utilization, actually, I'm joking. But yes, we are -- whatever we are doing, we will be able to achieve, I think, 90% plus in most cases. But I don't have the actual numbers right now in front of me.

So I'm just giving you a reply which is just off the book. If you really need more detail the Investor Relations will certainly update you. I will note down your name.

Mehul: Sure, Sure.

Sanjay Agarwal: Yes, they will get in touch with you. You are from which company?

Mehul: Nayan M. Vala Securities.

Sanjay Agarwal: Okay.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Agarwal for closing remarks. Over to you, sir.

Sanjay Agarwal: Yes. Thank you. Thank you, everyone, for your insightful questions and continued interest in our company. We are encouraged by the strong performance across all our business segments and remain confident about sustaining this growth momentum in the coming quarters. We appreciate your trust and support, and we look forward to engaging with you again after our next quarter's results. Thank you, and have a great day ahead.

Moderator: Thank you, members of the management team. On behalf of SKP Securities Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines. Thank you once again.

Call: Feb 2026

10th February, 2026

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Una audited Financial Results for the Quarter and nine months ended 31st December, 2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Thursday, 5th February, 2026 in respect of Una audited Financial Results for the Quarter and nine months ended 31st December, 2025.

This is for your information and record.

Thanking you, Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
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"Century Plyboards India Limited
Q3 FY26 Earnings Conference Call "
February 05, 2026

MANAGEMENT : MR. SANJAY AGARWAL – MD & CEO
MR. KESHAV BHAJANKA – EXECUTIVE DIRECTOR
MRS. NIKITA BASNAL – EXECUTIVE DIRECTOR
MR. ARUN JULASARIA – CFO
MR. NAVARUN SEN – COO, PLYBOARDS BUSINESS
MR. SUMANT WATTAS – CEO, MDF & PARTICLE BOARD BUSINESS
MR. VISHU GOEL – CEO, LAMINATES BUSINESS

MODERATOR : MR. NAVIN AGRAWAL
HEAD, INSTITUTIONAL EQUITIES – SKP SECURITIES LTD
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Moderator: Good day, ladies and gentlemen. Welcome to Century Plyboards India Limited's Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agarwal, Head, Institutional Equities, SKP Securities Limited. Thank you, and over to you, sir.

Navin Agarwal: Good afternoon, ladies and gentlemen. I'm pleased to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us: Mr. Sanjay Agarwal, MD and CEO; Mr. Keshav Bhajanka, Executive Director; Mrs. Nikita Bansal, Executive Director; along with Mr. Arun Julasaria, CFO; Mr. Navarun Sen, COO, Plywood Business; Mr. Sumant Wattas, CEO, MDF and Particleboard Business and Mr. Vishu Goel, CEO, Laminates business.

We'll have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session. Thank you, and over to you, Mr. Agarwal.

Sanjay Agarwal: Thank you, Navin. Thank you. You are doing a wonderful job for us.

Navin Agarwal: Thank you.

Sanjay Agarwal: Yes, yes. So, good afternoon, everyone, and a very warm welcome to our Q3 FY '26 earnings conference call. Before we begin, I would like to remind you that today's discussion may contain

forward-looking statements, which are subject to risks and uncertainties. This call is not intended as a solicitation to invest. The financial results and investor presentation have already been shared and are available on the stock exchange websites.

The company delivered a strong and broad-based performance during the quarter, with healthy growth across all key business segments. This performance highlights the structural strength of our business model, strong brand equity and the tangible benefits of our continuous efforts to improve productivity and operational efficiency. Q3 is not directly comparable to Q2 as Q3 typically experiences softer demand relative to Q2 due to seasonality associated with festive period.

At a consolidated level, the company recorded its quarterly revenue of INR 1,350 crores, representing a year-on-year growth of 18.4%. This growth was driven by sustained demand across product categories and robust performance from our newly commissioned units. On a 9-month basis, FY '26 revenue grew 17.3% year-on-year, demonstrating our ability to sustain momentum despite a challenging macroeconomic environment.

On the profitability front, we achieved our consolidated EBITDA, excluding for ex of INR 170.5 crores. The EBITDA margin ex-forex improved to 12.6%, compared to 10.7% in the corresponding quarter last year. This improvement was driven by higher volumes, operating leverage and the benefits of our ongoing cost optimization initiatives.

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Overall, the quarter reflects not only strong growth, but also a significant improvement in the quality of earnings. Segmental performance. Let me now walk you through the performance of our key business segments. Plywood segment. The Plywood business achieved quarterly revenue of INR 710 crores, with 14.9% year-on-year growth.

This performance was supported by healthy volume growth and an expanded distribution reach. EBITDA margin stood at 15.1%, supported by operating leverage and stable input costs.

Laminate segment. The Laminate division continued its improving trajectory, reporting its quarterly revenue of INR 183 crores.

Revenue grew 9.6% year-on-year and 13% on 9-month basis. EBITDA margin stood at 7.7%, driven by better cost absorption and an improved product mix. Going forward, we expect a steady im-

provement in both volumes and profitability as the business benefits from strong brand recall and enhanced manufacturing scale.

MDF segment. The MDF business continued to deliver strong growth with revenue increasing 19.1% year-on-year. Growth was driven by higher volume and improved capacity utilization across plants. EBITDA margin stood at 12.1%, compared to 10.7% in the corresponding quarter last year.

Particleboard segment. With improved capacity utilization and higher sales volume, the segment achieved its highest ever quarterly sales of INR 65 crores, with EBITDA at breakeven. Financial overview. From a financial perspective, Q3 reflects consistent improvement in both scale and earning quality.

Our continued focus on operational excellence and disciplined capital allocation has enabled us to maintain healthy return ratios. We remain committed to investments in brand building, technology upgrades and distribution expansion to support long-term growth. Looking ahead, we expect the growth momentum to continue across all major business segments.

The medium-term outlook for the building material and interior solutions industry remains positive, supported by rising urbanization, increased disposable incomes and the growing preference for branded and premium products. With a diversified product portfolio, strong brand equity and expanding distribution network and upcoming capacity additions.

Century Plyboards is well positioned to deliver sustained growth in coming quarters. We will continue to focus on value creation through operational efficiency, prudent financial management and responsible growth with shareholder return remaining central to our strategy. That concludes our management commentary. We will now open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. We'll take our first question from the line of Rahul Agarwal from IKIGAI Asset.

Rahul Agarwal: Sir, two questions. Firstly, some bit of indication on how do you look at fiscal '27 across segments on growth and margins? That's the first question?

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Sanjay Agarwal: Keshav?

Keshav Bhajanka: I think, Rahul, we haven't published any numbers on FY '27 yet. But when you look at FY '26,

we've had a very strong growth, and it has been largely in line with guidance. So, I think FY '27 is likely to look similar, if not better.

Rahul Agarwal: Anything specific on the MDF side in terms of our growth? What kind of volume would we target? Or should it be similar 20%?

Keshav Bhajanka: As you know, our long-term growth ambition is INR 12,000 crores by FY '31. So that includes an annualised CAGR of 18% plus. So next year also, I think we'll see a robust growth in MDF. But for the time being, till we don't freeze up our numbers, I can't give guidance for the next year.

Sanjay Agarwal: Rahul, we are excited. We are excited about the future.

Rahul Agarwal: Okay. The second question was on capacity. Just on plywood and MDF, I think we're still to add some capacity on the existing plants. So wanted to know how much of that is left, which will get completed in '27? And then, on the UP c apex, which you have announced for INR 1,100 crores, if you just run through your broader thoughts in terms of how would these plants be better versus existing plants in case there is some efficiency or different SKUs? How do you plan to source timber? And how do you plan to fund it? So, these were the questions on c apex?

Nikita Bansal: So should I first answer on the plywood capacity, Keshav, or do you want to.

Keshav Bhajanka: Sure. Go ahead.

Nikita Bansal: Yes. So, on the plywood capacity throughout this year, we've been doing internal expansion. So, if you will see, we've been -- from where we started this year, we've been growing. And in Q4, we will be at almost 430,000 CBM in this quarter.

r. Because we've been doing expansion in Kandla, we've been doing expansion in Guwahati, we've been doing expansion in Joka. But next year, we have two major expansions planned. One is our Hoshiarpur plant, which is coming up. It should be operational in Q3 in the next financial year; and the other is that we are expanding our Chennai unit. So, that also should be operational by Q3 next year. So, I think with existing capacities, expansions that we are doing, we will be able to sustain H1. And in H2, we will have 2 additional capacities coming in. All these expansions are being done with a view of where we want to reach in 5 years. And even in UP, which Keshav will elaborate more on, we're also planning a plywood plant there. Out of the entire thing, there will be about -- we are planning 90,000 CBM eventually in UP. But obviously, we may start and gradually increase it to 90,000. So, over to you, Keshav.

Rahul Agarwal: Just a second, Nikita. On Hoshiarpur and Chennai, what is the CBM capacity you'll add?

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Nikita Bansal: So, currently, we have done 60,000 in Hoshiarpur, but we will start operations with 30,000 and minimum is 32,000, and then eventually increase it to 60,000. We'll put machines worth 60,000, but we will gradually increase it. And in terms of Chennai, currently, we are at -- it will be almost 1 lakh, if I'm not wrong, like in CBM, I usually talk in NA. So in CBM, it should be 1 lakh. It's a little higher than the UP plant.

Rahul Agarwal: Yes. And on the balance [inaudible 0:12:47].

Nikita Bansal: If it's including 1 lakh then it's total, yes.

Keshav Bhajanka: And on the MDF side, I think we'll be able to unlock 70,000 cubic meters additional once we are able to extend the line. I think that will be within Q1 of the next financial year itself. And post that, we will be limited where total capacity, which should be around 625,000 cubic meters per annum.

And as far as the Uttar Pradesh project is concerned, that will have a MDF capacity of -- in excess of 3 lakh cubic meters again. And the time horizon for that, we would be estimating at about 2.5 years from the date from which we have land in hand. Currently, we are waiting for approvals to actually get the land in our possession.

Rahul Agarwal: And how do you plan to fund it?

Keshav Bhajanka: Funding out, I think it is a dynamic scenario. Currently, we have very strong internal accruals. So going forward, as and when we finalize the funding plan, we shall get back to you.

Moderator: We'll take our next question from the line of Balaji Vaidyanath from NAFA Asset Managers Private Limited.

Balaji Vaidyanath: Sir ji, just wanted to understand that this incremental capacity that's been announced for MDF, this 330,000 cubic meters, entire thing is going to be in UP. Is my understanding correct?

Keshav Bhajanka: Yes.

Balaji Vaidyanath: Okay. So, my sub-question is, North India pricing was much better compared to South India as far as MDF is concerned. So now with the capacity being added, so we can expect cut-throat price war to commence in North India as well because if you see over the last, say, 4 to 5 years, if you look at all the listed companies, the entire capital employed in MDF segment is roughly INR3,500 crores, including you. And today, it is earning less than fixed deposit?

So, with that in mind and with an 85% capacity increase that has been announced, are we seeing such a demand for MDF because IT sector is weakening and of course, that will have some kind of second, third order impact on the housing demand,

et cetera. So, I just wanted to understand this thought process in terms of this severe capacity expansion. So, are -- is MDF getting into a telecom industry like situation where there are 3 players and they went into a cut-throat pricing war for more than a decade. It looks like that can get replicated in MDF

industry ?

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Keshav Bhajanka: So, I think you've asked a lot of questions in that, but I'll try to answer whichever I understood. The first thing is that it is not fair for us to comment on competition and their returns. But as far as we are concerned, I think for the current year, we are at a 24% growth trajectory. And going forward, we believe that MDF still has a lot of room to grow. For the current year, we have guided for 25%- plus growth. And I think that we will be able to achieve that.

And as far as the returns are concerned, currently, we are at a decent -- for the current quarter, 12% EBITDA. This is with a lower base because of festive season and after flooding situation happened in Punjab, which caused the higher cost of timber. Going forward, I think we are well on line to achieve our aspiration of 15% EBITDA and then build on that. So, with these 2, with this 25% -plus growth and a 15%- plus EBITDA, I think we are in a reasonably healthy position.

Balaji Vaidyanath: In a hypothetical situation, we have seen the Government of India actually reverting and kind of going back on QCOs, etcetera, on a lot of product categories, of course, that's not happened in MDF, but in a hypothetical situation if that were to happen, then we are going to have one more player in the form of imports once again, which is currently subdued. Any thoughts on that, if that has been factored into this?

Keshav Bhajanka: Currently, the pricing that is there, if you look at imports even earlier, never constituted more than 7%, 8% of the total sales of MDF in the country. And having said that, the prices, like you rightly said, because of the intense competition that has taken place because of unprecedented capacity addition over the course of the last 2 years, which is unlikely to be repeated in the foreseeable future, prices have actually bottomed out. But I don't see that as much of a challenge. However, having said that, I think BIS is here to stay. The Indian consumer deserves a good product and the Government of India has ensured that, that happens. I don't think they're going to walk back on that.

Sanjay Agarwal: Let me explain a little bit you see. In next 5 years, our Chairman says that in next 5 years or say, 10 years, lot of capacity of MDF will come in India. Do you believe that? In 10 years, do you believe that, sir?

Balaji Vaidyanath: Definitely.

Sanjay Agarwal: In 10 years, there will be lot of capacity addition, isn't it?

Balaji Vaidyanath: Correct.

Sanjay Agarwal: Yes. So, if there will be capacity addition, there are 2 ways, either new players will come or if the existing players come in advance, new players will be deterred. They will not come. So, there will be a -- there may be a fight of little bit for some time or we believe that we will get a period of, say, a year or 2 year in between where we will be making more money.

But otherwise, yes, every 2 year or so, there will be a fight for 2, 3 years; and again, 2 years will be nice. But ultimately, the capacity addition will be done by just 1 or 2 or 3 players. That's a

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good thing to happen for an industry. So, that is the -- if you look at steel industry, it's not passing through a good phase, but lot of addition is coming.

Cement industry, lot of addition of capacity is coming and a lot of capacity is unutilized, but still everybody makes some profit. So that is how it's going to be in the MDF industry also. And MDF is a growing industry. It's growing at 20% per annum, has shown that it has the possibility. So -- and even then the plywood is also growing. We have a projection, in the next year, 5% to 7% increase will be there in plywood -- growth will be there. So, we believe that, yes, all this will help the company to grow in long-term. In short-term

, there may be issues, which nobody

can deny and that could be there in any industry. If you look at short-term, you cannot plan. We are planning for next 50 years. I hope I have been able to make you clear, yes.

Balaji Vaidyanath: Just one last thing is, Keshav ji mentioned that prices have kind of bottomed. If you could kindly throw some light on whether it's referred to South India or North India or both put together?

Sanjay Agarwal: You see, why we say prices have bottomed. There is only one reason. The prices are not going down. Nobody is talking. There is nothing happening in the market. And still we are selling and there is an EBITDA. So, that itself is a proof that the prices have bottomed. Capacities are still

unutilized in certain -- with some -- many manufacturers. So, that means prices have bottomed. They will not go down further.

And we really expect the prices to go up actually a little bit. And the raw material prices will go down because plantation which have happened across the country, we have done very elaborate survey across all fields, a lot of plantation has happened.

The prices of raw material has to go

down. Nobody can stop that. Yes, it's taking its own time. That's the reality because it takes time to grow.

Balaji Vaidyanath: Thank you, Sanjay ji. Thank you, Keshav ji. Wish you all the best.

Moderator: Thank you. Next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.

Please go ahead.

Rehan Saiyyed: Yes. Good afternoon to team and thanks for taking my questions.

Moderator: Rehan, I'm sorry to interrupt, can you use your handset mode, please?

Rehan Saiyyed: Sure. Is it clear now?

Moderator: Yes, please go ahead.

Rehan Saiyyed: Yes. So, sir, my first question is around -- I want to just understand regarding your guidance that you have given regarding MDF margin. So, sir the current 9-month EBITDA margin ex -forex for MDF stand at 13.4% and your FY '25 -- '26 guidance target at a higher 14%, 15% range. So, with the quarter 3 margin coming in at 12.1%, and you have rightly put that is because of softening demand in quarter 3. So, what specific triggers such as raw material softening or higher Century Plyboards India Limited

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capacity utilization from the new Andhra Pradesh plant will bridge this gap, going forward? This is my first question?

Keshav Bhajanka: So, I think we are looking at higher margin in the current quarter because of two things. Firstly, like I mentioned, there was a flooding situation in Punjab in last quarter that led to slightly higher prices for North plant, which is now eased out. Secondly, we will be looking at higher capacity utilization in the current quarter. Q4 is traditionally always better than Q3 as far as demand is concerned. So, I think that these are going to help us look at slightly higher margins for the quarter. Lastly, chemical prices have also stabilized, and I think that is also going to aid in the pursuit of higher margins.

Rehan Saiyyed: Could you please repeat last line what you have said?

Keshav Bhajanka: Chemical prices have also stabilized, and this is also likely to aid margins.

Rehan Saiyyed: Got it. Okay. And my second question is around just want an understanding regarding your CFS segment volatility. So, the CFS segment saw a 43.3% Y-o-Y revenue jump this quarter. So, but EBITDA margin ex -forex dropped to 18.8% from 19.9% in the same period last year. So, could you explain the cost pressures or change in the service mix that led to this margin contract despite the higher throughput?

Sanjay Agarwal: You have, Keshav some idea you can use, regarding CFS?

Rehan Saiyyed: Yes, CFS.

Sanjay Agarwal: Arun ji, you have some idea, you can explain or otherwise he will explain later. So, please note down then the name, we will call you later on to explain.

Rehan Saiyyed: Sure. Yes, this is good. I have only t

wo question. I will jump back in the queue.

Moderator: Rehan, you're through with your question, right?

Rehan Saiyyed: Yes, I'm done with my question. Can I repeat my question again?

Sanjay Agarwal: No, they will call you. This is regarding CFS?

Rehan Saiyyed: Yes, CFS segment volatility?

Sanjay Agarwal: Yes. So, CFS actually, we are not updated very much very frankly, I should be, but really, I'm not updated right now. So, we will call you. Our Investor Relations, Vinay, will call you and update you.

Moderator: We'll take our next question from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Sir, just a couple of questions now. Firstly, on the laminates front, we are seeing a lot of product mix changes there, while we don't see volumes, they have gone down by 7%, 15% Q-o-

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Q. We've seen a huge jump in your average realization. And margins are also sequentially slightly improving. So, what is the outlook? And how do we read this segment? And how do we see the growth in this particular segment coming in?

Keshav Bhajanka: So, Sneha, as we have discussed earlier as well, in laminates, we are confident of 15% plus growth for the year. And I think that this is based on both domestic, as well as export demand. As far as the export market is concerned, it is larger sizes. And because it is larger sizes, the per

unit realization will always be higher. So, that could be the reason for the ASP jump. Having said that, domestic is also likely to start firing again from Q4 itself or from early next year. A combination of both, we are looking at 20% plus growth for the next financial year.

Sneha Talreja: Understood. That is quite helpful. And what sort of margins? Because we are currently seeing margins hovering around 9- odd-percent, which earlier used to be double digit of around 14% to 15%-odd?

Keshav Bhajanka: Double -digit margins next year for sure.

Sneha Talreja: Sure. Noted. Second question was, what's the magic which is happening in plywood segment, constantly seeing 15%- plus growth. What I basically want to understand is, what would be the industry level growth at this point of time? I know our industry numbers are very difficult to find. But how much of market share increase we have seen in the last 2 years? And how much is the further scope to see that kind of an increase happening, like how confident are we to continue this 15%- plus and for how many years?

Nikita Bansal: Hi. So, the thing is with respect to plywood, the industry, see, like you said, it is very difficult. But from whatever study that we keep doing, it's somewhere between 6% to 7% is the plywood industry growth. So, it is not that the industry is not growing because of other products, et cetera. The industry is growing.

We are growing better because we are -- obviously, our endeavor has to be to increase our market share. And where we look at it, I believe is that today at an industry level, we are actually in the last 2 years or rather I would say before COVID, we were at 4%, 4.5%. Today, I don't know what we are today at the end of this year, but I know what we were last year, we were at around -- these are all estimates. We are around 8%, 8.5%.

So, we've doubled and more in the last -- since pre-COVID to now. Where do we want to take it? We obviously want to double it more. We are doing everything we can. And I think that's the vision that we are working towards. So, I think it's not magic. I think it's a lot of hard work and a lot of focus towards this that is delivering these numbers. We definitely are confident that we will do everything unless and until something really drastic happens in the market, which is not predictable. But we will put in our 120%.

Sanjay Agarwal: Let me chip in, Sneha, a little bit. We have told earlier that we keep on doing something new, some new experiments are always on. A

nd we actually fail more than we succeed. But out of

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the 5 experiments, even if one succeeds, then it gives us the growth we are looking at. Because with the old systems, nothing can be gained in today's type of economy.

Today, ChatGPT has become the most important thing for everybody. Everybody goes to ChatGPT 5 times a day now. Before going to a doctor, actually, you know all the details about whatever you have. So, we have succeeded like that. And for future also, we are quite excited because there are too many things happening and there are too many possibilities now. Earlier, it was go and open the dealer and if you are not in that city you make your new dealer, but there are too many possibilities now. We are keeping on doing new, new experiments. Some of them succeed, and that is what gives us this kind of a success. And another thing I'll tell you, right now, the division of plywood is in a momentum, good momentum. So that momentum is also helping us.

Sneha Talreja: That was great. Thanks team for that. Just lastly on the MDF front now, we have again put up a new capacity. When is the hope that we have when current capacities will see margin revival or industry will actually see margin revival. Because of these capacities, like I think every other participant, we are really concerned on the ROCE front. So, which particular quarter is the one where you see turnaround happening in realizations and margins?

Keshav Bhajanka: So, Sneha, although we are not fortunetellers, proper, I think that going forward, margin recovery is definitely on the cards. The reason, like you have rightly pointed out, there is a lot of capacity has been added. But the way the capacity added was added in the last couple of years, I don't think that is likely to sustain.

New capacity additions have slowed down. And going forward with 20%- plus CAGR as far as the demand scenario or demand growth is. The equilibrium should be at least maybe over the course of the next year, 1.5 year. So, during this time period, you should see margin recovery. Exactly which month, which quarter, which week is difficult to predict.

Moderator: We'll take our next question from the line of Bhavin Rupani from Investec.

Bhavin Rupani: Sir, a question related to MDF. So, our capacity as on FY '25 annual report, it says 627,000 CBM, whereas our press release we have released yesterday, it says 561,000. So how should one reconcile that?

Keshav Bhajanka: So, basically, the capacity expansion that we were likely to do or that we will be doing in Q1, that was likely to take place in the current year. However, due to robust demand, we have been unable to take that expansion. So, we will be adding close to 70, 000 cubic meters of capacity.

And that expansion will most likely happen in Q1 of next year. So, this discrepancy is due to that.

Bhavin Rupani: Sir, and this is at our South plant?
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Keshav Bhajanka: Yes. So, in Badvel our current line is 28.8 meters, and we are going to be moving to a 33.8-meter line with a 5-meter extension. So, that will be happening in Q1 of next year.

Bhavin Rupani: All right. Next is on our existing expansion. So, first of all, I wanted to understand what is the rationale behind this Uttar Pradesh expansion. Are there any other players in this region as well? And also wanted to understand on the raw mat availability and proximity at this plant?

Keshav Bhajanka: So, Uttar Pradesh is the largest and most perennial source of raw material as far as most of India is concerned, with the exception of maybe Andhra Pradesh. And currently, there are no MDF plants that are located within Uttar Pradesh. So, it is a huge market opportunity. And in line with the same, we are exploring putting up a plant there. And we will update you as and when we

acquire the line. And post that, within the next 2 to 2.5 years, we should be in a position to set up a unit there.

Bhavin Rupani: All right. And in case of this MDF plant, what is our machine make?

Keshav Bhajanka: We are yet to decide.

Bhavin Rupani: All right. If you can just elaborate on what would be the capex outlay if we choose between Chinese or European. So, how big is the difference in percentage terms?

Keshav Bhajanka: It is not a very big difference because you are talking about the main press. The main press contributes about 20% of total project cost. So, in that, there could be a delta of 15%.

Bhavin Rupani: Fair enough. Okay. And sir, on this plywood, so we have committed almost INR 330 crores for 90,000 CBM of expansion for Uttar Pradesh. So, if you'll just look at the capex intensity of this plant, it is far higher versus our MDF plant. So, how should I understand this? So, what is the reason behind this?

Nikita Bansal: Sorry, can you repeat your question?

Bhavin Rupani: Capex intensity per CBM for our plywood plant is higher versus our MDF?

Nikita Bansal: So, I actually made a mistake, it is actually 120,000 CBM because we are doing 1 lakh NA. So, it is 120,000 CBM and not 90,000 CBM.

Bhavin Rupani: Okay. Ma'am, even if we do 120,000, it comes to somewhere around INR 27,000 per CBM, which is higher versus what we have announced in Uttar Pradesh, which is INR 25,000 per CBM?

Nikita Bansal: Sorry, I didn't get it. I'm talking about Uttar Pradesh only.

Bhavin Rupani: Yes. So, if you look at our capacity, plywood capacity that we have announced in Uttar Pradesh, 120,000 against which we are doing capex of INR 330 crores, right?

Nikita Bansal: Correct. Yes.

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Bhavin Rupani: So, per CBM, it is somewhere around INR 27,000, right?

Nikita Bansal: Yes.

Bhavin Rupani: Right. And if we compare it with MDF, for 330,000 CBM, we are putting -- we are doing an expense of INR 800 crores, which means per CBM, it is INR 25,000. So, how come our plywood plant is more expensive versus MDF?

Sanjay Agarwal: I think different capacities you are comparing to this INR 25,000, INR 27,000, but [inaudible 0:35:25].

Keshav Bhajanka: You see in plywood, whenever we come up with a capacity, we create a capacity for a larger size. Currently, all the brownfield expansions that you have been seeing, which are nominal cost there because the infrastructure has been created. What we need to add on is debottlenecking equipment.

So, the shed, the peeling, et cetera, et cetera, is ready. And what we add on is normally a hot press and a dryer. By doing this, going forward, future capex becomes much cheaper. So, any new plant does have a certain higher capex when it is being established. However, going forward, this plant can actually ramp up to a much higher capacity than what is currently being shown. I hope that answers the question?

Bhavin Rupani: Right. And what would be our brownfield optionality over here at Uttar Pradesh after both these expansion of MDF and plywood?

Keshav Bhajanka: For MDF, it would be difficult to expand further. For plywood, we would definitely be able to scale the unit up.

Bhavin Rupani: Would it be possible for you to put any numbers over here?

Keshav Bhajanka: No. Currently, we could not. But if you look at the history of other units, you will get a semblance of this unit.

Bhavin Rupani: Perfect. And sir, just last one question on MDF. We have seen margin decline both year -on-year and Q -o-Q in Q3. How should one understand the reason behind it?

Keshav Bhajanka: I think it is not a margin decline year -on-year. You see, there was a for ex impact last year. We had a positive for ex fluctuation, a total of INR15 crores last quarter. This year, we have had a slight forex loss. If you look at it, EBITDA adjusted without for ex, this year we are at 12.1

%,

last year same quarter, we are at 10.7%.

So, you're absolutely right, quarter -on-quarter, it's slightly lower, the predominant reason for this is because of slightly lower operating leverage as well as flood situation in Punjab, which I had briefed about. Going forward, we are hoping that with better operating leverage with better capacity utilization, we should have a stronger quarter.

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Moderator: Next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Firstly, I want to understand on -- first thing, I want to understand on ply expansion, if I understood correct, Hoshiarpur is a 60,000 CBM expansion. Out of that 30,000 CBM will come in Q3 FY '27 and balance when it will be coming? And secondly, the Chennai expansion, which company highlighted, what is the capex size of that? And what is the size of the expansion in ply?

Nikita Bansal: So, the thing is there is one thing I should tell you all that we are now -- once these new expansions come in, we are planning to -- today we outsourced Sainik MR, which is our water - resistant Sainik plywood, which is about, I would say, 20% of our -- okay, 8% of our overall plywood revenue is Sainik MR or whatever we outsourced.

So, we are now planning to make it in-house in, say, the next 1 year time. So for that, we need additional capacity because of which you are going to be finding that the capacity expansion is quite massive that we are doing in the next 1 year compared to what we've done in the past.

Having said that, see, with Hoshiarpur, we will start with 30,000. It is very difficult right now for me to say how and when we will reach 60,000 full capacity.

It may take 1 year, it may take 2 years. But we are planning to start with 30,000. It will make -- the plant will be viable with that 30,000 itself, because 30,000 to 60,000, there is very -- there's only two machinery that we need to add additionally. So, it's not a very heavy. It's just a very less capex cost that we are actually adding to that unit. And as far as Chennai and UP goes, Chennai capex, I think Vinay can get back to you. I don't have it in memory right now, total capex that we are doing. And is there any other question I've missed answering?

Keshav Lahoti: Chennai is a 1 lakh CBM expansion by Q3 FY '27, right?

Nikita Bansal: Actually, that time I got the CBM calculation wrong, it will not be 1 lakh. It will be actually, one second -- no, it will be more, 125,000 -- 125,000 NA into CBM, 150,000 CBM. Hello?

Keshav Lahoti: Yes. So, Chennai is 150,000 CBM new capacity coming in Q3 FY '27?

Nikita Bansal: Total, total. We are already at 75,000 or 80,000. We are taking it to 150,000, yes.

Keshav Lahoti: Okay. Understood. Got it. One bookkeeping question on MDF side. What is the AP plant capacity right now?

Keshav Bhajanka: The current capacity for Andhra is 247,000 cubic meters. It will be ramped up to 315,000 post the expansion.

Keshav Lahoti: So, the reason I'm asking because if I understand right, Hoshiarpur is 313,000; if Andhra is 214,000. So, your total capacity right now is 527 KCBM, while press release mentioned as ?

Keshav Bhajanka: 247, 247.

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Keshav Lahoti: 247, got it.

Keshav Bhajanka: 2.47 lakhs

Keshav Lahoti: Understood. And one last question. This particle board margin will be 15%. When are we expecting this to raise? And what is the normalized margin of MDF industry in your view?

Keshav Bhajanka: In my view, over any 3 - to 5-year horizon period, we would have looked at 25% margin for MDF. However, considering the current challenging demand scenario, I would say that a normalized return on MDF would be closer to 20% EBITDA. Alongside that, for particle board, I think maybe by Q4 of next year, we should be able to target steady state margins.

Moderator: We have a follow-up question from the line of Rahul Agarwal from IKIGAI Asset.

Rahul Agarwal: Just one question on the capital expenditure side, right, from a cash outflow perspective. Could you help us just understand how much would you -- I think, fiscal '26 is going to be about INR400 crores. So, if you could clarify if this is correct? And then '27, '28, how are you going to spend this c apex? Could you just help us understand that?

Keshav Bhajanka: Rahul, it depends on when we get the land allotment. Once we have the same, we will be taking a more detailed view of how this expansion will play out and we will share details. Currently, till we don't have the land in hand it's very difficult to give you any sort of a pickup.

Sanjay Agarwal: See, this land we have been trying for a long time. Now it seems that, yes, we will be able to get it. But until unless the land is there, we are not putting our minds into the -- how to -- how will we manage the funding. But certainly, if the funding is not managed, nothing will happen. So, it will be certainly -- we'll plan it, but it will take some more time.

Rahul Agarwal: Right. Can I say bulk of the c apex will happen in fiscal '28? Is that fair to -- a fair statement?

Keshav Bhajanka: Again, Rahul, it is not correct for us to comment on this at this point in time. Once we have more clarity, we shall give you the same.

Rahul Agarwal: Sure. I understand. All right. Thank you so much.

Keshav Bhajanka: Thank you, Rahul.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Agarwal for closing remarks. Over to you, sir.

Sanjay Agarwal: Thank you. Thank you, everyone for your insightful questions and continued interest in the company. We are encouraged by the strong performance across our business segments and remain confident about sustaining this growth momentum in the coming quarters. We appreciate your trust and support and we look forward to engaging with you again after our next quarterly results. Thank you. Have a great day.

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Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference.

Thank you for joining us, ladies and gentlemen. You may now disconnect your lines. Thank you once again.

Sanjay Agarwal: Thank you. Thank you, SKP for all your support.

Call: May 2026

27th May, 2026

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532548 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Scrip Name - Centuryply

Dear Sir(s)/ Madam(s)

Sub: Transcript of the conference call for Audited Financial Results for the Quarter and year ended 31st

March, 2026

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the transcript of the conference call with Investors and analysts held on Monday, 25

th May, 2026 in respect of Audited Financial Results for the Quarter and year ended 31st March, 2026.

This is for your information and record.

Thanking you, Yours faithfully,
For Century Plyboards (India) Ltd.
Company Secretary
Page 1 of 18

"Century Plyboards India Limited
Q4 FY '26 and FY '26 Earnings Conference Call "
May 25, 2026

MANAGEMENT : MR. SANJAY AGARWAL , MD & CEO
MR. KESHAV BHAJANKA , EXECUTIVE DIRECTOR
MRS. NIKITA BANSAL – EXECUTIVE DIRECTOR
MR. ARUN JULASARIA – CFO
MR. NAVARUN SEN – COO, PLYWOOD
MR. SUMANT WATTAS – CEO – MDF & PARTICLE BOARD
MR. VISHU GOEL – CEO – LAMINATES

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Moderator: Good day, ladies and gentlemen, and welcome to Century Plyboards (India) Limited Q4 FY '26 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal , Head, Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. I'm pleased to welcome you to this financial results conference call on behalf of Century Plyboards and SKP Securities. We have with us Mr. Sanjay Agarwal, MD and CEO; Mr. Keshav Bhajanka, Executive Director; Mrs. Nikita Bansal, Executive Director; along with Mr. Arun Julasaria, Chief Financial Officer; Mr. Navarun Sen, COO, Plywood; Mr. Sumant Wattas, CEO, MDF and Particle Board; and Mr. Vishu Goel, CEO,

Laminates.

We'll have the opening remarks from Mr. Sanjay Agarwal, followed by a Q&A session. Thank you, and over to you, Mr. Agarwal.

Sanjay Agarwal: Yes. Thank you, Navin. Thank you. Good afternoon, everyone. And a very warm welcome to our Q4 and FY '25-'26 Earnings Conference Call. Before we begin, I would like to remind you that today's discussion may contain forward-looking statements, which are subject to risks and uncertainties.

This call is not intended as a solicitation to invest. The financial results and investor presentation have already been shared and are available on the stock exchange website. FY '25-'26 has been a landmark year for the company, marked by strong growth across businesses, significant improvement in profitability and continued strengthening of our market position.

I'm pleased to share that the company reported its highest ever quarterly revenue of INR 1,492 crores during Q4 FY '26. The topline registered a strong growth of 10.5% quarter -on-quarter and 24.5% year -on-year, reflecting healthy demand across our product portfolio and improved contribution from newly expanded capacities.

At the profitability level, consolidated EBITDA margin, excluding forex losses improved to 13.6% compared to 12.6% in the previous quarter and 12.1% in the corresponding quarter last year. The improvement was driven by better operating leverage, higher capacity utilization, improved product mix and our continued cost optimization and operational efficiency.

For the full year FY '26, the company achieved top line growth of 19.2%, while EBITDA margin, excluding forex loss improved significantly to 13% from 11.1% in FY '25. In absolute figures, EBITDA, excluding forex loss has increased from INR 502 crores to INR 702 crores.

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Profit after tax increased by 44% to INR 268 crores compared to INR 186 crores in the previous financial year. These results demonstrate not only strong revenue growth, but also substantial improvement in the quality of earnings and overall business efficiency. Segmental performance. Let me now walk you through the performance of our key business segments. Plywood segment. The Plywood business continued to demonstrate sustainable growth momentum supported by healthy demand, strong brand positioning and distribution expansion. During Q4 FY '26, the segment recorded revenue growth of 11.4% quarter -on-quarter and 17.9% year -on-year. EBITDA margin, excluding forex losses stood at 16.1%.

For FY '26, the segment delivered revenue growth of 15.6% with EBITDA margin at 15.2%, reflecting strong operational performance and continued margin resilience. Laminate segment. The Laminates business delivered a turnaround

during the year after remaining relatively subdued over the past 1 or 2 years.

In Q4 FY '26, the segment recorded revenue growth of 8.3% quarter -on-quarter and 16.3% year -on-year, while EBITDA margin improved to 10.3%. For FY '26, revenue grew by 13.9%, while EBITDA margin improved significantly to 8.5% compared to 5.2% in FY '25. The improvement was driven by better capacity utilization, improved product mix and efficiency.

The next segment, MDF. The MDF business continued its strong growth trajectory driven by improving utilization levels and sustained demand momentum. During Q4 FY '26, the segment recorded revenue growth of 8.9% quarter -on-quarter and 31% year -on-year. EBITDA margin, excluding forex losses stood at 11.3%.

For FY '26, the segment achieved revenue growth of 25.5%, while EBITDA margin improved to 12.7% from 10.1% in the previous year. In the current quarter, we have taken a shutdown in our Badvel plant to increase the capacity by 20%.

Particle Board segment. The Particle Board business witnessed robust growth during the year, supported by new capacity addition and improved utilization. In Q4 FY '26 revenue grew by 3.9% quarter -on-quarter and 108.3% year -on-year, while EBITDA margin stood at 7.2%. For FY '26, the segment recorded revenue growth of 38.2% with EBITDA margin at 1.2%. We expect further improvement in operating performances as utilization levels continue to increase.

Century Ports, a wholly owned subsidiary of Century Plyboards India Limited, commenced commercial operation during Q4 FY '25-'26 at the rejuvenated Khidderpore Docks, KPD -1 West at Syama Prasad Mookerjee Port, Kolkata. The commissioning marks a strategic diversification into port logistics and infrastructure aimed at enhancing supply chain efficiencies and creating new growth avenues for the group.

We will be cash positive in Q1 FY '27 from the Port business. Financial overview. From a financial perspective, FY '26 reflects a year of strong execution, improved growth profitability and disciplined growth.

Excluding forex losses, ROE improved from 10.6% to 15.2%, while ROCE increased from 12.5% to 14.6%, reflecting stronger operational performance and improved capital efficiency.

Our continued focus on operational excellence, prudent capital allocation and strengthening of brand and distribution capability has enabled us to improve both scale and earnings quality. We remain committed to investing in manufacturing excellence, distribution expansion, brand technology and sustainable long-term growth. Looking ahead, we remain optimistic about the medium- to long-term outlook for the building material and interior infrastructure industry. The sector continues to benefit from strong structural drivers such as rising urbanization, disposable income, etc. With our diversified product portfolio, strong brand equity, expanding distribution network, improving capacity utilization and additional capex on new capacity across businesses, Century Plyboards remains well positioned to capitalize on the emerging growth opportunities across segments.

We also expect further improvement in ROE and ROCE, as we continue to sweat the substantial assets that have been created over the last 3 years. During the quarter, the industry witnessed inflationary pressure in certain chemicals and resin-related input costs due to ongoing geopolitical conflicts and supply chain disruptions in global markets.

However, the company was able to effectively manage the challenges through operational efficiencies, strategic sourcing initiatives, improved product mix and calibrated pricing excellence. Going forward, we will continue to focus on profitable growth, operational excellence, prudent financial management and sustainable long-term value creation for the stakeholders.

We will now open the floor for questions.

Moderator

: Thank you very much. We will now begin with the question and answer session. First question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Many congratulations for good set of numbers. Sir, my first question is related to the MDF, where you had given around 39% of a Y-o-Y growth in the quarter. Can you make us understand from where such kind of outperformance is coming? Is that the market share you are gaining or the channel expansion? How that's going on?

Related to that, at what level of utilization in the MDF you are running with? And also in this, also, if you can give some color on the price hike, as you also highlighted related to the chemical price increase? So related to the MDF ...

Sanjay Agarwal: No, I think that's already quite a lot of questions. So Sumant.

Sumant Wattas: Yes. I think you asked 3 questions. One, I think on the Q-on-Q growth, it's a multitude of factors.

Obviously, in March, some stocking does happen because the market was expecting price increases. So that has certainly been one factor, but not the only factor.

As we are aging more in the South, we are continuously expanding our network and also working on the secondary, which is the carpenters and retailers. So it's a mix of, I would say, a little bit

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of year-end stocking, but also a lot of fundamentals playing out in terms of enhanced network and enhanced demand generation.

So that's part one of your question. I think your part 2 was on capacity utilization. With the current numbers, we are at about 80% to 85% capacity utilization, give or take for our full capacity.

And this is against the rated capacity. And if you look at the product mix, typically you can go up to 85% to 90% as a max capacity on top of rated. And this is the reason why, as MD mentioned in his opening remarks, we are also taking the extension in our South plant, which will add another 60,000, 70,000 cubes per year of capacity going forward.

On your third question in terms of price increase, given the disruption in chemicals and supply chain, so on and so forth, we and the industry have taken a 15% price increase, which barely actually covers the cost that has gone up on account of chemicals disruption. It is very early days to see how much of it sticks.

And also, given the uncertainty right now on supply chain, again, we'll have to wait and watch to see will it sustain, will we need to take more price increases or will we need to take some corrections.

Praveen Sahay: Okay. Okay. And this time, you are not giving a guidance for all the segments for FY '27?

Sanjay Agarwal: Actually, the present situation is so, I think, fluid, it will not be right on our part to give you anything right now, but maybe by next time, we will be in a better position to -- till now whatever

we have projected, we have been able to mostly achieve.

So the situation is really, really -- and we do not know what will happen to this war because they have given 60 days for that uranium, something, they will again sit down. So it may or may not -- the war may again start. So you really don't know what is going to happen. So that's why we are reserving. Otherwise, there is no other reason.

Moderator: Next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, congratulations on a strong set of numbers. I can see in ply you have announced multiple expansions, one more new expansion announced. So how should we see ply capacity? What numbers in FY '27, '28, '29, give us some sense on that? And secondly, the -- because of this war...

Sanjay Agarwal: I'll just tell you about the capacities. On the capacity front, actually a lot is happening. Right now, we are utilizing our capacity at practically 100%, you can say. So the way we are growing, so we have to take this chance, and that's why we are expanding our capacity

ties into our existing

plants also. And our plant at Hoshiarpur is specifically on the -- I think Nikita can tell better.

Nikita, are you there online?

Nikita Bansal: Yes, I'm there.

Sanjay Agarwal: I think, you can say better. Yes.

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Nikita Bansal: Yes. So actually, in Q4, we had a capacity utilization of about 99%. We are increasing our capacity by about 30% within this year. Part of it is -- about 20% is the internal plant expansion. And another, the Hoshiarpur plant is supposed to come up in October this year. So that would make it a 30% expansion.

Next year plan is another -- actually, the UP plant is a bit delayed. So we are looking at -- actually, we had earlier projected that we will be making capex in this year, but it seems because we've just got the land, so I think the capex of the same would start probably towards the end of this year, maybe Feb, March or maybe even Q1 next year, and it will be ready in Q1 '28-'29. In the meantime, we also have started the process of procuring land in Orissa. Given the way we are expanding, we believe that we will need a new plant 1 -- leaving 1 year apart.

So if we got Hoshiarpur this year, I need a new plant in '28-'29. That's our projection for the next 5 years. That's how we are going about it. In between all years, we are expanding within our existing plants wherever it is possible.

Keshav Lahoti: Understood. And Chennai will double by Q3 FY '27.

Nikita Bansal: Chennai is doubling in July this year. So that is the 20% expansion that I was talking, not really doubling because it's already taken out a lot of meat within its existing plant. So about 40,000 NA, which is, I don't know, maybe 30,000 or 25,000 CBM will increase in Chennai by July.

Keshav Lahoti: Got it. Understood. And this Particle Board, I can see in the press release, you have mentioned that the capacity is 2,40,000. So we can see the retail capacity of 72,000. Old plant, you are not counting in. So the plan is to completely scrap the old plant or possibly once this new plant will ramp up, you will start to use the old plant also? And lastly, Particle Board, this time, the capex is INR500 crores for 2,40,000 CBM capacity. Earlier same plant, which you did, the capex was higher at INR 700 crores. Why is that so?

Sumant Wattas: Yes. This is Sumant here. Let me answer. The old plant, which is a multi-daylight, fairly older technology, that we have shut down. And as of now, there are no plans to revive it. So we will most likely scrap it. And even if we add future capacity in Particle Board at a later stage should the market allow, it will be in a new greenfield capacity. So that's your question number one. On -- sorry, can you repeat question number two? I forgot. What was the second question on Particle one?

Keshav Lahoti: This time, the Particle Board expansion cost is INR 500 crores, while earlier the similar capacity costed you INR 700 crores?

Sumant Wattas: But we have not taken any Particle Board expansion earlier, so which one are you referring to? This is our first...

Keshav Lahoti: I am talking about the Chennai. Yes, so the Chennai, 2,40,000, which -- where you incurred INR700 crores?

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Sanjay Agarwal: There was no INR 700 crores. The new plant in Chennai, that is what we are running now. The earlier plant, we have closed down, so that we are scrapping. So there, I think we invested some INR200-some crores, the first plant.

Sumant Wattas: The old plant was INR 70 crores. I think you have got your numbers mixed up. The old plant was an archaic old technology, which was multi -daylight press. And hence, the capex cost was much lower. This is a continuous production line where the cost will be higher.

Keshav Lahoti: Sir, I'm talking about the Chennai greenfield, which you did Particle Board

expansion of

2,40,000. That plant costing was around INR 700 crores. Is this number right?

Sumant Wattas: No, the number is incorrect. The plant costing was about INR 550 crores.

Keshav Lahoti: Okay. So assuming the plant costing was INR 550 crores, but now the one -- the Orissa one, which you are doing, which will come...

Sumant Wattas: Right now, it is just an MoU that we have done with the government with very, very rough calculations. It is something that we are still exploring. So Orissa, nothing has been finalized yet.

Sanjay Agarwal: And Orissa, have we done an MoU for Particle Board plant or for a Plywood plant?

Nikita Bansal: For both, papa.

Sanjay Agarwal: For both, okay.

Nikita Bansal: Yes. Yes. No, so I think if you're comparing the MoU, I think it's a wrong comparison to do because the MoU right now, we have got it with a caveat if you read that it could be an MDF or a Particle Board. We will take a decision when the time comes. And as you know, in India, it takes a little bit time.

We are just in the stage of procuring land. And you've seen, like even in the past, when we actually start procuring land, I don't see Orissa going live in another 2 years from now like us

getting the land. Then, all the formalities will start. So I think 2 years from now, we can give you a better idea on costs and all the breakup. I hope that's clear.

Keshav Lahoti: Understood. Got it. Quite clear. And this MDF, AP is already done, the debottlenecking thing for MDF?

Sumant Wattas: Sorry, could you say that again? Your voice was not clear.

Keshav Lahoti: So MDF, you were increasing capacity by 20%, 25% for AP plant, which you said in Q1, that is already done and dusted now?

Sumant Wattas: No, no. That is going on as we speak. In Q1 of this financial year, we are doing a brownfield expansion in our South plant that will unlock about 60,000, 70,000 cubic meters per year of additional capacity. So that is ongoing currently and will get completed by the end of the quarter.

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Keshav Lahoti: Got it. Will this have an impact on your sales volume for MDF in this quarter? Or you already had the surplus inventory?

Sumant Wattas: Yes. So we plan for inventory. And hopefully, we'll be able to service the market sufficiently with the inventory.

Keshav Lahoti: One last question from my side. In Ply, you used to import timber. Now, how the geopolitical has been and container freight rates have increased, so in this way, this will increase your costing for ply timber also? And you are facing any supply side challenges?

Nikita Bansal: Can you repeat it? Sorry, I missed your thing.

Keshav Lahoti: So I said in Ply because of geopolitical, the freight rates have increased. So you used to import timber in Ply segment. So is there any supply side challenge and whether your ply timber costing have increased due to higher freight rates?

Nikita Bansal: Yes. So actually, there is no challenge per se in getting the material. But yes, prices have increased, and we have taken a 7% price rise already in the month of April due to these reasons because we are so import heavy as well as our chemicals, which are imported as well. They too faced a lot of increase. You must be reading about phenol and melamine in the papers anyway.

Moderator: Next question is from the line of Utkarsh Nopany from Anand Rathi.

Utkarsh Nopany: Sir, my first question is regarding your MDF segment. So like on volume side, you are doing pretty good. But on the margin side, if we see, like your margin has come under pressure, which earlier it was not guided. So just wanted to know what is the reason for the margin pressure in the March quarter? And what should be the sustainable margin in this segment as per you? And by when it is likely to be achieved, sir?

Sumant Wattas: Yes. So if you compare our Q4 versus Q3, there has been a margin erosion

of about 1%, a

marginal margin erosion. This is on account of 2 factors. One, some production-related disruptions linked to the chemical availability and prices. And secondly, some one-off spend.

So we did a little bit of ATL on the MDF side, which also got hit in quarter 4. So that's the reason why you see the 1% margin decline quarter-on-quarter. I think in terms of steady state, once things stabilize on the chemical side, supply chain side, so on and so forth, our strong belief is that this is a high-teens EBITDA business in steady state. And there are 2, 3 reasons for it. One, a lot of operational improvement on the plant side that we do in regular course is likely to kick in again next year as well.

Secondly, with this whole brownfield expansion in the South plant, it gives us efficiencies on power, fuel, so on and so forth. And then, a lot of effort is being made just in terms of product mix and value-added products, which we want to push further and further.

So in steady state, I think this is a high-teens EBITDA business, if not higher. And we hope to achieve it as the next year goes by. I think a specific time line is very difficult to put right now given so much is happening globally, but that's our plan and our vision.

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Utkarsh Nopany: Okay. And sir, second, on the timber side, like what we are hearing is that the timber prices in the local market has corrected by roughly around 10%. So just wanted to know, are you also seeing similar kind of a correction in the local timber prices? And what is the outlook for the timber prices for FY '27, sir?

Sumant Wattas: Yes. So I think if we look at timber as a raw material and if I compare to the volatility in the year before and the years before that, timber has remained a lot more stable this year, while -- it's marginally corrected. I won't say it's corrected by 10%, but it's remained stable. And there are some regular seasonal variations that happen any which ways in timber.

For example, in monsoon season, the availability is low, so on and so forth. So that happens every year. But by and large, timber as a raw material has remained stable, and we expect it to remain stable going forward.

Utkarsh Nopany: Okay. And sir, lastly, sir, if you can just highlight how much price hike they have taken in the other side, so like Plywood, Laminate and Particle Board in Q4 and in Q1 till date? And what would be your capex that is for FY '27 and '28?

Sumant Wattas: So I can answer for Particle Board, and then, I'll hand it over to Nikita maybe for Ply. Look, Particle Board is a very key account management business, and the industry has not really announced any price hike per se. So it's not standard. But the raw material prices on account of chemicals have taken a hit similar to MDF, and our price pass-on has also been in the same range.

Nikita Bansal: And I think I have already on the plywood side, already mentioned that we have passed on whatever price increases we had so far in April of 7%, but it's a wait-and-watch scenario. And if we feel that prices continue to rise, we will take further prices accordingly.

Utkarsh Nopany: Okay. And madam, what would be the capex guidance for '27 and '28 on a consol basis?

Nikita Bansal: Vinay, can you answer that at a whole level, company level?

Vinay: I'll just take that. The basic capex that we are going to incur, the majority of it is going to be towards our new Hoshiarpur plant. Other than that, once we are online in Uttar Pradesh, once the land is in hand, we should be looking at commissioning Uttar Pradesh over the course of the next 2 years. Other than these 2, we have no major frozen capex as yet. So the capex will be predominantly directed towards plywood.

Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset Managers.

Rahul Agarwal: Just 2 questions. One is more lo

nger term, midterm in terms of strategy. Our operating cash flows every year are about INR 600 crores, INR 700 crores.

Please correct me if I'm wrong. Our

capex total, including UP, Orissa, is INR 2,000 crores, next 4 years, 5 years, roughly about INR400 crores, INR 500 crores a year.

Most of the heavy lifting on cash flow right now is Plywood, 60% of EBITDA is coming from there. So just need to understand your thoughts on how do you manage your risk going forward,

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right? It's a lot more on execution, which will depend on to fund this capex. Second is, at the same time, we got to control on our financial leverage on the balance sheet. It's INR 1,600 crores right now.

And third is, of course, spreading out this capex over 4, 5 years' time so that the capex, which we just finished over the last 2, 3 years should actually generate the ROCE you want. So how do we play a balancing act here? Could you just explain in terms of your own thought process for the entire business? That's the first question.

Arun Julasaria: Rahul, I think the way to look at this, we are a company that you have seen has invested when we believe that there is money to be made. But at the same time, for us, turnover is vanity, profit is sanity and cash is reality. So return on capital is one of the most important metrics that we track.

Currently, as you've rightly pointed out, we have invested substantially over the course of the past 2 years. And right now, I think it is opportune for us to sweat our assets to generate returns.

We are looking at growth that is not exponential. We are looking at a sustained growth. Towards that, maintaining balance sheet discipline is one of the most important priorities.

At this point in time, like I have already mentioned, our priority is going to be in creating capacity for Plywood, where we are seeing that we might face a shortage, say, 1, 1.5 years from now due to very strong traction on the ground. Other than that, we will take a call on the other segments as and when we reach capacity utilization.

There could be stagnancy in a couple of segments, where we will not benefit substantially from volume addition for a period of 1 or 2 quarters, maybe from the 2nd quarter of next year onwards, but this will be offset by higher realizations and by higher value addition sales.

So I think currently, there's no frozen capex for MDF or Particle Board, which are large substantial capexes. We are going to be using our internal cash flows predominantly to strengthen our balance sheet. And going forward, as and when we take a call, you'll be the first to know.

Nikita Bansal: And I would like to add one more thing to this that we see in Plywood, we are not doing unrealistic expansion because all this, while you never saw expansion was because our existing plants had a lot of juice to actually take out. We could really do massive expansion within our plants. We've actually doubled, tripled our capacity within our existing plants over the last 5 to 6 years.

But that is now no longer feasible. And because of that, we need to put up new plants, and we are looking at securing raw material sources because of which we are looking at Orissa or UP, etc., for future whenever we come back to local timber. And we are taking a very muted growth of 10% to 12% and a capacity utilization of 80%, basis that we are planning our expansion.

Rahul Agarwal : Right. Absolutely get it. So just in terms of follow-up, for Plywood, Nikita, I think the base is going to be very high, right? This year, you've done exceptionally well. To actually do the heavy lifting next year, you're talking about 10%, 12% growth for next year is what you're talking about?

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Nikita Bansal: Right. MD said at the beginning, we don't want to give any numbers for this year. I think in the

next call, we will talk about the numbers for this year, what we are expecting. Obviously, you will also see how we performed in Q1 by then.

Rahul Agarwal : Sure, sir. I get that. So just in terms of your own comfort on debt overall level versus if I look at EBITDA, what's the comfort level from a balance sheet consol perspective? Right now, we are at about 2.5 if you look at debt-to-EBITDA gross levels. I think we should be reasonably assured?

Arun Julasaria : Operating debt or working capital debt is something because we are growing, and we are in a high-growth phase. 19% growth year-on-year for a business like ours does require certain working capital. But long-term debt, I don't think we'll exceed 1:1 EBITDA going forward.

Rahul Agarwal Perfect. Got it. And just lastly, on forex. I just wanted to understand what are these liabilities where forex in case INR devaluates substantially in any quarter, which has just happened like that right now. What are the...

Arun Julasaria: Rahul, our total forex is within INR 600 crores. Over the course of the past 2 decades, we have benefited substantially because of a natural interest hedge, as you are aware. One year, yes, there's been a start loss. This is predominantly due to the fact that currencies appreciated beyond what anyone could have imagined. Having said that, I think our total forex expenditure to our total forex exposure is INR 600 crores.

It is going to be limited to within that space, which is not going to have a very meaningful impact on our balance sheet going forward. We are not going to increase our forex exposure going forward.

Rahul Agarwal: Absolutely, I understand. What I was asking was, is it part of debt or is it part -- is it realized or this is mark-to-market?

Arun Julasaria: No, no. This is mark-to-market.

Rahul Agarwal: Right. Okay. So this is part of...

Arun Julasaria: It is sole mark-to-market.

Rahul Agarwal: Okay. It is not realized loss. It is largely on liabilities on short-term debt, is it?

Arun Julasaria: No, it is on long-term debt. Majority of it is long-term debt because we have imported machinery in biased credit.

Rahul Agarwal: That is very clear. Wish you all the best for the next year.

Moderator: Next question is from the line of Sneha from Nuvama Wealth Management.

Sneha: Congrats on a very good numbers. Just a couple of questions, sir. Just...

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Moderator: Sneha, sorry to interrupt. Your audio is breaking. Can you come in a better reception area, please?

Sneha: Is it better now?

Moderator: Yes.

Sneha: Yes. So I was just asking whether -- on the plywood front, whether we have opportunity for outsourcing? If yes, what would be the contribution of outsourcing currently? That's one.

Although I understand you said that for incremental even 10%, 12%, we need to add growth, but the possibility of the outsourcing front also to get a higher growth, that's first.

Secondly, a lot of your peers on the call mentioned that on MDF front, also we have taken price hike, but it's being partially passed on, and due to competition, there are schemes and discounts going on. So just wanted to understand that how much of the raw material cost absorption across

the board is done? And could we see any margin impact starting Q1 because of higher inflation?

Nikita Bansal: So let me take the outsource question first, and then, Sumant can take the next question. So the thing is with respect to outsource, I think I've mentioned it in the last call as well and our meets

that we want to actually make it a complete 100% in-house production. We are hoping that by the time there is an internal expansion next year, April, and Hoshiarpur.

So once Hoshiarpur comes, we will start moving a lot of our Sainik MR, which is the only product we outsource in-house. And by the time we are here next year, we would probably

make

it 100% in-house.

Sumant Wattas: On the prices -- Sneha, Sumant here, like I had mentioned previously, we and the industry have taken a 15% price increase this quarter. And that more or less covers the cost increase on account of supply chain disruptions and the war. You are right. Some peers in the industry have done selective rollbacks on this. So right now, it's in a bit of a flux given that the global tensions are again at play.

We don't know which way the prices will go from here. Also, in the market, like you rightly pointed, there have been some rollbacks by a few players here or there. So I think the situation is a bit -- we're waiting and watching and see which way it will go. Our hope is that we are able to pass on the cost increase as an industry in terms of prices, and therefore, there should be no margin impact. But right now, it's wait and watch for us. It's very difficult to say currently.

Sneha: Got that. Lastly, just a third and last question from my end, which is related to across the categories. The reason I'm asking this, we've seen significant inflation in March, there was a lot of channel pushing, be it tires, be it pipes, be it even your space, like MDF, where the traders or the distributors were expecting price hikes.

And that is why they stuffed material in the month of March and probably because of which April has been slow. Just a sense that I wanted to get how has May picked out? Are we seeing any scope of channel recouping and now taking material?

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Arun Julasaria: Sneha, for us, April was not slow.

Sanjay Agarwal: Yes. April was not slow. Yes, yes. So I want to clarify one more thing, Sneha, as far as this outsourcing is concerned. See you know that Century is absolutely into quality. And we have seen that outsourcing in plywood has really not worked as far as the quality is concerned.

So that's why we are slowly and as fast as possible, whether I should say we are trying to withdraw from outsourcing, reduce outsourcing and do everything in-house because the quality is of utmost importance to us. And why I'm saying so because next time you build your house, you must buy only Century Ply.

Moderator: Next question is from the line of Sankarshan Mehra from Premji Invest.

Sankarshan Mehra: Sir, just an extension to Rahul's question on the overall capex. So on the MDF front, you seem to be running at pretty high capacity utilization, right? And this debottlenecking probably helps you for growth in next year. So what are the plans beyond that? I mean, if we are -- if you want to expand capacity there, I'm sure something must be planned by now so that it's, say, commissioned by FY '28. So any thoughts there or would the idea be to focus on more value-added products? How should we think about it?

Sanjay Agarwal: Keshav, are you there?

Sumant Wattas: Keshav, would you like to take that?

Moderator: Sir, Keshav, sir, line dropped. I'll just call him back.

Sanjay Agarwal: Okay. Okay.

Sumant Wattas: Yes. But meanwhile, maybe I can take a stab at answering while Keshav joins. Look, like Keshav mentioned a couple of questions back, obviously, debottlenecking is one area which will give us 60,000, 70,000 cubic meters more of capacity this year, and we would like to obviously try to sell it off as quickly as possible.

In parallel, move towards value-added is certainly very high on the agenda because that also

gives us EBITDA uplift. In terms of capacity addition beyond that, nothing is firmed up and nothing is announce able as of now. We're obviously doing our internal brainstorming. Once we're in a position to give you specifics in terms of timelines and capacity, we'll come back.
Sanjay Agarwal: With our UP land acquisition, if it happens correctly on time, we'll be ready with the land. And the land is ready, then rest of it is absolutely ready wi

th us. There is no more science to it for us.

So we will be able to put up a plant within, say, 15 to 16 months' time, I think. But right now, yes, there is nothing absolutely frozen.

Nikita Bansal: And because of plywood, we would actually get the land ready regardless because we would need the common facilities and more or less the roads, etc. So the land will be ready if ever MDF decides. It won't take as long a period as it takes for a fresh proje ct.

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Sankarshan Mehra: Understood. So -- I mean, just to sort of clarify that it's more a timing or a capex issue, nothing to suggest that the growth opportunities are sort of saturated. I shouldn't be taking...

Sanjay Agarwal: No, no, no. No. We are very, very bullish on it. We are very bullish on MDF. The capacities are going to expand really big time. A lot of progress is going to come in. These are only, what they say, the calm before the storm .

Nikita Bansal: No, and I think this division will deliver EBITDA where you all will also get the confidence that we further go into capex . So I think that is also important.

Moderator: Next question is from the line of Amit Purohit from Elara Capital.

Amit Purohit: Congratulations on good set of numbers. Sir, just 2 questions. One, on the demand, how are you seeing right now given the fact that you have taken price increases in most of the segments? And second, when you take price increases, I just wanted to understa nd how do you -- I mean, just a bit of a mathematical thing, trying to understand whether this price increases ensures you a percentage margin o r suppose the raw material prices would have gone up by how much for

MDF at an aggregate level or in plywood, if you could give me, is it a price -- raw material price increase by 7% and 15% for you, and that's why the amount of price increase has been taken, if you could help me with that?

Sanjay Agarwal: It's not that complicated. It's very simple. You see there are very different factors in costing. We have a very efficient costing management system. And very fast, we get the calculations that what are our costs going to be in, say, next 1 month's time al so.

So accordingly, we take the price increase. And it is not only raw material timber because timber is only maybe a certain percentage of the whole thing, then there are chemicals, then there are factory inputs and then there are logistic costs. And then the re is a dollar -rupee. So all these

things we take into account, and we take the increase. It's much simpler than...

Amit Purohit: No. So I just want to know is that what is the raw material index for you increase in the MDF and plywood, if you could just tell us that on a Y -o-Y basis f or you to take 7% and 15% price?

Sanjay Agarwal: What is the raw material percentage in the total cost...

Nikita Bansal: Yes. It's something I personally don't want to share. I think at least for plywood, I don't want to share, and I think Sumant would say the same for MDF.

Sanjay Agarwal: No, I don't think we should share for all those things.

Nikita Bansal: Yes. And as far as the demand part goes, I would request Mr. Sen, if he's on the line, he should answer for Ply, and then, Sumant can answer for MDF.

Sanjay Agarwal: Navarun, are you there?

Nikita Bansal: Okay. As he is not there, let me take it up. So the thing is that whenever we do a price increase, we expect that things will fall, but we have -- we are not seeing any drop in our secondary. So

that, to me, shows that there might be some holding with the big dealers. But because we have

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such a wide expansion, and we actually run routes on a daily basis when it comes to feeding smaller dealers, I feel that demand is continuing even post the price increase currently for p ly.

Sumant Wattas: Yes. And I think just to add to that

-- sorry, you were saying something, please go ahead.

Amit Purohit: No, no, continue, and then, I'll just have one small follow -up on that.

Sumant Wattas: Yes. No, just a quick addition to that on the MDF side. Look, for us also, demand has been quite stable.

Usually, April, May as compared to Q4, of course, there's a little bit of correction that happens from the Q4 exuberance. But in general, we don't see any fundamental weakening of demand. So it's quite stable and healthy.

Amit Purohit: Sure. And just, sir, I understand you may not like to share the exact percentage, but can you just say whether it

is higher or lower versus the price increase that you have taken?

Nikita Bansal: No, it will always be higher, right? The raw material increase will be higher because of the ratio of the raw material to the pricing is -- it's not 100%, right? So obviously, the raw material price would be higher, obviously, but we pass on the exact, right? We do not let our EBITDA get hit.

That's usually how we work as a company.

Sumant Wattas: I think that answers your question. You're trying to ask, are we trying to get more margins from the price increase or are we just covering our cost? I think Nikita answered it. The philosophy is to pass on as much as cost as possible. So that's the intent.

Moderator: Next question is from the line of Bhavin Rupani from Investec India.

Bhavin Rupani: Sir, first question related to Plywood. So last quarter, we said 8% of our total revenue in plywood is with respect to Sainik MR. So first, if you can tell us what is it in terms of volume? And second, now we plan to bring in Sainik MR in -house. So does it mean that volume growth won't be commensurate to capacity growth going ahead? So is that a fair understanding?

Nikita Bansal: So -- okay, let me answer it in 2 ways. Number one, we do not share breakup of Sainik MR and Sainik 710 and Club Prime. We've maintained this in the past, so I will not answer that question.

With respect to the second part, yes, so if you say in terms of the growth, the capacity expansion that is happening is quite aggressive at a smaller time line.

So if you see if we've added 30% just this year, and then, we are adding another further 15% next year is all to actually take up some part of this 8%. Obviously, we are not going to grow by 45% in this 1.5 years. Yes. I hope that answers your question.

Bhavin Rupani: Yes, yes, it does. So just a follow-up on this, if you can call out what is the capacity right now in Plywood? And what will be our capacity post you are done with all the capex that you have announced in FY '27?

Nikita Bansal: [Inaudible 0:50:01] will you take up those exact numbers, please?

Management: Sure. So current capacity in case of plywood is 4,06,000. This is as of 31st March...

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Moderator: Sir, sorry to interrupt you. You're sounding distant.

Management: Am I audible now?

Moderator: Yes, sir.

Management: Yes. So current capacity at Plywood is 4,06,000 as on March '26. And we are coming up with new capacity of Hoshiarpur, which is 48,000 CBM, which is going to come up in the second half of this year. Apart from that, we are having a brownfield expansion at our different factories, which is Kandla, Chennai and Guwahati, which will add another 20% of this particular capacity, which Nikita has already told us.

Bhavin Rupani: 20% of total capacity is 80,000...

Management: Yes, to brownfield.

Bhavin Rupani: Got it. Sir, second question related to Century Ports. So we have done expense of somewhere around INR260 crores to INR 270 crores over 3 years. So just wanted to understand what could be the potential cost saving we can expect from this?

Nikita Bansal: What do you mean by cost savings, for Century Ply?

Bhavin Rupani: Yes. Cost saving or incremental -- yes, cost saving or incremental revenue...

Sanjay Agarwal

Sanjay Agarwal: For saving for Century Ply, no, there is no cost saving in this. There is -- I mean, it makes life easier for many, many importers and exporters, so to us also, but there is no cost saving for Century Ply in there.

Nikita Bansal: We always maintain each thing as a separate profit center. So Century Ports will continue to have its own profit center and give no benefit to Century Ply as of now.

Moderator: Next question is from the line of Mehul Shah from NMV Securities.

Mehul Shah: Sir, I wanted to know the current capacity for Laminates?

Sanjay Agarwal: Current capacity for Laminates.

Mehul Shah: And utilization.

Sanjay Agarwal: Our capacity utilization is at 84%. And our capacity is 87,70,000 sheets.

Mehul Shah: 87,70,000.

Sanjay Agarwal: 87,70,000 sheets, and...

Mehul Shah: This is consolidated, right?

Sanjay Agarwal: The lam Badvel capacity is 11,200 CBM. These are 2 different kinds of number because there the number was number of sheets, 87,70,000 number of sheets. Here, it is CBM because here

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we make a different kind of laminate actually. It's a thicker laminate, which is mostly for exports

or for use in toilet cubicles and all that. The capacity utilization at Badvel is 47%.

Mehul Shah: And what would be the capacity for '27 and '28?

Sanjay Agarwal: Capacity for '27 -'28, same.

Nikita Bansal: So like we said, we will give those numbers in the next call because if I talk about capacity utilization, I will also end up talking about what is my plan for this year. So we will give that in the next call.

Sanjay Agarwal: Nikita, it's for capacity...

Nikita Bansal: No, he's asking capacity utilization percentage for this year.

Mehul Shah: And for MDF capacity is 5,28,000, right, currently?

Sumant Wattas: For MDF, the current capacity is about 5,30,000, 5,40,000 CBM per year. And with the brownfield expansion, we will add another 60,000 to 70,000. So we'll make about 6,00,000 cubes a year.

Moderator: Next question is from the line of Anu Parakh from Anand Rathi.

Anu Parakh: So first question is, what is the reason for weak performance of the Laminate segment for the 18 quarters? And by when can we expect it to start performing?

Sanjay Agarwal: Vishu, you have...

Vishu Goel : Yes. Yes, yes. I can answer that. So -- Vishu on this side. So I think there are 2 parts to the question, okay? In the last, if you were to look at the preceding 8 quarters, which is FY '24-'25 and '23-'24, okay, we had seen a certain amount of stagnancy as far as the Laminate business is concerned.

Partially because of some internal changes in the context of how we wanted to take up the GTM level changes, which probably have not worked to our advantage and partially also because of the changing product mix when you look at Indian as well as both export markets. So we took some corrective actions starting last year only.

And if you were to look at this year, we have started seeing some green shoots as far as the financial year '25 -'26 is concerned. So on a quarter -on-quarter basis, we have seen an uptick as far as the overall topline as well as the improvement on the bottom line is concerned, which essentially has come through the work, which we have done both in the domestic market, including working on some price points, trying to sharpen our go-to -market strategy and making some corrective changes there, including changes in the leadership team.

Also, at the export level, we have added the larger capacity presses, which is something which is more attuned to the kind of product mix, which is utilized or kind of demanded in the global Century Plyboards India Limited

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markets all across Europe, Southeast Asia and stuff like that. So that also has started giving us some dividend. So to that extent, we are seeing some green shoots.

And while

we, of course, we are in a context of building up the space for us, but for whatever we understand, including all the published companies wherein they have published their results, we have done reasonably okay. As of now, growth rate outstrips all of them from a published point of view.

So industry itself has seen a certain amount of 8% to 10% kind of a revenue guidance, if you were to look at the market leaders and all other companies the way they are portraying. And at this stage, we continue to outgrow that. So as we move ahead, we will see more improvement in consolidation moving forward, and we may continue to outgrow the market by 3 to 4 percentages.

Anu Parakh: Okay. And sir, what is the -- how much has been the rise in the chemical prices compared to the average of Q4 based on current market rate? And also, if you can share the chemical cost percentage as a proportion of revenue for Plywood, Laminate, MDF and Particle Board?

Sanjay Agarwal: No, I don't think we share such fine costs, etc. We do not share actually.

Anu Parakh: Okay, sir. But just how much has been the rise in the chemical prices?

Sanjay Agarwal: Yes, you can tell this. Vishu, if you have idea of some of them.

Vishu Goel: So, yes. I can tell you. So see, for us, we have -- like in the context of MDF and Plywood, we have taken a price increase to the tune of 10% to 12%, largely the impact in the quarter 1, okay?

And that predominantly covers our raw material or the chemical cost price hike, which has happened because we are dependent on a lot of chemicals, and it does form a sizable portion of our input cost, so -- but we have been able to pass on most of the price increase to the market.

Sanjay Agarwal: So the cost increase in chemical will be a little higher than this percentage?

Vishu Goel : Yes. Yes.

Sanjay Agarwal: Maybe we are unable to tell you at this moment exactly.

Moderator: That was the last question in the queue. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Agarwal for closing remarks.

Sanjay Agarwal: Yes. Thank you, everyone, for your insightful questions and continued interest in our company.

We are encouraged by the strong performance delivered during FY '26 and remain confident about sustaining the growth momentum across our businesses. With Iran Wa r supposedly ending, I hope progress there will be good. We sincerely appreciate your continued trust and support, and we look forward to interacting with you again after our next quarter results. Thank you. Have a great day.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you